

Bharat Electronics Ltd. (BEL)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Jul 2022

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Bharat Electronics Limitedt. No. 17565/4/SE/MUMC/SEC

for ra/ Date: 27.07.2022Registered Office : Outer Ring Road,

Nagavara, Bangalore - 560 045, INDIA.

CIN : L32309KA1954GOIOOQ787(Govt. of India Enterprise, Ministry of Defence)

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Sub: Transcript of the Conference Call with Investors/Analysts.

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find

enclosed herewith the transcript of the conference call hosted by IIFL Securities on

Thursday, 21st July, 2022 from 10:00 a.m. to 11:00 a.m. for discussion on Financial

Results for the quarter ended 30th June, 2022.

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<https://bel-india.in/ContentHindi.aspx?MId=17&CId==423&LId=2&link=424>

The aforementioned transcript is also made available on the website of the Company

www.bel-india.in under Investors - Stock Exchange Disclosure tab. The Weblink is

mentioned below:

<https://bel-india.in/ContentPage.aspx?MId=17&CId=423&LId=l&link=423>

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This is for your information and record.

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For Bharat Electrdnics Limited

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QUALITY, TECHNOLOGY. INNOVATION

"Bharat Electronics Limited

Qi FY2023 Earnings Conference Call"

July 21, 2022

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QUALITY. TECHNOLOGY. INNOVATION

Analyst: Ms. Renu Baid - IIFL Securities Limited

Management: Mrs. Anandi Ramalingam - Chairman and Managing

Director In-charge & Director (Marketing) -

Bharat Electronics Limited

Mr. Dinesh Batra - Director (Finance) -Bharat

Electronics Limited

Mr. Damodar Bhattad - General Manager

Finance- Bharat Electronics Limited

Mr. Sreenivas - Company Secretary- Bharat

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quality, technology, innovation Bharat Electronics Limited

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Moderator: Ladies and gentlemen, good morning and welcome to the Q1

FY2023 Earnings Conference Call of Bharat Electronics Limited

hosted by IIFL Securities Limited. As a reminder, all participant

lines will be in the listen only mode and there will be an

opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Renu Baid from IIFL Securities Limited. Thank you and over to you Madam!

Renu Baid: Thank you. A very good morning ladies and gentlemen. Today we have with us the management of Bharat Electronics to discuss the 1Q FY2023 results and the outlook going ahead. The management today is represented by Mrs. Anandi Ramalingam - Chairman and Managing Director in charge and Director (Marketing), Mr. Dinesh Batra - Director (Finance), Mr. Damodar Bhattad - GM Finance, and Mr Sreenivas - Company Secretary. Without taking much time I would now like to hand over the call to Mrs. Anandi Ramalingam for her opening remarks thereafter we can start the session with Q&A. Thank you and over to you Madam!

Anandi Ramalingam: Good morning and thank you Ms. Renu. As you all know we have done very well in the Q1 of this year. The results are already being declared and you must have seen that. Maybe to save time on the discussion I would just request our Director (Finance) to give a few of the salient features of the Q1 performance and then we go into the Q&A because we need to close a

t sharp 11 O'clock.

Dinesh Batra: Good morning to all of you. I am Dinesh Batra, Director (Finance), Bharat Electronics Limited. I am very pleased to

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share about our Q1 performance. In the Q1 we have clocked turnover of 3064 Crores, which is a growth of 95% Y-o-Y, our profit before tax is at 578 Crores and profit after tax at 431 Crores and with these figures we are maintaining our guidance of 15% growth on the annual basis FY 2022-23 and our EBITDA which we told from 21% to 23% and we are quite hopeful of maintaining it around 23%. Our material consumption in the Q1 has come down to 61.95% from 64.95% from the corresponding quarter of previous year which is 3% down and which indicates what we told that our attention is on the material consumption and we are quite hopeful to bring it 200 BPS points from the previous year which was at around 60% for the complete year and this year we are quite hopeful to bring it down to 58 around. Our employee benefit expenses also have come down from the quarter of the previous year and we are having a higher other income and this year we have received 78 Crores from our associate company special dividend from GEBE and our order book position is standing on July 1, 2022 at Rs.55,300 Crores. Just to give you a glimpse of what major orders we have executed during Q1. We have done LRSAM Akash missile system, IACCS, AFNET, and CSS phase II so these are the major highlights of the Q1 financials and again I am reiterating with the figures of Q1 we are confident of achieving 15% growth on the complete year and with this I hand over it back to CMD Madam.

Anandi Ramalingam: Yes Ms. Renu we can continue further with the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Good morning Madam. Thanks for your time. Three questions from my side. One clearly we have seen a very strong execution

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come through in Q1 post Q4 and I remember you said there were some shortages which had affected sales in Q4 and I am

clearly seeing some of that kind of going away so if you could just update us how are we placed on that front, have supplies improved, do you believe as we go into the forthcoming quarters that should become less of a concern and we are also hearing from some of the chip manufacturers also that supplies have obviously gotten much better so some comments from your side?

Anandi Ramalingam: Yes Mr. Ankur supplies have started, resumption has started.

Q4 of last year we had told that around 2600 Crores of our sales had got impacted due to the chip shortage issues and we are very happy to say that out of that about 821 we could liquidate in the first quarter so 821 Crores got liquidated and the good part is that most of the chip manufacturers have now started giving us a commitment so with those commitments we are quite confident that it will be little tight but we will be able to meet our guidance of 15% growth.

Ankur Sharma: Okay perfect. That is good to know. Madam second question would be on the order inflows. Clearly Q1 obviously has always been a weakest quarter the first half normally is a weakest quarter for us and it has always been more of a second half when we see a substantial pickup in ordering so if you could just highlight the mix of orders which you expect to book this year both the larger size and the regular radars and the smaller size, the optronics and the communication devices, etc., so just some colour there, which are some of the larger projects and some medium size projects which you think could come our way to kind of help us get to that 18000 to 19000 Crores number which we are targeting for this year?

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Anandi Ramalingam: Yes we are still retaining the guidance of 18 to 19; in fact we are hoping that we will be able to touch 20000 Crores of order equation this year. As of now I think around 850 Crores has been acquired by us and the major projects which we are likely to acquire in the coming months are Akash Prime which will again be an order from BDL for about 4000 Crores. We have the Himshakti order of electronic warfare system, land based electronic warfare system which we were expecting to get it in the month of March itself will now come through that is around 3200 then there is Rudra radar for the Air Force which we are targeting at around 3000 Crores then we have mid-life of helicopter EW system for Mi-17 helicopters which is around 1500 Crores. Recently DAC has given approval for WLR for another 12 numbers which is about 1000 Crores. Then we have a lot of ship based programmes, NGMV, NGOPV and MPV, CTS, all these ship based programmes we have already tendered out and one of the other ship builders have become LI and there are umpteen buyer nominated equipments in these, so each one of them is roughly on an average about 2500 from dense kitty and other than this for the naval fire we have another project called the Lynx U2 which is a fire control system for which we have received RFP separately and the bid has also been submitted so this is also a high value project of about 2500 Crores then AMPs are there and of course DMP upgrade programme which again we were thinking that it will happen last year is likely to come through in this year that will be around 2000 Crores and these regular orders of AMC and orders of different types of communication equipment and other things we will continue so we are quite helpful of touching a reasonable figure of 20000 Crores this year. From civil side also some 500 Crores will be there minimum of 500 Crores this will still be maintained, so over and above the base whatever is the major order I have just listed above.

AnkurSharma: Great. Just a last question. We see a big jump in other income so just trying to understand what is driving that jump is it more because of higher cash balances and therefore if you could also help us on the debtor and the receivable position itself on the balance sheet that is all from my side?

Dinesh Batra: You are very right we have higher cash balances so the interest income has gone up and now as interest rates are also firming up so we are getting good returns, also in my opening remark I told this Q1 we have received 78 Crores of special dividend from our associate company GEBE so these two are the reasons for the higher other income.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: Hi Madam congrats on good set of numbers. You had mentioned last time around 2700 Crores of supplies impacted due to chip shortage so is that complete 2700 done and you feel that there is yet more in that?

Anandi Ramalingam: Yes out of that 2600 we could liquidate 821 Crores exactly in this first quarter and the remaining will get liquidated 500 in Q2 and the remaining in Q3 and Q4, so we have started to get funds from the chip manufacturer so we are confident of liquidating the whole 2600 by Q4 of this year.

Renjith Sivaram: This additional amount will continue to happen in the next couple of quarters also till this normalizes is that understanding correct?

Anandi Ramalingam: Yes.

Renjith Sivaram: We have talked about the smart city investment 1500 Crores so what is the status over there?

Anandi Ramalingam: As I have told you last time also we have given a final proposal to the UP government as well as the Ministry of Housing and Urban Affairs, they are now trying to take approval for that

so maybe another month or so they said they will be able to get the final administrative approval post which they will call us for a discussion on how to implement the said project but we are sure that it will start somewhere in September and October and large portion of it we may have to do it in the current financial year itself.

Renjith Sivaram: I will join for further questions. Thanks for this.

Moderator: Thank you. The next question is from the line of Lavina Quadros from Jefferies. Please go ahead.

Lavina Quadros: I just wanted to check something because of chip shortages easing you have actually seen revenue growth being very strong in 1Q so you have a backlog which should have been executed last year which is being executed in the course of this year do you think you can actually beat the 15% revenue growth number of this year or is it that this impacted revenue of last year is factoring your guidance just to understand?

Anandi Ramalingam: All the other projects also the commitments from the semiconductor manufacturers are not in line with what we had anticipated. There has been delay so cumulative delay will always be there and the remaining project also a part of it is getting affected. We will try but 15% we are very confident, over and above that we will have to really see how it all pans out maybe in the next 6 months.

Lavina Quadros: Thank you and lastly with the war in Russia Ukraine are you seeing any additional commentaries from the Ministry to

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accelerate indigenization or any commentary any reforms you think that could come up further from the Ministry?

Anandi Ramalingam: The Ministry has already indicated to us that we should no longer be dependent on Russian and Ukraine suppliers so they have asked us to find alternative and preferably indigenous one so they have been singled out and lot of indigenous actions have been initiated. Most of them we have at least given them a roadmap on when and how we will be able to indigenize it and in addition to that they are now asking us whether we can take up the maintenance of Russian platforms, see all these platforms have lot of electronics in it so Ministry has asked us and we are examining it and looks like we will be able to do it but just operations of these systems may not be a big problem but then if we have to support them with lot of spares and other things but we are trying to examine and see how much time it will take and whether it is better to use our own system in place of the system which is already there. So that detailed discussion is going on with the Ministry but this is a very good opportunity for us we are also trying to encash on it but we will get some more details in another two to three months.

Lavina Quadros: Thank you.

Moderator: Thank you. The next question is from line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia: Madam good morning. With indigenization we were somewhere around 45% of the BOM that we have which used to be about 50% earlier so in the next few years what would be your internal target as to where would we want the indigenization to be?

Anandi Ramalingam: Indigenization I do not know whether you have got it right. What we were telling you is (audio cut) 16:19 about 15000

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Crores if you see 80% to 82% is from indigenous technology that is either BEL developed or DRDO developed. Most of them also have a foreign content in it because everything is not made within the country so material cost is also there, so material cost that is why we were telling that what if it is standing at 64% we will try to reduce it by doing lot of indigenous development work so it is at the subsystem or the component level but at the main system level already a lot of work has happened and as I told you 82% of the turnover is coming from indigenous technology,

out of the 82% may be around 40 to 42 is from DRDO and remaining 40 is from BEL's own developed product and systems.

Is it clear is that what you wanted?

Vishal Biraia: Yes absolutely. I was just trying to understand this 42%, 40% to 50% that BEL indigenously does, to what extent will this increase over the next few years, are there any internally targets that you would like to share?

Anandi Ramalingam: Our internal target is to have full 100% BEL developed because of course we are the most preferential partners for DRDO but then DRDO also you all know that they have got a policy they have also started opening up so it is not that all technology comes to us. The only major programmes or programmes which are very complex and very critical in nature they prefer some company like BEL who has got lot of experience so smaller ones we are not very sure. It will surely go up in fact long back if you see about 5 to 6 years back where most of our indigenous products and systems were from either from DRDO or from other recognized institutions now it is not so, so we have slowly crossed 40% and as you rightly said we have a target we have a target of reaching up to 75% and lot of development work is happening on the civilian business side especially for Airport Authority of India whatever requirement they have we are trying to customize or whatever solutions we

have to meet their requirements and we are doing lot of work for rail and metro business for railways so all these are purely indigenous we are not taking technology or we are not collaborating with any other institution for this so once this comes through whatever is the turnover from our own developed products and systems will surely go up.

Vishal Biraia: Just one last thing we were developing the TCA system for railways and approval was pending so where are we currently based on that?

Anandi Ramalingam: Development is going on, what to say it is quite very normal and in fact it is much more than what we had anticipated good development work has happened but for submission to taking up the certification it may take little more time. This is a domain which is new to us so whatever domain knowledge we had for the services we are now trying to customize so lot of other issues keep coming up now and then but the development is on the right track and hopefully in another six months we should get the certification. For metro anyway we have already completed the trial order which DMRC had given us and they are quite happy with that and they have already issued a circular to all the other metros that this particular solution has to be indigenous they cannot import it so it has already been put under the banned list.

Moderator: The next question is from the line of Amit Mahawar from Edelweiss. Please go ahead.

Amit Mahawar: I have just two questions. Some of the large platforms what are the timelines especially on QRSAM, MRSAM, the LRSAM seems to be delayed and then CIWS, in these three, four can you share the timelines and you can also include (inaudible) 20:54?

Anandi Ramalingam: LRSAM phase II is concerned we really do not know when it will happen of course there is a rethinking in navy whether they should go ahead with the current solution or the one which is developed by DRDO, but the one which is developed by DRDO we are working with them for both the radar as well as the weapon control system so either way it will be good for us but then we are not able to really commit on the timelines as far as LRSAM phase II is concerned but for QRSAM we have already given a budgetary quote and army is going to take up the AoN that is Acceptance of Necessity for this particular case maybe another couple of months and post which they may order QRSAM for about two regiments. The total requirement is for four regiments but what we heard is that they will

I initially go for

two regiments and then follow it up with another two maybe after couple of years. As far as MRSAM is concerned MRSAM Air Force also now we have the firing unit which was delivered by IAI for the contract which they got directly from DRDO and that has already been completed. The firing trials have happened post which Air Force has asked us to give a budgetary quote for taking up necessary approvals so the finalization of budgetary quote is in progress at BEL and maybe we will be able to submit in another fortnight post which they will take up for the approval so I think QRSAM as well as MRSAM may happen in the next year 2023-2024 because after they take the AoN then the RFP will be issued then we will respond to the RFP then negotiation will happen then CSA approval so most likely it will be 2023-2024. As far as EW systems are concerned we are still to receive any formal response from HAL on this on both the LCH and the ALH but of course Ministry has already told that it will be BEL solution but when exactly this will happen we are also not very

clear because the existing order of ALH is still being executed by HAL so post which the second lot of ALH order which they get only they will be trying to fit our EW suit.

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Amit Mahawar:Bharat Electronics Limited

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Got it Madam and second question was on your imports. Of all the total imports that BEL has what is the share of imports from particularly Russia and separately from Ukraine if you can spell out and this far have we got any impact in terms of overall disruption that we had so broadly can you share the import share of specifically Russia and Ukraine?

Anandi Ramalingam: The import share of Russia and Ukraine will not be very high it will be less than 5%. See mainly from Russia we buy lot of components which are used in all the tanks T-90, T-72 tanks so maybe around 300 Crores very less and our vendor base in Ukraine is also not very high it is only some 5 to 6 suppliers that is why we are not affected much from these issues post Russia Ukraine crisis.

Amit Mahawar: Got it Madam thank you and best of luck.

Moderator:

Amit Bhide:Thank you. The next question is from the line of Amit Bhide from Morgan Stanley. Please go ahead.

I just had a question on the topline your guidance of 15% how much of semiconductor supplies can come through which could raise the revenue growth guidance because if you look at last year,s numbers you said that 2600 Crores was based on account of semiconductor shortage so effectively we would reach about 17000 to 18000 Crores of topline which is exactly equal to the semiconductor shortage that we had last year so are we suggesting there is no big real growth this year on account of semi issues?

Dinesh Batra:It is not true in fact like last year whatever shortfall on account of semiconductor we tried to fulfill through some other projects so it is not that the total growth is coming from whatever we are completing the last year shortage it is not so this is a real

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Amit Bhide:Bharat Electronics Limited

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growth and to grow at the rate of 15% is I feel even that is a struggle. Last year it is not that we could have done, some of the shortfall on the account of semiconductor we try to fulfill from the other projects.

Let me Sir ask you differently if I look at the 15% growth it implies only 6% growth for the balance 9 months of the three quarters of the year remaining so is that number suggesting some issue on the backlog some slow moving orders there?

Anandi Ramalingam: No, it is not that see as I told you for the remaining projects also clear commitment we have not got as far as the semiconductors are concerned so wherever the semiconductor commitments have been received by us based on that we are giving a guidance of 15%.

Amit Bhide:So that is what I was asking if you receive the commi

tment what

could be the run rate could it be 20%, could it be 25%?

Anandi Ramalingam: Yes it will be difficult for us to tell. See finally even if we get the commitment we need to see whether we have the capacity, we have the SDUS which we will be able to handle them, so all these issues will be discussed as and when it comes through but there is a possibility that it can go up if all these issues are resolved but we also do not want to give some commitment or something which we are not very sure of.

Amit Bhinde: I was just asking what could be the civil revenue growth for the year?

Dinesh Batra: As you said 17900 around but we will be able to clock some 15% will be coming from the civil segment.

Amit Bhinde: 15% of revenue would be civil, so it would be a growth of 20%?

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Dinesh Batra: See you do not take that what is the growth of the civil our civil is yet to happen in a real way as CMD was telling that lot of projects are under development from the rail, metro and civil aviation, in fact they were not giving orders in the indigenous market Indian market till now so now when that will happen and that will start happening from 2023 to 2024 for the next five years so real growth we will talk in the civil segment then.

Today what I am saying out of 18000 Crores around the 15% will be coming in this year from the civil segment.

Amit Bhinde: Okay thank you so much Sir.

Anandi Ramalingam: See one more point which I would like to tell you is last year as DFO also telling we compensated for the 2600 to some extent by pulling up some of the smaller projects which we had planned for execution in this current year so that question is already gone so that comfort is not there. See we always keep some small projects for which we can realize the revenue quickly we keep such projects but those projects have all been exhausted.

Amit Bhinde: Yes Madam that reconciles it. Thank you so much.

Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Can you update us on this Himshakti order the electronic warfare system and it has been taking quite long can you tell us exactly where it is stuck this upgradation part of the Samyuktha-1 that is my first question?

Anandi Ramalingam: Actually it has not got stuck what happened was when the final CFA approval was to be taken army thought that they can take the latest one because some more technology upgradation they were looking at whether that can happen within the same project so that discussion happened we also examined and we

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said a portion of it we will be able to handle but not the complete one, so what we are now proposing is that they will take it up in two different contrasts one will be the earlier one as it is and one the upgrade one which will have the latest technology which army is asking for so that decision took little time so the equation wing also finally told them to process it as two separate orders so the statement of the case for the second order has just been made but the first order is in the pipeline I think it has gone to the NSC National Secretariat Council it has gone there and most probably once it comes back then it will go to CCS directly. Once CCS approval is obtained we should be getting the order.

Nitin Arora: In this 3200 Crores which you mentioned has there been a revision in the contract price and is that yours or ECIL will also be part of it just one clarification?

Anandi Ramalingam: No there is no revision in the price, it is the same only and ECIL is our vendor in this a portion of it we are buying from ECIL that is it.

Nitin Arora: Any update on the Rudra radar on the development side?

Anandi Ramalingam: Rudra radar already CNC is on it is likely to be concluded shortly. It is a very clean

case and it is under the approval or

. Raksha Mantri only so another 2 to 3 months I think we should be getting that order.

Nitin Arora: So it will come this year or FY2024?

Anandi Ramalingam: This year.

Dinesh Batra: Both will come this year.

Anandi Ramalingam: Both will come.

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Nitin Arora:Bharat Electronics Limited

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Thank you so much. All the best.

Moderator:

Harshit Patel:

Dinesh Batra:

Harshit Patel:Thank you. The next question is from the line of Harshit Patel from Equinus Securities. Please go ahead.

Hi Sir. Thank you very much for the opportunity. My first question would be on our capex plan could you give us an update on the capex that we were doing at multiple locations like Palasamudram, Nimmaluru, Nagpur what is the status, when we will be commercialized and what would be our overall capex outlook for the next two years?

What all projects you told these all were part of our around 3000 Crores of capex which we had planned and out of which some 2000 Crores has already happened and Nimmaluru is very nearing completion this year I am very hopeful it will get completed. Nagpur land has been acquired and now the perimeter wall the construction is on. Palasamudram there was an issue of certain limitations being put up by the authority as they had brought it under the red zone and certain clarifications, etc., were required so those things discussions are going on and I am quite hopeful that now our building plans, etc., will be finalized after getting the clarification from the Andhra Pradesh Industrial Authorities and all other projects are underway, whatever capex we had planned. This year we are hopeful of achieving around 1000 Crores of capex and most of our capex plans are on the way. It is underway as we had scheduled except this Anantapur that is Palasamudram is called where some land issues from the authorities were cropped up after our acquiring of land.

Sure understood Sir. Thank you very much for the update. My second question would be on our content in LCA Tejas Mark 1A I believe we are already supplying DFCC that is digital flight

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control computer and also ADC so apart from that what are the other products that are going into LCA Mark 1A so out of 36000 Crores order that HAL had got so out of that what is passed on to us, now on top of that whenever the Uttam radar will come into picture I think right now we are buying it from one of the Israeli company, but when Uttam AESA radar is going into it does that improve our content in that particular project, what part we will be playing in that particular radar project?

Anandi Ramalingam: Other than the DFCC data computer we are supplying lot of weapon systems packages like the pylon interface box and other boxes, so altogether our share is about 3300 Crores about 10% currently, we have already got the order from HAL and as you rightly said once the Uttam radar is approved then for the production agency of Uttam radar is BEL only. BEL has only manufactured the prototype also and that is now subjected to trial so this should increase our content maybe each radar maybe about 50 to 60 Crores. Initially do not know the number that we take right now they may go in for some 60% of imported or 50% of indigenous that is not yet finalized the proportion is not yet finalized, the ratio is not finalized so post

which we will be able to give you a firm indication of our contribution to LCA Mark 1A.

Harshit Patel: Just a followup to that as you rightly mentioned our content is right now 10% to 12% of the overall order so around 3000 Crores so where the 10% to 12% number can go up in the future projects like LCA Mark 2, AMCA can we have something like 20% to 25% kind of content or would that be too much?

Anandi Ramalingam: No, we are also targeting about 20% to 25%. We are now developing the EW suite w

hich also they were procuring earlier from a company called Saab of Europe so EW suite as well as the radar and the machine computer also if it gets delivered
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from them then that content will obviously go up much more than 25%.

Harshit Patel: Understood that. Madam thank you very much for answering my question.

Moderator: Thank you. The next question is from the line of Abhijit Mitra from ICICI Securities. Please go ahead.

Abhijit Mitra: Thanks for taking my question. The question is more on the possible order that you see from the rotary wing platforms of HAL over the next couple of years what can the potential order intake be and just to understand the radar warning receiver and the MOSS in Tejas Mark 1 will that come to BEL or will it come to India as a competitive tender or what is your view on that?

Anandi Ramalingam: As I was mentioning earlier right now it is well imported source which HAL is getting as far as EW suite is concerned but parallely we are developing G-8 and HAL has also been told that they should stop importing henceforth so that will surely happen. Not only the radar warning receiver, MOSS but also we are targeting DIRCM directed infrared counter measures system so if that also comes through it will surely go up much further.

Abhijit Mitra: Just to add a followup here because you have got interestingly the RWR and the MOSS, order of C295 right so those are also for the back ended production in India or?

Anandi Ramalingam: Pardon.

Abhijit Mitra: The second batch would be produced in India?

Anandi Ramalingam: Completely it will be produced in India. You are telling about the aircraft or?

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July 21, 2022

Abhijit Mitra: C295 aircrafts yes because the first batch will be flown in and the second batch will be produced here so all this is for the second batch?

Anandi Ramalingam: Pardon.

Abhijit Mitra: This order of C295 is for the second batch right that will be produced in India?

Anandi Ramalingam: It is for the complete as you rightly said some aircrafts are getting delivered directly by Airbus remaining will done along with Tata's in India but this order which we have got is for the complete lot.

Abhijit Mitra: Okay so then why is this dichotomy between Tejas Mark 1A and cannot there be cross marketed?

Anandi Ramalingam: LCA Mark 1A or Tejas is a fighter aircraft whereas C295 is a transport aircraft so the requirements are slightly different.

Abhijit Mitra: Yes that is true absolutely but I am saying cannot these capabilities be cross marketed?

Anandi Ramalingam: No it can be but that is why I said that the development is happening. In a helicopter you will have to that the firm fit also is very, very important. It has to be as light as possible because the space there is very less so all this customization and the

technological development is happening now and we are quite confident that maybe after some few numbers they should be able to take our solution.

Abhijit Mitra: Sure and just one couple of lines on the rotary aircraft possible order so that you see over the next couple of years?

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July 21, 2022

Anandi Ramalingam: All the other rotary aircraft like ALH and CHF we are already supplying the electro-optic payload which is manufactured at our Chennai plant that is being supplied. Then we are also supplying the head up display also we are supplying from our Panchkula unit and slowly we are trying to see whether we will be able to pitch in our EW system along with the DIRCM.

Abhijit Mitra: Got it. That is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia: Sir I am just coming back to the railway TCA order what could be th

e potential size because it seems that it could be Rs.70 Crores per kilometer as the opportunity so how big is the opportunity that you are targeting?

Anandi Ramalingam: May be around Rs. 12000 Crores of course it is a rough estimate it is not a very detailed one but it will be around Rs. 10000 Crores to Rs. 12000 Crores.

Vishal Biraia: Of this what will be imported?

Anandi Ramalingam: Pardon.

Vishal Biraia: Of this Rs.10000 Crores to Rs.12000 Crores what will be imported currently out of it?

Anandi Ramalingam: All of it is getting imported.

Vishal Biraia: When you mentioned that DMRC has written to the other metros that this should not be imported anymore so can this 10% to 12%?

Anandi Ramalingam: Not the TCA it is the ATS automatic train supervising system.

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Vishal Biraia: Rs. 10000 Crores to Rs. 12000 Crores is we are referring to TCA?

Anandi Ramalingam: Yes exactly.

Vishal Biraia: We received approval for the metro side and the railways are still in trials?

Anandi Ramalingam: Railways are still on trials yes.

Vishal Biraia: Okay fair enough Madam. Thank you.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Thank you for the opportunity and Congrats for good set of numbers. A couple of questions from my side. Could you also help us with the EBITDA margin guidance for FY2023 given that your material consumption is going to come down by 200 bps so can we expect sharp rise in the EBITDA margin for FY2023?

Dinesh Batra: I am maintaining the margin around 21% to 23% then I give the range but I am very hopeful of coming around 23% and that is after taking into account of some 200 bps points reduction in the material consumption but that is the whole year we have to control it as the prices are increasing, inflation is going up, etc., interest rates are forming so that will be a big challenge to maintain it around 23% but we are very hopeful because we have not to take into account only the material consumption but there are other expenses also so we are keeping close watch on those so we will maintain it around 21% to 23%.

Harshit Kapadia: Fair enough Sir. A couple of questions in the non-defence side so can we expect the execution of the EVM and VVPAT order to be done in FY2023?

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Anandi Ramalingam: Partially in FY2023 may be about 40% because this also got affected because of the semiconductor ship shortage just last week we got a commitment from the supplier so a part of it will get delivered by March that is Q4 of this year and the remaining will be Q1 of next year so maybe in the ratio of 40 to 60.

Harshit Kapadia: Understood and that order size for this was close to Rs.4000 Crores is that correct madam?

Anandi Ramalingam: No Rs.1500 Crores.

Harshit Kapadia: Rs.1500 Crores sorry and could you help us to get more clarity on the space electronic I know we had lost out on the first tender are you seeing more tenders coming out from the space side on the rocket can highlight anything?

Anandi Ramalingam: No other tender has come through but we are in discussion with ISRO. We are just seeing if there is any other opportunities will come through. Meanwhile L&T has asked us whether we will be interested in manufacturing some of that orders which they are getting for the PSLV rocket launchers so we are in discussion with them. We will have to see if it is viable and if it makes sense for us we will start that.

Harshit Kapadia: Thanks and all the best.

Moderator:

Venkatesh: Thank you. The next question is from the line of Venkatesh from Logictree. Please go ahead.

Good morning. My question is in terms of the order book out of the total order book of Rs.55000 Crores if we are able to execute Rs.18000 odd Crores in this year the remaining would get executed would it be fair to say over the next two ye

ars

FY2024 and FY2025 and if it is the case what kind of

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July 21, 2022

replenishment of orders do you expect over the next two years to keep going on from FY2025 onwards?

Anandi Ramalingam: After maybe as I told you next year we will be getting both QRSAM and MRSAM these are all big orders. QRSAM will be in the range of Rs.20000 Crores and MRSAM also will be in the range of Rs.15000 Crores to Rs.20000 Crores so once those orders come up the order book will really shoot up. What we are now telling is the normal orders which we have been getting for the last two to three years just like how we got Akash seven squadron order and LRSAM order that will really made us to go beyond the Rs.50000 Crores order book so similar thing can happen in the next year or so.

Dinesh Batra: In fact I would like to add on this. Order book is a dynamic thing it is not that today Rs.55300 Crores and it will be executed in the next two years they are with the staggered delivery depending on the platforms available and it keeps on building up. If we are saying Rs.20000 Crores order inflow this year and some Rs.18000 Crores get executed so it will be standing around Rs.60000 Crores next year and that will get again executed next two to three to four years so it is a dynamic thing it is very difficult to say that the whole thing will get executed.

Venkatesh: Fine. Thank you Sir and the second question is you talked about the ship building orders so if you talk about some of these ship yard companies in India Mazagon and GRSE what kind of order execution or order inflows do you think can happen with respect to ship yard this year FY2023?

Anandi Ramalingam: That is what we told you for NGOPV, NGMV, CTS, MPV altogether around Rs. 12000 Crores. This year itself we are targeting. For all these programs the CNC is already concluded and we are expecting the order anytime now.

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July 21, 2022

Venkatesh: Okay madam and my last question was exports has target, internally do you have a number that you think over the next few years you want to reach in terms of topline or as a percentage of overall sales whatever it makes sense to me?

Anandi Ramalingam: Our target is to reach 10% of turnover through exports but currently it is very less. You are asking about exports is not it?

Venkatesh: Yes, but is that not a very massive opportunity madam because I think we are looking at exporting more orders in terms of electronics, defense everything?

Anandi Ramalingam: True but then it has its own challenges. I have been keeping on telling of course earlier we never used to get the clearances from all the services but of late we are getting clearances but conditional clearance that we will have to reduce whatever the features or make it a little different and all, so a lot of customization work is also required so what happens is many of the tenders which we participate they ask us whether their equipment is readily available so that puts a real challenge on us so we are also a little selective but then the opportunities are quite huge and in the order acquisition front we have done quite well last year we got an order of about \$180 million and this year we are targeting about \$400 million to \$450 million of acquisition so with it is not now hopefully in the next two to three years it should stabilize and we should at least steady the target of about 10% of our turnover coming from exports. We have set up lot of overseas marketing offices and we are now at least started participating in all these tenders that is our good point of it.

Venkatesh: Madam thank you so much.

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Moderator:

Bharat Parekh:Bharat Electronics Limited

July 21, 2022

Thank you. Ladies and gentlemen, due to time constraints this will be the last question for today and

the question is from the

line of Bharat Parekh from CLSA. Please go ahead.

Good morning madam and congratulations on the improved execution. If I may request for details of the order inflows for the last year FY2022 some of the larger orders if you can highlight apart from the D-29 electronics system and IEWR which we know that will be helpful if you can give the details of Rs. 18000 Crores?

Anandi Ramalingam: The major orders you yourself have told D-29 then the IEWR then some orders we got from (inaudible) 50:59?

Bharat Parekh: How much would that be madam?

Anandi Ramalingam: Totally it was around Rs.3500 Crores I think. Then the avionics package from LCA. Then we got the electronic warfare suite for D-29 and of course also the export order for C-295.

Then we had a commander TI for T-90 tanks which was again around Rs.900 Crores. So I will tell you the major one. Then we got some fuse order also for our Pune plant. One major anti drone system for all the three services and some export orders all put together around Rs.1900 Crores. I think our major one is Rs. 19000 Crores. The major ones I have told you.

Bharat Parekh: Of this avionics for LCA and EW for D-29 if you can help us with the value please?

Anandi Ramalingam: D-29 was around Rs.1688 Crores and avionics package was Rs.264 Crores, altogether maybe around Rs.2200 Crores or so.

Bharat Parekh: Thank you so much and wish you the best of luck.

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Moderator:

Renu Baid: Bharat Electronics Limited

July 21, 2022

Thank you. As that was the last question for today I now hand the conference to Renu Baid from IIFL Securities. Over to you Madam!

Well on behalf of IIFL Securities I would like to thank the management of Bharat Electronics for giving us this opportunity to host the call. Madam and Sir would you like to make any closing comments before we close this call closing remarks.

Anandi Ramalingam: We maintain the guidance of 15% growth in revenue and about 21% to 23% of EBITDA margin and an order intake of minimum of Rs.20000 Crores.

Moderator: Thank you. On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Feb 2023

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/BSE Ltd.,
2Sýÿr fhÿRRt/Floor 25, PJ Towers,ý/Dalal Street, Fort
ij rt/Mumbai - 400 001
t. No. 17565/4/SE/MUMC/SEC
fcr fa/ Date: 07.02.2023
Dear Sir/Madam,BHARAT ELECTRONICS
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(to tor cm vÿpt, »)
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Bharat Electronics Limited
(Govt, of India Enterprise, Ministry of Defence)
Registered Office : Outer Ring Road,
Nagavara, Bangalore - 560 045, INDIA.
CIN : L32309KA1954GOI000787
£ cR fr«M/Telefax : +91 (80) 25039266
f-WE-mail : secretary@bel.co.inÿ/Web . www.bel-india.in

02.02.2023 Pid

Sub: Transcript of the Conference Call with Investors/Analysts held on
02.02.2023.

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find
enclosed herewith the transcript of the conference call hosted by Elara Securities
(India) Private Limited on Thursday, 2nd February, 2023 from 10.30 Hrs to 11.25
Hrs. (1ST) for discussion on Financial Results for the quarter and nine months ended
31S1 December, 2022

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For your kind information, the aforementioned transcript is made available on the
website of the Company www.bel.india.in under Investors - Stock Exchange
Disclosure tab.

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Submitted for your information and record.

/ Thanking you,

wÿ fcr/Yours faithfully,

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For Bharat Electronics Limited

xÿr ÿRqm/S Sreenivas

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i / Ends: As stated above.

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Bharat Electronics Limited

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Moderator
:

Ladies
and gentlemen good day and welcome to the
Q
3

FY20
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earnings conference call

of
Bharat Electronics
Limited

hosted by Elara Securities Private Limited

.

As
a reminder all
participant lines will be in the listen only mode and there

will be an opportunity for you to
ask questions after the presentation conclude
S

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Should
you need assistance during the

conference call please signal an operator by pressing

“*”

then
“O”

on your touchstone
phone
. Please
note that this conference is being recorded
.

I
now hand the conference over to
M
r

.
Harshit Kapadia
from Elara Secur
ities

.
Thank
you and over to you
Mr. Kapadia
!

Harshit

Kapadia
:

Thank you Michelle.
Good morning everyone
. On behalf of Elara Securities we welcome
you all for the Q3 FY2023 and nine month
s

FY2023 earnings conference call of Bharat
Electronics Limited

. I ta
ke this opportunity to welcome the management of Bharat
Electronics represented by Shri. Bhanu Prakash Srivastava, Chairman and Managing
Director, Shri. Damodar Bhattad, Director Finance and CFO and Mr. Sreenivas S,
Company Secretary
along with
their team
.

We will begin the call with
a

brief overview by
the management followed by Q&A session. I will now hand over the call to Mr.
Srivastava
Sir for his opening remarks. Over to you Sir
!

Bhanu
P Srivastava
:

Good morning to all of you. On behalf of
Bharat Elect
ronics

I welcome all

inve

stors on this
conference. Brief highlights of Bharat Electronics for Q3 performances are that

our turnover
has increased to Rs.11005 Crores up to Q3 2022
-
2023

as compared to Rs.8842 Crores
corresponding year last year with a growth

of 24.46%, profit before tax increased to
Rs.220
3

Crores
as compared to Rs.1631 Crores
of
corresponding Q3 figure up to Q3 last

year with
a

growth of 35.07%. PAT increased to Rs.1641 Crores up to Q3 as compared to
Rs.1207 Crores up to Q3 last year with
a

growth of 35.97%. EBITDA has increased to
20.20% up to Q3 as compared to 19.69% of corresponding figure last year and EPS has
increased to Rs.2.25 up to
Q3 as compared to Rs.1.65 corresponding figure last year. Our
order book position
stands at

Rs.50116 Cr
ores as on January 1, 2023, so these are
in brief

major achievements up to Q3
. Over to you!

Moderator
:

Thank you very much Sir. We will now begin the question and answer session.
The first
question is from the line of
Ankur from HDFC Life. Please go ahead.

Ankur
:

Good morning. Thanks for your time. I had a couple of questions. One you are starting with
the order inflows and we have clearly seen very weak orders for the last three quarters
typically at least base orders also come to about Rs.2500 Crores, but

clearly this year even
those have not fructified, so if you could help us, a) why have orders been so weak and b)
what is your
(audio cut) 4:09
?

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Bhanu P Srivastava

:

Normally d

e

fence order book

s

lumped in Q4 because the process it goes through it is a

long

process, so around 3600 Crores order was booked up to Q3. When we see the

breakup

around 12

000 Crores worth orders where PN

C is already concluded

by

our

customers and they are under various stages
of processing

and another round 3500 where

we have already

submitted the bid and these are process

ed

. So if you see that come together

what guidance we were given

at end of the financial year close to 20000 Crores, we are

working on that and we are confident that we will be reachi

ng close to our guidance of

ar

ound 20000 Crores

, it is iterative process where it goes through various levels and

especially the value of the order is bigger. We are working on that and that is how that most

of the defen

c

e procurement side goes through.

Ankur

:

You are still retaining

t

hat 20000 Crores number can be achieved?

Bhanu P Srivastava

:

Close to that it should happen we are working on that.

Ankur

:

F

or 2024 also you would expect
a
similar number because
the QRSAM has progressed well
right?

Bhanu P Srivastava
:

QRSAM has
progress
ed

well, trials have
been completed and we expect QRSAM

to fructify
maybe next financial year.

Ankur
:

S
o one package there and the second package in FY2025?

Bhanu P Srivastava
:

Yes.

Ankur
:

S
econd on the working capital looking at your interest cost this quar
ter it seems to have
gone up, so if you could help me that the absolute numbers of debtor inventory and
payable
s

and also the
cash
balance if
possible as of December?

Damodar Bhattad S
:

I will just tell you the working capital position
. The inventory is ar
ound Rs.6500 Crores,
receivables
are around Rs.7500 Crores
and cash and bank balance is around
Rs.3000
Crores.

Ankur
:

So, there is some uptake on the debtor side right?

Damodar Bhattad S
:

Working capital ratio, current ratio is of course around 1.5. As far

as working capital is
concerned, receivables are concerned, there is no
(audio cut) 6:42
on the government side
on the
budget front, so
(audio cut) 6:46

the
receivable
s

to be converted to
cash
in the fourth
q
u
arter most of the receivables. Of course th
e

f
ou
r
th quarter receivables
will

not get BHA#AT&LECT fiON/CS
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19

converted because of the timeframe
,
(audio cut) 6:56

should get converted
to cash by

this
quarter
.

Ankur
:

Just last
one
before I handed back
we have
seen
quite a

few changes in the top management
over the last few qua

rters on the K

M

P side, so if you could just help me I am assuming
the
new KMPs are

here for some time to come, so could you just help me the remaining tenure,
so for example

both for the MD, the CFO, the Director M
arketing
Operations
, there is some
sense o
n can we expect some stability there
for the

remaining tenure of the KMPs in the
company?

Bhanu P Srivastava
:

There are two aspects in that. As far as

B

oard of

D

irectors it is appointed by government of
India in the selection process

by

P

ublic

E

nterprises

S

election

B

oard. There were few

shortfalls we are supposed to have six directors

a

n

d

one CMD we are four as of now. As far
as other KMP

they are all within B

oard's power and there is no vacancy other senior
management position as far as Bharat Electronics
is concerned.

If you see our succession

planning we are very strong top level management where all our senior officers they have
worked in Bharat Electronics

for more than 32, 34, 35 years, s

o whoever is holding the

position

of director or whoever is likel

y to come whether it is a short period or long period

he comes with

a wide and

long range of experience and there is always continuity, so even
if you see that there ha
ve

been some changes in top in the last two years

there has been no
impact o
n the perfor
mance

or
operations of the company, s
o you need not worry about that
KMP.

Ankur
:

Great Sir. Thanks for the answers.

Moderator
:

Thank you. The next question is from the line of
Deepesh Agarwal
from
UTI AMC. Please
go ahead.

Deepesh Agarwal
:

Good morning Sir
. My first
question is if we see your order book in the last four years it has
remained flattish at around Rs.50000 Crores whereas revenue base has gone up, so now
going ahead what gives us confidence of achieving a double digit growth for next year and
FY
2025
?

Bhanu P Srivastava
:

There are two aspects since we are targeting double digit growth
o
ne is that growth in
defen
c
e market and another is our diversificatio
n, our expansion in other areas,
civilian
market as well as exports, so we are working in all t
hree aspects. We are leveraging our
knowledge and expertise in defen
c
e field to further enhance and diversify in civilian field.
So I will mention few important things. We have tied up with Airport Authority of India for
development of air traffic manageme
nt system and
Airport Surveillance Radar
and related BHA#AT&LECT fion/CS
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equipment for civilian applications we have already signed
a

MoU and
one system we have
already installed at Bhubaneswar airport for testing and evaluation
. So we are on the way,
similarly we have signed

a

MoU with Delhi metro for indigenizing that imported
equipments which are used in metro business. So, there are many other businesses where
we are working cyber

security field
, w
e are working
whether as a
business module we can
supply the cyber

security
and networking solution to various service provider. We have
already worked

o
n perimeter security system for
defen

c
e applications like Air Force
Perimeter Security System, all IAF airports we have done, all newer airports we are doing
then ONGC we have don
e one part for their inland
assets security system, n
ow we got the
order for their offshore assets. Now we are diversifying it to many other area

s
, so apart from
that we are leveraging whatever export in
friendly countries we can do, recently you see
that

P
resident
of Egypt

was there, we are working with Egyptian government, Malay

sian
government and the
ir

offset agreements
tell us we have got an order,
in C295 programs we
have got good order from airbus for supplying that

M
issile
A
pproach
W

arning
S
ystem and

related item, so these are the area where we are expanding, so we are totally in line with achieving double digit growth

.

Deepesh Agarwal
:

Can you quantify the revenue growth expectation for 2024 and 2025?

Bhanu P Srivastava
:

This year we have given
a

gui
dance of 15% plus and next two years definitely it will be
much better than 15% plus, our target is somewhere closer to 20%. We will give exact
figure once we get the results of this financial year.

Deepesh Agarwal
:

Sure, can you highlight the key orders e
xpected in fourth quarter and next year?

Bhanu P Srivastava
:

This quarter anyway we have
shown

the key order, but many orders we are working on
Electronic Warfare System, many CPR orders are there which will come that electronic
equipment which goe
s on shi
ps that will come whether it is a sonar

system, communication
system, fire control system then electronic warfare on ground equipments it will come then
submarine related activity we are doing, so it is not proper for me to name specific program
in common
forum, but these are the broad areas where we are working.

Deepesh Agarwal
:

Related question

next year

do you expect one
regiment

of
QRSAM

will come or two
regiments
because one
regiment
itself be Rs.12000 Crores?

Bhanu P Srivastava

:

Let us see because

tri
als are all completed and it depends upon the budgets of the defen
c
e
forces
whether the
y

target one or two regimen
t
s d
efence al
location and also we will see our
expectation

is based on the budget availability

of defen
c
e
forces

and how they progress.
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Deepes
h Agarwal
:

Last question from my side, last year you got
a
large order from
Hyperion

G
lobal and it was
supposed to be a long term relationship, there was supposed to be a large fall
o
n orders

any
status on this
?

Bhanu P Srivastava

:

I think there is some issue in that, so it is not progressing well. We can say that it is probably on hold.

Deepesh Agarwal
:

Thank you Sir.

Moderator
:

Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit
:

Good morning everyone. Thanks for taking my question Sir. I had a couple of questions. The first one is on essentially if you could quantify some of the order booking that we expect in the rest of FY2023

because last time we indicated that we will get Himshakti programme of a round Rs.3300 Crores, Atulya medium power radar, so where we are

on these, also if you can mention the status of Akash P rime which was around Rs.3000 to 4000 Crores that would be helpful?

Bhanu P Srivastava
:

Himshakti CNC is already over a month back and it is under process, so it should come. Arudhr a

radar CNC is already over. As far as Akash P rime is concerned it is a BDL order and it is there with CCS the moment

CCS concludes . We are ready with negotiating with BDL. So whatever you are mentioning link

S

yo

u to

FCS CNC is complete. EW suite for

Mi

-

17 upgrade CNC is complete

, so that is what I was mentioning that most of the big

orders where we were discussing we are already crossed over the CNC stage and it is only government to

process internal process and

approval.

Amit Dixit

:

The second question is

essentially

on

the gross margins, this quarter we saw the gross

margin came down, also EBITDA margins came down, so other expens

es of course went

up, so what were

the key reasons for the same and whether we

expe

ct gross margin to revert

back

to the Q1

level

let us see in next quarter

just wanted some insights on that

?

Damodar Bhattad S

:

If you see for the nine months period April to December last year and current year the gross

margins are remaining around the sa

me level it has not come down. It was compared

April

to December period, so we expect the gross margins to be

at

on the same level in the year

end.

Amit Dixit

:

Okay, you expect things to normalize essentially in Q4?

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Damodar Bhattad S
:

No, gross margins should be around the same level that is now whatever nine months ended we have shown that 40% around gross margins it should be around the same level by

the
year end.

Amit Dixit
:

Thanks Sir and all the best.

Moderator
:

Thank you. The next question is from the

line of
Renu Baid from IIFL Securities. Please go
ahead.

Renu Baid
:

Thank you for the opportunity
. My first question is on the services. Can you share inputs
in
terms of
how has been the growth of services in third quarter and
for
the nine months

and
give
in that more AMC contracts are coming now from
air force

and probably even possible
from
army

what is the kind of growth that we are expecting for this line of revenue?

Damodar Bhattad S
:

Can you just repeat it?

Renu Baid
:

I just wanted to understand what is
the share of service revenues in nine month period?

Damodar Bhattad S

:

Around 10%, out of 11000 around Rs.1000 Crores is service revenue.

Renu Baid

:

A
re we expecting slightly better growth in this revenue
S
t
r
eam with more AMC contracts
on
books

or should

be broadly in this range only?

Damodar Bhattad S

:

Current year it will be
broadly in this range only

90:10 ratio will be there for the current
year.

Renu Baid

:

Secondly if I come back to gross margins now since you are sharing that we expect
the
RMP

sales

will be

broadly flattish just like nine months for the full year I want to
understand when we see incremental revenues coming in from Akash where we have almost
90% plus localization and

e
ven on
LRSAM
f
urther
execution
localization towards the end
o
f

the
year and
n
ext

will be much higher, so any reason why we are not expecting an
improvement in this ratio and expecting only flattish are there any
cost
overruns in
certain
projects due to which margins are not expected to improve in the fourth quarter for th
e full
year?

Damodar Bhattad S

:

In the current year there are so many different projects we are doing whether it is Akash,

LRSAM and there are many other projects done by different units of the company

s

o

considering all the mixture of

all

total composition

n we expect the gross margins to be

around 40% range only.

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Renu Baid

:

Okay.

Damodar Bhattad S

:

LRSAM

and Akash

are

two of these, but total turnover put together we are expecting

around 17000 plus

these two constitute may be around 4000 plus, so overall the

gross

margins should be around the same level.

Renu Baid

:

Got it. Then if we look in terms of today the order backlog is close to now Rs.50000 Crores plus can you share the broad mix of this order flow, order backlog in terms of difference in civilian and

within the sense for radar communication system can we

have a broad

break

down of the order backlog?

Bhanu P Srivastava

:

It is around 80% if you see that defence
and
around 20% civil market and it is a mix of if
you see that we are very broad spectrum if y
ou see that
technology and equipments are
concerned
. We ha
ve

24 strategic units

working o
n various product ranges, so except few
which is very clearly visible
a
ll
others are very, very wide range, so if you want to name
a
few for bigger th
e
n apart from LRS
AM and Akash missile system there is
a
vionics
package
for
NCMR 2

or
ad
vance
d

a
vionic
w
arfare
suite for fighter

aircraft,
(inaudible)
20:40

programs,
s
oftware
d
efined
r
adio then fire control system

for various ships
,

so
n
ar system
for various ships
, some wha
tever remaining is integrated Air Command
and
Control
System,
a
nti

-
submarine warfare systems, so it is a very, very broad variety, not one project or program which is constituting the total 50000, it is very, very broad mix.

Renu Baid
:

If you look at EVM and VVPAT projects

how is the progress on your execution and are we expecting an add on order in the fourth quarter or the next year?

Bhanu P Srivastava
:

One add on order we received yesterday

apart from what we had earlier for some M2

M3 VVPAT it is around

Rs.150 Crores and then whatever we have order as of now we will be executing it by August next financial year

for EVMs both CU BU and VVPAT, over and above based on the new voters getting added in the voter list and all these things. ECI they keep on planning and giving the orders, so major order which are as of now planned

for 2024 elections they have already placed the order on BEL and ECIL, remaining that inflow continues every year some

quantities so that will continue, there are so many states

polls

are there, so states government

they need EVMs, government also will need EVMs

because
some of the old EVMs they get destroyed or destructed
with
time
they outlive their life, so this
is
a

continuous process.

Renu Baid
:

Including Rs.150 Crores
?

Bhanu P Srivastava
:

If you see the total EVM...
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Company Speaker
:

EVM and VVPAT put together 1400 is existing, another 150 what we received yesterday...

Bhanu P Srivastava
:

It is around Rs.1400 Crores.

Renu Baid
:

Thank you and all the best Sir.

Moderator
:

Thank you.
The next question is from the line of Sandeep Tulsian from JM Financial.
Please go ahead.

Sandeep Tulsian
:

Very good morning gentlemen.
The first question is on the Triton electric vehicle order that we supposed to get there were

some pilot matches that we were expected to supply in the December quarter based on this there were negotiations that were supposed to happen for larger order over there if you

could update us on the status of

that as well as what is the expected size of the order that you are likely to get some timelines that would help?

Bhanu P Srivastava
:

That was one indication but for systems we are still to get so may be another one or two months will get, but it will take time so we have not factored what Triton the project contribution was there in our revenue stream

as of now. Let us see how it moves ahead, how Triton itself move ahead in their business and how it is going to be linked with us. So as of now that is going a bit slow.

Sandeep Tulsiyan
:

Understood and second question again just reiterating on the order inflow part

we

used

to share some sense on the larger orders if not all given the tentative size what they have given indication that in Shakti and Arudhra in your

finalization

it would not contribute more than Rs.5500 Crores given by the numbers

you

have shared, but you are guiding for somewhere close to almost Rs.15000 Crores kind of inflows in the fourth quarter

FY2023, so if you could

also share which are the other large orders besides Shakti and

Arudhra?

Bhanu P Srivastava
:

In Shakti

and
Arudhra
I

told that Air Defence Control &

Reporting System then links you to

fire control system it is around 1600, EW suite for Mi-17

upgrade around Rs.800 Crores and there are many, many orders when we say that in the range of 200 Crores, 300 Crores either it will go up to Rs.3000 Crores, so all three services, so they are under various stages.

Company Spokesperson

Mr.
:

We reiterate what we

started in the beginning around Rs.10000 Crores to Rs.12000 Crores PMC services

are always finalized and contracts are going to come before March most likely and some more quotes

have also been submitted, so with that only we are retaining our guidance closer to Rs.20000.

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Moderator
:

Thank you.
The next question is from the line
of
Vipul Shah from Sumangal Investment.
Please go ahead.

Vipul Shah
:

My question is
regarding civil part of the business, where do you see five year
s

from now it
is contributing you said around 20% now and what are the margins for that business
a
s
compared to defence?
c

Damodar Bhattad S
:

We feel that ratio of defence to civil

in the next four, five years continued to be in the range
of 75

:
25 or 80

:
20 like that defence would be always in the main sum

and 20 to 25
maximum will be civil not more than that in the coming four, five years and as far as
margins are concerned

basically
y we do not

give segment wise information as we are
exempted from the same, so we would like to refrain from that

for defence and civil
separately we would not like to
tell
those because we are exempted from the segment wise.

Vipul Shah
:

Lastly many MoUs

s

at

the defence expo, so any progress on those MoUs?

Bhanu P Srivastava

:

These are MoUs for long term progress, so we are working on those, these are all simply development related, business development, product development, technology development, future

re

lated

things, so last defence expo

it is

only four, five months left,

so

these are all have a long term impact.

Vipul Shah

:

Okay Sir. Thank you.

Moderator

:

Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja

:

The first question is on the future

margins you indicated sales growth could be in the corridor of 15% to 20% possible

bias towards 20% would

we

be in a position to maintain

our current margin profile going ahead

a

s

well

despite of

any mix change in sales?

Damodar Bhattad S

:

Yes, we will be able to maintain these margins whatever we are stating now

.

Gagan Thareja

:

A
ny headroom to further increase
them

with some sort of cost efficiencies or increase
localization?

Damodar Bhattad S
:

O
ur guidance will remain the same range what we are giving
, so till that we will be
increasin
g our margins just now as it is, but guidance remains in the same range as of now.
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Gagan Thareja
:

Last one, this Swat
h
i Radar which was sold to the Armenian
armed
f
orces
, there is new
s

that
there was some leakage on specific details and specifications by

some

Armenian army
person
nel

for that specific radar would that therefore make the government a little more
sort
of reluctant in
trying to build export base because
these are strategic assets while export
potential is there

these sort of events might be difficult to digest for the armed forces in
India?

Bhanu P Srivastava
:

I am not aware what type of leakage you are referring to?

Gagan Thareja

:

There are media articles that the specifications for the Swathi Weapon Locating Radar which was sold to the Armenian armed forces

and some army person in the armed

forces of

Armenia leaked out the specification details and he

has been arrested by the Armenian government under the Rev

olution of

State Secrets Act

and so on, but in any case that means that some data are critical or critical data pertaining to the radar's performance would have been leaked out in which case....

Bhanu P Srivastava

:

One thing is that specification of radar, the take of radar like

Weapon Locating Radar, these are all broader specifications

are already in public domain, you go and see defence journal and all

they give the broad specification of all types of military equipments

. If some specific detail is

leaked out I do not think it will have any impact on that because the

technology

behind the radar which is more important and what is the software, how you have addressed that, what is that, that I do not think anybody will be able to give or that information we

provide to anybody, design parameters

of

the

design details based on which

this radar is

manufactured it is never shared to anybody outside, so even Armenia they will not have design parameters or

design detail, they will have only operating detail and anyway

broad operating detail across the world it is available for all type of radars

on public domain.

Gagan Thareja:

Thank you Sir and on the missile programs MRSAM and QRSAM are the big ones that are in the pipeline, there is also I think Very Short Range Air Defence, VS RAD S

program which is in the work plus Man Portable ATG and so on, so what is the scope for Bharat Electronics in VSHORAD S

and MP ATG and if at all any and what is the timeline for MRSAM and QRSAM?

Company Speaker:

MRSAM AND QRSAM definitely government is working on and maybe next year or next to next year because these are all big programmes they take time for induction and any way in these programmes wherever electronic portion is there that is already there in that.

Gagan Thareja:

In the other two programmes there is no involvement for BEL? BHA#AT&ELECT fion/CS QUALITY, TECHNOLOGY. INNOVATION

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Company Speaker:

Which programme?

Gagan Thareja
:

Very short range air defense systems.

Company Speaker:

I will check. As of now I do not have details.

Gagan Thareja
:

Okay thank you Sir I will get back in the queue.

Moderator:

Thank you. The next question is from the line of Abhijit Mitra from Aionios Alpha Investment Management. Please go ahead.

Abhijit Mitra
:

Yes thanks for taking my question. Just to understand your thoughts as to the reasons why the other equipment budget of the air force was not utilized this year what are the drivers that led to this unutilization of the budgets that were allocated to them and whether this had any bearing on BEL?

Company Speaker:

Air force has not utilized it has

got a broad area BEL is one part of that so they have to answer that because lot of big ticket procurement also they have so where they have used where they have not used but as far as our supplies are concerned we are on track and wherever payment is due

they are paying.

Abhijit Mitra
:

Right and Y

-
o
-

Y barring air force there is no other growth areas that we see within the other equipment domain be it for army or be it for navy?

Company Speaker:

See we are very closely working with navy and we are there in

all level programmes. If you see any new ship or submarine they are getting inducted whether it is a cadet training ship

or whether it is offshore patrol vessel, whether it is a new generation missile vessels or new generation corvettes whatever is coming

almost 20% to 25% of weapon and sensor is from BEL. See naval ships you have to take care that these are all small numbers so each equipment may not be big but if you had around 10 to 12 equipment in a ship where BEL equipments are there be it if you see any frigates, if you see the communication system, sonar system, fire control system, torpedo defence system then radar system, all these things add together 8 to 900 Crores equipment in a ship which is there and if you add to that same system if they go for either LRSAM or something so it adds further. BEL is very closely associated with naval programmes and navy also is a major chunk in our business so you cannot say that only air force.

Abhijit Mitra
:

What I am trying to understand is that there is no growth in the other equipment budget be it for army or be it for navy the only growth is coming through air force the question which I BHA#ATELECT fion/CS QUALITY, TECHNOLOGY. INNOVATION

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was trying to understand is whether QRSAM has been allocated within the other equipment budget for FY2024?

Company Speaker:

That air force has to tell. See government has allocated now air force has to prioritize what equipment as per their strategic priority they would like to take.

Abhijit Mitra
:

Okay got it. That is all from my side, thanks.

Moderator:

Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar:

Hi Sir thank you. Sir I had two specific questions first on capex I think last year we incurred around 5 to 6 billion plus on expanding LRSAM and Akash facilities so how do we see that maybe in this and next year where will that go?

Company Speaker:

The capex is expected to be around 600 Crores in the current year and as far as building facility in capex is concerned we are very aggressive and if you see we are building quite

few infrastructure or factories, new factories to take care of our growth. One of them we are building advanced night vision factory at Nimmaluru which is 15 km from Machilipatnam where we are spending close to around 340 Crores it will be state

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of

-
art nig
ht vision

equipment factory then we are establishing D29 manufacturing facility in Bengaluru then we are establishing electronic warfare for ground

-

based equipment in Ibrahimpatnam in

Hyderabad then Anantapur where we were having that defence system integration complex

there also we have started the work. We have taken land in Nagpur to expand into arms and ammunition around 200 acres of land. Then super component facility we are building in Hyderabad with investment of around 100 Crores so quite a lot of i

nvestments we are doing

which will come in next two to three years which will start giving results and in fact

Nimmaluru factory will start working from next year May, June it will come in stream so

what Director Finance was telling that around 600 Crores

this year and in the same range

600 to 800 Crores every year we will be spending in capex to build our infrastructure to take care of growth.

Amit Mahawar:

Very helpful Sir and second and last question is what is the share of nomination contracts in our re

venues this year and how will this change in the next maybe two years broadly you

can mention us and the share of outsourcing to private sector this year versus last year?

Company Speaker:

Nomination basis the share remains around 75% to 80%, 75% to 80% of

our revenues what

we are doing in the current year is on nominated basis.

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Amit Mahawar:

The share of outsourcing to private sector this year and revenue within the last year that is it? Thank you.

Company Speaker:

Share of outsourcing to private sector?

A
mit Mahawar:

Yes Sir the procurement FY2022 it was around 31%, the domestic procurement that we did

through largely private sector how has it changed this year.

Company Speaker:

It is almost around the same level.

Amit Mahawar:

Okay thank you Sir and good luck.

Moderator:

Thank you. We have the next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia
:

Good morning everyone and thanks for the opportunity. The first question that I had was on I think there was a question recently last speaker had asked on a nomination based share of a backlog which is 75% to 80% wanted to get a sense of how much of this share is coming under the new pricing regime and just wanted to get some sense because I understand LRSAM is there but it will be good to know how much of the 75% to 80% is coming from the new pricing regime?

Company Speaker:

Whatever orders we get will be under the pricing regime what is prevalent as of date last three to four years. Whatever government has formulated the guidelines no one

orders will be falling with that guideline only but at the same time as we have told earlier and we repeated the cost efficiency is built in to this margins.

Aditya Mongia
:

Understood so one should assume that the new pricing regime would have no impact on margins incrementally?

Company Speaker:

This has come around 3 to 4 years back and 3 to 4 years performance is there in front of you so you can just guess by that.

Aditya Mongia
:

Understood and the second question that I had was on your existing backlog which was 50000 Crores could you give us a sense of how much execution can happen in FY2024?

Company Speaker:

As we started in the beginning current year we have given a guidance of 15% growth and the next year our guidance remains again around 15% to 20% growth so this is a broad BHA#ATELECT fION/CS QUALITY, TECHNOLOGY. INNOVATION

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range we can give maybe we can give you a more precise guidelines once the results of the current year are out.

Aditya Mongia
:

Am I to assume that most part of FY2024 the execution can happen from the current backlog itself without new orders coming out meaningfully.

Company Speaker:

The revenues what we are forecasting is based on the current order backlog and of course this two, three or four, five major orders what we are expecting before March also.

Aditya M
ongia
:

Sure just a last question from my side. It has been interesting to see the company kind of announce several MOUs over let us say September to October to November last three months could you give a sense of how to kind of think through the business opportunity or how to think about financials of this company, context of these new endeavors?

Company Speaker:

If you see the broader MOU in different technology. Noteworthy is our MOU with Delhi Metro where we are working to indigenize that whatever systems they are imported in current there is opportunity for expansion of metro similarly our MOU with Airport Authority of India where we are working on indigenizing that air traffic management system and all related services and radar system for this there are expansion programmes and there are many other MOUs if you see including Munitions India Limited we will be working with arms and ammunition. Then Yantra India Limited where we will work in the product range so what I want to say that every product which is there in all our parties there is a certain element of electronics involved, certain element of software involved, certain elements of AI related things are involved where we have expertise so when we complement with our expertise then it is a better value proposition and it will give growth in business. How we complemented even in Delhi metro or AAI is their domain knowledge added with our expertise in their software solution and our expertise in radar system and electronic system added to whether it will give complement and give value same time many companies at broader levels where we collaborate and sign MOUs for business development and we also sign MOU at submodule technology level where there is a complementary strength that is mostly in like IIT or IISC
(inaudible)
43:08

technology in
their domain where we can
find then
leverage their knowledge to build it in our main
products and offerings so we are leveraging both ways. MOUs at bigger companies where
we complement their strength and MOU at start

-
up level or academic institutions or
research labs where we leverage their technology or their expertise in building our solution
and offerings

Aditya Mongia

:

Great Sir and all the very best and thank you Sir. Those were my questions.
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Moderator:

Thank you

. We have the next question from the line of Prabir from Ratnabali. Please go
ahead.

Prabir

:

Thank you for the opportunity Sir. Sir I have couple of questions. First I would like to know
as you said that non

-
defence is rightly contributor of 20% so your no
n

-
defence has several
fields from fiber security to semiconductors to anything so what is the gross margin for
these overall so we can understand as you said that going forward it will be 75:25 so we can
understand whether it is margin activity or margin e
ntirety?

Company Speaker:

As we are mentioning earlier in the non

-
defence also there are so many different segments
where we are operating and it could be homeland security, it could be EVM VVPAT, it is
healthcare segment, it is for metro solutions, so eac
h one has got different margins. What
guidance we are giving is for the overall margins for the revenue what we are projecting so
we stand by the guidance what we have given so individual margins will be different and it
will be varying so we cannot tell t
hat it will be this much in metro, this much in homeland
security that we would not like to talk on that.

Prabir
:

My next question is related to your projects called HPR high power radar you are developing the system so what is the status of this HPR as we
ll as the Uttam radar?

Company Speaker:

See HPR radar the technical evaluation happened and we fielded with LRDE but I think
HPR delta now MOD is considering so that is not there as of now HPR. Uttam I will come
back I have not gone through that.

Prabir
:

S
ir I could not understand.

Company Speaker:

Uttam status has just not checked up so I will not be able to answer you as of now. As far as
HPR radar is concerned our competitor their radar as we understand it has been selected and
MOD is processing.

Prabir
:

Okay Sir thank you.

Moderator:

Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go
ahead.

Viraj
:

Yes good morning Sir. My question is our employee benefit expense has gone up by 70
Crores is it some addition or some mo
re items and with the increase in this fashion?
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Company Speaker:

No employee benefit expenditure has gone up due to reasons like DNS increase and
recruitment of some contract it is from labor and actuarial valuation so it is normal increases
only.

Viraj
:

I

n one of the last con calls we have mentioned about the US order and you are pretty optimistic about it how is it going now?

Company Speaker:

Which particular one you are talking of?

Viraj
:

There was one US order from US company the trial order was to be done then the size of the order could..

Company Speaker:

It is going slow we have not factored in our projections.

Viraj
:

So any scope of increase there?

Company Speaker:

As of now we are working on only first system and we are not very sure that is why we have not factored this value in any of our projections and guidance.

Viraj
:

Okay Sir that is all from my side and all the best to you Sir.

Moderator:

Thank you. The next question is from the line of Abhineet Anand from Emkay Global Financial Services. Please go ahead.

Abhineet Anand
:

Yes thanks for the opportunity. I just wanted to know slightly medium term view. This year we hit 70000 odd Crores on sales on 15% guidance the next year you have indicated around 15 to 20% so we will meet that 20000 Crores which is our current inflow run rate and for 2024 is also similar guidance I just wanted to know beyond 2024 in the next two to three years say 25 to 27 odd what type of

annual inflow are you currently envisaging I know it is difficult but if you can give some subjective equity to that it will be very helpful for us?
Thank you.

Company Speaker:

See we are working on many technology and many programmes for defence services and others and the way services projections, long term projections are there we envisage the same 15 to 20% growth in long term.

Company Speaker:

O
ur programmes

will be linked to the
defence budget and defence budget will be definitely
on increasing trend only as we can foresee that from last year it was 1.52 lakh Crores it has
been increased
to 1.62 lakh Crores so consequently as the budget increases our minimum BHA#AT&L&CT fiON/CS
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share will remain and with the fair growth whatever technology programmes we are doing
maybe improvement also could be there. One of other aspects like what earlier question was
asked
about service business so more things are going on defence our share of service
business will increase in the term of supporting these equipments which are installed in
defence services in the form of supplying various type of spares, tech equipments, repa
ir
support, some of the critical areas where services will play, AMC, so more and more
systems are going and physical terms and absolute terms revenue operations also will give
us growth because these all equipments which we are supplying they have to be m
aintained
for another 15 years by defence forces.

Abhineet Anand
:

Just to clarify you if we get 15 to 20% growth on the inflow side on an annual basis can be
seen beyond 2024 right?

Company Speaker:

Yes.

Abhineet Anand
:

On the services side while it is 10%

now say next 3 to 5 years where can that grow?

Company Speaker:

Because base will be increasing you have to understand that absolute terms it will grow but
base also will grow so 10% to 12% that will remain but on a wider base bigger base.

Abhineet Anand
:

Thank you Sir. Those were my questions. Thanks a lot.

Moderator:

Thank you. The next question is from the line of Khadija Mantri from Sharekhan. Please go
ahead.

Khadija Mantri
:

Sir I would like to know how much is the exports order book currently?

Company Speaker:

Exports order book is around 2000 Crores as of now.

Khadija Mantri
:

What are our expectations for the next couple of years in terms of exports?

Company Speaker:

We are working with many countries but normally if you see that exports is more towards G2G also because guidelines of government of India where there are strategic interest and what guidance are there and where we can put it our services so we are working like a question was there we have supplied something to Armenia, then Mauritius we are working on some projects, Malaysia we had discussion, then President of Egypt was there for some of the products so we are working very aggressively on export front also but normally what happens is if you see BEL products mostly our products are of defensive nature, surveillance type of equipment, communication type of equipment so it takes time it does BHA#AT&L&E&CT fion/CS QUALITY, TECHNOLOGY. INNOVATION

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not become absolute necessary for any defence person to have it immediately because these are all defensive applications, you have or you do not have you can continue with that so we are working with the government also, government of India also for pushing export. We have opened the offices also. Our business delegations are going with government of India delegations to make sure that our export increases.

Khadija Mantri
:

Okay Sir thank you for the explanation.

Moderator:

Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference to Mr. Harshit Kapadia for closing comments.

Over to you Mr. Kapadia.

Harshit Kapadia
:

Thank you Michelle. We would like to thank Shri. Bhanu Prakash Srivastava, our Chairman and Managing Director, Shri. Damodar Bhattad

—

Director Finance and CFO and Shri.
Sreenivas

—

Company Secretary for giving us an opportunity to host this call. We would also like to thank all investors and analysts for joining this call. Any closing remarks you want to highlight the investor Sir.

Bhanu P Srivastava
:

Thank

you very much for coming together and having a broad idea. I can only say that BEL is a technology driven company and we are very few company in the country where we invest heavily on research and development. If you see our results 7% plus of our turnover we spend on R&D. We have a very strong R&D base and that is how we are able to maintain

our growth and profitability and all these things because of our strong R&D base. Close to 2700 engineers and scientists are working in R&D with us so that is the key strength of Bharat Electronics and that is how we are able to sustain and grow. So thank

you very much for having confidence in Bharat Electronics and coming together for having interaction.

Moderator:

Thank you Sir! On behalf of Elara Securities Private Limited that concludes this conference call. Thank you for joining us. You may now disconnect your lines.
BHA#ATELECT fion/CS
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Call: May 2023

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BHARAT ELECTRONICSÿcfÿlPrcRT
Tf%ET#/ To,
frTTÿfÿr- /BSE Ltd.,
25wt cfÿr, STÿf/Floor 25, PJ Towers,
wm W?/Dalal Street, Fort
gÿt/Mumbai - 400 001(umi WEPT7 cPT OT»I, Wc TO)
cbmlcHi) :
3TF3ÿ7 fÿT HI"WKI, #0ÿ7 - 560 045,
Bharat Electronics Limited
t. No. 17565/4/SE/MUMC/SEC
f%ÿ/ Date: 30.05.2023(Govt, of India Enterprise. Ministry of Defence)
Registered Office : Outer Ring Road,
Nagavara, Bangalore - 560 045, INDIA.
CIN : L32309KA1954GOI000787
Mÿ ra/Telefax : +91 (80) 25039266
f-WE-mail : secretary@bel.co.in
fo/Web : www.bel-india.in

Trfrÿr / Tfrÿrr

Dear Sir/Madam,

Rq-M- 24.05.2023 # 5il4)Plct MnQRIRI

Sub: Transcript of the Conference Call with Investors/Analysts held on
24.05.2023.

(TÿT## taK) 2015 % 30 str 46 % 3Tp1T, ÿCPTT 31 *TTÿ, 2023

w rcr fÿRTft ark qpf % fMk mRui i-hT tn: % f%TT sp re rc, 24 *rf, 2023 ÿ

10.00 sTiRÿi PiRÿ ÿrt 3ipftf%cr *r>%R # yRIPi ft ÿr%

I

Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find
enclosed herewith the transcript of the conference call hosted by Antique Stock
Broking Limited on Wednesday, 24th May, 2023 at 10.00 a.m. for discussion on
Financial Results for the quarter and year ended 31S' March, 2023.

yfcIPiR ÿt"www.bel.india.in %

y+dui tÿT % SRpfa ji

For your kind information, the aforementioned transcript is made available on the
website of the Company www.bel.india.in under Investors - Stock Exchange
Disclosure tab.

ÿtt srfSpjrw ji

Submitted for your information and record.

/ Thanking you,

/Yours faithfully,

For Bharat Electronics Limited

ÿPMm/S Sreenivas

w ft #ÿr/Company Secretary

wtr- ÿ"STTÿrdxP i / Ends: As stated above.

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Bharat

Electronics

Limited

Q4

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Earnings

Conference

Call

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May

2

4

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202

3

Management:

Mr. Bhanu Prakash Srivastava

—

Chairman and
Managing Director

—

Bharat Electronics Limited

Mr. Damodar Bhattad

S

—

Director Finance and Chief
Financial Officer

—

Bharat Electronics Limited

Mr. Sreenivas

S

—

Company Secretary

—

Bharat
Electronics Limited

M

oderato

r

:

Mr. Dhirendra

Tiwari

—

Antique Stock Broking Limited

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Bharat

Electronics

Limited

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,

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20

Moderator:

Ladies

and

gentlemen,

good

day

and

welcome

to

the

Q4

FY

‘
23
Earnings
Conference
Call
of
Bharat
Electronics
Limited,
hosted
by
Ant
ique
Stock
Broking.
As
a
reminder,
all
participant
lines
will
be
in
the
listen
-
only
mode
and
there
will
be
an
opportunity

for
you
to
ask
questions
after
the
presentation
concludes.
Should
you
need
assistance
during
the
conference
call,
please
signal
an
operator
by
pressin
g
star
then
zero
on
your
touch
tone
phone.
Please
note

that
this
conference
is
being
recorded.

I
now
hand
the
conference
over
to
Mr.
Dhirendra
Tiwari
from
Antique
Stock
Broking.

Thank
you
and
over
to
you,
sir.

Dhirendra
Tiwari:
Thank
you.
Good
morning,

ladies

and

gentlemen.

On

behalf

of

Antique

Stock

Broking,

I

welcome

you

to

the

4

Q

FY

,

23

post

-

result

conference

call

of

Bharat

Electronics

Limited.

I

am

glad

to

have

with

us

today

S
hri

Bhanu

Prakash

Srivastava,

Chairman

and

Managing

Director,

Shri

Damodar

Bhattad

S
,

Director

Finance

and

CFO,

and

Shri

Sree
nivas

S
,

Company

Secretary.

I

welcome

the

management

of

Bharat

Electronics

Limited

on

the

call.

Now

I

invite

Shri

Bhanu

Prakash

Srivastava

for

initial

remarks,

post

which

we

will

open

the

floor

for

Q&A.

Over

to

you,

sir.

Thank

you.

Good

morning

to

all

of
you.
I
am
Bhanu
Prakas
h
Srivastava,
CMD,
Bharat
Electronics
Limited.
B
E
L
has
done
very
well
by
end
of
this
financial
year.
We
have
clocked
a
turnover
of
INR
17,333
crores
in

year
2023,
which
is
15.21%
higher
as
compared
to
previous
year's
figure
of

INR
15,044

crores
.

PBT

has
increased
to

INR
3
,
985

crores

as
compared
to

previous
years

of

INR
3
,
158

crores

,
giving
a
growth
of
26.18%.

PAT
is
INR
3
,
007

crores
with
a
growth
figure

of
28%.

EPS

has
increased
to

INR
4.11

as
compared
to

previous
year's

EPS

of
INR
3.21.

And
total

dividend

payout

in

2022

-

23

is

INR

1.8

per

share

against

INR

1.5

per

share

for

‘

21

-

‘

22.

At

the

end

of

the

financial

year,

our

order

book

position

was

INR

60,690

crores

.

That
amounted
to
order
booking
of
around
INR
20,690
crores
in
year
'
22
-
'
23.
So
this
is
a
brief
about
financial
performance
of
Bharat
Electronics.
Moderator:
Sir,
do
you
want
to
open
the

floor

for

the

Q&A

session?

Management:

Yes,

yes.

Go

ahead,

please.

Moderator:

Thank

you

very

much,

sir.

We

will

now

begin

the

question

and

answer

session.

The

first

question

is

from

the

line

of
Ankur
from
HDFC
Live.
Please
go
ahead.
Ankur:
Hi,
sir.
Good
morning.
Congratulations
on
the
great
numbers.
My
first
question
was
on
your
top
-
line
growth
for
next
year.
I
think
you

are

guiding

towards

15
% to
17%

growth

for

next

year.

Just

in

the

backdrop,

because

your

order

book

growth

is

about

5%

for

‘
23

and

I

guess

even

into

‘
24,

assuming

you

get

to
about
INR
20,000
crores
of
orders,
your
order
book
really
does
not
grow.
So
I'm
just
trying
to
understand
what
is
driving
this
15
%-
17%
kind
of
top
-
line.
Is
it
completely

from

the

current

order

book?

Bhanu Srivastava:

Yes,

the

17%

order,

that

top

-
line

which

we

are

projecting,

it

will

be

from

the

current

whatever

order

book

position

is

there.

Our

top

-
line,

whatever

we

project

is

based

on

our

commitment

to
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20

the

customer,

delivery

timelines

expected

by

the

customer,

because

delivery

timelines

are

based

on
the
platform
timelines.
So
keeping
in
consideration
all
these
things,
we
are
projecting
a
top
-
line
growth
of
around
17%
in
this
finance
year
.
Ankur:
But
then,
do
you
see
a
risk

that

again,

because

assuming

as

I

said,

orders

equal

top

-
line

in

‘

24

as

well,

no

order

book

growth

in

‘

24,

with

‘

25

revenues

in

turn?

Because

I'm

just

trying

to

understand,

unless

we

see

orders

incrementally

get

to

about

INR
30,000

crores
-
plus,

growing

in

double

digits

may

become

a

problem

for

us
...

Bhanu Srivastava:

It

will

not

be

a

problem

because

what

order

booking
we
are
projecting
in
this
financial
year
is
INR
20,000
-
plus
crores,
which
is
not
factoring
many
big
ticket
programs
which
are
in
pipeline.
Like
QRSAM,
MRSAM
projects
and
these
things.
Because
these

are

big

ticket

programs,

so

they

may

rectify

something

this

year

or

next

year.

So

maybe

between

this

year

and

next

year,

these

are

going

to

be

fructify

big

ticket

programs.

So

order

booking

will

defin

itely

increase

from

next

financial

year.

Ankur:

Sure.

And

just

one

last

question,

sir.

On

your

order

in

close,

if

you

could

just

highlight

which

are

the

bigger

orders

you

expect

this
year?

I
think
you
said
some
ship
-
based
orders

is
what
you're
looking
at.

Bhanu Srivastava:

Bigger
orders,
if
you
see,
one
order
is
for

Akash
Missile
System,
that's
ground
support
equipment,
BDL

got

.

So

B

EL

's

share

will

be

around

INR

4,000

crores

-

plus.

Long

-

term

fuse

requirements,

it

will

be

around

INR

4,500

crores.

Then

ship

-

building

programs,

NGOPV,

NGMV,

which

CSL

got

,

NGOPV,

GSL

and

this

GRSE

got,

credit

training

ship,

which

L&T

got.

All

this

taken

together

will

be

around

INR

5,000

crores

to

INR

6,000

crores,

B

EL

equipment

going

inside

that.

So

there

are

so

many
other
programs
like
weapon
--
this
year,
this
ship,
what
is
that,
Varuna
--
Shakti
program
for
electronic
warfare
for
ships.
That
is
around
INR
1,000
crores.
So
these
are
some
of
the

bigger
programs
which
are
there
in
the
pipeline.

And
there
are
many,
many
smaller
programs
which
added
together
to
give
a
big
value.

Ankur:

Sure.

Understood.
Thank

you

so

much.

Moderator:

Thank

you.

The
next
question
is
from
the
line
of
Amit
Dixit
from
ICICI
Securities.

Please
go
ahead.

Amit Dixit:

Ye
s
,

hi.

Good
morning,
everyone.

And
congratulations
for
a
great
set
of
performance
and
adherence

to
your
guidance
in
last
con call
.
Sir,
I
have
a
couple
of
questions.
The
first
one
is
essentially
an
offshoot
from
the
last
question.
That
if
you
look
at
it,
you
have
your

guiding
for
INR
20,000
crores
-
plus
order
in
for
this
year.
But,
there
are
certain
orders
that
are
already
in
your
pocket
like
Akash
and
this
naval
system
and
all.
So
that
accounts

for

practically,

around

INR

9

,000

crores

to

INR

10,000

crores.

So

and

when

we

speak

to

the

other

companies,

they

say

that,

okay,

MRSAM

would

be

there

in

this

year.

So

aren't

we

a

little

bit,

conservative

in

the

order

book

guidance

this

time

around?

So

any

thoughts

on

this?

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Bhanu

Srivastava:

See,

I'

m

not

very

conservative,

but

when

it

goes

to

government

processes,

especially

if

it

is

a

big

ticket

program,

so

you

have

to

be

conservative

because

if

you

see,

even

if

the

process

has

not

started,

if
you
see
in
that
case
of
QRSAM,
that's
just
a
trial
has
been
completed,
confirmatory
trial
has
been
completed.
Now
it
will
go
for
AON,
RFP
bidding,
then
PNC,
then
order
processing.

So
there
was
this
conservative
approach.

So
either
this
year
and
next
year
it
will
come

to
,
what
20,000
,

I'm
telling
is
about
where
the
process
is
already
on.

So
when
we

give
the
guidance,
what
we
tell,
definitely
we
are
going
to
meet
this.
And
there
will
be
over
and
above
that.
If
luck
favors,
we
can
get
something
over
and
above
this
also.

But
our
guidance
is
a
bit
conservative.

Damodar Bhattad
:

We
hope
to
continue
to
maintain
this
three
times
order
book
on
the
revenue
front.

Th
at
is
whatever
the
revenues
we
are
forecasting
on

the
three
times
order
book
we
are
hoping
to
maintain
in
the
coming
years.

Amit Dixit:

Just
to
follow
from
this,
there
is
this
MRFA
program
coming
up,
it's
still
initial
days.
But
do

we

envisage

anything

for

BEL

in

that?

I

mean,

or

it

could

be

produced

completely

out

of

the

kits

that

are

imported?

Bhanu Srivastava:

Ye

s

,

I

have

not

reviewed

that

project.

Anyway,

I

will

come

back

to

later

on.

Amit Dixit:

Okay,

so

the

second

one

is

a

bookkeeping

question.

If

I

look

at

your

receivables,

there

is

a

sharp

outflow

of

cash

on

that

front,

even

on

provisioning,

even

on

provisions,

there

is

a

sharp

outflow

of

cash.

So

if

you

can

throw

some

light

on

this,

didn't

we

receive

the

money

from

the

government

, o

r

I

mean,

what

is
the
issue
over
there?
And
what
would
be
the
sustainable
level
of
receivable,
let
us
say,
six
months
down
the
line?

Damodar Bhattad
:

See,
two
things
you
have
asked.
One
is
on
the

receivable

front,

the

number

is

INR

7

,
000

crores

as

of

31

March,

2023,

which

amounts

to

148

days

in

terms

of

turnover,

which

is

same

as

the

last

year.

And

as

far

as
the
cash
position
is
concerned,
the
cash
balance
as
of
the
end
of
last
year,
that
is
March
,
22,
was
INR
7
,
500
crores.
And
current
year
as
on
March
,
23
or

1st

April

‘
23,

it

is

INR
8

,
000

crores.

So

there

is

no

constraints

from

the

government

as

far

as

budgets

are

concerned.

We

are

receiving

the

money.

But

there

are

these

last

two,
three
months
sales,
which
account
to
a
major
portion,
which
will
be
in
the
receivables
as
on
31
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March,
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23.
So
although
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it's
number
of
days
and
cash
balance,
all

have

been,

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mean,

cash

balance

has

only

improved.

Amit Dixit:

Sir, what explains this sharp outflow on the account of provisioning?

Damodar Bhattad

:

As far as provisions are concerned, in the past one years or two years, there have been some delays in receipt of inputs from the component front.

So, which has led to this delays in supplies, which has contributed to some of the provisions towards liquidated damages on account of penalties of supplies. This has contributed. That was the major reason. So with this only, that the other expenses has increased.

Of course, the other one is, once the level of operations increase, consequently, there will be an increase in the operational expenses like traveling and other expenses. So these two have contributed to the increase in other expenses.

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Amit

Dixit:

Okay, great. So I have other questions that, I will get back in the queue. Thanks and all the

best.

Moderator:

Thank you. The next question is from the line of Umesh Raut from PhillipCapital. Please go ahead.

Umesh Raut:

Thank you so much for the opportunity. Congratulations sir, for the good set of numbers. So my first question is on the QRSAM program. I just wanted to understand, how many stages are remaining in terms of major hurdles now? Before realizing the contract in terms of signing the contract?

Bhanu Srivastava:

See, confirmatory trial, which was required, it has been done. So and it has been successful. Now a small test is remaining, which will be carried out in next month. So that will complete the total evaluation process. After that, see

have to pro

cess the case, that whole process, the defence

c
e procurement process. It starts from AoN, then to issue of RFP and then submission of court, price negotiation and after that, because it's a big value, it will go up to CCS.

Umesh Raut:

Okay.

So my second question is on gross margin. So we have seen a gross margin decline from about say 48%, 49% to about 42% in FY '22. Now, those are also now coming back to about 44.4% for FY '23. So is it fair to assume that, now we are kind of moving again towards 45%, 46% of range because now indigenization benefit also come in and also the LRSAM program is in the kind of third year or fourth year of execution. So learning curve will be better. So margins on the gross level will be relatively better compared

to in the last two years?

Damodar Bhattad

:

See I

ast year, our gross material consumption to value of production was about 60% and current year, it is around 57.5%. So we expect the same to remain in the range of this 58% to 60% material consumption in the

current year also. We already, we are giving a guidance of EBITDA margin. We have been having 23% in the last year, '22, '23. We expect to maintain the EBITDA margin around 21% to 23%, in the coming year, '23, '24, because there are different product mix,

which are there. There are variety of products. There are 25 units which are operating. So with that product mix, there will be some differences in consumption in various products. So EBITDA margin will remain in the range of 21% to 23%.

Umesh Raut:

Got it, sir.

Lastly, on the liquidated provisioning, can you please quantify the number for FY '23 and is it fair to assume that, now with the normalization in the supply chain or the component availability, the LD provisioning will be relatively lower in next two year, three years?

Damodar Bhattad
:

As far as provision for liquidated damages for the current year is concerned, it is about INR360 crores, on account of the delays in supply due to receipt of inputs. But there are some projects,

these are large projects, which are continuing over the years. So it is not a one

-

time thing. So

as it continues, once it falls into the penalty zone, it will be there again in the '23, '24. But only thing is this, as per the accounting policy, we need to

make the provisions. But there are many cases which

we take up with the customers once again. And then, we have got penalties waived also. So due to which in the current year, we have got penalties waived and provisions withdrawn to the extent of about IN R88 crores, compared to what we have done in last year.

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So we have to make the provisions in accordance with the contract terms because these are continuing contracts, some of them will continue in the current year. But at the same time, we take up with th

e government on various contracts and we get some of the exemptions also or penalty waivers also. So hopefully, we should get some of them in the current year related to last year. But due to running contracts, we cannot tell that, all will be neutralized,

normalized

in the current year. There could be some fallback of the continuation of last year.

Umesh Raut:

Got it, sir. Thank you so much. I'll join back in the queue.

Moderator:

Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid:

Yes, good morning, sir. And congratulations for good performance. My first question is, if you look in terms of the business performance, can you give us some input in terms of how is the performance for the non

-
defence
corporate portfolio? So A, what was the mix of defence

corporate non

-
defence

corporate for FY '23? And how are we seeing both the order flows and the revenue trajectory in the non

-
defence
corporate portfolio scaling up, especially in segments like railway, where we were expecting quite a bit of orders to flow through?

Bhanu Srivastava:

See, there are two things. If you see that '22

-
'23 defence
corporate was 87%, non

-
defence
corporate 10.6%, export 2.4%. We anticipate slight increase in non

-
defence
corporate production this year in '23

-
'24 because of contribution from EVMs and VV PAT. As far as that other diversification area like metro, railway, AI, these are all long drawn process. So we are working on it. It takes time to get the materialize the order.

So if you like, if you're talking about DMRC and railway, we have given the proof of concept.

We have installed in one line. But now, whatever that metro is getting installed, they already have the system imported. Now when new line comes, or current line, when they go for upgrade, then only these things will materialize in the big

orders.

Similarly, other solutions also are working. Same thing is true with the airport authority. Now airport are operating. We have indigenized the system, ATMS and all, but when it will be installed, either new airport are coming or current airport, when it is upgraded. So these are all capability building, development of products, diversification, but it will take time for this to materialize. But once it materializes, it will contribute in good numbers.

Renu Baid:

So, secondly, in terms of factory expansion and new capacities coming in, can you give some update in terms of, what is the kind of capex targeted for fiscal '24 and which all new facilities and factories are expected to commission in '24?

Bhanu Srivastava:

Last quite few years, we have been working on building the capacity around INR500 crores

plus every year, we are spending. And this year likely, expenditure will be around INR700 crores to INR800 crores in capex. As far as new company is concerned, latest is that, advanced electro

-

optics

factory at Nimmaluru in Andhra, which is likely to be commissioned by end of this calendar year. Work is at advanced stage. Then we are working on Ibrahimpatnam for EW factory.

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Again investment of around INR300 crores. Palasamudram for defence

complex

system integration

ration

complex, for explosive and fuse complex at Nagpur. So these are all working. They will fructify in next two years to three years. That is the timeline.

But yes, every year capex investment is there. Apart from what investment, we are making for new

factories, even existing factories we are spending money to upgrade the facility and build additional capacity. Like for super component facility, we are establishing in our Hyderabad unit, existing facility, with investment of around INR100 crores plus, which will add in that

manufacturing, another manufacturing line for very, very high precision

electronic

subsystems

like T/R module and that. Then

DIRCM

manufacturing facility and test facility at EWA. So

many, many things we are doing in existing factories also, existing setup also apart from building a new factory. So this year approximately INR700 crores to INR800 crores may be the capex.

Renu Baid:

So come to third question is, when we look at the core business that is one part of it, but within the defence

space,

the UAV space is coming as the next probably, the segment within the defence

strategy globally. So how is Bharat Electronics scope in this segment defined? Are we spending anything in terms of R&D, to build any capabilities in the UAV side? Any

thoughts

that you have that you can share here?

Bhanu Srivastava:

Yes, we are in UAV business, but you are in a high end UAV business. We are partnering with DRDO also and some other partners also, are there like for unmanned, that surface vessels and sea

based. We are partnering with a few shipyards. So we are in the business, but we are not in a very low end that, drones and all. We

are in the slightly high end and we are also working on anti-

drone systems. So that is also one of the area, where we are working.

Renu Baid:

Sure. I have couple of more questions. I'll come back in between. Thank you and all the best sir.

Moderator:

Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel:

Thank you very much for the opportunity, sir. Sir, my first question is on the missile integration program, so how does Ministry of Defence

decide whether BEL will be the lead

integrator for a particular program or BDL? Is it based on who can add more value in a

particular program? So for example, in QRSAM, since we will be the lead integrator, Bharat Dynamics will be supplying some subassemblies, parts, components, etc.?

Bhanu Srivastava:

See, BEL and BDL both are part of MOD and just based on the capability and the capacity

available, MOD decides who will be the lead integrator. Like in Akash missile system, if you see, for Army, BDL is the lead integrator. For Air Force supply, we are the lead integrator.

Both BEL and BDL

work together because missile is

from them and other support systems and electronic equipment control systems, radars and all are from our side. So we work very closely, both BDL and BEL. And all these programs, whether BEL is lead integrator or BDL is lead integrator. For QRSAM, BEL is the lead integrator. But irrespective of who is the lead BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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integrator, everybody has got their work share arrangement and we work together to fulfill the requirement of the services.

Harshit Patel:

Understood. Sir, my second question is on the content that we supply in the naval platform. So what is the typical content we have in large platforms like destroyers, submarines, and now the aircraft carrier? So would it be the 10% to 15% of the overall value of the vessel, or it would be much higher than that?

Bh

anu Srivastava:

Normally, typical destroyer or frigate, if you see, around 30% is the

--

value is our content.

Around 13 to 14 equipments, naming a few like sonar system, fire control system, fire control, both torpedo fire control and rocket fire control

system. Then communication system both internal and external communication system. Then you have a ship data network, combat management system, that radar system and that gunfire control system. So a whole lot around 13 to 14 equipments are there in typical al workshop, which comes in our kitty, apart from that SAM system, surface

-

to

-

air missile. So minus SAM, it is around 30% typically.

Harshit Patel:

Understood, understood. Sir, are there any new products that we are developing or we would

have developed
in recent years, which can take this content to even much higher levels going
forward?

Bhanu Srivastava:

These are the typical equipments in our product range in the ships. So only upgrade next
generation are all there. So we are covering more or less all
. We are working with DRDO in
our own development to make this upgraded with new technology more effective, these
equipments. But these are the typical equipments, which are there on any ship platform or
submarine platform.

Harshit Patel:

Understood, sir.

Thank you very much and all the best.

Bhanu Srivastava:

Thanks.

Moderator:

Thank you. The next question is from the line of Simranjit Singh Bhatia from Master Trust.
Please go ahead.

Simranjit Singh Bhatia:

There are two
questions which

I want to ask. F
irstly, what will be the revenue mix of the
defen
c
e and the non
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defen
c
e going forward in the upcoming time? And secondly, what are the
margins we are having in the non
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defen
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e segment? Are we having the higher margins as
compared to the defen
c
e, or it wi
ll enjoy the same margins with the defen
c
e

category we are
having? These are the two questions.

Bhanu Srivastava:

First, I will answer around 85/15 is the typical we are expecting this year. But it has been
hovering around from 80/20 to 90/10 depending
upo
n which

year we get more civilian products, and which year we get slightly lesser. And in my opinion, it will continue because the way we are growing. Even civilian if we grow, but defence also is growing in the similar speed.

Damodar Bhattad

:

See on the margin front, even in non

-

defence

c

e, it is not one item. There are a host of items which

we are supplying including EVMV pads and other smart cities. There are many products BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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which

we are supplying. So there are different margins in different products. We cannot tell one number how it is. But majority of our supplies are in defence. We have only

—

last year we have earned an EBITDA margin of 23. We guide for the same margin of 21 to 23. On the segment wise of defence

c

e or non

-

defence

c

e, we would not like to say except that it's a mix and there are different margins in different products.

Simranjit Singh Bhatia:

Okay. Thank you.

Moderator:

Thank you. The next question is from the line of Lavina Quadros from Jefferies. Please go ahead.

Lavina Quadros:

Hello, sir.

Congrats on a great set of numbers. I just wanted to check one thing. Your electric vehicle, the ion battery tie

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up and the tie

-

up on hydrogen fuel cells that you have done, any progress on that or any updates over there?

Bhanu Srivastava:

This electric

vehicle front, yes. As per agreement, we have supplied one set of battery to Triton for their evaluations. So they are evaluating. Once they evaluate, then there also trucks have to be evaluated and then they will give the requirements with all things to be formed up. So we are on. But what I envisage is that it will take time for them also to build up that momentum and this

—

related to this, we also. So we have not factored any major revenue inflow from that side in this financial year.

Lavina Quadros:

O

kay.

And sir there was also one more to manufacture and supply devices for the US market with Hyperion. Any updates over there? That was also a sizable one.

Bhanu Srivastava:

I think that also not significant progress is there on that.

Lavina Quadros:

Okay.

So these were probably become more material '26 onwards, right? Just to understand.

Bhanu Srivastava:

Which one?

Lavina Quadros:

These tie

-

ups will probably become more meaningful only after FY '26, right?

Bhanu Srivastava:

We cannot say. Let us wait for some more time before we give any firm projections.

Lavina Quadros:

Okay, sir. Thank you.

Bhanu Srivastava:

Thanks.

Moderator:

Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij
:

Good morning, sir. My question is on the few sites. So if you can talk about the order, which we are expecting, INR4,500 crores. It is for how many fuses and over how many years?

Bhanu Srivastava:

It is a long

-

term fuse requirement for Indian Army. So it is 10

-

year requirement. So this is for a few types of fuse. But apart from that, other requirements will keep on coming. So this is the one order, which will be addressed for next 10 years. So every year you can say around BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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INR450 crores to INR500 crores
. Apart from that, other fuse requirements also will be there, which will be pursued.

Aman Vij:

Sure, sir. On this part, sir, if you can talk about, I think we are currently already doing INR100 crores, INR150 crores of fuses. So we need to triple our capacity or as of now our capacity is very --

utilization is very low?

Bhanu Srivastava:

We are increasing the capacity in our Pune unit also for explosive handling. After two years, this Nagpur facility also will come. So this will take care of not only this order, but other requirements of fuses also.

Aman Vij:

Okay. And when do you expect this to come in, in H1, H2?

Bhanu Srivastava:

Which one?

Aman Vij:

In the

fuse order, when do you expect this to come in?

Bhanu Srivastava:

PNC is almost over, except

one odd point where it has to be resolved. So we hope that this will be resolved in a month or so. I think this half - yearly it should come. That's what we expect.

Aman Vij:

Okay.

And sir, what is the indigenization portion in this product?

Bhanu Srivastava:

It is a graded indigenization. We have to make significant indigenization within two years of signing of the contracts.

Aman Vij:

Okay, okay. So initially it will be very low indigenization?

Bhanu Srivastava:

Initially it will be around 20% to 30% indigenization content, but we have to bring it to significant level. That is there in the contract itself, contract condition that within two years

significant portion of indigenization has to be done.

Aman Vij:

Sure, sir. And sir, there were some private

players also bidding for this and you had talked about that they had some issues with the trial. So any updates, will the private players also come in or will it be exclusive to offset...?

Bhanu Srivastava:

There were many players, but only two got qualified technically, BEL and ECIL and we were winners.

Aman Vij:

Okay. So only we will get the order of INR45 million?

Bhanu Srivastava:

Yes, we are lowest bidder and then already procurement...

Damodar Bhattad
:

No, as far as this INR4.5 crores

is concerned, already it is decided we are already commercially low L1 bidder and that is order INR4.5 crores, which we are expecting in first half.

Aman Vij:

Ye
s
, but sir, total order was INR10,000 crores if I am not wrong, right? So the remaining...
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Bhan

u Srivastava:

No, see this is the one long

-

term specific requirement of Army, but fuses requirement will remain other

--

so they will continue with other bids also.

Aman Vij:

Sure, sir. Sir, my second question is on the TCAS side. You have talked about it

a little bit at

Metro, you have explained, it takes time, because we have to wait for the next set of orders. On the railway side, sir, there is an even bigger opportunity, so Metro is just a small portion but Indian railway opportunity, we keep hearing a bout this, Vande Bharat Trains and all those things. So have we started trial for the same? When do we expect some order from that?

Bhanu Srivastava:

We are pursuing with railway. We have given a presentation to railway board also. Both BEL and

--

see, we

have MOU with Delhi Metro. So we will be pursuing jointly with Delhi Metro any other opportunity in the field where we are working. So even with railway, both DMRC and BEL are jointly pursuing. So this is on.

Aman Vij:

Sir, how long the trials will go for this?

Bhanu Srivastava:

Just initial presentation and then again any

--

introducing any indigenous product in entity, which is very, what you say, the safety critical like railway or civil aviation where safety is paramount importance. It takes time. See, it all starts with initial concept. Then you give proof

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of

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concept. Then you give the prototype. Prototype gets evaluated. Then there are multiple certifications are there. After that, you get qualified to even enter that field, then commercials.

Modera
tor:

The next question is from the line of Aditya from Kotak Securities. Please go ahead.

Aditya:

Ye

s

. Hi and thanks for the opportunity. The first question that I had was more on the orde

r
inflows and thanks for sharing most of your order inflows for last year. It appears that the dominant share of those order inflows rely on DRDO design or DRDO --

To
T. I wanted to get a sense whether this is representative of the order backlog of the company, or is this a specific year wherein the reliance on DRDO design

is too high?

Bhanu Srivastava:

See, if you see the typical order total, around 60% to 70%, you can say 70% to 75% is indigenous design and 20% to 25% DOT from foreign OEMs. Out of 70%, 75%, typically 45%, 50% is partnership with DRDO and remaining our own

design.

Aditya:

Understood.

So, it seems that in this year the reliance on DRDO is slightly higher but that's not the norm. Thanks for that. The related question was that for whatever proportion one is relying on DRDO design, are there any initial signs of private sector starting to intrude in our territory because these DRDO designs are now also in some ways available to them?

Bhanu Srivastava:

See, the private sector has always been a partner in DRDO for various systems, subsystems. They are part of supply chain management. But when it comes for large

-
scale system integration, normally we are there. But private sector also is pitching in for system integration with DRDO also. So, we have to compete with them and we have to be able and cost

-
effective
partner for even that.

Aditya:

Sure. Just one more question from my side. I understand that the guidance for next year on revenue is much higher than the growth

--

that the past two, three quarters have seen on a YoY BHARATELECTRON/CS
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basis. I wanted to just understand what

would be the reason behind there not being as much growth in the last nine months on a YoY basis versus the guidance and some sense of the execution period of the backlog, if you could give me a sense.

Bhanu Srivastava:

See, typically, if you see that quarter

-

to

-

quarter, it is unfair in products like

--

company like

BEL to just decide, because ours are mostly large system projects, which runs through various quarters. So it so happens that in some quarters your turnover or revenue may be less, some quarter it may shoot up.

Because it's not like in the same quarter we start manufacturing in same quarter revenue is recognized.

So, it's better to if you talk about a yearly basis. So, if yearly basis if you see, we grown around 15%. We are presenting around in

the range of 17%. And what we project is also depends upon how much we can deliver based on the requirement of the customer. It's not like INR60,000 crores

we have ordered and if we can build capacity, we can deliver this year itself because customer doesn't want. He wants the item when he needs it.

So, like if ship building projects are there, ship will be built in the next four, five years, every year one or two ships. So, our delivery has to be aligned. So, that's how we see that what are the executable

order this year and how much we can do. Based on that, we project.

Aditya:

Average execution period that will be the last thing from my side of the backlog?

Bhanu Srivastava:

Average around three years, you can say.

Damodar Bhattad
:

Current order book normally we can take three years sometime. Because there are 12 months,

there are two years, there are three years, there are four years, different projects are there. So, normally this current order book can be taken for three years revenue.

Aditya:

Thanks a lot. Those are my questions. Thank you.

Moderator:

Thank you. The next question is from the line of Prabir from Ratnabali. Please go ahead.

Prabir:

Thank you sir for the opportunity. Sir, I have two questions. First of all, I wanted to know the status of Uttam AESA development. In the last call also I asked this question and you said that development is going on.

Bhanu Srivastava:

Which one?

Prabir:

Uttam AESA.

Bhanu Srivastava:

Uttam.

Prabir:

Uttam. And actually the MK1A order already given to HAL. So, I wanted to understand what is the status of the development and how much are you expecting from this and by when?

Bhanu Srivastava:

Uttam Radar AESA. I am sorry that I have not updated. I just missed it. So, maybe you can give me a call or SMS and I will give you a status. I'll just find out.
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Prabir:

Okay. And about Akash

-

NG, what is the status sir?

Bhanu Srivastava:

Akash

-

NG already order is there with BDL, and then we have finalized that and we have to close the deal with BDL. So, it is almost last stage.

Prabir:

So, by when you are expecting this order?

Bhanu Srivastava:

Another month or two months maximum.

Damodar Bhattad
:

Within first half we should get the order.

Prabir:

Okay. And as you said that QRSAM is expected next year. QRSAM is a high ticket order. Sir, is it like the order will come at once or it will come in phases? What is your expectation?

Bhanu Srivastava:

Different services has to decide how much budget they have and what phases they have to procure. So, how

can we comment that in what amount and what value they will procure?

We have cleared the system. System is through. It has met all the expectations. It depends upon their strategic needs and their budget availability that they will decide about the procurement.

Prabir:

Okay. My last question is, is it possible to share gross margin for VVPAT and EVMs?

Damodar Bhattad

:

We would not like to comment on specific individual projects and margins as such. We can only tell, because we would not like to comment on the segment wise, product wise. We would not like to comment on that.

Prabir:

Okay, sir. Thank you.

Bhanu Srivastava:

Thank you.

Moderator:

Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please go ahead.

Dipen Vakil:

Thank you so much for the opportunity and congratulations on great execution. Sir, you mentioned your guidance for next year is 17% on top line. So, I just wanted to understand, which will be the large orders that you will be executing this year and if possible also the quantum for the same?

Bhanu Srivastava:

See, ours is a very large variety of product line. So, if you see that in the largest order, it will be maybe LRSAM will be one for frontline ships. That is one which

clearly comes out. That will

be range of around INR3,000 crores. All others are in the range of around INR500 crores, 600 crores, but multiple lines are there. So, we have 24 business units and each doing multiple products.

Dipen Vakil:

Thank you, sir. So, quantum for LRSAM for this year, you mentioned, INR3,500 crores?

Bhanu Srivastava:

Roughly around INR3,000 crores from LRSAM execution, all remaining are many, many products.

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Dipen Vakil:

Okay, okay. And so, how much was the export side of revenue for FY '23?

Bhanu Srivastava:

I

t was \$48 million, \$48.5 million, something like that.

Dipen Vakil:

Okay. That is clearly helpful, sir.

Damodar Bhattad

:

In terms of rupees, INR394 crores it was.

Dipen Vakil:

Sir, can you repeat that, sir?

Damodar Bhattad

:

\$48 million and in terms of rupees, INR394 crores.

Dipen Vakil:

Thank you so much, sir. That was all my questions.

Moderator:

Thank you. The next question is from the line of Abhijeet Mitra from Aionios Alpha. Please go ahead.

Abhijit Mitra:

Yes, thanks for taking my question.

So, ju

st wanted to understand the potential order inflow in radars that, you

see over the next four years

—

five years as in the total addressable market. And,

you know, as you mentioned, a lot of tier 1, tier 2 suppliers coming up and, moving into integration order. So, how would the sort of dynamics or relationship of bill will change with them? Because we have been sort of outsourcing components and

subsystems to them. Will you try to look for different suppliers now that, they are sort of coming up and bidding for the system integration projects?

Bhanu Srivastava:

No. Why? See, if they are bidding for system integrator, we will compete with them. If they are subsystem supplier, we will collaborate with them and get. So, it is all collaborative approach.

Where they compete, we will compete. Where they are part of supply chain, we will collaborate and we get. Our objective is to give value for money to our customers. So, no issue.

Abhijit Mitra:

Okay. And the potential order inflow in radars that you see over the next four years - five years?

Bhanu Srivastava:

See, if you radar, we already got one of the biggest order in MPR

in 2022

-

2023, around INR2,500 crores. Then, there is an upgrade programs, which is there. Because of the introduction of 5G, there will be a need for upgrading existing radar in S

-

Band to minimize that interference between 5G frequency and this radar frequency.

That is one business opportunity. And there are other radar programs also, which are in pipeline. So, let us see exact number. Because services have not progressed, it will be difficult for me to tell you exact numbers. But yes, they are in the process. We are working on that. One of the biggest was a high power radar, of course, which was evaluated in L&T and ELTA. That what collaborators or partners, they were shortlisted. So, that is one

where we are not there as of now.

Abhijit Mitra:

Got it. That's all from my side. Thanks.
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Moderator:

Thank you. The next question is from the line of Gagan Thareja

from ASK Investment
Managers. Please go ahead.

Gagan Thareja:

Sir, the first question is around potential available scope of work in helicopters.

HAL has a
very sizable pipeline of utility and combat helicopters. Likewise, there is a very sizable
program
for towed artillery guns as well. So, is there scope of work in the electronic systems
for these, for BEL? And can you elaborate, the size of any?

Bhanu Srivastava:

See, we are working with HAL for especially that, missile warning and countermeasures and
a
vionics portion. So, yes, there is some work share, which are likely to be coming to us from
HAL side. As far as towed artillery gun is concerned, it is being done by some private sector,
isn't it? Bharat Forge or somebody. So, I am not very much aware abo
ut this.

Gagan Thareja:

And for the helicopters, what could be the portion of the missile approach warning systems
and other display systems?

Bhanu Srivastava:

At this point of time, I am not will able to tell you. But once it progresses and some definite
number comes, we will share.

Gagan Thareja:

Okay. And you have created some provisions for damages and this has pertained to supply
chain issues, chip shortages and so on. Have these issues been resolved completely now?

Bhanu Srivastava:

More or less to a
large extent, it is resolved. But in some cases, still challenges are there.

So,
anyway, challenges will be there. We are addressing that.

Gagan Thareja:

And the fourth negative lists that the government bought out, there are now systems components or even

finished assemblies, which are supposedly ordained for being done locally at stipulated cut

-

off timelines. How does that increase? Does that in the first case increase your potential opportunity size? I presume it would. And if you could elaborate on, what do you foresee

additionally coming from?

Bhanu Srivastava:

There are two types of positive indigenization lists, issued by government.

Four indigenization

list, positive indigenization list is for services, where equipments are listed, which cannot be imported by services, beyond a specific time frame. So, that will definitely help. There are many products in that, where they are importing and now beyond that, they cannot import. So, we are working on those, how we can upgrade, indigenize and whatever we do so that, we get

larger share of the business. So, definitely it is very helpful to our Indian industry because henceforth, if there is no opportunity for importing, so they have to source it from Indian sources, whether BEL or any other Indian source. So, this is a business opportunity.

Second thing is that four positive indigenization list for DPSU, where government has asked us to specify, what are the items, we are importing and by what time, we will stop importing, we develop or indigenize and get it

from local sources. So, that will help Indian industry. We are working on that because this list is based on the commitment given by DPSU.

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So, we have given commitment to government that, these are things which we are importing now, we will be indigenizing by this time and henceforth, we will be sourcing from local vendors.

So, that will definitely help Indian industry, local industry.

Gagan Thareja:

Would that mean that, your localized or indigenous content of what you supply will keep on increasing and if so...

Bhanu Srivastava:

Our endeavor is always to increase that indigenous content.

Gagan Thareja:

Would that portend better gross margin for you, going ahead in that case?

Bhanu Srivastava:

To some extent yes, but then more indigenization, then customer also will put pressure on your pricing also. So, it's not like, all that margin built is passed on in our financial performance. More indigenous content, then we have to pass it on the benefit to our end customer also.

Gagan Thareja:

Sir, final question, there are very large programs for tactical communication systems and battle field management systems, where I think you were in consortium with some private entity. I don't know, what's the status of those programs, I just wanted to understand, where do we stand?

Bhanu Srivastava:

This TCS program started way back in 1994, it was called TCS 2000 but still going on, so lot of iterations have happened, we have made the test bid also. There were two consortiums, one was led by BEL and another was by major private sector, I think L&T, Tata and HCL. So, it is going on, discussions are going on, government is in the process, so once it is finalized, we will see.

Gagan Thareja:

Thanks, I will get back in the queue.

Thank you for taking my question.

Moderator:

The next question is from the line of Deepak Narnolia from Birla Sun Life Insurance. Please go ahead.

Deepak Narnolia:

Hello, sir, I am audible?

Bhanu Srivastava:

Yes, please go ahead.

Deepak Narnolia:

I have two questions, one is regarding your cash flow, there is significant dip in your operating cash flow in this year, it has reduced to somewhere INR1,000 crores from somewhere around INR4,000 crores last year. So, what is the specific reason for that

and is there any working capital built up in the year or number one and number two is, you have made guidance of 17% revenue growth in this year?

Your order book is up only 5% and in that also, significant orders were received in the month of March, this year, those were tail ends and last year also, your order book was up only 3%. So, what is giving you confidence of this your higher revenue guidance and is the project cycle, project completion cycle is lower in the mix of the order or is there any spec

ific reason for that, you will receive any short term kind of order or something like that? So, these are two questions from my side.
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Damodar Bhattad
:

See, as far as the cash flows are concerned, so, say that last year, our cash balance was around INR 7,500 crores and the current year, we have ended the year with INR 8,000

crores. So, overall there has been a positive cash flow during the year and the receivables in inventory front also, more or less the number of days has been same. The volume has, the value has increased but in the terms of number of days of product value of turnover and production, it has remained almost the same levels.

So, we don't expect any cash flow issues as of now and there are no budgetary concerns from the government also...

Deepak Narolia:

Sir, I am talking about operating cash flow, sir. Operating cash flow has gone down?

Damodar Bhattad

:

Operating cash flow specific thing, I can just maybe get back to you in some more time, okay.

Deepak Narnolia:

Okay, and about the second question, sir, in revenue growth.

Bhanu Srivastava:

See, revenue growth, we are projecting a very healthy revenue growth of around 17%, for this year. As far as the order inflow is concerned, as of now, we are projecting INR20,000 crores plus, which are there in the pipeline. And in the course of the year, if something more comes, we will revise that estimate.

Deepak Narnolia:

Okay.

Moderator:

Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore:

Okay, my

first question is, when is the provision with respect to pay revision likely? Which financial year?

Damodar Bhattad

:

,

27, is the next revision due '27, January. The last revision was in 2017, it is for 10 years. The next revision will only be in 2027, January. As of now in the next three years

-

four years, there are no such pay revisions, which are there except for normal increments and dearness allowance increase.

Sumit Kishore:

Okay, and secondly, what was your expenditure on R&D in FY '23? And on R&D in general, would the growth in investments in R&D continue, to be a certain percentage of revenue? Or profits or would that intensity moderate?

Bhanu Srivastava:

See, normally we have been spending around 7% of our turnover on R&D. R&D is a very high priority area for Bharat Electronics. This year we spent around INR1,088 crores, which is around 6.25%, so slightly lesser. But we target to increase it significantly to reach it in the range of 7%, in this financial year.

Sumit Kishore:

Okay, and as the company is getting bigger, the absolute R&D investment is a fairly big number. So, in terms of, the key outcome of spending, say, INR11 billion on R&D this

financial year, so could you give us some qualitative color, what...?

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Bhanu Srivastava:

I will just brief yo

u, how is our R&D structure. We have a three

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tier R&D structure in BEL.

One is that highest level is Central Research Laboratory, one we have in Bangalore and one we have in Ghaziabad, where close to 700 scientists are working. They work on futuristic tech

nology. They work on technology, which are going to develop, are going to come in next two years, three years, five years, 10 years. These are the focus

--

there are focus area for them

and key futuristic technology. Then we have a Product Development and Innovation Center,

again manned by around 450 to 500 engineers and scientists, who work in various modules, systems and subsystems, which are utilized across the company for different products, which we offer to customers.

Then every strategic business

unit, which has got its own development in engineering or R&D,

whatever you say, who are responsible for developing and making and proving, trial evaluation and offering the end product and solution to the customer. So if you see that, total all three setu

ps, we have close to 2,700 engineers and scientists are working in Bharat Electronics in R&D front.

Sumit Kishore:

So, I mean just to understand the productivity of R&D spending that Bharat Electronics has been doing, what percentage of the revenue that Bh
arat Electronics had in FY '23, was driven
by in

-

house R&D? I know just I don't
know

whether it's possible to answer.

Bhanu Srivastava:

In earlier response to earlier question, we say that around 40%

-

45% our products are normally from DRDO technology, around 30% from our own technology, around 20%

-

25% from TOT.

Now if you see in all three segments, it's not like the product comes and we sell. There is always a very high amount of value engineering, which is required or value addition, which is required by local R&D to make it suitable for the end customer. So even if it is a TOT, lot of technology transfer, technology absorption and TOT also, work share arrangements are there.

Today you cannot take 100% TOT and supply it. If you take a TOT like LRSAM, in some of the areas even 40%

-

45%

-

50% is our indigenous technology, where our R&D has worked. Similarly DRDO, DRDO it is a co

-

development, it's a DRDO technology but our scientists and engineers are working with DRDO on this technology to realize these sellable

products.

Bhanu Srivastava:

So all these contributions, they go from our R&D only and that is the reason why we are the preferred partners of DRDO, on many technology development programs because of our strength in R&D. So that way you see that, all 100% revenue, what we earn, there is a contribution from BEL R&D in every front, whether it is a TOT, whether it is a 100% in

-

house development or it is a co

-

development with DRDO.

Sumit Kishore:

Sure. And for the benefit of DRDO R&D that we get, we do not as such pay any specific royalty or any payments or nothing is expected also in future?

Bhanu Srivastava:

No. PSU, that earlier for some time, there was a royalty provision but now it is withdrawn. If end customer is

Defence

or

Government

Services or Government of India, no royalty payment is required.

Sumit Kishore:

My last question is in relation to BELs competitiveness, when it comes to export or to participating in the export market. So we have been hearing about potential of Akash export to other friendly countries. Is there any progress or over the next five years, with all the R&D that BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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we do and the competitiveness that we have, what kind of export opportunities the company should target or is targeting?

Bhanu Srivastava:

See, we are

targeting very aggressively for exports like, what we say that \$48 million, 2022

-

23

. This year we are targeting around \$90 million to \$100 million. We are participating in various programs, various discussions with customer, going as a part of government delegation

also to make sure that we get significant export order. But if you see per se, the export of defence

contracts or

defence

contracts or

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contracts or

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products, it is very, very typical ecosystem for a

defence

contracts or

defence

, which is

not like any other product. There are many, many factors

that play a role in getting a

defence

contracts or

defence

contract, including availability of line of credit to foreign services, what is the geopolitical situation, what is the contribution at G2G level, which country has got, what influence.

So cost competitiveness is the

one factor for deciding from where that these countries they will

be sourcing the

defence

contracts or

defence

equipment. It is not the only factor for
defen
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port. So we are
working on that. Our aim is in line with Government of India to increase the export, but it is
no
t one plus one is equal to two.

Sumit Kishore:

So those are my questions. I wish you all the best. Thank you.

Moderator:

Thank

you. ladies and gentlemen, this will be the last question for today, which is from the line
of Umesh Raut from Phillipcapital. Pl
ease go ahead,

Umesh Raut:

Thank you so much once again. My

question is related to LORA Weapon

systems, where

we
have done
, MOU with
Israeli

Airspace industry. I just wanted to understand, potential
opportunity out of this MOU, for the LORA
Weapon

systems.

And secondly, we also did
offset contract agreement with the Thales
defen
c
e

system, where I believe, the contract is not
yet signed. So what is the potential over here?

Bhanu Srivastava:

See, LORA, we have signed an MOU, discussion is on. IEI has visited
also our facility and we
are continuing with discussion. So if there is any opportunity, IEI, we are partner with IEI and
jointly we will address. So that is on LORA. As far as Thales, we are a partner to them in
supplying that T/R modules to their export
businesses. We have a separate dedicated
production line in

BEL

to meet the requirement. So it's not like one contract, contract keep on
coming. We have existing contract also, where we are supplying and the new requirement also

we are working on that.

Umesh Raut:

So, sir, LORA weapon system, the demand will be respective of indigenous technology or is it?...

Bhanu Srivastava:

See, any import what you do, services requirement, there is a requirement of indigenous content in that. So LORA also, when customer

gives the requirement, he will specify how much indigenous content he is expecting. So we will work with IEI together that, how to meet that requirement of indigenous content and offer the item to services.

Umesh Raut:

Okay, sir. Thank you so much.

Bhanu Srivastava:

Thank you.
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Moderator:

Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to Mr. Amit Shah for closing comments. Over to you.

Amit Shah:

Yes, I would like to thank the management for giving us the opportunity to host the call and would also like to thank all the participants for joining us on the call. I would request the management to make any closing remarks, post which we can conclude the call.

Bhanu Srivastava:

Thank you to all participants, including host. It has been a good time for us giving replies. Yes, on few, one or two, we are not very sure on the reply. We can, person can contact us separately

like Uttam Radar, I think we are not updated. Others, we tried our best to give you whatever realistic situation is there. I can only assure you that, we will make all efforts to take BEL to next higher level. Whole management team is working on that and meeting the customer requirement. Whatever projections we are given, that are, we are very confident that, we will be meeting those guidance. Thank you.

Moderator:

Thank you very much, sir. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.
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Call: Aug 2023

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fŷTTŷ/ Date: 02.08.2023
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Dear Sir/Madam,
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Sub: Transcript of the Conference Call with Inves tors/Analysts held on
28.07.2023.
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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find enclosed herewith the transcript of the conference call hosted by Elara Securities (India) Private Limited on Friday, 28th July, 2023 at 10.00 a.m for discussion on Financial Results for the quarter ended 30'h June, 2023.
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For your kind information, the aforementioned transcript is made available on the website of the Company www.bel.india.in under Investors - Stock Exchange Disclosure tab.
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Company Secretary
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Moderator:

Ladies and gentlemen, good day and welcome to the Bharat Electronics Q1 FY24 earnings
conference call hosted by

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d. As a reminder, all participant lines

will be in the listen

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only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing

star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from

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Thank you and over to you sir.

Harshit Kapadia:

Thank you Zi
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orn
ing, everyone. On behalf of E
lara Securities, we welcome you all
for the Q1 FY24 conference call of Bharat Electronics Limited. I take this opportunity to
welcome the management of Bharat Electronics, represented by S
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Bhanu Prakash
Srivastava, Chairman

and Managing Director,
Shri Damodar

Bhatta
d
, Director Finance and
CFO, Mr. Sr
ee
nivas, Company Secretary, along with their team members. We will begin the
call with a brief overview by the management, followed by Q&A session. I'll now hand the
call to Sr
ee
nivas, sir, for his opening remarks. Over to you, sir.

Management:

Thank you, Mr. Harish. I would request our CMD, sir to kindly make the opening remarks.

Bhanu Srivastava:

Good morning to all of you. Bharat Electronics Board of Directors has approv
ed th
e Q1 results
yesterday evening. We have been
—

turnover has been increased to 3447 crores, which is 12.51% higher than previous quarter's figure of INR 3,064. There has been significant increase in PBT, PAT, EBITDA, and earnings per share and other financial performance. Our order book position is INR 65,356 crores. Now prospects are looking good, results are available on our site. So we welcome the questions.

Moderator:

Thank you very much. Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead with your question.

Amit Dixit:

Yes, hi. Good morning, everyone, and congratulations for a great set of numbers, sir. I have a couple of questions. The first one is essentially on the order in flow that we can expect during the year. Now the year started with a bank for you with the order in flow of roughly 8,090 crores in Q1 FY24. Going ahead I believe there are orders for you know a few bits for Indian Army 4,500 crores apart from some other platform. So if you can just highlight you know whether the number that you guided last time to 3,000 crores that is still remains or there is a chance that it will be exceeded?

Management:

No, we hold by order in flow in this financial year around 20,000 crores and any significant change if it happens in future we'll let you know. But as of now we are confident that we will be able to receive 20,000 crores

plus

order.

Amit Dixit:

Okay so any ideas of when we will be getting this long

- term future order from Indian Army and some if you can just let us know that for apart from the fuse order, you know, other

Swat, h, i, Radar and all, when these orders will come.

Management:

See, this is a fuse, PNC is concluded, and then the process under MOT. So it takes its own time. So we'll come to know when order is approved and we sign the contract.

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Amit Dixit:

So six mont

hs from now or I mean it would be like a

Management:

Process is such that internal file movement we cannot track it

.

We cannot tell at present we can

tell maximum it will be six months and what we anticipate is maximum is six months within which it should

come. That is the maximum period we are expecting it.

Amit Dixit:

Okay, okay sir. I have other questions, I'll come back in the queue. Thank you and all the best.

Moderator:

Thank you. Our next question is from the line of Harshit Patel from

Equirus

Securities

. Please

go ahead with your questions.

Harshit Patel:

Thank you very much for the opportunity, sir. My first question is on our content that we provide in light utility helicopter and light combat helicopters, because I think these two platforms

are going to be produced in bulk, and therefore will be a recurring revenue stream for us. So what are the systems that we provide to H

A

L for these platforms, and what would we share in the overall value of a helicopter?

Management:

See we are still in discussion with HAL so at this point of time it is premature to give you figures but once we

move ahead we'll let you know.

Harshit Patel:

Sure sir but then in ALH group I think we would be supplying quite a lot of avionics products. So if you can elaborate, so we can take a cue from that as to what we will be providing.

Management:

I told you at this point, I think, see, all discussions happens unless we move ahead and then travel some distance, it's premature at this stage.

Harshit Patel:

No problem, sir. So

my second question is just from the question of the earlier participant. If you can highlight four or five large orders, those are in the pipeline where the CNC process is going on, where the EON process is going on, and these orders will be realized probably next one year's time. So if you can give that pipeline it will be very helpful.

Management:

Yes, as I told one is that fuses, then orders in pipeline are that electronic warfare for ship based system around

1,000 crores

plus, roughly 1,000 to 500. Then around 6,000 crores

plus are bare

- nominated equipment, which we will get from various NGOPV and other vessels, where that MOD has placed the order at March end to GRSC, GSL, then Larson and Toubro, then Fleet Supporter, which is also likely, this HSL is also likely to get. So around 6,000 crores are, will come from that.

So 8,100 plus we have already got. So major if you see 6,000, 1,500, and then 4,500 in print. So it reaches near 20,000. Then the small, small order, some spare order, small equipment, something, it keeps on coming.

Moderator:

Thank you. Our next question is from the line of Sumit Kishore from Axis

Capital. Please go ahead.

Sumit Kishore:

Can you give us a sense on what are the... what is the status on big ticket prospects like QRSAM and MRSAM, which you mentioned could get awarded over a FY

25 time frame.
What is the progress around these two large contracts?
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Management:

See QRSAM's trial reports and all has been submitted by two armed forces and we have given some rough order of magnitude pricing also. What will be the likely pricing based on the likely configuration which on which they are working

So post that now they will be working on that AON pricing and AON proposal statement of case and also that will go through

Sumit Kishore:

Okay

So is it reasonable to expect that this can come over a FY

25 time frame

.

Management:

Yes it is reasonable as of now

.

Sumit Kishore:

And this will be like a

INR

15,000

crores

kind of a contract in terms of ticket size?

Management:

It's difficult to say exact value. Yes, it depends upon how many regiments army takes. But yes, let us see. But what you say that in public domain and I can say reasonable

,

because these are

the figures is exactly depends upon what configuratio

n

,

what item

,

what they want to take

.

So

it keeps on changing

.

Sumit Kishore:

Yes

and anything separately on MRS

A

M

?

Management:

MRSAM also some discussions are there, but it's initial discussion stays only.

Sumit Kishore:

Okay, so QR

S

AM is much ahead of MR

S

AM in terms of progress

?

Management:

It looks like.

Sumit Kishore:

Okay, and then the second question is on the receivable position and cash and cash equivalents as of June 2023, if you could give us an update

?

Management:

Receivables position is around

I

NR

7000 crores. It remains around the same levels as of March year and cash position is also reasonably good. As you know, half

-

yearly

we do not disclose

the balance sheet as

set

, but cash position is also reasonably good. There are good inflows, there are n

o budgetary constraints. So we are maintaining the same receivables and cash position is also good.

Sumit Kishore:

Okay, finally, sir, last year you had mentioned that there was some spill

over of revenue from

fourth quarter of FY

,

22 to first quarter of F

Y

,

23

,

because of some semiconductor shortage

related issues, which had impeded revenue booking in fourth quarter of FY

,

22. Despite that,

we see that there has been a 13% top

-

line growth on the Q1 base of last year. So that's a very

strong execution, I wo

uld think. So you would say you are well on track to achieve your 17%

growth guidance for the year?

Management:

Yes. We are well on track.

Moderator:

Sorry to interrupt. Mr. Sumit Kishore, may we request you to rejoin the question queue for follow

-

up quest

ions

,

as there are several participants waiting for their turn. Thank you. Our

next question is from the line of Charanjit Singh from DSP. Pl

ease go ahead.

Charanjit Singh:

Hello, sir. Thanks for the opportunity and congratulations on good set of numbers.

So, sir, my

first question is regarding the non

-

defense sector or the, civilian sector. So, what are the kind of

businesses in the

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of opportunities you are seeing there? And we had done a lot of work in terms of airport security control and metro

-

related work.

When can we see

the ordering starting from that

particular segment? That's my first question.

Management:

Last time also I told that this takes time. So metro segments like IATS, we have already

delivered one system, it is in operations. So now when future metros and when

ever they are

going to upgrade, there is an opportunity. Similarly, on other products of metro where we are

working like developing CBTC and Super SCADA and simulators in all it will come in phased

manner and related business opportunities are also coming

.

B

ut in my opinion significant business it may take one to two years minimum

,

where it will be

impactful what you say that revenue opportunity will be there in this segment. Similarly in

civil aviation also we are working with AI

.

So there also development and trial stage

.

So there

also after maybe one or two years you will see significant.

Management:

All these things say it is still the initial stages

.

So definitely it is

--

it may take at least a couple
of years to get some materialization on this. But we are right on track

.

Charanjit Singh:

Okay. S

ir, in terms of the exports, are we seeing any further incremental opportunities coming for us? And we understand that there have been targets given for the defense

several PSUs to scale up
export

ports in next two years significantly. If you can touch upon that part and how is this pipeline building up?

Management:

So you are absolutely right. Government is very aggressive on export and we are working closely with the MoD to increase our export and

that's why a lot of interaction, discussions are going on with our friendly countries and target markets. We are in touch with our defense attaches, our foreign offices are also working. We are giving them details, we are meeting them. So process is on and that's why if you see in this year we are targeting a much better export value than what we targeted last year around USD 90 million.

Last year we did around USD 46.8 million. So this year USD 90 million and then significant increase keep on, we will keep on achieving.

Charanjit Singh:

Okay but what sort of opportunities are we seeing? If you can you know give any further details

Management:

In these defense contracts, opportunities, you know our product range, so it will be in the same range also, but once it is finalized, because there are other global players also who are targeting the same market. So it is not proper for me to divulge that. Product details are on areas where we are working with them. Once we get the order, we'll share with you.

Charanjit Singh:

Okay.

And so just lastly, in the past, you also shared about our area of focus in terms of SAS,

and we're trying to scale up in that segment. So any further update?

Management:

Yes, software.
Yes.

Charanjit Singh:

Software service, so any update on that?
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Management:

Software service we are scaling up, as you are aware we have opened a software center in Vishakhapatnam also. But our, as of now our major software contribution is towards our own offering to defense forces. So that we can add value which can improve our profitability.

Outside also we are leveraging, but outside other area, unless we are very strong on our

own
core competency and
for

services, other area will wait for some time.

Internal development is also helping us a lot because our internal software group does the thing for the equipments group. That helps us a lot in maintaining our margins

also.

Charanjit Singh:

All right, sir. So thanks a lot for taking our questions. All the best for the future. Thank you.

Management:

Thank you.

Moderator:

Thank you

. Our next question is from the line of Sarjeet Yadav

from Mount Intra Finance.

Plea

se go ahead with your question.

Sarjeet Yadav:

Good morning, sir. Congratulations for the good numbers. I want to know about the execution which you're looking at for durin

g this financial year. We had an order book of

INR

60,690

crores as on 31

,

March, and about

INR

20,000 crore

s orders are expected during

--

h

ow much

of these orders will we be able to e

xecute? This is first question.

And second question is, we signed a large

number of MOUs during last one year. Any of these

MOUs you see converting into

orders or any opportunity size?

Management:

We are right on track as we have given a guidance of around 17% revenue growth, which translates to sales turnover of around

INR20,0

00

crores

-

plus in this financial year. So we are

on track because that is based on what order book we had in on 1

,

of April. As of now, you are

aware,

INR

65,356

crores

as on 30

,

June we had ordered. So execution right on track based on

the requirement of our customers. Because it's not like all orders can be executed at the same

time. It depends upon the terms and conditions of the contract, when it is required by customer,

what

are the conditions.

Many new contracts, they involve first proving first production model and then after only bulk

supply. So taking care or taking into consideration all these requirements of contracts what we

get 17% growth that's what we projected amounting to
INR
20,000 crores
-
plus revenue this
year and we are right on track as far as execution is concerned.
What was your second
question?

Sarjeet Yadav:

My second question was that we signed a number of MOUs last year....

Management:

So MOU, we have signed,

see, but

it takes time to convert MOU into revenue generation. So
we are working these, these most of the MOUs are in the base of co-
development working on
different solutions. So it's a time-
taking process. We are working on that. Impact of that will be
really visible in next couple of years.

Sarjeet Yadav:

Okay

,

sir

.

Thank

you very much.

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Moderator:

Thank you

.

Our next question is from the line of
Dipen Vakil

from
InCred Equities

Please go
ahead.

Dipen Vakil:

Thank you so much for the opportunity and congratulations on a great set up number. So my first question is on the non

-

defense segment of our revenue. So how much is the contribution from the non

-

defense and specifically from the EVM and VVPAT machines that are expected this year? And what kind of margin do we have

in a non

-

defense segment?

Management:

See, non

-

defense sector EVMs will be around INR800 crores to INR900 crores this year. I think,

Management:

For the current quarter per se, the EVM, VVPAT and defense, non

-

defense was in the ratio of 75 %

,

25 %

for the current quarter because we have sold more EVM,

VVPATs
for the

forthcoming elections. But for the year as a whole, the ratio would be around 80

%,

85% in

Defence and around 15

% to

20% in Non

-

Defence. It's around that range. 15

% to

20% will be,

15% could be because of the EVM

VVPAT

, 15% will be in Non

-

Defence. 15

%

and 85

% in

Defence.

Dipen Vakil:

Okay, so from EVM and...

Management:

Margins are c

oncerned as you know, we don't dis

close the segment

-

wise marg

ins.

Moderator:

Mr. Dipen, may

we request you to use your hands

et? Thank you.

Dipen Vakil:

So, and the second thing is on the

,

we

ended FY

,

23 on a strong cash balance. So, any capex or

an

y capex guidance for this year?

Management:

Capex guidance remains at around

INR

700

crores

to

INR

800

crores for the current year.

Dipen Vakil:

So, that is mainly maintenance capex or any growth capex?

Management:

No, growth capex is also there in that. Maintenance of course will be there, some of the maintenance will also be there and there are some growth capex, there are large infrastructures coming up. So it is a long

- term growth, not that it will give growth in one or two years because there are some buildings which are coming up, infrastructure development, all this will take some time to fructify . But obviously it's a mix of both, maintenance also and augmentation as well as the fresh additions, both are there.

Dipen Vakil:

Okay. Thank you so much, sir, for answering our questions and all the best for FY

'24.

Moderator:

Thank you. Our next question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

Jonas Bhutta:

Good morning, sir. Thank you for the opportunity. A couple of questions. Firstly, can you talk about the employee cost?

Yes

, so on the employee cost, even on a

Q

-

on

-

Q

basis, there's some jump in the employee cost. So, if you can explain that?

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The second question was on, we made some large provisions in the last two quarters of
FY
'23,

is there an element of write
-
back that is expected in the current year?

And or do we

expect further more provisions
,

pertaining to that one or two projects that sort of
like that? And the last question was on other income, again that's seen a spike so does this also
quarter include dividend from subsidiary
,

if you can quantify that.

Manag
ement:

On the first question the employee benefit expense increased from
INR
576 crores to
INR
623
crores it's a normal increase of DNS
,

allowance and some contract labor

--

some extra contract
labors have been put
,

so those that sort o
f things. Nothing much

on actuarial
impact is there on
this. So it's just normal increase of around 8% in salaries. It's normal increments, dearness,
allowance, and other contract people joining. So it is on those things.

As far as sala
ry is
concerned, not much actuarial
impact

is there in the first quarter.

And as far as your second question was on provisions
?

Provisions

wr
it
e

back on the provisions
made during the last two quarters of 2022
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23, there is not much right back as of now. We
are taking up the cases, but the succes
s will depend on in only the time to come we will be
knowing how much success we are able to achieve in that manner
,

but we are as of now there
is no right back out of that.

As
the
further income is concerned
...

Jonas Bhutta:

F
urther

creation of provisions
is required for those projects that led to that project?

Management:

Yes, definitely because as I was telling earlier also once that things enter into a LD zone then
obviously it continues to be in the LD zone and we will be incurring LDs on those projects

which have already entered into LD zone, even if the execution is in the current financial year.
Attempts are being made wherever possible that where we feel that we would be able to get it,
but that takes some time.

As of now, definitely there will be fu
rther provisions on that account,
there is no doubt on that.

And as far as other income is concerned, it is mainly, there's no interest in the income from the
subsidy this time dividend income except for some

INR2
crores last year it was
INR
78 crores
and
it is mainly because of interest
income has increased
.

Interest

income last time,
this time it
was
INR
78 crores now it is
INR
132 crores so because of the interest income increase other
income has increased
.

Jonas Bhutta:

Got it, thank you sir

and

a
ll the
best.

Moderator:

Our next question is from the line of Amit Mahawar from UBS, please go ahead.

Amit Mahawar:

First is on the expansion that we are doing on six
to

seven locations across Pune, Mangalore,
Nagpur, etc
etera, i

f you see the capacity expansion
, also we are maybe adding a lot of tests in a
line so it has been a restraint for us in revenue building, etcetera.

And d

o you think FY25, next

two, three years, the revenue run rate can increase because of this? Because I think this year
you're
going to

execute LR

S

AM completely and voting machines, etcetera. So does that call

for much better revenue building in the next two, three years? That's my first question.

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Management:

See, as you are aware, new electro

-

optics company is coming, building is coming in Nimaluru.

EW systems for land

-

based, that EW equipment is coming in Ibrahimpatnam, Nagpur for a huge

complex. So major expansion in Hyderabad unit for microwave component. So yes, definitely this will help in execution of the project.

As of now, what we see is

,

revenue growth in the region of around 15

%,

17% in next two

years, depending upon what is the order in pipeline because all these orders are not executable in one year even as per contract

,

so even if whether it is QRSAM or any other big ticket programs also come their execution time is normally three to four years.

LRSAM will be tapering off then QRSAM will come. ACARS will take off, that's what we got from VDL. So revenue growth will be in

the same 15

%

, 20

%

, somewhere 17

%

, 18

%

, that's

what we, it will be in that range, that will be.

Amit Mahawar:

Fair, fair. And second and last question is on the prospect pipeline and the impact on order book. The last two, three years, we're building visibility by the orders that we're getting. Do you think in next two years, it is possible for us to reach an order, closing order book position of 780

billion

, 800 billion? And you can tell us on the conservative estimate of Q

INR

I know it's

too early,

immature

to

understand how, what value will come for QRSAM next year

.

But in a

fair conservative assessment, do you think in March 26, you can be 800 billion order book?

That's my final question, sir. Thank you.

Management:

Today we are in 650 billion,
INR
65,000 crore
es. And as you have told, we are planning for a
growth of around 15%, 17% this year and maybe around same 15% in the coming years. And
much will depend on that 700 billion or 800 billion much will depend on any large

ticket
orders coming.

In the normal course of orders coming, the order range is likely to be in this range only. If any
large

ticket order comes, then definitely that could make a slight jump in the order position.
We've made it materialize before that time.

Amit Mahawar:

Okay. Okay. Thank you, sir. And good luck.

Moderator:

Thank you. Our next question is from the line of Mr. Ankur from HDFC Life. Please go ahead
with the question.

Ankur:

Yes
. Hi, sir, good morning. Thanks for your time as always. And just continuing with

Amit's
question, when I look at our order book between

20 to

23, you know, so we were at about
INR
52,000 crores in

20, went up to about
INR
60,000
crores
in

23. This year also assuming
we do
INR
20,000 crores of orders and other revenues, we'd probably
be flat, right, in terms of
the order book on a Year
o
Year basis around that
INR
60,000 crore
s

number. Plus, you know, even
the orders we get this year, for example,
if fuses

is more lik

e a 10 year order, the

[
inaudible

0:28:15

]

is mor

e like a four, five year orde

r.

So, you know, I'm just struggling to understand, you know, how do we really, I mean, with our order books kind of flattening out, top line obviously between 20 to 23

—

FY23

when he went

up from

INR22,000 crores

to now we are at

INR

20,000

crores

top line

. So you know, with Sf/-dc1 grr)ctCH<i?ct-<H

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more growth in order book, I'm just struggling, how do we kind of get that confidence of 15% growth?

Management:

No, growth will be there. See, this year we are projecting an order inflow of around

INR

20,000

crore

s

. Definitely next year

it will be more. Because many platforms are coming P75I, that P76 programs are coming where we have indigenous content, where we are bar nominated equipments we are having s o and with country's

Atamnirbhar program

,

any big platform government is working o n that

,

there will be electronic equipment and we have got a very good opportunity to chip in that

.

So

it will continue government defense spending will increase our order book

.

Definitely it will not be flattening at
INR
20,000
crores

per year.

W
e are proj
ecting
INR
20,000 crore
s

plus this year. Definitely with QRSAM coming and maintenance order coming, it will be much more in the next financial year than what we are projecting in this financial year. With the QRSAM, what value is there in the market or what

you say then in public domain, definitely with QRSAM rectifying, our order inflow is much, much more than what you see in this financial year.

Ankur:

You know, fair, okay

.

But

let's assume even if you get that
INR
12
,000 crores
,
INR
15,000
crore
s

order for a QRSAM, maybe your order inflows go to about
INR
30,000
crores

odd for

,

25. But anyway, I'll take this offline, because your base, the revenue base itself has become so big, right? At

INR

20,000 crores plus, you need a couple of these larger orders to come through

and I guess you know even execution for these would be spread over five year,

seven years

,

right

?

Management:

S

ure

,

we are talking of the order book though we are talking of this QRSAM

and other bigger orders

,

there are also many last

c

hunk

of smaller orders

,

which keep coming

,

which have a

shorter ex

ecution

time

.

S

o what you are telling QRSAM

,

which will get

executed

in three

years

-

four years and so your revenue definitely it will be revenue will be spread for QRSAM

and other large ord

ers in three

years

-

four years but there are many other small orders which

also constitute more than 50% of the orders in flow

,

which are having only a cycle time of only

one

years
or two years of delivery
,

S
o it's a mix of both
,

that is point one.

Point n
umber two regarding your order book growth,
W
e hope to continue to maintain a two
and a half
years
to three years of order, revenues in the order book. Two and a half
years
to
three years, even in the coming years. Around two and a half to three years will

be in the
pipeline as far as the order book is concerned. This is what we expect to maintain at the end of
March
,
24,
,

25. It continues to be like that. Bec
ause it's a mix of orders both.

We are only talking of QRSAM, but there has to be again and again t
ell for any ship building,
we have got our share of orders. Any H
A
L gets

such as s
ubmarines, we get orders. H
A
L
a
ircrafts, we
get
orders
. S
o with all this, it's a combination and of course there are spares,
services, maintenance, all with a combination of
all this, it's a mix, though two large orders we
talk, many small orders also make the same numbers.

Ankur:

Okay, sir
,

Got it, thanks.
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Moderator:

Thank you. Our next question is from the line of Renu Baid

from IIFL Securities. Please go ahead with your question.

Renu Baid:

Good morning and thank you for the opportunity, sir. My first question is, can you update on what was the mix of exports during the current quarter?

Management:

Current quarter, the exports was around INR 87 crores in numbers. Of course , it's about USD 10 million we can take it. So please.

Renu Baid:

Sure. Secondly...

Management:

Rather INR 87 crores, approximately.

Renu Baid:

Sure. Secondly, can you also share some update on the large projects

,

which we are executing, LR

-

SAM, completion of IACC S

project, and Akash missiles. Where are we in terms of the execution timeline? As in execution in terms of percentage of the order

,

which has been completed. And update on the level of indigenization

,

which you have broadly achieved, or which is targeting to achieve this year for LR

-

SAM. Because we are expecting a higher share of localization to come through from fiscal

,

24 for this project ?

Management:

LR

-

SAM, we are right on track. If you see as per customer ship building program and if you see a plan for 2023, roughly around INR 3000

crores

order execution will come from

,

23

-

,

24 this financial year

.

A localization or indigenization continues overall will be around but it's all, there are various subsystems of LR

-

SA

M

. So some portion there will be a higher level of indigenization, some there will be less, but in the range

,

what we committed in the contract, we are meeting.

Renu Baid:

On IACCS and Akash?

Management:

IACCS also

,

we are right on the track because most of the delivery portion

,

it has been

completed. Now it's going through that installation, commissioning, our

ground nodes which are already operational. AMC is coming

S

o this is

a,

what you can say that

,

major supplies and deliveries have been completed. Out of INR

8,000 crores of the contract value in IACCS

,

the pending order as on date is only INR

2,000 crores

,

W

hich will be executed over a period of time.

Renu Baid:

Okay and Akash?

Management:

Akash, missile systems, the pending order is very less. We got the order of INR

5,300 crores.

It's a

most, it will be getting completed in the current year.

Renu Baid:

Got it. Sure, and lastly, can you share some updates on the developmental

project

,

which

you're working with DRDO for drones? By when do we expect the project to be broadly there and developmental or commercial orders coming to us?

Management:

Which one

your...

Renu Baid:

The drone project for which you are working with DRDO?

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Management:

Okay. Yes, see, this is under trial and it is not fair from my side to comment at this because the trial

is led by DRDO and we are a developmental partner along with the H

A

L. So it's better

that

,

their specific details are shared by DRDO.

Renu Baid:

Sure, but if we look from a

two years

-

four

year

s

perspective, what could be the size of these

orders that coul

d come commercially to us?

Overall for combining...

Management:

At this point of time

,

it is premature to tell because
company
government is already working
with the USA for the MQ

-

9B program

,

which is high

-

altitude

long

range, that platforms, then

these will

I be medium altitude and long range, that equipment. So let us see

,

what mix defen

c

e

services they want for this product. So value and all will be known only when we know the
strategic plan or that of services

.

Renu Baid:

D

one but largely we are into the

B

EL

category and not the

HAL

categories

,

s

o far

?

Management:

I just know

,

yes

. As of now, yes.

Renu Baid:

T

hanks much and all the best

,

sir

.

Management:

Right.

Moderator:

T
hank you

.

O
ur next question is from the line of Aditya Mongia from Kotak Securities.
Please
go ahead.

Aditya Mongia:

Hello everyone and thank

you for the opportunity. My first question was on gross margins,
which for this quarter have been higher than the 40
%

to 42% range that you've guided for the
full year. I wanted to check

,

whether the

stance on the
full year
guidance has in any manner
changed and if not, so is it more linked to this quarter having a higher EV
M

and
V
VPAT kind
of contribution that gross margins are higher?

Management:

We would not like to comment on whether it is an EV
M
and V
VPAT or what, but overall the
guidance remains the same that 40
%

to 42% gross margin for the current year and EBITDA of
21
%

to 23%. It is only the composition of various orders

,

which have been executed in the first
quarter

,

which has given a higher m
argin.

Going ahead, during the year

,

we expect to maintain the guidance

,

which has been given
earlier.

Aditya Mongia:

The second question that I had was more on the aspect of indigenization. From your last con

call
, I understand that
,

it may more be a volume impact rather than a margin impact. I wanted
to check with you
,

how to kind of think through the growth impact and volumes that can
happen for you over time.

For instance, when you are planning your next two

years
, three years of
c
apex,
how much
proportion of that may be going towards products that will get indigenized over time? Just
some sense from the growth perspective would be useful over here. Thank you.
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Management:

I think you're talking of
capex

.
Capex
, as we told, we are go
ing to keep it around, it will be
around
INR
700

crores

to

INR
800
crores
gross. Indigenization is linked to more R&D
expenditure, what you are talking of. C
apex
is linked to more infrastructure building, whereas
we have told for C
apex
for indigenization.

So

there is a C
apex
of
INR
700

crores

to
INR
800

crores
, which you are expecting to incur in
the current year. And R&D expenditure will continue to be around 6% to 7% in the current
year of the revenues. So R&D expenditure will lead to the indigenization, whic
h will continue
to give us the benefits in the coming years.

Aditya Mongia:

Could this be a meaningful growth boost on an annual basis for you next three
years
-

four
years

,

if you could give us some more colo
u
r?

Management:

Growth
on
in terms of revenues
,

you are talking?

Aditya Mongia:

Absolutely sir.

Management:

Revenues
,

we have already told
,

we are giving a guidance of 17%, we have an order book of
INR
65,000 crores and in the coming years also

,

we expect to maintain this order in
take
position and it
may further improve with last ticket orders. And with indigenization

,

we hope
to continue to maintain the margins that we have guided for earlier.

Aditya Mongia:

Sure, sir. Just a last question from my side.

The other income boost you kind of clarified for

the quarter. So, would it be fair to kind of analyze

se

the 1Q number for now?

Management:

Other income for the current full year?

Aditya Mongia:

Ye

s.

Management:

Full year, I am not able to tell you at this point

,

what will be the full year number. Current
quarter, yes, we have to have, we had some interest income increase. So, over the time, we'll
not be able to tell you exactly what will be the figure for the full year as a whole.

Aditya Mongia:

Got that. Those are my questions. Thanks a lot for your
response.

Moderator:

Thank you. Our next question is from the

line of Aman

V

ij from Astute Investment
Management. Please go ahead.

Aman Vij:

Good morning, sir. My question is on the fuse complex, the Nagpur

fuse complex

,

which we
are setting up. If you can

talk about the timelines and the capacities, what will be the capacities
for the year

after this expansion? What is it currently?

Management:

Fuse complex already first phase

we have done that is building the boundary and levelling and
all these things.

Now we are going for building construction

S
o tender and all are going

S
o
another two years

it should come. So it will address long

term fuse contact requirement and
any additional fuse business

which will be there apart from this long term.

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Aman Vij:

I'm sorry

what will be the capacity like? Will it be like 2 lakhs, 5 lakhs fuses per year

after
this capacity?

Management:

We cannot specify that exact capacity because capacity depends upon whether you can work in two shift, three shift, on
e shift depe
nding upon how

much.

Those are one thing. It also depends
on the requirement of the customer in that year. So if they require that much number, so we
have to work on only that many numbers

only

. It is that way also. It's not that we can produce
maximum in
one year and try to deliver. It's a delivery period is also stated. So we'll have to go
in accordance with the delivery schedule also.

Aman Vij:

No, sir, that is understood but we have talked about we are increasing from say
INR
100 crore
s

a year to
INR
500
crore
s

a year

.

S
o will that capacity be enough in one shift, two shift or three
shift at that new N
agpur
facility?

Management:

What we have
envisage
is that

,

the way we are building complex

,

there will be other products
also

,

which can be built

,

which are

by product are related with a similar type of item like fuse.
So and then construction, hangers and all will be built based on current requirements

,

which
can be scaled up further

,

if requirement increases.

Aman Vij:

But
sir,
for the next two years, how
will we supply the extra requirements

,

which we now have
compared to what we used to supply?

Management:

We have enough capacity to meet current requirement of the customer in our Pune unit. There
also

,

we have added lines for fuse and we will be able to
meet current requirement. Once this
comes up, we will shift that operations to Nagpur because Pune unit we are making some
many other products also. So, our objective is to once it comes up start manufacturing here and
utilize that space and this for other

products in our Pune unit.

Aman Vij:

What is the amount you are spending on this
Nagpur
facility

,

sir?

Management:

Nagpur around, overall it's around
INR
200 crores

plus

.

Aman Vij:

Over the two years combined?

Management:

Ye
s
.

Aman Vij:

Okay, and you
also talked about that.
”

Management:

Land and compound wall is already spent
there
. So another maybe
INR
100 crores could come
up in the coming this year and next year.

Aman Vij:

Okay, sure
, sir.

Last time you talked about that
...

Moderator:

Mr. Aman, may
we request you to rejoin the question queue for follow up questions.

Aman Vij:

I had only one question. Let me complete the second question and then I will come back in the
queue
,

if that's okay.
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Moderator:

Please go ahead.

Aman Vij:

Ye
S
. My second and

final question is, last time you talked about that PM
C was almost over
and we had one small issue

,
which needs to be resolved and it will be resolved
in the next one
month related to fuse
? So is that

Management:

Related to?

Aman Vij:

Fuse only.

Trials may.

Management:

You are talking about fuse [SMO 0:43:52],

okay. There is no issue now. This order is in pipeline. It is under process in MOD. It should come. There is no issue. As of now, there is no issue in fuse business.

Aman Vij:

Sorry,

when should it
come sir?

Management:

It's only MOD knows. If you
we
re in the beginning

we are told that it is

they're asking one
month

two months

we told maximum today's at this point of time or anticipation is
maximum. It should come within six months.

Aman Vij:

F
rom today?

Management:

From today. It is our anticipation today. O
kay.

Aman Vij:

Sure, sir. Thank you

for answering

Moderator:

Thank you. Our next question is from the line of Amit Anwani from Prabhudha
Lilladher

Please go ahead.

Amit Anwani:

Hi, si
r. Thanks for taking my question. My question pertains to export. you highlighted that

this year

we are targeting
USD
19 billion export. So that roughly comes about 3
%

to 4% of the
guidance

which
you
are giving for the
full year
. Just wanted to
understand, earlier we used to
talk about, raising exports to some 10% odd. So what are our targets for upcoming years on
export and what exactly

we are exporting, which geographies

we are exporti
ng, if you could
highlight that

a
nd are we targeting any n
on
-
defense export also?
Yes
, that is my first question?

Management:

See, currently we have an order for TR modules from
Thales
France, some electro

-
optics
equipments from
Israel
. We are also giving

to Airbus Japan something to al
lot of them also.
So

these

are equipments which are part of
[inaudible 0:45:46]

where we have, we are
manufacturing them, some of the items and supplying them
. Apart from that, we are also

--
we
have supplied to Maldives also, we have AMC from Maldives. We are also working with som
e
companies in USA for manufacturing their products in India.

Friendly countries we are working, we are offering like Vietn
am also. Our teams are visiting,

they have visited
in Nigeria, Brazil. So,
we are exploring, governm
ent is actively encouraging.
So,

we will be able to scale up,

b
ut export business in defense

it takes time. We are on track
,

but more visibility come with passage of time.
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Amit Anwani
:

Sir,
any t
arget in next three four years?

Management:

Reaching
10% will take quite some time which

is
not so that we'
ll be able to reach
immediately,
it's only a what to say long way
ahead
I can tell as far as exports is concerned.
Overall revenue growth we ar
e maintaining at 17%,
but exports has becoming 10% of the
revenues it will take some more time. It

will take quite some time.

Amit Anwani
:

All right, sir.
And for one JV which we used to talk about with Triton for a battery for I think
MHC

V or some I think for buses. So,
I think that wa
s about 8000
crores

order, a
ny update on
that?

Management:

There
was no JV, we signed an Mo
U and then we are supposed to give one set of battery. We
have already supplied to Triton. Triton is evaluating that. Let them come back and then based
on their business opportunity, we
will see that what can be done b
ecause we ha
ve to see what
[inaudible 0:47:45]

.
As we had indicated earlier, we have not factored much of that order book
from that, whatever comes out, we have not

factored in any of our this one
, because we do not
know, still it is under evaluation, and they need to

come back, and with exact more quantit
y
and values what they want. So,
presently we have not factored that particular order in our order
book.

Moderator
:

Sorry t
o interrupt Mr.Amit

Anwani, may we request you to rejoin the question queue for
follow

-
up que
stions. Ladies and gentlemen, in the interest of time and fairness to all
participants, may we request you to limit your questions to one or two per participant. Should
we have a follow

-
up question, we would request you to rejoin the queue. Thank you. Our
next
question is from the line of Vijay Goel from ICICI Securities. Please go ahead with your
question, sir.

Vijay Goel
:

Yes,
sir,
I have a couple of questions. The first is on
Uttam AESA radar
. So,
can you highl
ight
the status of these radars b
ecause we
understand that these radars

will be installed on
Tejas
MK1A

or upgraded
Sukhoi
. And since
Tejas MK1A

deliver
ies

will start from this year end, so
just wanted to understand by when we are expecting orders for Uttam radar and what could be
the size of this
order?

Management:

Uttam, I think there are two players in that one
private player and we are there. So,
we are
working on at this time I would not like to dwell on much details once we move ahead in some
visibility is there we'll let you know.

Vijay
Goel
:

And sir regarding this order book of 65,356 crores out of this how much it is for non
-
defense?

Management:

Non
-
defense constitutes around 6% as of now.

Vijay Goel
:

Okay, and what is the average execution period of this non
-
defense part?

Management:

Non
-
defense normally we are able to execute in one or two years. Non
-
defense they don't go
beyond that.

Vijay Goel
:

Understood.
Okay, sir. Thank you.
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Moderator

:

Thank you. Our next question is from the line of Prabir

from

Ratnabali

. Please go ahead.

Pra

bir

:

Thank you sir for the opportunity. I have two questions. First of all, I would like you to help us understanding the AEW and AWACS opportunity.

Management:

Not clear. Your voice is not clear.

Prabir

:

Sir, am I audible right now?

Moderator

:

Yes sir,

please go ahead.

Prabir

:

Yes

, I'm asking about the AEW and AWACS opportunity, as there's a significant gap between

India and its ad
visories

. The government has been planning for upgrading the AEW and
AWACS program. But then around 5,000

crores
, 6,000

crores of program, which is still
pending for, I think, five, six plat
form based on A330 aircraft. So,
I just want to understand
what is the st
atus and if I consider per

aircraft thousand crores orders, then what is our
contribution?

Management:

See our t
eam
--

this is in preliminary discussions and there are
other players also involved. So,
our t
eam also is working on that. So,
since other players are also involved, I would not like to
give comments on this.

Prabir
:

Okay, so my next question is, if you c
an break it up your current order book

of around 65,000
crores into defense and in defense
how much is the EW and w
hat is the portion of the space?

Management:

See, if you see around 6% is non
-
d
efense
and if EW
segment is around 15,000 crores.

Prabir
:

And

what about space, sir?

Management:

Space, we have not specified separately.

Prabir
:

So
, is the scenario of space, orders is well intact like

are they coming because we have been
hearing like there is some
--

there is some upgradation

if

the changes is h
appening from ISRO
point of view and that is why the order
inflow is not coming?

Management:

See,
ISRO our order from ISRO is not

very significant as of now let me say that w
hich have
any impact on this high value.

Prabir
:

Okay sir. Thank you.

Moderator
:

Thank you. Our next question is from the line of
Amit Bhinde

from Morgan Stanley. Please go
ahead.

Amit Bhinde
:

Hello, sir. Hello, can you hear me?

Moderator
:

Yes sir p
lease
go ahead.

Management:

Yes
, please tell.
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Amit Bhinde
:

So,
Yes
, sir, I wanted to u
nderstand what is the split of products and services in our order book
one, and within that, if you can also tell us how are we based on nomination
-
based contract, I
mean, the share of nomination
-
ba
sed contract in the order book?

Management:

Order book as
on today th
e nomination base is around 95%.

Amit Bhinde
:

O
kay
and
going forward as well this new order that we are expecting most of them would be in
the same category?

Management:

M
ost of them are nomination basis,
but some orders we are winning on compe
titive tenders
also, but value is not that.

Amit Bhinde
:

And how about the sp
lit

of production services?

Management:

Pro
duct and services is around
90
-

10%.

Amit Bhinde

:

90

-

10. Sure.

Thanks. That was helpful. Those were my questions. Thanks.

Moderator

:

Thank you. Going forward, we would request participants that we are restricting to one question per participant. Thank you. Our next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit

:

Yes

, hi. Thanks for the opportunity again. I have, my question is actually around

Tejas

program. So,

Tejas Mark 1A

,

M

ark II, et

cetera. Now this goes beyond your range that you

have mentioned. So,

I just wanted to understand what kind of value of production we can

expect from these programs,

our share. Just a ballpark number would do, sir, at this stage?

Management:

Tejas we

supply

Avionic

package, Mark A1, but exact value at this point of time I do not have with me.

Amit Dixit

:

No, sir, I was asking what's on the potential Mark 1A, Mark 2, AMCA, where

the requirement

would be

[inaudible 0:54:58]

?

Management:

Sorry, as of now, I don't have that exact value, because there are thousands of products where quotations are submitted. So, offhand, I don't have

I

can share it later.

Amit Dixit
:

Okay, sir

that's helpful. Thanks and all the best.

Moderator
:

Thank you.
Our next question is from the line of
Amit Mahawar

from UBS. Please go ahead,
sir.

Amit Mahawar
:

Yes, sir. Thank you again. Just
two quick questions. In the fuse

manufacturing facility, will we
do the course correction fuses?

Management:

Which one?

Amit Mahawar
:

I'm saying
in the
fuse manufacturing facility, will we also do the course correction fuses?

Management:

In fuses.
I am not able to understand your question. Please elaborate that.
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Amit Mahawar
:

I am saying in the new facility, will we also do manufacturing of course correction fuses, which basically enhance the capability of the equipment itself, on which we use the fuse?

Management:

I do not have that

detail, but yes, any products related with fuses on this line of business, we will be able to do
[inaudible 0:56:12]
.

Amit Mahawar
:

Sure, and thank you. And second and last is, to your response to Jonas's question on provisions,

will that in any way impact FY'

24, EBITDA margin guidance that you've given or there is no major impact?

Management:

No, we expect to maintain the guidance given 21%

to 23% EBITDA.

Amit Mahawar
:

Thank you, sir, and good luck.

Moderator
:

Thank you. Our next question is from the line of Aman

Vij from Astute Investment Management. Please go ahead, sir.

Aman Vij
:

Thank you for the opportunity again sir. My question is regarding

our recent tie
-

up with the
HFCL a
nd you have earlier alluded that currently the require
ment for
indigenization of fuses

is
like 20%, wh
ich we have

to take to maybe 50%,
60% over the years and I believe they are
also
into the same category. So,
will there be a contract manufacturer for us? Can we take

the
supplies

for them to help in indigenization?

Y
our thoughts regarding that JV

as well as specific
to this fuse portion which I believe is co
mmon between the two companies?

Management:

See, HF
CL, we have just entered into MoU, not JV. So,
we are working on area of common
interest and detail will be know
n later on.

Aman Vij
:

And on the common portion of fuses, sir, y
ou both have the same products?

Management:

L
et us go into de
tail. As of now, it's a broad MoU. So,
we'll work together and once things are
finalized, we'll let you know.

Aman Vij
:

Okay. Tha
nk you.

Management:

We ca
n take the last question with us
.

Moderator
:

That was th
e last question of our question

-
and
-
answer session. I now hand the conference over
to Mr.

Harshit Kapadia

for closing comments.

Harshit Kapadia
:

Thank you. We would like to
thank Mr.

Bhanu Prakash Srivastava

,
Chai
rman and Managing
Director, Shri. Damodar Bhattad,
Director of Finance and CFO,
S Sreenivas sir,
Company
Secretary for giving us an opportunity to host this call. We would like to thank all investors
and analysts for
joining us on this call. Any closing remarks, sir?

Management:

No, thank you very much.

Moderator
:

Thank you. Thank you. On behalf of
E
lara Securities P
rivate Limited

that concludes the
conference call. Thank you for joining us and you may now
disconnect your lines.
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Call: Nov 2023

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Dear Sir/Madam,

31.10.2023 ÿ % ÿTFTfiT

Sub: Transcript of the Conference Call with Investors/Analysts held on
31.10.2023.

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find
enclosed herewith the transcript of the conference call hosted by ICICI Securities on
Tuesday, 31st October, 2023 at 10:00 A.M. for discussion on Financial Results
for the quarter and half year ended 30th September, 2023.

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For your kind information, the aforementioned transcript is made available on the
website of the Company www.bel-india.in under Investors - Stock Exchange
Disclosure tab.

gw ÿ 3rfÿmr |i

Submitted for your information and record.

?TSPRK / Thanking you,

/Yours faithfully,

wrct f%fW

For Bharat Electronics Limited

ÿPMm/S Sreenivas

wft * rf%ET/Company Secretarys rfÿm"/To

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Moderator:

Ladies and gentlemen, good day and welcome to Bharat Electronics Limited Q2 FY24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all the participant lines will be in the listen

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only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr.

Amit Dixit from ICICI Securities. Thank you and over to you, Mr. Dixit.

Amit Dixit:

Thank you, Sagar. Good morning, everyone. On behalf of ICICI Securities, I welcome all the participants for Bharat Electronics Limited Q2 FY24 earnings conference call.

At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management side today, we have Mr. Bhanu Prakash Srivastava, Chairman and

Managing Director, Mr. Damodar Bhattad, Director Finance and CFO, and Mr.

Sreenivas S,

Company Secretary. We will start the call with opening remarks from the management and then we will open the floor for an interactive Q&A.

Without much ado, I would hand over the call to Mr. Srivastava to take this forward. Over to you, sir.

Bhanu Srivastava:

Good morning to all of you. The half yearly performance of Bharat Electronics has been reasonably good. We have achieved a turnover of INR7,365 crores as compared to previous half

years of INR6,960 crores with a growth of 5.82%, which is

slightly lower because of some disturbances in Karnataka during last week. So a couple of hundred of our dispatches could not reach to destination and that was some spillover.

Somewhere other also because of these disturbances and holidays, some spillover there. But

we are right on the track when we consider our yearly projections of growth between 15% to 17%. We have done well because of product mix on the profit front where our PBT has increased to INR1,777 crores as compared to INR1,403 with a growth of 26.64%. EBITDA

also has increased to 22.66%. This is primarily due to the type of product mix which we handled in first half year. Overall yearly if you see that our projections of EBITDA between 21% to 23%, we hold good.

So order book is good. We projected an order inflow of more than INR20,000 crores this financial year. Good progress in our customer side and more than INR15,000 crores order we have already clocked till now. So that's all from my side.

We are open for questions.

Moderator:

Thank you s

o much. We will now begin the question and answer session. The first question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

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Deepak Krishnan:

Hi sir. Thank you for the opportunity. Maybe just wanted to check on the order inflow given that we have crossed INR15,000 crores plus. Except the fused order, any large order that we are sort of expecting in the second half of the year or are we sort of done for the year as such?

Bhanu Srivastava:

Fuse order is there in the process. See these are the big orders. They are long process and MOD process. So it's going and coming and it will come. Apart from that, there are two orders still left out. You remember we predicted about NGOPV that from Goa Shipyard and GRST which is still under final negotiation.

So that is one order. And another is the TW system for Shakti. So these two are the other major orders which are in pipeline apart from fused.

Deepak Krishnan:

Sure sir. Maybe could you also highlight the quantum of revenue that

was sort of spilled over to the total fee? How big was the quantum and like because we sort of stick it to our guidance.

Bhanu Srivastava:

Spill over around the INR400 crores.

Deepak Krishnan:

Okay sir. Sure sir. Those were my questions and I'll get back on the queue.

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Moderator:

Thank you so much. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid:

Yes

. Good morning and thank you for the opportunity. So my first question is can you share some inputs and details

on how was the revenue mix between our portfolio and services for the first half and second quarter and between defense and non

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defense for

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to Q1 for the first half?

Damodar Bhattad:

For the products and services, it was 90% and 10%. 90% on products and 10% on services.

And for defense and non

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defense...

Renu Baid:

For the second quarter?

Damodar Bhattad:

No, I'm telling for the first half. And for the defense and non

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defense it was 71%

and 29%.

Because in the first half we have sold EVM, VVPATs. So it was 71% and 29% for non

-
defense.

Renu Baid:

Got it. What portion of the EVM, VVPAT is still pending in the backlog?

Damodar Bhattad:

EVM, VVPAT is almost completed. There is no backlog pending as of now.

Renu Baid:

Got it. Sure. Secondly, sir, with the ongoing war that we see in Israel, what kind of impact can one anticipate on the execution of LRSAM, if any? And any other projects where we have dealing with the Israeli partners? So can you elaborate a bit more, potentially just on supply chain components or project execution here?

Bhanu Srivastava:

See, we have been in touch with our partners in Is

rael and they have assured us that they will do everything possible to minimize the impact. As of now, this war is only for a very short duration. So impact will be seen only after around a month or two. But what our partner has BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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assured that they will do their best to minimize the impact. So let us see. LRSAM, yes, things are progressing in Israel. Only challenge is that shipment. Shipment also has happened. Some of the shipments have affected. But we'll see . Wait and watch. But what they have assured is that they will make sure that at the end of the financial year, all their commitments are met.

Renu Baid:

So can this also imply that during the pandemic, we had seen when supply chain was disrupted, there was a higher share of local content, which came to Indian vendors and contractors from LRSAM and accelerated localization. Can this also imply that because of the disruptions in the regional supply chain and with the local companies there, they may give a higher share of bought out and portion of the business to our supply chain vendors for localizing and supplying ahead of timeline?

Bhanu Srivastava:

I don't think this is happening in a very short term because LRSAM is a big project with complex technology. So localization is going on as per what workshare arrangement we have in the current contract and what workshare we are discussing for future contracts also where definitely our endeavor is to continuously increase the localization. But if you see that short term in this financial year with this complex technology, I don't see any significant impact in localization and that whatever is coming from Israel.

Renu Baid:

Sure. And related to this, can you also add what is the kind of localization content which was targeted by the end of this year or for the current fiscal on LRSAM project?

Bhanu Srivastava:

The current project if you see, is more or less around 60

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40. If you see the total project, 60% indigenous content and around 40% imported one. That is what is there in which is in a graded manner in this current contract. See, these are big contracts spread over years. So that localization starts with a higher import content in initial phases of the project which keeps on increasing to a higher local content when we progress the project and come to an end. So on an average you can take 60% but initially import content was high. Now we are moving more

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and

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more towards indigenous content. But that is a very planned exercise. This type of conflict cannot be impacting any significantly that composition.

Renu Baid:

Sure. And lastly, can you also elaborate on exports? How has it been for the first half of the year? And we have pretty aggressive plans to set up exports with some of the friendly and neighboring countries in terms of new order flows. So where are we in terms of increasing the reach and penetration of our export portfolio?

Bhanu Srivastava:

I think we have targeted an export of around \$90 million this year. And around \$27 million we have reached till this time, half year.

Renu Baid:

Okay. Anything on the order flow side?

Bhanu Srivastava:

Order flow side, we are what we projected, we are right on the track. In fact, we have done well in first half. So things are moving.

Damodar Bhattad:

First half

it is \$1
5,000

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plus and we stand by the projection of \$20,000

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plus in the financial
year.

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Renu Baid:

Got it. Thanks much. I'll get back with more questions on the queue. Thank you and all the best, sir.

Moderator:

Thank you. The next question is from the line of Lavina Quadros from Jefferies. Please go ahead.

Lavina Quadros:

Sure. Firstly, sir, congratu

lations on a good set of results. Just wanted to check for the national elections, any EVM orders that are expected, pending?

Bhanu Srivastava:

No, we have already, see, EVMs are not ordered just at the time of elections. This is a very planned exercise by Election Commission. So for 2024 elections and all state elections, whatever are planned to cater the needs of these elections, Election Commission has already taken

action and we have supplied more or less full quantity. Now only some repair and something work is going on.

Damodar Bhattad:

It's completed. For the EVM we have supplied as of now the major orders all are completed for the elections of 2024.

Lavina Quadr
os:

Okay. And, sir, on the non

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defense side of the business, any updates you would like to share?
Maybe some progress on some of the ventures?

Bhanu Srivastava:

One good news I would like to share what I was telling about our diversification plan. So we we
re working with AI for air traffic management system. So what with AI we developed first indigenous ATMS. It has been integrated, installed, and it was inaugurated on 26th of October in Bhubaneswar airport. So now if you fly to Bhubaneswar, your plane will

land or take off.

We have the ATC management system. So that opens up the opportunity for supplying ATMS for C and D category mid

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size airports. And as per AI, the business potential in the next one or two years, if you see, is around 40 airports

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plus. So

around another INR800 crores, INR900 crores.

So though its value is small as compared to our overall business, but it's a step in the right direction where we are using our expertise in civilian sector. Now we are in discussion with AI to start

development of this ATMS for bigger airports. So we'll also look for opportunity for supplying these systems for export also once we have a presence on a significant number of airports in India. So that is one big thing which has happened.

Lavina Quadros:

No, no, congrats on that, sir. Sir, just to clarify again, INR800 crores, INR900 crores is the opportunity for the upcoming 40 airports?

Bhanu Srivastava:

Upcoming one to two years. Whatever new airports are coming are where that old ATMS system is there, which has become old and it is to be replaced, upgraded. So that's what the opportunities we see in the next two, three years. I can say that these are there. If we have not done, it would have been imported.

Lavina Quadros:

Understood, sir. So just again,

this INR800 crores, INR900 crores is across the 40 airports. It's not a per airport number, right? Gross INR800 crores, INR900 crores...
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Bhanu Srivastava:

No. Around 40 airports. Every airport around INR25 crores, you can say INR20 crores, INR25 crores, because it's for a smaller airport. Need mid-size in smaller airports.

Lavina Quadros:

Okay. And then you all will target the bigger airports?

Bhanu Srivastava:

Yes. Bigger...

Lavina Quadros:

So then on the railway side, the automated gates, anything over there?

Bhanu Srivastava:

Yes

, the railway side, as we discussed, the air traffic, the ATF, that Automatic Train Supervision System, which is already in operation on the Red Line of Delhi Metro. Then we have started developing CBTC, Computer Based Train Control System. Super SCADA we have already done. Simulator we have already done. So it's all whole package which is there. So we are working with Delhi Metro, and these metros are coming, and that will show an opportunity.

Another thing what we have done is that first the indigenous platform, Green Door. We have developed and it was installed at Duhai Railway Station as a part of Rapid Rail Transport System, which was inaugurated by Prime Minister, I think, on 20th of October, where he inaugurated our system also. And bas

ed on that, Ministry of Housing and Urban Development, MOHUA, directly, they have issued a letter also to all metro putting this PSD in positive indigenization list.

So as of now, we are the only OEM in India offering this. Of course, others will come, but it will take time because it needs certifications. So that also will give some business opportunity for various metro. We have already got the inquiry from, I think, Kochi Metro, from Chennai Metro, from Madhya Pradesh also. We got the inquiry, Patna also. So now work has started. So once the development efforts are done, then you will get the business.

Lavina Quadros:

Okay, sir. Thank you.

Moderator:

Thank you so much. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel:

Hi, sir. Thank you very much for the opportunity. Sir my first question is on the indigenous version of the LRSAM. I believe the project name is Kusha. So where is that at the moment? I mean, what stage of design and development is going on? Any timelines you can share by when these systems will be --

the DRDO developed systems could be productionized, if at all. And I think the systems, the MOD was planning to install on the NGMVs, on the next generation Corvettes, for which either orders are already placed, or I think NGCs, the RSPs going to be issued. So where are we in this scheme of things, in this indigenous version of LRSAM?

Bhanu Srivastava:

Kusha project is a big project, and we are involved in development of some subsystems of Kusha projects. It's going on. So it's a developmental stage, so it is very difficult to predict timeline here. But as far as NGC is concerned, this is also in progress. Let us see whether NGC. My opinion, NGC, they may go for a proven system, and for other platforms which will BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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come, that indigenous system of LRSAM will come. Because NGC is faster, it is in a near pipeline, but at that time indigenous system may not be proven. That is what my guesswork is there. But then I'm not privy to exact detail of Kusha projects, because we are development partner of some of the sub-systems. Total project status is known only to DRDO.

Harshit Patel:

Understood. Sir, my second question is on the mail class of UAVs. I believe we have been jointly working with HAL on this Tapas and its weaponized version Archer. So could you give us an update in terms of stage of trials and testing by the customers, possible quantum of orders, our work sharing there, and any timelines that you can share?

Bhanu Srivastava:

This type of mail platforms, they are being developed by DRDO, HAL, and BEL. Our contribution is mostly on payloads. So these are at various stages, but at this point of time, unless this is proven, it's very, very difficult for us to predict what will be

the quantity and how much they will order, because it all depends upon what is the performance and what is the achievement and how is the confidence that customers are there. So difficult to predict.

Moderator:

Thank you so much. The next question is from

the line of Dipen Vakil from InCred Equities.
Please go ahead.

Dipen Vakil:

Thank you for the opportunity, sir. So my first question is on the lines of our order book. So we have an order book of almost around 687 billion. So is it possible for you to give a bifurcation of major products in our order book and their execution timeline?

Bhanu Srivastava:

Yes, we can give you. See timelines, if you see that these orders normally get concluded in 3 to 4 years. So 3, 3.5 years, 4 years, they keep on coming, depending upon what our timeline. But if you see that major distribution of these is LR time is one, which is around INR7,000 crores. Then we got the Akash Prime order from EDS, which is around 3,700. Himsha

kti, then MPR,
Rudra, Battlefield Surveillance System around INR2,000 crores.

Of course, IACCS left over is only INR2,000 crores. So there are many, many of these types of products are there. These are some big projects, but many hundreds of lines, because our

presence is, if you see, in business, in all land, sea, air, everywhere we are there.

So you won't find one single project taking that portion of the full order book. It's all a culmination of hundreds of small or medium

- sized orders, which constitute INR68,000 crores.

Dipen Vakil:

Thank you for that

, sir. So my second question is on the lines of any new areas where you're expecting major orders coming from, say maybe in FY '24, maybe in Space Division or UAV Division?

Bhanu Srivastava:

See, these new areas, we are working in many areas. I tell, civil

aviation we are working, metro we are working, some projects we are working, even for railways we are working. Then our diversification in arms and ammunitions.

So we have tied up, you remember, that we signed an MOU with the IAEA for some missile project s, long

- range articles like that. So these are the areas where we are working. But when you work and diversify in the area, there is a certain timeline.

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So conversion is not within one year or two years. You work on big projects, it takes time. So with our

core area, we continue to grow, and these all diversified areas, what I was mentioning, it will grow in the next two, three years, once this is matured and we enter the business.

Dipen Vakil:

Got it, sir. Got it. So lastly, sir, on capex, what would have been your capex in first half, and

where do you expect?

Damodar Bhattad:

Capex we have planned around

INR

800 crores in this year

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INR

700

crores

to

INR

800

crores

during the current year, and up to first half it is

INR

250 crores

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First half the capex was

INR

250 crores, and the current year we are planning 700 to 800 crores. Hello, am I audible?

Moderator:

As there is no response from the line of participants, we will take the next question. The next question is from the line of Tina Virmani from Motilal Oswal Financial Services. Please go ahead.

Tina Virmani:

Hi, sir. My question is regarding your order inflow pipeline. You talked about these large

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size

orders on the defense side, which can come up over next six months to one year.

Can you quantify the si

ze of these orders, particularly the NG, OMB, and the other ones on the defense side? And also if you can quantify on the non

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defense pipeline, how is it looking like?

You have talked about airport, air traffic management and all, but are there any other ventures

where you can actually see some large or mid

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size projects materializing over near to medium term?

Bhanu Srivastava:

No, these are all, if you see the diversified product, the initial values will not be large. These will be smaller values. Only the y will be culminating in large when this program gets bigger and bigger.

As far as pipelines are concerned, that's what I told. Fuses is around INR4000 crores. NGOPV is around INR2500 crores. Then there is a BMC tank upgrade, which may come by next year, starting another INR3000 crores. It may come 2007 to 3000. Of course, EMC and all, it will happen.

Some value here and there. Then EW system, where BMC has happened, it is around INR2000

crores. So these are all in pipeline, which will either come in the end of this financial year or the beginning of next financial year.

Tina Virmani:

Okay. And any further progress on QRSAM during this particular quarter?

Bhanu Srivastava:

Any on QRSAM? These are big things, so it will take time. See, the fuse itself, if you

see, after

we became L1 and then TNC concluded, this is taking so much time. Because in government process

s, so many steps are involved. In every step, there are clarifications, there are questions, questions to be answered. So QRSAM also, trials are all completed. We have given the budgetary code, now they have to take one. In process of AON also, it has to go through various stages ultimately. So it will take time.

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Tina Virmani:

Got it, sir. My last question is regarding your other expenses. Your other expenses have moved up in the current quarter. So does it include any kind of provision in the current quarter?

Damodar Bhattad:

No, not provision. Actually, as the business volume increases, these are the normal manufacturing expenditures, which have gone up with the business volume. Like it could be traveling, it could be certain other direct expenditures that way. It is in line with the business volume, basically.

Moderator:

Thank you so much. The next question is from the line of Arvind from ValueQuest Investment Advisors Private Limited. Please go ahead.

Arvind:

Fantastic, sir. A good set of results. I just wanted a couple of clarifications, sir. Typically, historically when we look, H1 of any year is lower in execution compared to H2. Still, perhaps I did not catch it, but if you could just shed some light on why overall the revenue booking was on the lower side. Of course, you clarified for the margins that it was a superior product mix.

And the second thing we wanted to ask is, what are the liquidated damages terms? Because if orders are taken in and due to any issues like, say, the Israel issue or the Russia issue the last time the supply changed, then how does our liquidated damages situation play out in such a case?

Bhanu Srivastava:

See, there are two aspects. One, you talked about execution frontier. You are right. The type of product mix which we are dealing with are the complex systems. Normally, the tendency is that the performance peaks during Q4. It starts peaking from the end of the Q3 and peaks at the Q4 because we start integrating the system.

It has to go through various types of testing, trials, and any iteration because this complex system, something happened, I planned in Q2 and then there was some performance issue or some observations, and then you have to repeat the thing. It usually spills over to Q3 or something in Q3 spills over to Q4. But since we have already completed manufacturing as per plan, so revenue recognition may shift to next quarter, but work is already complete.

So traditionally, if you see that historically also, Q3 and especially Q4 are heavy in our kind of setups. Second, as far as liquidity damages are concerned, yes, if there are delays there, the moment delays happen, we put the provision for LD. But then if the delays are beyond our control, force majeure clause, these conflicts and all that, we put up to our customer with all justification, and in many of the cases, they consider it first. They have the LD, and that's how we reverse the provision. So that's what we do.

Arvind:

Very well, sir. And just another thing, sir. So if you're looking at completion of orders over this financial year, what would be some of the larger items that you could perhaps give some color on, how our execution cycle will shape up over the remainder of this year and the next year? And that's it from my side, essentially. Thank you.

Bhanu Srivastava:

Here are our indications. If you see, it is a large damage one, which will give that good revenue. And then some of the EW projects which we are doing, that will give revenue, some of our radar systems, if you see.

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So these are the things. And then many, many sonar systems are there, communication systems are

there, radio systems are there. So if you see our product, it's hundreds of lines, more than 500 lines, which constitute what we are targeting, INR20,000 crores, starting from INR50 lakhs, from INR1 crores

to INR2,000 crores.

Moderator:

Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

J

onas Bhutta:

Congratulations, sir, on a great set of numbers. So just picking up one thing from your comments was that IACCS still accounts for about INR2,000 crores worth of the order book. This seems to be running quite delayed. Is there a risk of LD in this project? If you can talk about that or whether that's already been provided in the FY '23. And by when do you expect this revised timeline for this project?

Because this was to be followed up by a significantly large AMC contract and then probably even a third phase of IACCS. So if you can just talk about IACCS a bit?

Bhanu Srivastava:

See, IACCS is, as you understand, is a very complex and first of its kind. I can say that in India and globally also, very few countries have projects of this magnitude and this complexity. As far as if you see that execution is concerned, it is two parts, overground systems and underground systems.

Overground systems are already installed, up running, and AMC has started. Now the biggest challenge was for underground systems. It's parallelly two phases, if you see. One is that civil structure, that underground, and second is that software development of batch 3, which will be ultimately replaced by batch 2, our final operational version, which we have installed for overground. So these two are parallelly going on. Yes, delay has been there because of the complexity of the project systems involved.

And of course, Corona has taken a toll, not only in India. Outside also, where many of complex systems were supposed to come from foreign countries, get it installed, and that has delayed. And we have represented it to MOD also at various stages, and it is under consideration.

As far as execution is concerned, see the major challenge is to install it in first at least two sites, so that the final version in Batch 3 is proved. So we are progressing well. Batch 3 final version, factory acceptance test is going on.

When you go for [FAT 0:31:58], then there are observations by FAT team, which we have to liquidate, so things are going on. Similarly, civil structure, if you

see that two of the sites more or less complete. So our target is that by this financial year, minimum at least two sites becomes operational.

That will give confidence to customer also, and then it becomes replication of remaining sites.

So yes, there has been delay, but seeing the complexity of the system, and seeing that this type of systems are available with very, very few countries in the world, we are very confident that BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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what we are delivering to the customer, they will take it positively in terms of LD. In fact, we have not provisioned LD as of now, because we are confident with that unit one.

Presently, we are within the timelines, so we have not provisioned any LD as far as ISC is concerned. And of course, as you said, we have already approached the customer, considering the complexity of the project, to consider the extensions without LD.

Jonas Bhutta:

Got it. And is it safe to assume that, only once this project is complete, then the AMC order and the follow

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on order comes through...

Bhanu Srivastava:

AMCs are the
over ground

systems which are up

-

running. It's already under AMC. And as and when these systems come in the stream and warranties, the completed AMC gets started.

Jonas Bhutta:

Got it. And my second question was more bookkeeping in nature. If DF can provide the value of contract assets and customer advance, as of cost, sir?

Dinesh Batra:

I'll tell you. Contract asset is around INR5,700 crores, as on 39. And customer advance is around INR15,000 crores.

J

Jonas Bhutta:

Got it. Thanks a lot. And all the very best.

Moderator:

Thank you. The next question is from the line of Viraj from Jupiter Financial. Please go ahead.

Viraj Mithani:

Yes.

Good morning, sir, and congratulations on a good set of numbers. My question is, what is other comprehensive income, sir? Actually, I couldn't understand that.

Dinesh Batra:

This is relating to the actuarial valuation which we do for leave encashment and medical schemes. In line with the actuarial valuation, that comes into the other comprehensive income, what we've done in line with the accounting standards.

Viraj Mithani:

Okay. And sir, we saw a top line growth of 5%. Will we see the top line growth accelerating now?

Dinesh Batra:

No. Presently, it's around 6% growth for the first half. Current year guidance, we currently maintain a 15%

,

17% growth over the previous year.

Moderator:

Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Funds. Please go ahead.

Charanjit Singh:

Hello, sir. Congratulations on a good set of numbers. My first question is on the working capital side. If you can touch upon, how should we see the working capital going forward in

the second half, with a lot more focus of the government side on maybe the populist measures. So, if we can see some kind of delay in receivables, or if you can touch upon that?

Dinesh Batra:

Yes. As of now, the working capital position remains, the current assets and current liabilities are in the range of 1.5. And the cash and bank balance is around INR 8,000 crores as it's given in the balance sheet. And as far as the next half is concerned, as of now, we don't foresee any BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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constraints from the government side. So, we expect the working capital position to continue in the same manner in the second half also.

Charanjit Singh:

Okay. And, sir, if you look at, what is the kind of level of indigenous content right now in the overall revenues, what we are doing? And in the current order backlog also, what will be the level of indigenous content we'll have?

Bha

nu Srivastava:

See, we are an electronics company, so around 30% imported components are always there, around 28% to 30%. We are aware that all chips, ICs, components, where that infrastructure is not there in the country. Over and above, if it is our own design products, the indigenous content, the remaining will be indigenous content. If it is an imported content like what I told about LRSAM or any ToT projects, their indigenous content will be less than import content will be high. So, you can say that, 30% component and overall around 35% to 40% will be our import content.

Charanjit Singh:

Okay. And, sir, in the past, you also talked about SaaS as, one of the segments which you wanted to evolve and software as a service. So, but, off late, we have not heard a lot in terms of what is the thought process there, how well it is evolving. If you can just highlight, where we are in that overall, journey of SaaS as a service?

Bhanu Srivastava:

Yes. See, software as a service, yes, it's a business line where we are targeting, but what is happening, the way we are growing and the way our software group is there. Most of the products now are software intensive products, our own products, what we see.

So, majority of our resources are all engaged in developing the software for our own system.

So, you don't see as a separate standalone software business coming, but most of our products, which contain significant amount of software where our resources are engaged. Nonetheless, teams are working to bring out independent

software

products also. So, we'll see that in future how we move in that direction.

Dinesh Batra:

As far as significant contribution for direct services is concerned for software, it will take quite some time. It's not going to happen instantly as they have been presently. Of course, our in

-

house products are also using the in

-

house software and in the long term, only this will give some material value.

Charanjit Singh:

Got it, sir. Sir, just lastly, on the export side, if you can also touch upon, kind of pipeline which could be building up, while you have touched upon this year, what is our target? But do we see that in next maybe two years, three years, exports can become a substantial portion for us? How is the pipeline building up there?

Bhanu Srivastava:
a:

See, export, if you see, it's a government priority also. As of now, we have an order book of around INR2,500 crores, around \$300 million. This year, we are targeting around \$90 million in export. There are a lot many leads out there, where we are working with our partners, working with the government of India for friendly countries, many systems.

But these are the things where unless, because these are all other countries also targeting those. So, it is premature or not advisable to disclose those leads

till formal contract is signed. But BHARATELECTRON/CS
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yes, our target is to increase the export significantly and it should come in next one year or two years.

Moderator:

Thank you. The next question is from the line of Amit Bhide from Morgan Stanley. Please go ahead.

Ami
t Bhide:

Yes. Hello, sir. Sir, I just wanted to understand, what are the areas, which can drive your medium

-

term growth outperformance. One you had highlighted earlier that you would be looking to increase the share of orders from HAL from 10% to 25%, other EPR exploring like areas like SaaS, etcetera. What are the other areas which can contribute to a continued growth momentum?

Bhanu Srivastava:

See, growth momentum will be maintained with our core products, C4I systems, missile systems, whether it is a QRSAM, LRSAM or related, VL

-

SRSAM. These are the big projects, radar systems, radar upgrades, tank electronics, EO systems and related big projects like upgrade programs for tanks, BMPs. So, these are our core. They will definitely give a major push or major momentum to our growth.

Apart from that, what I told you about diversification, yes, we are working, but the content of this diversified product will not be that high. So, definitely, growth momentum will be maintained by our traditional core products where there is a significant potential or opportunities available in the country and exports.

Amit Bhide:

Right. And on the space front, how do you see the opportunity shaping up for BEL and how is the competitive intensity over there?

Bhanu Srivastava:

Space front, we have some offering development work is going on. We are discussing with ISRO also and services also. We have given presentation on all these fronts to relevant authorities also. It will take some time, space front also, but we are in the frame

.

Moderator:

Thank you. The next question is from the line of Gagan Thareja from Ask Investment Managers. Please go ahead.

Gagan Thareja:

Sir, the first question is on the electronic fuses. One private sector participant in the electronic fuse order, Ricoh

Auto, has indicated on its conference call with investors that they expect a re

-
tendering of the electronic fuse order because the indigenous content offered by BEL is inadequate. And probably lower than 40%. Can you throw some light on that? Is there any

possibility of this order being re

-
tendered?

Bhanu Srivastava:

Yes, this is there with the MOD at various stages. So I would not like to comment on this type of speculation. Let us

see.

Gagan Thareja:

Okay. But currently, are the electronic fuses supplied to indigeneous...

Bhanu Srivastava:

We target only

--

I can only tell that we are meeting all indigenous requirements, what is not for in the tender.

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Gagan Thareja:

All right. Sir, the second question is, next year being election year, does the ordering tend to slow down in such an environment?

Bhanu Srivastava:

No, I don't think so.

Gagan Thareja:

And the third question, sir, on QRSAM, I think last you talked, you indicated that there was one pending test and then...

Bhanu Srivastava:

No, all tests are over.

Gagan Thareja:

So what stage is now this? Has AON been placed for the QR - SAM?

Bhanu Srivastava:

No, they are putting up for AON.

Gagan Thareja:

Okay. And recently, the chief of Air Force has talked of, Sukhoi mid - life upgrades with the SR radar and also of additional 100 LCA Mark 1A and also 150 or more light combat helicopters. What is BEL's scope of work in all of these three?

Bhanu Srivastava:

These are all announcements. Let it come on ground, then we'll tell.

Gagan Thareja:

Okay, sir. Last one, sir, gross margins, while, they tend to vary across quarters because of the kind of, projects that you book in any given quarter. How should we think of the sustainability of what we have seen in 2Q or what could be sustainable gross margins for the full year?

Damodar Bhattad:

No, we have indicated an EBITDA margin of 21 to 23 and a gross margin of 40% to 42%. So we stand by that for the financial year.

Moderator:

Thank you so much. The next question is from the line of Amit Anwani from Prabhudha Li Illadher. Please go ahead.

Amit Anwani:

Hi, sir. Thanks for taking my question. So my first question on the execution, you did mention that there is a spillover and still we are looking for 15%, 20%. So that way the implied revenue for H2 would be about 13,000 and it'll be getting at least INR5,000 to INR6,000 crores

worth
of more order intake.

We'll be closing order book at around 60,000 with the duration of three and four years for FY'25 and onward.

For the good growth, are we, we will at least be needing

23, 24,000 worth
of orders to have at least 8% to 10% growth. And seeing that FY'24 we are still closing at 60,000 would not be a major growth. So what are your thoughts on this and FY'25? Is there any meaningful order intake if you can share?

Bhanu Sriva
stava:

So these big

-
ticket programs, they are expected next time, next to next year. So I think that we will be able to maintain a reasonable growth momentum. Many big

-
ticket programs we are
working, which we will share with you once that some progress hap
pens. It's premature to tell
when the at initial stages, these big

-
ticket programs. Once the significant progress happens,
we'll share with you. But I can only assure you that these order acquisitions, that the value will increase with the passage of time.

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Amit Anwani:

Right. But anything where AON is received or in pipeline for next 12, 18 months?

Bhanu Srivastava:

No, not as of now.

Amit Anwani:

Okay. And second, sir, I might have missed on this INR400

crores

spillover. What was the reason for this?

Bhanu

Srivastava:

That's what I told. Some two days the strike happened. Holidays were there in the initial C for second, third. So those systems were cleared. They could not reach destination. Your contract term is that FY destination. So unless it reaches the re, you cannot recognize the revenue. These are some of the reasons. That's why they could not.

Amit Anwani:

This was related to any platform?

Bhanu Srivastava:

See, something was going to MDS, something was going to Vishakhapatnam Navy.

Amit Anwani:

Okay.

So second thing I wanted to understand on the Triton. We were working on a prototype of large battery, two, three quarters that you did announce. That could be LOF 8000 crores

worth of orders over the next two, three years. Any update on that, on that prototype?

Bhanu Srivastava:

I don't think anything has happened. We have supplied to them that initial prototype. Still waiting to hear from them.

Amit Anwani:

Right. And the current order intake of 15,300. How much was the non - defense in this?

Damodar Bhatt
ad:

It is mostly defense only. 15,000 maximum is defense only.

Amit Anwani:

Sure. Thank you very much.

Moderator:

Thank you so much. The next question is from the line of [Prabir from Ratnabali]. Please go ahead.

Prabir:

Thank you, sir. Good morning. Taking a cue from the last question. Sir, you are associated

with the development program for airborne radars for specially this Mark 1A. And so I wanted to, can you throw some light, what is the status of the development? Have you supplied the prototype? What is the status?

Bhanu Srivastava:

There was a delay from our side in supplying that. And our, one of our private sector persons in the company has already supplied. So let us see. We are working on that airborne radar for NCMR.

Prabir:

My second question is , you have pointed that you are trying to get into this arms and ammunition segment. So is this grenade ammunition, mines or drones? Can you specify the same?

Bhanu Srivastava:

No, arms and ammunitions basically are with the explosives. So, glide bombs and then some missile projects we are starting with IAEA. So these are the businesses where it will be mounting to certain amounts of content of explosive. That's why we have taken the Tamil BHARATELECTRON/CS QUALITY, TECHNOLOGY, INNOVATION

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Nadu explosives also on lease, 30

-

year lease. But then it is a new business for us. So it will take some time before we enter into it.

Prabir:

Okay. And any update on Akash NG? Akash?

Bhanu Srivastava:

Akash NG. I think trial is going on. Exact status, I don't have as of now. I will let you know.

Prabir:

Okay. Thank you, sir. That's all from me.

Moderator:

Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants, please limit your questions to two per participant. Should you have follow

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up questions, you can please rejoin the queue. The next question is from the line of Abhijit from YES Securities. Please go ahead.

Abhijit:

Congratulations on a very good set of results. My question is on the distribution between

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revenue distribution between defense

and non

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defense

going forward in the next two, three years. How do we look at the non

-

defense

contribution, especially when we are entering into a number of non

-

defense

areas like metros, battery packs, supply, etc.? So how do we look at the non

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defense

contribution? Because

use in the last five, six years, it has remained in the range of 10% to 20%. And some years it has reduced to 10%. And we have been talking about 20% to 25% on a forward basis. So what would be the timeline when we have significantly more contribution from

non

-

defense

? That would be my first question?

Moderator:

Ladies and gentlemen, the line for the chairperson seems to have disconnected. Please hold while we reconnect. Yes, we have the line for the management back again. So, Mr. Abhijit, can you please repeat your question once again?

Abhijit:

Sure. Sir, my question is on the non

-

defense

segment of the business. A few years back, we

talked about increasing the non

-

defense

revenue share to 20% to 25%. And in the last few years, it has ranged between 10%, 15 % around that range. And we have been trying to

get into

a number of areas like the metro, TCS, FAS, etc. So what would be the timeline going forward in the next three to four years? If you can comment on the timeline where we can increase this non

-

defense

revenue share in our overall portfolio? That is the first question.

Bhanu Srivastava:

That would be my first question. The way things are going on, though we are trying to increase the revenue from non

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defense

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defense

revenue also is growing faster than non

-

defense

. So our share of defense

is getting at around 85%, 90%, 85% as compared to non

-

defense

. So the way defense

revenue is growing up, I don't think that 75

-

25 will be able to achieve in the next two three years. Defense

will remain pre

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dominant than our share in the next two to three years.

Damodar Bhattad:

Current year, we could be in the range of 85

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15

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85

%,

15% for non

-

defense

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Abhijit:

AI
I

right. Sir, the next question is, for FY'24, what would be the revenue contribution from EVM in our business? And what would be the impact on the gross margin profile for the sales happening through EVMs?

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Damodar Bhattad:

Current year, the contribution from EVM V

-

pat is around INR1100 crores. 1100 crores. What else do you ask?

Abhijit:

Sir, this would be

gross margin dilutive or the profile remains the same gross margin?

Damodar Bhattad:

As we tell, generally we don't comment on which segment what it is. We tell the overall gross margin will be in 40

-

42 range. We can't comment on whether this will dilute or increase. We cannot comment on the individual product.

Abhijit:

Thank you, sir. I'll join back in queue.

Moderator:

Thank you so much. The next question is from the line of Rakesh Rai from Omkara Capital

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please go ahead.

Rakesh Rai:

One more question.

Government has recently released A

-

1 for new long

-

range interceptor

missile. Is it totally same project? Looks like LR

-

SAM or is it totally different project, sir?

Bhanu Srivastava:

Yes

, I have to check it.

Damodar Bhattad:

We need to check it up.

Moderator:

or:

Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I'll now hand the call over to Mr. Amit Dixit from ICICI Securities. Over to you, sir.

Amit Dixit:

Yes

, thanks, Sagar. And thanks everyone for attending this call and

the fruitful discussion that

we had this morning. And thank you, Mr. Srivastava, for very patiently answering the questions and time given to us. I would like to hand over the call to Mr. Srivastava now for any closing comments. Over to you, sir.

Bhanu Sr

ivastava:

Well, thank you very much. Thanks all, for showing interest in Bharat Electronics and coming and participating in conference call. I can only assure all of you that we are on track, what we gave the guidance in the start of the finance area. Definitely we are doing such a good job.

Thank you.

Moderator:

Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Feb 2024

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Bharat Electronics Limited
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Sub: Transcript of the Conference Call with Investors/Analysts held on
31.01.2024.

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find
enclosed herewith the transcript of the conference call hosted by Antique Stock
Broking Limited on Wednesday, 31S1 January, 2024 at 10:00 A.M. for discussion on
Financial Results (Unaudited) for the quarter and nine months ended 31St December,
2023.

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For your kind information, the aforementioned transcript is made available on the
website of the Company www.bel-india.in under Investors - Stock Exchange
Disclosure tab.

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Submitted for your information and record.

H£M<=IK / Thanking you,
wfnr/Yours faithfully,
?T TCcT

For Bharat Electronics Limited
#fýw/S Sreenivas
wfl" Hf%ý/Company Secretary
Hýnr- w i /Ends: As stated Above.

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Post Earnings Conference Call
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Moderator:

Ladies and gentlemen, good day, and welcome to Bharat Electronics Limited Q3

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'24 Post

Earnings Conference Call, hosted by Antique Stock Broking.

As a reminder, all participant

lines will be in the listen

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only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please

signal an operator by pressing st

ar then zero on a touchtone phone.

Please note that this

conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you,
and over to you, sir.

Amit Shah:

Thank you, R

i

a. Good morning, everyone. On behal

f of Antique Stock Broking Limited, I

welcome you all to Q3

FY

'24

Post Earnings Call

of Bharat Electronics Limited. To discuss the

earnings, from the management, we have Mr. Bhanu Prakash Srivastava, Chairman and Managing Director of the company

,

Mr. Damod
ar Bhattad, Director, Finance and CFO

,

and
Mr. Sreenivas, Company Secretary.

I'll hand over the call to Mr. Bhanu Prakash Srivastava for the opening remarks, post which we can open the floor for question and answer. Over to you, sir.

Bhanu Srivastava:

Goo
d morning to all of you. Bharat Electronics Board met on 29th January and then approved the result of Q3. Our turnover increased to
INR
11,485
crores
, which is an increase of 4.35% to
corresponding figure of
INR
11,006 crores. PBT has increased to
INR
2,949
c
rores
, which is
a
jump of
INR
33.84 crores of the corresponding figure of last year. Similarly, PAT also has increased. EBITDA has increased. So, there has been a significant increase in profitability. Our order booking this year has been very good. Against

our guidance of
INR
20,000
crores

by end
of December, we have already received the order of
INR
26,761
crores

and more orders are
coming. So, positive outlook for Bharat Electronics.

And I now open for questions.

Moderator:

Thank you. We will now begin the question

-

and

-

answer session. The first question is from the
line of
Amit Dixit

from ICICI Securities.

Please go ahead.

Amit Dixit:

Good morning

everyone and thanks for the opportunity

First of all congratulations for a good

set of numbers and very robust order inflow this year. I have a couple of questions. The first one is essentially on the revenue. So, if I look at the revenue growth so far, it has remained quiet

, I would say, subdued. And we guided for around 12% to 15

% growth for this year. So,

given that ask rate for Q4 is quite steep, what kind of revenue growth we can expect for

FY

'24?

And there was

INR

400 crores of spillover in last quarter. And this quarter also, you mentioned

in the notes that because of the ongoing

Israel

-

Palestine conflict, there could have been a

certain shortfall. So if possible, if you can highlight on these points. That is the first question.

Bhanu Srivastava:

Yes, as far as revenue growth is concerned, still we stick to our guidance of around

and 15%

growth over and above what we did last year, which amount to closer to

INR

20,000 crores.

Yes, there has been an impact of, because of the Israel, that Hamas conflict, which has been

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affecting in dispatches. But along with our partners in Israel, we

are working on that. We

overcome

INR

400

crores

to

INR

500

crores

last quarter. But still this quarter, again, there was

a spillover of around

INR

400

crores

to

INR

500

crores

, which landed in first week of January.

So, these are the challenges which are ther

e. Traditionally, Bharat Electronics has been robust

in Q4. And we are very confident that in Q4, though, ask rate is steep, but we will be able to achieve that.

Amit Dixit:

Okay, so that's very comforting. The second question is essentially on the order book. Now, we have a very, very significant order book of

INR

76,000

-

odd

crores

. Is it possible to mention

the average execution period of this? So, it will be executed over wh

at time frame. This is what

I wanted to ask, because some of these orders are pretty particularly pertaining to shipyards and

all that,

seem to be quite long

-

ranged orders. So, I wanted more of actually clarity on the

FY

'25 earnings, what we can expect as

a result of execution of this order book. So, if you can

just mention the average execution period of this order book, that would be great.

Bhanu Srivastava:

See, if you see that all big ticket projects, they have execution period starting from 18 months t

o anywhere between 4 years, 3.5 to 4 years, depending upon the availability and execution plan of the platforms on which these products are going. So, even though we can execute it

early, but deliveries are linked to that delivery or that production plan o

f that platform. So, the

INR

76,400

crores

what we have ordered till Q3, deliveries are starting anywhere from next year to another 4 years you can take and that will keep on adding.

Amit Dixit:

Okay. All right, sir. I have other questions. I will get back in the queue. Thank you and all the best.

Moderator:

Thank you

.

Next question is from the line of Nitin Arora from Axis Mutual Fund.

Please go ahead.

Nitin Arora:

Thank you for taking my question

.

Sir, this year, just

to understand directionally, and I think

we remember completely the way you were guiding last 1.5, 2 years that order intake will remain strong which you have showcased last year as well and this year as well. When we go

-

-

and I'm not

asking more from because there is an election next year, but generally, can you talk about little more on platforms which are bigger which can drive your order intake further, let's say over the next

FY

'25

,

'26? Can you talk about a little bit more on that?

That will be

helpful.

Bhanu Srivastava:

See one of the

--

in this year, if you see Shakti System, that is the EW System is in pipeline.

Then there is a program for BMP

2 upgrade which is there in pipeline. Next year if you see that both Air Force and Army they are working on making QRSAM

which is likely to

materialize. Some EW System on avionics platform, airborne platform are likely to come. So, these are all linked to

big government program. Apart from that there are always upgrades, refits from shipyards, standalone requirement from services keep on coming. So that's how that business is.

Nitin Arora:

Can you talk about a little more on the amount of pipeline with respect to these orders for '25

,

'26? And going forward, do you think that momentum will be sustained going forward because of the growth in the market for quality technology innovation?

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that asking run rate will increase significantly for you for the next 2 years? So, if you can throw some light on the asking run rate or

in the absolute terms that how much order intake you think you'll be able to get over the next 2 years based on the opportunity size.

Bhanu Srivastava:

See, if you see opportunity size, we have been guiding the

INR

20,000 crores,

INR

25,000

crores. This year

we guided

INR

20,000 crores, but there were many procurement of the government which were fast

-

tracked and that's how

--

which was supposed to come next year, they have come in this year itself. So, to that extent if you see that next year it will be less or because these are all orders for next

3 to 4 years execution period.

So, our assessment is that seeing that all upgrades and standalone requirements and platform because big platforms there is always a risk of spilling over to next to next financial year. But

if you see if you are asking me projection of next 2 years, '24

,

'25 and '25

,

'26, I am expecting

around
INR
50,000
crores

worth order in 2 years should come. We expect to maintain an order
to revenue of at least minimum 2 years at any point of
--

2

years plus at any point of time.

Nitin Arora:

And sir, lastly, just on execution as you are still very confident on Q4, but let's assume that
given the backlog is strong in Q4 because of the ongoing Israel issue remains. Let's not take a
quarter view, but

generally, do you think this will get subsided going forward in the quarters
and '25

,
'26, the growth should be material for you, let's say closer to 20%, 25%. Can this be
doable? I'm just not trying to ask what will happen in Q4, but generally, in '25

,

26.

Bhanu Srivastava:

See, 25% growth rate is something I don't think we will be able to achieve because our base
also is increasing if you see. When we are growing, last year we grew by 15%, this year 15%.
So, base also is increasing. So, I don't think we

will be able to go to growth rate of 20%, 25%
with our kind of business. It will be hovering around what we said, that in the range of 15%.

Nitin Arora:

My question was that if Q4 still remains the ongoing issue of Israel, then that execution should
catch

up next year. I was asking more from that perspective
?

Bhanu Srivastava:

We are confident that whatever business given, because there are Plan A, Plan B, Plan C, as
we have, whatever we have committed, we would like to

m

ake

.

Nitin Arora:

Sure. Thank you v
ery much, sir, and all the best. Thank you.

Moderator:

Thank you

.

The next question is from the line of Ankur Sharma from HDFC Life.

Please go ahead.

Ankur Sharma:

Good morning. Thanks for the opportunity

Just on Nitin's question, on the execution side, if

you could just help us, how big would be the LRSAM order for us in the order book or if there's any other order which you're working with the Israelis. So, what would be the quantum of that at this point?

Bhanu Srivastava:

See, if you see, as of now, our exposure to Israeli LRSAM is around INR

6,500 crores. Then there are other projects like EW Systems projects. It is around INR

1,000 crores there. Then some electro

- optic projects around INR

500 crores. So, if you see the total

exposure to --

our dependency on Israel is there around INR 4,000s crores

, INR 5,000 crores in execution in next Sf/-dc1 grr)ctCH<i?ct-<H BHAMreiecr fiON/cs QUALITY. TECHNOLOGY. INNOVATION

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year and this year. So that is the extent where there is an impact. But we are working with that.

Our partners in Israel, they are very confident to sort out the temporary setbacks what they say.

Ankur Sharma:

And I think if I remember it right, you said you got something early part of January. Right? Some of the deliveries have started to come through.

Bhanu Srivastava:

What did not come around

I

NR

500 crores, they landed up in January. They were supposed to come in December.

Ankur Sharma:

So that's a positive. Sir, second given that the general elections are around the corner, do you think that could impact ordering for us, say, in Q4 or Q1 or generally, elections don't really have any impact on defense ordering?

Bhanu Srivastava:

I don't think there will be any impact because already government has fast

-

tracked many

procurement for this year. And that's why you see that last year, most of the orders, they got

finalized in March, whereas this year, seeing that election and all, government fast

-

tracked and

they have concluded many contracts much before that election starts.

So that was some positive action taken by Government of India MOD, concluding the contract

before the start of the elections and all. So, I don't think

--

and the next year's procurement

process will be post

-

election, which is that post

-

April

-

May. So, I don't think there will be any

impact on procurement process of government because

use of elections.

Ankur Sharma:

Just last one is on the balance sheet, if you could just share numbers on your debtors and cash balance, please and inventory.

Bhanu Srivastava:

Just hold on.

Damodar Bhattad:

The receivables at this point are

--

receivables

are around
INR
7,700 crores.

Ankur Sharma:

Inventory and cash, please.

Damodar Bhattad:

Inventory is
INR
7,000 crores, contract asset is
INR
5,600 crores, cash balance is
INR
8,000
crores.

Ankur Sharma:

Okay, all the best.

Damodar Bhattad:

Thank you.

Bhanu
Srivastava:

Thank you.

Moderator:

Thank you.

The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Please go ahead.

Mahesh Bendre:

Thank you so much for the opportunity

.
Sir, how much revenue we lost in the quarter because
of the Israel

conflict?
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Bhanu Srivastava:

You see that it's very difficult to quantify, but around
INR
500 crores, we could have done
more. That's what which landed up in January. There are other delays also, which will be
compensated in this Q4.

Mahesh Bendre:

So,
whatever the revenue we could not book, that will book in the fourth quarter?

Bhanu Srivastava:

That's what we are trying. We are making efforts.

Mahe
sh Bendre:

And, sir, on export side, any initiative or any opportunity for us?

Bhanu Srivastava:

See, it's

a continuous, ongoing process. We are working with many government agencies. So,
if something concrete comes significant value, we'll definitely share with you.

Mahesh Bendre:

Sir, last question for my end. What is the capital expenditure plan for next 2
years?

Damodar Bhattad:

Next 2 years, it will be in the range of
INR
700 crores to
INR
800 crores each. Each year.

Bhanu Srivastava:

Every year.

Mahesh Bendre:

Each year? Okay.

Damodar Bhattad:

Yes.

Mahesh Bendre:

Sure. Thank you so much, sir.

Moderator:

Thank you

.

Next question is from the line of Gagan Thareja from ASK Investment Managers.

Please go ahead.

Gagan Thareja:

Can you hear me?

Bhanu Srivastava:

Yes.

Gagan Thareja:

The first question is around your gross margins and operating margins. Year

-

to

-

d

ate, while

sales have not really grown, your gross and operating margins have expanded substantially and they are currently above the full year guidance that you generally maintain. So, how should we think of full year gross margins and full year operating

margins?

Damodar Bhattad:

Gross margin for the full year should be around 42% and EBITDA margins would be around 23%.

Gagan Thareja:

Which would mean that in the fourth quarter there will be a steep fall in both gross and operating margins, because otherwise...

Damodar Bhattad:

It is only the composition of product mix which is sold in the first 9 months and in the last quarter. There are various products. So, there is a composition of product mix which has sometimes higher consumption, sometimes slightly lower consumption. So that mix determines the gross margin. So, going forward at the full year, we should have around 42%. There is some products which are having higher material composition which will be sold in the last quarter. So that way it will average out to 58% and we end up with a gross margin of 42%.

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Bhanu Srivastava:

See, yearly when we project, we project on all product mix how we are going to do in a total year. So, it's not a quarter

-

to

-

quarter fall or that increase it. It so happens that item

s which have

got lesser material content, they got executed earlier and those which has got slightly higher material content, they will go in Q4.

Gagan Thareja:

I completely take that point, sir. My question was that simply that year

-

to

-

date, first 9 month

s

is 47% gross margin. If you are implying that full year will be 42%, then effectively fourth quarter should be less than

--

much less than 42%, right?

Bhanu Srivastava:

No, gross margin up to December is 45%. It's not 47%, it's 45%. And year

-

end it should be

d be

around 42% based on the product mix and EBITDA margin, it'd be around 23%. There will be slight differences. It will not be a very constant that it will continue in the same manner.

Because of the product mix it could be slightly different in the last

quarter. But overall

guidance we gave around 42% gross margin and 23% EBITDA, we maintained that.

Gagan Thareja:

When you say 45%, are you including other income in your sales also to calculate your gross margin?

Bhanu Srivastava:

No, it is basically sale

s plus accretion to WIP and to material consumption. The percentage is

taken as for margin, sales plus accretion to WIP to material consumption.

Gagan Thareja:

And your other expenditure year

-

to

-

date has also grown substantially despite the fact that sales

has grown at 4%.

Damodar Bhattad:

Based on the nature of operations, basis of operations, growth happens the other expenses also grow. Like for example, when the growth happens in turnover, there could be a little more traveling and normal emp

loyee

expenses will also increase based on the dearness allowance and increments, so that growth is there in other expenses.

Gagan Thareja:

Would it be reasonable to assume that margins, operating margins for the full year could line up closer to 23% rather than

to 21%?

Damodar Bhattad:

No, 23%. EBITDA margin should be around 23%.

Bhanu Srivastava:

When we started, we gave guidance to 21% to 23%. Now we are giving guidance that it will be 23% in the year. Lower, you can ignore that, lower guidance.

Gagan Thareja:

The final question from my side. Sir, HAL announced that they had received Acceptance of Necessity for the Sukhoi upgrades additional combat helicopters and as well as the LCA. Is it possible to help us understand what could BEL's scope of work in these projects? I would presume there should be substantial scope of work for BEL.

Bhanu Srivastava:

There are avionics packages which go in this. But it's only Acceptance of Necessity they have received. So, what will be your products will be going, LCA that initial we are giving avionics package. Next what will be there? What will be upgrade? All these things. Pricing, all these things, we have to work with HAL and then finalize. So, at this point of time it is premature to say that

--

give an exact figure.

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Gagan
Thareja:

Sir, the
INR
25,000
crores

order intake guidance that you're giving for next year, how much of
that is going to be dependent on QRSAM? Or are you keeping QRSAM separate from that
INR
25,000
crores
?

Bhanu Srivastava:

See, QRSAM if you see that it will be around
INR
20,000 crores if you see Air Force and
Army taken together. So, we are expecting, we are factoring at least half of that in this
projection. So, when we say that around
INR
50,000
crores

in next 2 years then we are
factoring total requirement of QRSAM.

Gagan Thareja:

So
INR
50,000 crores
--

in that
INR
50,000 crores,
INR
20,000 crores is from MRSAM.

Bhanu Srivastava:

Yes, QRSAM. It all depends upon how government...

Damodar Bhattad:

2 years intake will be
INR
50,000 crores.
INR
20,000 crores could be QRSAM, Army, Air Force. Depending on in how many instalment
s we order regiments and squadrons. They will decide based on their budgets.

Gagan Thareja:

And MRSAM also I think there was a reasonable pipeline left, right. So, what could be the contribution of MRSAM in that
INR
50,000 crores of intake?

Bhanu Srivastava:

MRSAM, see they are still started discussing. So, let some concrete progress happens, then

we
will...

Damodar Bhattad:

MRSAM is not factored in this
INR
50,000 crores.

Gagan Thareja:

Not factored. Okay.

All right, sir. Thank you. I'll get back to you.

Moderator:

Thank you.
Next question is from the line of Harshit Patel from Equirus Securities.

Please go
ahead.

Harshit Patel:

Thank you very much for the opportunity, sir.

My first question is on the Uttam radar. Has
there been any progress on this front? Have we supplied the prototype? And if you could
--

how will the production quantity be divided between us and the competition?

Bhanu Srivastava:

See at this point of time I would not like to comment because under DRDO process. Prototype we have worked. I have to check it, whether we have supplied or not. What division will happen, how they will go
, when they will induct, all is a long drawn process. It's a premature to say on Uttam radar at this point of time.

Harshit Patel:

No problem. Sir, my second question is on the Medium Altitude Long Endurance drones, the TAPAS or the Archer UAVs. So, what is going to be our scope in this project? What kind of payloads will be supplied by us? I believe the defense forces have consolidated the requirement of 155 numbers of such drones. B

ut we are still facing competition from Israel on this, both Heron, as well as Drishti, which are going to be assembled by Adani Defense. So, in which direction this project is going as per your opinion?

Bhanu Srivastava:

This we have to wait and watch. That's only I can say.
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Harshit Patel:

But do you think the user trials, etc
etera, those things are moving as per plan? Is there some
delay in this whole process?

Bhanu Srivastava:

[
0:23:24 inaudible
]

where DOD is their other partner. HAL is there, BEL is there. So, it's moving. But how it takes the shape, how services look into it, what is their priority, what they want. So, at this point of time, it is very difficult to tell anything concrete on this.

Harshit Patel:

Understood. That was all from my side. Thank you very much.

Bhanu Srivastava:

Thank you

.

Moderator:

Thank you

.

Next

question is from the line of Dipen Vakil from InCred Equities.

Please go ahead.

Dipen Vakil:

Thank you for the opportunity, sir

.

My first question is, out of a total order book of over 750 billion, 770 billion, are there any slow moving orders which have been in your order book for say more than 2 years or 3 years?

Bhanu Srivastava:

No, there will be orders in our order book because execution time itself is around 3 to 4 years. So, there are orders which are slow moving also. But depending upon that customer's requirement and all it happens.

Dipen Vakil:

So, any orders beyond that which are not being executed or which are just sitting in the order book right now?

Damodar Bhattad:

No

INR

76,000 crores is fully executable orders only. Whatever orders you are talking of slow

moving is not slow moving. It is just the tag that delivery based on customer requirements. But if your question of

INR

76,000 crores any order is not executable at all, it's very old order. It's not the case.

Dipen Vakil:

Okay. Got it, sir.

Thank you for answering my question.

Moderator:

Thank you

.

Next question is from the line of Lavina Quadros from Jeffries.

Please go ahead.

Lavina Quadros:

Good morning, sir

.

Congrats on a good set of numbers. Just wanted to understand on the non

-

defense

side. I remember in the last call you mentioned that your ATC Tower Management System was progressing well. You had installed it at Bhubaneswar Airport. Generally, on non

-

defense side, is there any other updates on your...

Bhanu Srivastava:

Lavina, non

-

de

fense side, yesterday we signed a contract with the Central Board of Indirect Taxes and Customs for their infrastructure, IT infrastructure upgrade, around INR

665 crores

plus taxes. A month back, I think 2 months ago, we signed a contract with UP Governmen t for

their upgradation of UP 112. Bhubaneswar Airport, what we did for Air Traffic Management System, that process is undergoing in AI. So, depending upon their priority when they place the order but discussions are going on. So, non

-

defense site also we

are working.

Lavina Quadros:

And sir, just want to check first 9 months your non

-

defense revenues with the EVM delivery, what is it as a percentage?

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Bhanu Srivastava:

It is around 15...

Damodar Bhattad:

20%.

Bhanu Srivastava:

20% now.

Lavina Quadros:

Okay
. 20%.

Understood, sir. Thank you.

Moderator:

Thank you.

Next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Please go ahead.

Deepak Krishnan:

I just wanted to check on the order backlog. And in longer
-
term, how are we
looking at gross
and EBITDA margin based on the platforms that we have. That's a steady state normal
sort of
credit cycle, '25
,
'26, how do we look at it?

Bhanu Srivastava:

You are talking of '25
,
'26?

Deepak Krishnan:

In general, based on the backlog that

we have, the platforms, how do you kind of see our gross
margin and EBITDA margin trend? Because as such, we are on an improving trajectory. So,
just wanted to check on that.

Bhanu Srivastava:

I think once this year
-
end financials are over, when we have t
he April, this one, we'll give you
the guidance for '24
,
'25. Okay. You are asking for '25
,
'26, I think we'll go one at a time. We'll
give for '24
,
'25 once this year end, this commentary we give. But generally the orders, they
are all long
-

term orders and the same orders we are executing. So, we expect the things to remain in the same margin regime, same range.

Deepak Krishnan:

Sure, sir. Those were my questions.

Moderator:

Thank you.
Next question is from the line of Aditya Agrawal from Ambit Global Private Client.

Please go ahead.

Aditya Agrawal:

Hi, good morning, sir, and thank you for the opportunity.

So, a couple of questions. The first one is on the non

defense piece, as the previous participant had asked. So, I understand currently, as you mentioned, 20% is non

defense. So, in non

defense, what would be the subsegments that you'll be focusing on? So, metro and civil aviation, I understand are there. But anything else which you are seeing, the momentum picking up there and what would be this mix that you will target, let's say 3 years or 4 years down the line?

Bhanu Srivastava:

See, apart from metro, civil aviation, cybersecurity is one thing, which is coming up. We have established a new strategic business unit for cybersecurity. We are working with

AIMS to ramp

up their cybersecurity. Then we have a lead from Ministry of Health also. They have given us letter for MOD cybersecurity. Among that, we are working with them. So, this is cybersecurity is one area which is giving us an opportunity apart from that. And then IT infrastructure upgrades, establishing IT infrastructure. Smart city is one area where we have done. So, these are the areas in civil sector where we are working.

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Damodar Bhattad:

Smart city and E
VMA

effect will continue to be there and more entry could be there into
metro, civil aviation and cybersecurity.

Aditya Agrawal:

And so just to understand, so currently it's 80/20, right. So, 20 is non
-
defense. So going
forward, this 20, you expected to go to
wards 25, 30. And this is what you'll be targeting or it
will remain at similar level?

Bhanu Srivastava:

Defense also is increasing at a much faster rate.

Damodar Bhattad:

That is one. And second thing, EVMA/VPAT execution has made it actually 20% this tim
e
non
-
defense. But otherwise it will not be in that range. It will be lesser than 20% only. Because
of the EVMA/VPAT, larger chunk of sales happening. It has happened to be 20% till
December.

Aditya Agrawal:

Just to understand, usually, let's say in terms
of margins, so defense, non
-
defense broadly in
the similar range or there is a difference between the 2?

Bhanu Srivastava:

We would not like to tell on the segment as where it is more, less and all. Overall margins we
tell it is 42% we'll maintain gross ma
rgins and 23% EBITDA margins. So, we'd not like to
comment on defense or non
-
defense. Anyway, point you can understand is non
-
defense is
going to be much lesser, the overall business itself is more on defense only. Okay.

Aditya Agrawal:

What's currently
exports mix for the quarter?

Bhanu Srivastava:

Exports up to December has been around
INR
400 crores. Next question is from the line of
Abhijeet from YES Securities.

Abhijeet Singh:

Continuing from an early participant's question on dron

es, a more broader q
uestion on

Unmanned Aerial Systems. Sir, last 2 years, what we have seen is that UAS has been a very
effective strategy in the battlefield and a lot of countries have been using it to very good effect.
So, as a pioneer in electronics industry in the defens
e segment, what will be our role in the
development of the ecosystem in India going forward? It's more of a long
-
term question.

Bhanu Srivastava:

There are 2 parts if you see that unmanned system, drone system. One is that drone. Another is
the payload on
drone. And third is the anti

-
drone. Once drones are coming, you should have an
anti

-
drone system. So, we are very strong in anti

-
drone system. We have developed along with
DRDO a very robust anti

-
drone system and we have supplied it to Army, Air Force and
Navy.

We have given demonstration

to Border Security Force also.

And they are also working and placing the order for that. This anti

-
drone system is a very, very
advanced which has got RF jamming apart from radar system, electro

-
optic system for
detection

of the drones. For countermeasures like RF jamming and directed energy weapon
like immobilizing it with the directed energy weapon, laser. So this is the one area where we
are very strong and we are consolidating.

Second area we are working on is using t
hese drones for some of our product payloads. Like
we are developing low

-
weight EW Systems which can be mounted on drones which will Sf/-dc1 gr)ctCH<i?ct-<H
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effectively increase the range and reach and coverage of our EW Systems on land based also. And now there is a requirement for these EW Systems for sea based also. So, this is another area. As far as drone is concerned, low

-

end drones, we are not working, but definitely high payload, we have one strategic business unit working, trying to collaborate, work with various partners

. So that is the third area which we are working. So, we are addressing this unmanned system area in all 3 aspects.

Abhijeet Singh:

And as far as the high payload drones are concerned they're right now in our revenue, there is not much contribution. But going forward you are saying that directionally...

Bhanu Srivastava:

These are upcoming. Our major contribution, if you see that from drone side is from anti

-

drone side as of now.

Abhijeet Singh:

Thank you, sir. That's it from my end.

Moderator:

Thank you.

The next question is from the line of Sumit Kishore from Axis Capital.

Please go ahead.

Sumit Kishore:

Thanks for the opportunity

.

I have 2 questions. First on QRSAM, what is the likely delivery

timeline for the
INR
200 billion contracts that you expect to

book over the next 2 years? Would
it be less than 3 years or more than that?

Bhanu Srivastava:

It will be somewhere starting from 2 years to 4 years.

Sumit Kishore:

2 years to 4 years?

Bhanu Srivastava:

Yes. It will involve, see, first is FOPM, First Off
Production Model which we have to give,
which will get cleared. After First Off Production model, then the bulk supply will happen. So,
FOPM will start anywhere around 18 months. We should be able to give FOPM which will be
validated, evaluated. Whatever a
dditional requirements are given by services, you have to
prove and post that delivery will start. So, another 2, 2.5 years if you see that for remaining
delivery, so total time should be around 4 years.

Sumit Kishore:

So, till you reach the FOPM stage,
percentage revenue booking I'm assuming will be much
lesser?

Bhanu Srivastava:

Lesser, lesser. But what we do is that we start manufacturing process because for bulk supply
also because this in FOPM also there are certain capabilities which are to be demon
strated,
certain items to be evaluated. But because that whole system has been evaluated as a whole so

we don't expect anything in FOPM, not major changes. So, we start that production also. And
once FOPM is cleared very quickly we ramp

-
up and we start del
ivering.

Sumit Kishore:

But till FOPM stage, is it reasonable to say that less than 20% of the revenue would be booked
in 18 months?

Bhanu Srivastava:

Yes, less than

only
. See, major revenue will start only after FOPM.
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Sumit Kishore:

Got it.

Second questio

n is if you see 15% revenue growth in

FY

'25 and your order inflows are

in the

INR

240 billion,

INR

250 billion range, then the order backlog growth will peter out

because your inflows and revenue would be of similar magnitude. So, in

FY

'26 with a stable

orde

r backlog and possibly your revenues if you grow from that point would cross your order

inflow number. So, your order backlog growth in

FY

'26 by implication would be a negative

number. So, do you think that your

FY

'26 revenue with a flattish order backlog

can grow 10%,

15% again in

FY

'26? Or would that be a stretch?

Bhanu Srivastava:

Let us see. It's difficult to project at this point of time. That's what we initiate because position

also will improve. We are also working on various products, various techno

logies. So, these

are all conservative figures what we have told you in next 2 years. But once we reach closer to that, we'll revise those guidelines.

Sumit Kishore:

So, let me rephrase my question. If your order backlog is flat year

-

on

-

year in

FY

'25 or is

growing in low single

-

digits, is the execution timeline because you said QRSAM, which is a large inflow contract, will see limited order revenue booking in the first 18 months. I'm just putting logically, doesn't it imply that there should be deceleration

in revenue growth?

Bhanu Srivastava:

No. Around 15% we will be able to...

Damodar Bhattad:

To answer your question. Current year now we are at

INR

76,000

crores

of order booked there

and year

-

end we will be having little more orders inflow coming in February

-

March and we'll

be ending up with

INR

70,000

-

plus

crores

order book as on 1st April of '24. And then even if

you take the 15% growth, if we end up at

INR

20,00

0 crores, we'll have to see how it happens.

INR

20,000 crores and then

INR

23,000 crores in the next year still it is

INR

47,000 crores plus

the order intake of next year if it happens to be in

INR

20,000 crores also minimum front it will

still be ending again

at

INR

65,000 crores to

INR

70,000 crores in the next year. That is March

'25.

Sumit Kishore:

Yes. What I'm saying is on

INR

65,000 crores to

INR

70,000 crores, would you again do

INR

260 billion of revenue or would you do

INR

230 billion which will be stable?

Damodar Bhattad:

QRSAM order comes in '25

-

'26. Naturally, the total order flow will be much more than the revenue in that year. Okay. If QRSAM order will come totally execution will only happen in 3 to 4 years. So, in '24

-

'25, '25

-

'26 we should receive

INR

30,000

-

plus

crores

order minimum. In

case we get the QRSAM order,

INR

55,000

crores.

So that year the execution will be only

INR

26,000

crores

. Say 15%, another growth if you take

it will be around

INR

25,000 crores. So that will add to the order. So it will

be running, so at

any point of time as I was telling it will be minimum more than 2 years of revenue will be

there in the order books at any point of time what we receive in the next 3, 4 years, foreseeable future.

Sumit Kishore:

This is very clear. Thank

you and wish you all the best.

Moderator:

Thank you

.

The next question is from the line of Harshit Kapadia from Elara Capital.

Please

go ahead.

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Harshit Kapadia:

Thanks for the question and

c

ongrats team for a very good set of inflows for

FY

'24. I just

wanted to check some things. First similar to defense pipeline which you have mentioned for

INR

50,000 crores, can you also share something on non

-

defense pipeline which you have

regarding smart infra,

Metros

and some other projects that would b

e helpful.

Bhanu Srivastava:

These projects are very competitive. Many players are there. So, it all depends upon how market goes and how opportunities are there. So, our projection has been 15%, 20% of civil business will be there. So, all these things. N one of the civil businesses I think denominated basis, mostly are all competitive...

Damodar Bhattad:

And they don't come in that range as even when it comes it comes in

INR

100 crores,

INR

200

crores,

INR

500 crores range, whereas the defense order can come even in

INR

4,000 crores,

INR

5,000 crores range, single order. So that also matter.

Harshit Kapadia:

Just on the question on revenue. So, Q4 is going to be a steep task of

INR

8,000 crores. Just to

get the

more comfort, sir, which are the large projects which you're expected to execute in Q4 which can really help you achieve this

INR

8,000

crores

number?

Damodar Bhattad:

LRSAM will continue to be executed. We have got an order backlog of more than

INR

6,500

c

rores. Then we expect 1 IEWR System is there.

And the TSA4090, many of t

here

—

there

are

many other.

Bhanu Srivastava:

We have 24 strategic big business units doing many, many projects. So, there is Akash

teer

,

some WLR will go, some tank upgrades will go,

shipyard, that sonar communication system,

ship data network. All these things are in pipeline. Fire control systems on ship base. Then the

SDR

-

Tac will go to Navy. So, 24 SBUs, they are working on different projects. So, it's not

spread across. So, if you

see you are telling

INR

8,000

crores

divide by 24, you just give how

much it will come.

Harshit Kapadia:

And is there a risk that even LRSAM which you have seen a spillover from in Q2 as well and

now in Q3, could there be a spillover in Q4 as well if you'r

e not able to get things from Israel

on time?

Bhanu Srivastava:

We have got an order book of

INR

76,000 crores. So, we are aiming at a growth of 15%,

reaching at

INR

20,000

crores

. So, we expect that the LRSAM should be executed in time and

items should come

from Israel. Even otherwise as we tell that we always have one Plan A and

Plan B push and we'll ensure that we reach

INR

20,000 crores, 15% growth.

Harshit Kapadia:

Last question, just on 4th of January there was a news that Bharat Electronics has become an L1 bidder in the Unmanned Fighter Aircraft System or futuristic Unmanned Fighter Aircraft. And so this will be completely developed this product by you or is it with DRDO? Can you share some highlights? What kind of system is this?

Bhanu Srivastava:

Unmanned Fighter Aircraft L1. I am not aware. Let me...

Damodar Bhattad:

This order was in the range of what?
INR
200 crores you are measuring?
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Harshit Kapadia:

Yes.
INR
230 crores? Yes, sir.

Damodar Bhattad:

INR
230 crores and it was with Godrej or somebody I think.

Harshit Kapadia:

Yes, absolutely, sir.

Damodar Bhattad:

I mean what is your question on that?

Harshit Kapadia:

Can you share some understanding on this particular product?

Bhanu Srivastava:

I understood because
it's a value as a small divergent

,

it's

a test setup. It's for aircraft test setup
which is to be established. This is called
Ironbird

and something like that
. It's not that fighter
aircraft which we are developing. It's a test set of futuristic test setup for fighter air
craft.

Harshit Kapadia:

What is the development timeline or any size that you can share, sir, opportunity here?

Damodar Bhattad:

This order was
INR
200 crores.
INR
230 crores.

Harshit Kapadia:

That was a developmental size, but any opportunity size.

Bhanu Srivastava:

It's not a
product. It's a test setup.

Damodar Bhattad:

It's a test setup which is being supplied by us. It is more infra type of a thing for the customer.

Harshit Kapadia:

Okay, fair enough, sir. Thank you and wishing you all the best.

Moderator:

Thank you.
Next que
stion is from the line of Shirom Kapur from Prabhudas Lilladher.

Please
go ahead.

Shirom Kapur:

T
hanks for the opportunity
.

I just want to ask you about the drones once more. So just to
understand, does Bharat Electronics make the entire drone itself or is

it just a supplier of the various equipment such as avionics and EW?

Bhanu Srivastava:

Our main focus is on payload for the drone and anti - drone systems. Normally for manufacturer of drones, we tie up with partners.

Shirom Kapur:

And just on the
INR
30,000 crores to
INR
35,000 crores expected order intake you expect over the next 2 years. Of course, the
INR
20,000 crores for QRSAM. But in the
INR
30,000 crores to
INR
35,000 crores, could you quantify any of the major orders that you're expecting?

Bhanu Srivastava:

See these are all spread across. If you see there will be EW System, Shatrughat and Samaghat, EW System for land based. That is in pipeline. Then there are some radars orders. There is a requirement for Ashwini radars. Of course it is multi - vendor. Then mission system for airborne applications. Then IFSS for Air Force, Air Shakti. So, it's all, hundreds of line items which are under process.

Shirom Kapur:

And just to clarify, I missed the export number that you mentioned. Was it
INR
400 crores?

Damodar Bhattad:

INR
400 crores.
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Shirom Kapur:

So for 9 months?

Damodar Bhattad:

So April
to December was
INR
400 crores.

Shirom Kapur:

Or in the quarter.
Okay.
And the total exposure that you had mentioned to Israel in the order
book?

Bhanu Srivastava:

Around
INR
4,000 cores,
INR
4,500 crores.

Shirom Kapur:

And this you don't foresee too many issues. This can still go ahead as planned. Of course there
were issues earlier, but...

Bhanu Srivastava:

See things are moving. It's not like things have stopped. It's only

some spillover because of that
geopolitical situation, flights not getting finalized. If it is a ship
--

shipment by ship it has to
take a longer route now than it was coming at a shorter route. So, it is taking some more time.
So, these are type of challenges are there. Otherwise as such manufacturing testing are going
on. Sometimes in our partner they face some problem in some basic components, electronic
components. So, these are challenges are there. But in business these will always be there
somewhere

or other. So, we are there to address those challenges.

Shirom Kapur:

Understood. Thank you so much and all the best.

Moderator:

Thank you.
Next question is from the line of Dipen Vakil from InCred Equities.

Please go
ahead.

Dipen Vakil:

Thank you for the

follow

-

up opportunity

.

Sir, my question is on the lines of, we are seeing
increased participation from private sector especially in say batteries, arms and ammunition
and laser electronics. So, how do you see opportunity in this space going ahead, especia
lly for
BEL?

Bhanu Srivastava:

Which one? Batteries?

Dipen Vakil:

Batteries, laser electronics and arms and ammunition.

Bhanu Srivastava:

People are there. See these are

--

our also if you see that lasers we are making for anti

-

drone

systems. There are

private sector also they are also making.

So, we are competing with them.

Similarly, arms and ammunition also, if you see our exposure is not very high order books. So,
this is area where we are trying to enter into that. So, competition will be there. We
will face

the competition. Private sector will be there in these areas.

Dipen Vakil:

But the opportunity in arms and ammunition is completely an import substitution play or
previously it was something which was made in India to quite some extent?

Bhanu Sri
vastava:

It will be import substitute, sir. So, we are trying to tie up with OEMs also and some
indigenous developers also in this.

Dipen Vakil:

Thank you so
much.

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Moderator:

Thank you

.

Next question is from the line of Amit Anwani from PL Capital.

Please

go ahead.

Amit Anwani:

My question is with respect to the non

-

defense side where we have been highlighting many opportunities with respect to homeland securities and sometime EVM and then related to DMRC systems. Just wanted to understand incrementally can

non

-

defense, you did highlighted the defense pipeline, can actually ramp

-

up or any opportunity which you are seeing in next 6 to 12 months from any of this business segments, subsegment or verticals in non

-

defense which can significantly contribute to your intake?

Bhanu Srivastava:

If you see the total our order book and orders in pipeline non

-

defense will remain minority portion, minor portion. So 15%, 10%, 15%. So value will not be that significant. But yes we are in technology field and we would like to

contribute in non

-

defense field also that will spread our portfolio. So we are working on that. But significant contribution will be from defense cycle.

Amit Anwani:

So, wanted to understand on
c
ap
e
x for the 9 months and guidance for
FY
'24
c
ap
e
x and
FY
'25

c
ap
e
x.

Bhanu Srivastava:

C
ap
e
x
for the 9 months has been around
INR
400 crores and we expect it to be around
INR
700
crores by the year
-
end, March '24 and next year also we expect it to be in the same range.

Amit Anwani:

And on capacity expand which side we
are expanding capacities?

Damodar Bhattad:

Capacities, we are building up some infrastructures and some plant and nursery. Some
buildings are coming up. On the
c
ap
e
x trend as we are told there are some infrastructures
coming up at Palasamudram. It's coming up in Hyderabad, it's coming up in Masulipatnam and
of course related to projects also there are some machineries which you have to buy, some test
setups which you

have to buy. So, these are the major
c
ap
e
x which are happening.

Amit Anwani:

My question again sir on the
INR
50,000 crores cumulative I think I might have missed, you
might have indicated

INR
50,000
crores

defense pipeline.

Damodar Bhattad:

INR
50,000
crores

total order, we are expecting to get in the next 2 years is what we told. We didn't tell defense. We told '24

-
'25 and '25

-
'26 put together, the total order intake should be in the range of

INR
50,000 crores. All put together.

Amit Anwani:

Including
F
Y
'24 and
FY
'25, is it?

Damodar Bhattad:

Yes
. April '24 to March '26.

Amit Anwani:

So sir, just wanted to understand we were guiding
INR
20,000 crores for this year and we are
going to achieve almost
INR
30,000 crores. And whatever you have been indicating, i
s it the
case that your baseline guidance can go up to
INR
23,000 crores,
INR
25,000 crores? So you
did highlighted
INR
50,000 crores. Is it the baseline order intake which you are expecting,
or...?
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Damodar Bhattad:

No, it's just a realistic estimate of what we see today. It's not a baseline, it's not a high side or low side. It's just a

realistic estimate of what we expect to receive in '24

-

'25 and '25

-

'26 based

on our assessment at this point of time, based on the projects in pipeline.

Amit Anwani:

Sure, sir. Thank you very much and all the best.

Moderator:

Thank you.

Next question is from the line of

Abhishek Potdar

from HDFC Mutual Fund.

Please go ahead.

Abhishek Potdar

:

Thanks for taking my question, sir

.

Sir, regarding the positive and digitalization list, could you give some understanding that this year's order inflows of

INR

28,000

crores

, does it have any

components and items from those 400 items that was put in? And if you can give some road map also then

at what are your expectations for '25, '26, '27 based upon that list?

Bhanu Srivastava:

It's very difficult to exactly match those lists. But whatever list, positive indigenous list is there by Government of India, we are in our area of business we are there. So if positive indigenous

list some items are there, definitely we are one of the key supplier for those items. But it's very

difficult to exactly map and tell that this much order has come from positive indigenous.

Abhishek Potdar
:

So for example, when Defense Minister has announced this, I think there were media articles which indicated that the amount would be --

which would be ordered because of that list would be in excess of INR 5 lakh crores or so. Any numbering for you that what could be your share in those list, not for next 1 year but let's say next 3, 4 years. Any exercise that has been done?

Bhanu Srivastava:

No, we have not done that exercise.

Abhishek Potdar
:

But you do expect that in next 2, 3 years you start seeing some more positive?

Bhanu Srivastava:

Definitely, definitely.

Abhishek Potdar
:

All right. And so second on the Akash missile, if you could give some understanding that what order expectations there from either directly from MOD or from the other PSU who have won the Akash orders to you.

Bhanu Srivastava:

Akash, we got the order from BDL. BDL got the order for 2 regiments, from MOD that in turn that our program for ground equipment around INR 2,750 crores order we got. Then BDL also got some export order for that. So ground equipments and radars and all are from our side. So that order also got. For Akash, we are trying to get the export order. So that is also an opportunity for Akash weapon system.

Abhishek Potdar
:

So possible that even you get the export order directly for Akash rather than BDL getting it?

Bhanu Srivastava:

Possible. Either BDL gets or we get. We share because our work share is almost decided. What is the work share of BDL and what is the share of BEL. So it doesn't make a difference who gets the order. Ultimately, our portion of business will come to us. BDL gets. If I get, BDL share of work will go to BDL.
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Abhishek Potdar

:

So in that

INR

50,000 crores for next 2 years expectation anything on Akash being built in or that is beyond '26?

Bhanu Srivastava:

Some

projections are there but not very, very aggressive. But definitely we have put in the INR

50,000 crores some orders from Akash side also.

Abhishek Potdar

:

Okay. Understood. Thank you, sir.

All the best.

Moderator:

Thank you.

Next question is from the line of Lavina Quadros from Jeffries.

Please go ahead.

Lavina Quadros:

So one final question for me. Your working capital because your order book growth is much faster than your revenue growth, would it be fair to say that because of contracting advances your working capital will reduce by significant.

Damodar Bhattad:

Working capital, as we have been telling that we are maintaining the ratio of current assets to current liabilities remain

at around 1.5 and the liquidity is good. We have a cash on this one as of

on 31 December of

INR

8,000 crores, trade receivables are around

INR

7,700 crores. So

working capital ratio is good. Now it's in the range of 1.5 and it continues to be in the same range.

Lavina Quadros:

Perfect. Thank you.

Moderator:

Thank you.

Next question

is from the line of Gagan Thareja from ASK Investment Managers.

Please go ahead.

Gagan Thareja:

Yes. Thanks for the follow up, sir

.

My question is that of the total order book of

INR

76,000

crores

directly or indirectly for your components how dependent are you on the Russia

-

Israel

geography?

Bhanu Srivastava:

See, we had dependency on Russia for some of our equipments related with tank electronics.

But we have gone very, very aggressively on indigenization of those items. So, tank

electronics from next year onwards, our dependency on Russia will not be there. Coming to

dependency on Israel, yes, for LRSAM, IW, electro-

-

optics there will be dependency on Israel.

But then that Israel also is working aggressively and they are ensuring that pipelines are

maintained. They are also working, factories are working despite this war. So, some delay may

happen here and there. But I don't think that any materialistic impacts will happen because of

our dependency

on Israel.

Third thing is that yes, since infrastructure or ecosystem of basic electronic components is not

there in country, so being in electronic industry, whatever semiconductor issues and supply

chain issues will there, we will do get impacted by that.

For that we do various strategies and

plan how to address those and meet the expectations.

Gagan Thareja:

Is the shipping

-

related problem around Red Sea something which can materially impact you in terms of the time to get your supplies?

Bhanu Srivastava:

Not significant because you might have heard in the news also that Indian Navy are there. They are patrolling, other foreign countries that Americans and all are there in those areas and Sf/-dc1 grr)ctCH<i?ct-<H BHAMreiecr fiON/cs QUALITY. TECHNOLOGY. INNOVATION

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they are making sure that the shipping lines are kept open. Some of the cases it takes more time because it changes the route. So question is of gap of round if it is by ship another 20, 25 days more time. If by air also instead of directly coming to India, it takes alternate routes and then some trans shipment something happens. So that is the only impact that what we see as of now.

Gagan Thareja:

Final one, sir. Upgrades, AMCs, software upgrades, air and so on. What part of your order intake annually could come from something of a repetitive or maintenance - oriented nature?

Bhanu Srivastava:

See, if you take services we have done around 11%, 10% to 11% from service. And then another, you can say that 5%, 10% will be from air supply. Upgrades, it comes as significant for existing platforms and go for refit and upgrades. So in refit and upgrades for them there is upgrade. But in many platforms when they go for upgrade, they change the equipment. So, for us it becomes a supply of new equipment.

Gagan Thareja:

So 10% to 15% of sales, you're saying, or you are saying of order

intake?

Bhanu Srivastava:

Sales.

Gagan Thareja:

And in the low earth orbit satellite business, that's a business which a lot of the private sector companies seem to talk about as one where there could be scale later on. Is it something which interests you or which you see?

Bhanu Srivastava:

Yes, we have one strategic business unit which is working on this, the business opportunities and what we can do.

Gagan Thareja:

Anything more you can elaborate on that?

Bhanu Srivastava:

Not at this point of time. Maybe

once we make progress, then we'll elaborate.

Gagan Thareja:

Thank you.

I'll get back to you.

T

hanks for taking my questions.

Moderator:

Thank you.

Next question is from the line of Vipulkumar Shah from Sumangal Investments.

Please go ahead.

Vipulkumar Shah:

Thanks for the opportunity

.
Most of my questions have been answered. Just we had MoU for battery management system sometime back. Any progress on that sir?

Bhanu Srivastava:

I have to check it up.

Damodar Bhattad:

Are you mentioning about the Titan MoU?

Vipulkumar Shah:

Yes, sir.

Bhanu Srivastava:

No, not much progress.

Damodar Bhattad:

Not much progress on that and that is not factored also in this
INR
50,000
crores

order.

Vipulkumar Shah:

Okay, sir. Thank you and all the
best.
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Moderator:

Thank you

.

Next

question is from the line of Manish Goyal from Thinqwise Wealth Managers
LLP.

Please go ahead.

Manish Goyal:

Yes

, thank you, sir.

Just on a continuation on the services and AMC. So, will the revenue share
continue at 10%, 11% or we probably see an increas
e in revenue share because in recent past
we have received a few orders in this segment? And what would be the share in the order book
of services and AMC?

Bhanu Srivastava:

Services and AMC, maybe around 10% 12% will be there. And it all depends upon how services go. Their philosophy for maintenance. If you use for complex equipments, they are going for AMC, but for standalone equipment they have got their own repair depots. Base repair deposit for Army is there, naval dockyards are there. They are doing so, yes, something they will do. But as of now it is around 10%.

Damodar Bhattad:

90

-

10 ratio which has been there and which is there for the December and also April to December. Order book is also in around 90%, 10% only. So it may remain in the same range

in
the coming year.

Manish Goyal:

Correct, sir. And ideally the margins should be definitely much better than the company average margin.

Bhanu Srivastava:

Just segmented things we have

,

why are they telling.

Damodar Bhattad:

No, we are talking of overall

margins and we are told that current year we are expecting a gross margin of 42% and EBITDA of 23%.

Manish Goyal:

Sure, sir

. Thank you so much.

Moderator:

Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.

Bhanu Srivastava:

Yes

. Thank you all for questions and we tried our best to give that our response to all the questions. I can only say that we have a very positive outlook. Major 3 guidance what we have given, profitability, order inflow and revenue. Profitability and order inflow, we exceeded our guidance. Revenue we are bit short, but we are very confident the way we have done in Q4 for order inflow last year, this year we will do it for revenue guidance also. Thank you.

Moderator:

Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: May 2024

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Bharat Electronics Limited

*T.No. 17565/6/SE/NSEC/SEC(Govt, of India Enterprise, Ministry of Defence)

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Date: 24.05.2024

/ TTftŷrr

Dear Sir/Madam,

-fŷTR? 22.05.2024 ŷ ŷ ŷfc)PiRI

Sub: Transcript of the Conference Call with Investors/Analysts held on

22.05.2024.

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find

enclosed herewith the transcript of the conference call hosted by ICICI Securities

Limited on Wednesday, 22"d May, 2024 at 10:00 A.M. for discussion on Audited

Financial Results for the quarter and year ended 31S' March, 2024.

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For your kind information, the aforementioned transcript is made available on the

website of the Company www.bel-india.in under Investors - Stock Exchange

Disclosure tab.

ŷTT 3" |l

Submitted for your information and record.

/ Thanking you,

ŷ*pr£ fa/Yours faithfully,

ft

For Bharat Electronics Limited

ŷPHw/S Sreenivas

wft* rf%ŷr/Company Secretary

ŷ"ŷnr i /Ends: As stated Above.

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Moderator:

Ladies and gentlemen, good day, and welcome to the Bharat Electronics Limited Q4 FY '24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will

be in the listen

-

only mode and t
here will be

an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the

conference, please signal an operator by pressing star and then zero on your touchtone phone.

Please note, the conference is being recorded. I

now hand the conference over to Mr. Amit Dixit. Thank you, and over to you, sir.

Amit

Dixit
:

Yes. Thanks, Steve. Good morning, everyone. On behalf of ICICI Securities, I welcome all the participants for Bharat Electronics Limited Q4 FY '24 Earnings Confer

ence Call. At the outset,
I would like to thank the management for giving us an opportunity to host this call.

From the management, we have with us today Mr.
Bhanu
Prakash
Srivastava
, Chairman and
Managing Director; Mr. Damodar Bhattad S., Director, Finan
ce and CFO; and Mr. Sreenivas
S., Company Secretary. We will begin the call with opening remarks from the management,
and then we will open the floor for an interactive Q&A. Without much ado, I would hand over
the call to Mr. Srivastava to take this forward. Thanks, and over to you, sir.

Bhanu Srivastava:

Good morning to all of you. Bharat Electronics has done a reasonably good performance in
Q4. And if you see that overall in the year '23

-

'24. Yearly, if you see, our
turnover has
increased to INR
19,819.93
crores, which is a growth of 14.35% as compared to previous year's
turnover of INR17,333 crores. PBT increased to
INR
5

,
335 crores, which is a growth of
33.87%. EBITDA has increased to 25.22% as compared to 23.35% previous year. PAT
increased to
INR
4,020 crores as compared to
INR
3,007 crores in the previous year with a
growth of 33.68%.

Earnings per share has been
INR
5.5 as compared to
INR
4.11 previous year. And we had
acquired the highest ever order book
--

order in financial year, that is
INR
35,00
0 crores, which
amounts to order book as on 1st April '24 is
INR
75,934. So it has been a reasonably good
performance despite the challenges we faced in global supply chain.

When we gave the guidance in April, this financial year
--

previous financial year
, we gave
that turnover of growth of around 15% to 17% and the EBITDA in the range of 21% to 23%,
and order is in the range of
INR

20,000 crores plus. However, at that time, we did not take into account that Israel, that Hamas war, which came as a surprise to us in October and which did have an impact on our turnover and even flow. That's why you see that the impact which happened in Q2 and Q3, we were able to overcome with our effective management of this new situation. And that's how Q4, to a large extent,

we were able to recover from that impact of Israel war, and we achieved a turnover in the range what we gave the guidance is April.

Overall, it has been a good year, and we see an even better year, next financial year. Thank you very much.

Mod
erator
:

Sho
uld we start the Q&A?

Amit
Dixit
:

Yes, yes, of course, Steve, start it. Yes.

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Mod
erator
:

Thank you very much.

The first question is from the line of Amit Mahawar.

Please go ahead.

Amit Mahawar
:

Congratulations on great year across line items. For FY '25, w

e have a lot of contracts, which have already been part of FY '24. So you'll expect around what kind of order intake in '25? And if you can have the help in the bottom

-

up data for the same? That's first. And apart from that, revenue and margin guidance?

Bh
anu Srivastava
:

We expecting order acquisition in the range of around
INR
25,000 crores in '24

-

'25. That will

--

that we are not factoring order for QRSAM because still, services are in the process of taking acceptance of necessity, for which whatever inputs are required, we are giving to them. So because it's being a big value order, we expect that it may to lever to '25

-

'26. So without
QRSAM or this, we are expecting order acquisition in the range of around
INR
25,000 crores in
'24

-

'25. Revenue, we are targeting a growth of double

-

digit growth of around 15% and
EBITDA in the range of 23% to 25% this year.

Amit Mahawar
:

Second point on incrementally in terms of exports, any large Tier 1 platforms this year and next year you're targeting?

Bhanu Srivastava:

Export i
f you see that we have done around \$92 million, so almost double of what we did the previous year. Our export order book is around \$400 million, and we are expecting another \$200 million

-

plus order from our export market. And we are targeting a turnover of around \$110 million this year.

Amit Mahawar
:

Third and last
question is on the import content, sir. FY '25

-

'26, what is the target reduction in imports? And yes, that's it.

Bhanu Srivastava:

Import content, if you see, it depends upon the product mix. So if it is an indigenous content product, which is either designed by BEL or in collaboration with DRDO, so their import

content will be in the range of around 30%, 35% because all components, modules, normally still, we are dependent on imports. So basic, that 30% import content will be there.

Whereas you see growth

for our collaborative partners, where we tie up with foreign sources.

There, as per work share arrangement for each product, normally, it varies anywhere between 60% import

--

40% import. If you see the value

wise

, government also wants around 60%

indigen

ous content. So in that range.

But it varies from contract to contract based on mutually agreed work share arrangement.

Mod

erator

:

Thank you.

The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan:

Just wan

ted to understand factors that led to such strong gross margin performance this quarter. How sustainable is it? And we sort of indicated that EBITDA margins will be 23% to 25%, which is higher than what you initially have guided last year. So what are the factors

which are driving that? Maybe I just follow up after that on another question.

Bhanu Srivastava:

Yes

the major reason

we

re

that composition of the product mix, which has happened during the current year. There are around 300 products, which we are selling, around 300 products. So

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the composition of those products that, I mean, this year led to a gross margin of 45%, around 45%.

Going forward, as we guided, it will be an EBITDA margin of 23% to 25%.

Deepak Krishnan:

Sure, sir. Maybe what was the nondefense mix, sir? If you can kind of highlight that and how do you look at it going ahead?

Bhanu Srivastava:

Non

-

defense mix? See, the nondefense mix, if you see that last year, we had a major play of EVM of around

INR

1,000 crores. So this year, that value

will be less. But we are targeting

other products in nondefense market. Maybe we are trying to bring that AT&S, airport surveillance radar, some Metro products like platform screen doors. So that will be largely compensating whatever will be reduction in EVM.

So percentage

-

wise, it may remain roughly in the range of around 15% of the total revenue, nondefense.

Deepak Krishnan:

Okay, sir. And maybe just want to understand in terms of overall contract order book, how much

is fixed price? How much is variable

price

contracts? Any other levers that we have in terms of to kind of expand margins for that?

Bhanu Srivastava:

Most of our products are fixed

-

price contracts only, most of our contracts

--

fixed price

contracts, but

most of the

contracts have an ERV class

exchange

rate variation class is there in almost all the contracts.

Deepak Krishnan

:

Those are my question. I will get back to the question queue.

Moderator:

Thank you. T

he next question is from the line of Renu Baid from IIFL Securities.

Please go
ahead.

Renu B

aid

:

Good morning team and c
ongratulations for the strong performance. I'm sorry I missed a
couple of minutes of opening remarks in case if I repeat my question. Firstly, I wanted to
understand a bit more in terms of how the revenue mix for fiscal '24 has
been between defense,
non

defense and also services portfolio. And given the fact that fiscal '24 has seen very strong
order inflows, most of it seems to be short cycle

except for the fuses
. What percentage of the
backlog you think should be executable in
the next 2 years?

Bhanu Srivastava:

As far as defense, nondefense it has been around

--

81% is defense if you see the previous year
4% is [inaudible 11:09]
and 15% is nondefense. And if you see that goods and services
composition 90% has been in sale of go
ods and 10% is the sale of services. So that has been
compos
ition of previous year.

As far as this year's composition I presume that
this will be in the same range b
ecause
whatever will be reduction from EVMs, it will be compensated from some new what you
say
that areas like airport authority and platform screen door
and some of the Metro products s
o
will be in the more or less same range.

As far as product cycle

INR

75,000 crores if you see the total. Yes. f
uses are for 10

-

year
contracts, b
ut all others are

executable in anywhere between 2
years to 5 years b

ecause the
products which are especially related with naval business and which goes in ships and
submarines there it split from 2 years to 5 years. So based on all this composition only when

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we give the t
arget for next year we take into all these considerations. And then we say that next
year, we are targeting around 15% growth. That's the opportunity we have for execution.

Renu Baid

:

Secondly, on order inflow or

the order pipeline. Earlier, you had given
a broad range that over
the next 2

-

year bucket, w

e should be having at least INR50,000 crores of inflows, b

ut if we

look at the pipeline in terms of large projects, can you help us outline which would be the large
ticket size projects which could see final
ization over the next 12

months

, 18 months?

And

to

the base case number of INR

5

0

,000 crores, what incremental short

-

cycle orders can come to

drive similar upside the way we have had in fiscal '24?

Bhanu Srivastava:

See, if you see the large

-

size projects which are underway, one is the QR SAM which is the biggest order and that will be anywhere in the range of INR 30,000 crores

plus, if we add both Army and Air Force requirement, but since it is only in the A1 stage where they are collecting data input and then they will make a statement of case

it will go for AUM

and after that RFP, RFP quotations and P&C and order processing. So the way this goes we expect this to materialize only in '25

-

'26 unless government becomes very fast and aggressive and do it out of the way.

So it all depends upon how government process it. But keeping aside this large contract of QRSAM what are the pipelines because our product spread is very large. So when we are monitoring around more than 70 type

of

line items or items are in pipeline which are more than INR 100 crores and are in the range of INR100 crores, INR200 crores, INR500 crores, INR600, crores, INR1,000 crores, INR 1,200 crores spread across.

So if we add that and see a reasonable level of success in this financial year for order acquisition we see the figure of around INR 25,000 crores.

Renu Baid
:

Sure. Got it. And lastly, can you also share on the order backlog

that we have today, INR 750 billion. Some of the marquee projects that we're executing, Akash, LRSAM maybe in the last leg of [inaudible 15:00]

Bhanu Srivastava:

Akash, LRSAM. Himshakti is there.

Renu Baid
:

Himshakti. What was the value of these projects in the backlog for us?

Bhanu
Srivastava:

Himshakti project is around INR2,500 crores, INR
2,527 crores. Akash
Army
is
INR
3,500
crores. LRSAM left out is INR5,600 crores, b
ut this year

we are targeting around INR
3
,200
crores. MPR Arudhra is INR2,400 crores. T
his year because we have to
give [
15:27
in
audible
],
the

value may not be very high, aro
und INR400 crores, INR
500 crores.

Shakti EW system,
IAC.

So many big projects are there. ADC&RS there Air Defence Control

& Reporting
System around INR
1,967 cro
res.

We may be doing around INR1,000

crores
-

plus this. S
o these are
all

projects, bigger projects
which are spread across next 2 years, 3 years.

So depending upon what is the execution plan
we plan this year and then balance
goes to next and next to next year.

Renu Baid:

Got it.

That's pretty helpful I have couple of more questions I will come back in the queue. I
don't want to take too much time. Thank you all the best sir.

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Moderator:

Thank you.

The next question is from the line of Deepesh Agarwal from UTI Asset Management.

Ple

ase go ahead.

Deepesh Agarwal

:

Sir, my first question is, if I see the cash flow it seems there is a significant increase in the provision for warranty liquidated damages and bad debt

almost INR500 crores, INR

600 crores

kind of a movement. What has I

ed to

increase in provisioning a

nd would we expect a rev

ersal

in the future of the same?

Bhanu Srivastava:

See, provisioning is made in accordance with the contract conditions. So as soon as we cross the contract date and we don't see the delivery date amendment

from the customer we need to

make the provisions. This provisioning may get reversed or not we will be taking up with the cus

tomer in many of the contracts, b

ut it will depend on the outcomes which may happen in

next year and next to next year.

So provis

ioning is based on the contract base, that's how the provisions are raised. Some of the projects have across the provisioning the contractual delivery

dates, that has led to the higher

provision in the current year, b

ut nonetheless we continue to engage wi

th customers and there

are good probability that some of them will get reversed.

Deepesh Agarwal
:

Okay. So this kind of provisionin
g will recur for the next year o
r next year we should see a
normalized provisioning and not these elevated provisioning?

Bhan
u Srivastava:

See, what has crossed the delivery date
--

some of the contracts on the order book of
INR76,000 crores what has crossed the delivery days will obviously remain again in the
provision

zone

unless we are able to get in touch with the customer and get the delivery date
amendment. So that will continue.

But some other or it may not be
--

I cannot take the prec
ise figure how much it will be, b
ut
definitely, what has crossed it will be there. We

cannot tell you a little bit
INR500 crores or
INR
200 crores that number we will not be able to tell because in the new contract this problem
will not be there. Actually in many of the projects if you see these are very complex projects.
And they have got
a lot of dependency, a lot of scope modification based on the site condition,
based on the project progression,

based on the conditions of that
.

So there, we are v
ery confident that customers do

consider it and then gives the
DD
extension
without
LD, b
ut t
hen amending that contract because it has to go t
o original approving
authority a
nd big
value contract original approving

in 38
will be at very high
er

level
. So it
involves a

lot of time and sometimes it may even go more than 1 years or 2 years.

So as per laws

we have to do the provision and as and when that we get the DD extension without DD we withdraw. So it continues some provisions are withdrawn, some are added.

Deepesh Agarwal
:

Sir, secondly in the past calls you have highlighted the Israel conflict having some issue on our supply chain leading to revenue deferment. What is the status currently?

Bhanu Srivastava:

See there has been a significant improvement because that our OEMs in Israel they found methodology or methods to effect the shipment though it takes a little bit more time than in

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normal course. So yes, the initial impact was high, that's what in opening remarks also I told that Q2 and Q3 did have a significant impact.

But a large portion of that we were able to recover in Q4. Now there are impacts

, but we are

trying to minimize, but

but I cannot say that there is no impact of Israel war. There are component supplies from Israel. There are sub modules supplies from Israel OEMs. They in turn they have to source

it from foreign OEM processes and

area

being discussed

it does have an impact. So
we are trying to take care of it.

Deepesh Agarwal
:

Sure.

And sir lastly so it seems H

A

L will be scaling up the LCA production from this year. So
how does it benefit the BEL? What would be typically BEL share
in...

Bhanu Srivastava:

I will tell you. See you see that LCA avionics is from our side BEL side. So digital side
--

critical avionics like Digital Flight Control Computer, DFCC;

then Pylon Interface Box which

interfaces t

he weapons with the platform. Thes

e are then analogues that A

D

C that controller,

these

two

,

three

products are from our side.

So you see that 83 LCAs,

o

ur

contribution may be around INR2,000 crores a
nd remaining 97

for which A1

has been granted. We have given quo

tation in the range of INR

2

,500 crores only

in avionics portion. So that is our contribution. So if they scale up, we scale up our production
for the avionics product and supply to them.

Deepesh Agarwal
:

And thi

s is excluding AESA radar

?

Bhanu Srivastava:

Yes. This is excluding AESA

. It's only avionics portion that's what I'm telling. Three products,

I already told you, DFCC, PIB and ADC air da

ta computer. So these are the three

contribut

e to

avionics portion of the LCA.

Deepesh Agarwal:

Okay. Thank you and all the best.

Bhanu Srivas
tava:

Thank you.

Moderator:

Th
ank you. Th
e next question is from the line of Umesh Raut from Nomura.

Please go ahead.

Umesh Raut
:

Congrats for the good set of numbers. Sir, my first question is more of a follow

-
up on
Deepesh's question which is related to provisioning. So if I look at Q4 quarter we have other
expenses closer
to about INR
1,200 crores about 68% year
-
on
-
year jump. So wa
s there

any
higher provisioning in Q4 a
nd what that number would be?

Bhanu Srivastava:

I think
provision
ing

what you do

major is around INR
230 crores
--

INR
220 crores which
relates to one of our projects called Integrated Air Command and Control System wh
ere
delivery date got extended, b
ut it's a very complex project which involved majority of the
dependency on the customer side also and change in this modification
in the scope
.

So because DD has just we have to provision it, but w
e are in the c
onstant tou
ch with the
airport a

and they have formed Board of officers with our representative in that officers

--

in that

Board of officers who will go through all these dependencies and recommend their findings.

So we are very confident that we will be able to get t

he extension.

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But the process is long because it's a big project. So their approval process also and approving
autho

urity also is at a similar level in MoD.

So it has to go th

rough all the levels and then it

happens. S

o contractually

we had to make the prov

isions, b

ut we're working on that.

Umesh Raut

:

Got it, sir. So if I exclude that amount then our other expenses would have bee

n in the range of

closer to INR

950 crores for the quarter?

Bhanu Srivastava:

INR

230 c

rores is definitely [inaudible 23:15]

project

i

t is made

. So other than that is others,

yes.

Umesh Raut

:

Got it, sir.

Thank you for that understanding.

Sir, my second question is on the

c

ap

e

x front. If I

look at our capacity expansion. So first of all how much at a blended level we have capacity
util

ization at this point of time? And what are our plans in terms of

new capacity expansion as

well a

nd is there any plan to get into new product like electronic SKUs in the future?

Bhanu Srivastava:

See, your question is in

three

parts. One is the capacity utilization. So, see our is not like a
single product where you keep on doing that. These are all strategic capacities built

and we

produce the products a

nd if any routine type of capacity is not

available

with us we outsource

i

t and we do the critical manufacturing in

-

house.

So the capacity available in the market and capacity within factory within

BEL

we are able to

mee

t their customer's requirement.

But nonetheless we keep on working on building new

capacity to take care of fu

ture requirements with the growing order book. So if you s

ee that we

are building around five

new factories.

So one advanced night

vision factory at

Nimmaluru

i

s ready and it

is ready for inauguration by

relevant authorities that

is around 50 acres of

lan

d and its expenditure of INR300 crores plus

and a

nother facility we are building in

Ibrahimpattanam

in Andhra or Telangana where

Ibrahimpattanam

is near Hyderabad.

So there, we are building that facility for EW systems for land a
t around INR
200 crores
investm
ent we are doing. This will come up maybe by next year.

Third facilit
y

we are doing a
weapon system and integration
--

defense system integration in
Palasamudram

.
It's a big
facility with 930 acres of land for all missile system integration and other defen
se integrati
on.
That also work has started i
n another 2 years this should be operational.

We are also working on building a facility for fuse complex and explosives at Nagpur with
around 200 acres of land. That should be operational in another 2
years
to 3

years. We are
working on that. We ha
ve a land of around 30 acres in
Davanagere
where we are going to
build the manufactur
ing facility for airborne equipment in E
W system. We have the facility.
We are in this process of approval of
c
ap
ex.

And we are also w
orking with the UP government. We have requ
ested them. We have signed
an Mo
U. And they have committed around 175 acres of land near that defense corridor in Agra
where we will be setting up MRO facility for missile systems including QRSAM plus part of
manu
facturing of these missile systems will be done there.

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So these are the investments. In average around INR600 crores to INR 700 crores per year we are investing for building new capacity and upgrading our existing

facilities also like super component facility in Ghaziabad, we are upgrading to latest technology at whatever technological requirements. We are building a super component facility in Hyderabad unit existing with investment of around INR 130 crores for present at AESA based radar manufacturing. So these are the capacity expansion which we are doing.

So every year, INR600 crores to INR 700 crores, we are pumping in for capacity expansion.

Umesh Raut
:

Got it, sir. my last question is related to new orders. So as we are saying

Indian Navy is finalizing two

major contracts: one on the submarine side; and second on the next

generation

-

generation

corvettes side. So what kind of systems we are planning to supply over there? So basically, a repeat order of submarine and then next

-

generation corvettes?

And secondly, on the India

Air

Force side, because there is also a large pipeline for combat helicopters and utility helicopters, so what kind of equipment we can supply for those programs as well?

Bhanu Srivastava:

See, if you see that next

-

generation corvettes. There are almost a round 10 to 12 equipments

wh

ich BEL is supplying on both P15B the destroyer

and this frigates P17 alpha.

This involves

sonar system, communication system, ship data network, combat management system, EW

system, radar systems and

SAM surface

-

to

-

air

-

missile

all this.

So all these equipments which we have been supplying we find that there is no reason that NBC also

--

it should not be there. So

NBC

also involves this type of equipment from BEL

side. Coming to submarine side there are

two

aspects: one is that P

-

75 additional submarine

which will go with the AIP a

nd there the foreign partners will be there

. There, it is either L&T

or MDL two

2 Indian shipyards with foreign

partners. They are in the frame

one of them will

subject.

So we are working with both of t

hem

t

o what extent indigenization can be done and we can do indigenous manufacturing. P

-

75(I)

again

the submarine we have a majority of the equipment

in

-

house because it's the indigenous manufacturing. So it all involves sonar systems, communication system

s and

--

related to many, many equipment combat management system or combat information system. So these are the equipments which goes in this submarine.

So it depends. If it is a totally indigenously P

-

75(l) programs our share will be much more. If it

is

with the foreign OEM then we have to negotiate with them to what extent indigenous

content will be there in line with Government of India's

Aatma Nirbhar

policy. So thi

s is still

in discussion stage. We have given certain pricing. Mo

D has got certain

and Navy has got

certain

observation of that. So along with shipyards and OEM we are working on that.

Umesh Raut

:

Got it, sir. Sir, if I look at historical trend we have received closer to 25% of contract value as a part of derivative orders from these la

rger projects. So is it fair to assum

e with the higher

localization

opportunities in future that percentage can go up closer to 30%, 35%?

Bhanu Srivastava:

It should go. That's what we also anticipate.

Moderator:

The next question is from the line of

Gagan

Thareja

from ASK Investments.

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Gagan Thareja:

Sir, the first question pertains to the order inflow for FY '26. You indicated there is a very high chance that QRSAM will go into '26. But apart from QRSAM, on the other portions like radar, avionics, a pipeline of INR22,000 crores to INR25,000 crores also possible for FY '26?

Bhanu Srivastava:

See, what I see when we review our all order acquisition plan. As I indicated earlier, '24

-

'25,

we are looking around INR25,000 crores around minus QRSAM. Now '25

-

'26, i

f you see that

QRSAM is there and another around INR15,000 crores to INR20,000 crores is in pipeline.

Because hundreds of products are there. If there are 70 lines and each INR200 crores, so

INR14,000 crores is like this only on an average, some INR100 cro

res, INR50 crores, INR200

crores, INR300 crores.

But these are short cycle

-

time projects. So for '25

-

'26, it becomes very difficult for us to

specify all this what it will come. But this is how it comes because these are the projects, these

are the product

s, these are the spares, these are the modules which are required to support the

existing fleet also, existing products also, many spares, many modules, upgrades, additional

features, additional things.

So there visibility is like 1 year

only

--

1 year, 1.

5 years. So this year, we have that clear

visibility of around INR25,000 crores minus QRSAM. Next year, we have clear visibility of

around INR10,000 crores, INR15,000 crores plus QRSAM. But then the more we reach closer

to next year and the financial year,

we'll see the much clearer visibility for these all small

orders, which added together are significant

.

Gagan Thareja:

Understood. Also on the share of work for LCA, you indicated air data computer,

[

EFCC

0:032:44]

and one more component. Could you

--

wou

ld you not be doing

--

would you not be

doing anything related to the electronic warfare suite for LCA components like IFF for missile approach warning system and infrared search and track and...

Bhanu Srivastava:

No, we are

--

yes, we are working on that also, but there are something imported in current ones. We are working an indigenous one. And we are in the process of improving it. So it will also come.

But see, unless there is a very good clarity, I would not like to add it and then create that hype.

G

agan Thareja:

Completely understand, sir. We are just looking at what is potentially possible, not necessary that you have assurance of it. But since we're looking to localize any electronic warfare suite, I presume you will be doing the manufacturing for that?

Bhanu Srivastava:

Yes, we are working on that, very sure. But see, unless there is something in concrete on the ground, normally, BEL is a bit conservative organization. So we don't project just on the hearsay, unless there is something and concrete on the ground, then we'll project. When we project, we stand by that we will get it.

Gagan Thareja:

But what is the potential value of the electronic warfare suite in the aircraft itself? I'm not asking what BEL can get, but I'm looking at what's the value

of the warfare suite?

Bhanu Srivastava:

Still

R&D project development and also what price the HAL has procured? I'm not aware. Maybe our team may be aware, but at this point of time, I don't have data.

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Gagan Thareja:

Okay. And would you be involved in the

PICA

system, the

KAVACH

system for the railways?

Would you be working there as well? That's also an electronic component, right?

Bhanu Srivastava:

Yes. See, there are, I think,

two vendors or three vendors

are just now for KAVACH. So even

we are happy

that we have also been one of our unit in Kotdwara. Recently, they got

provisionally certified for KAVACH. So within 1 year or 18 months' time, I think, time, we

have to submit that electronic equipment at KAVACH. So yes, we are in the fray for

KAVACH also

. More than for KAVACH, what have given to railway is that centralized

intelligence KAVACH monitoring system. That is post Balasore

--

that train accident,

Railways wanted to integrate these and monitor that.

So having our strength in C4

I

, we have given th

is to railway that KAVACH integration

system, which is pilot project is under operation. So that business opportunity also will come

to us for integrating that KAVACH.

Moderator:

The next question is from the line of Jonas Bhutta from Birla Mutual Funds.

J

onas Bhutta

:

Congratulations on a great set of numbers. Two quick questions. Firstly, sir, what we have

seen is that increasingly, BEL is facing competition from the private sector in

two

domains,

which were very core to it, which is basically radar system

s and electro

-

optics.

So in our

guidance of to INR25,000 crores of order inflows, is there

--

are there any projects where there

is a multiplayer bid pending which the order gets confirmed? Or all of these are single vendor,

though competitive, but still s

ingle vendor? And what are we doing to sort of regain the

stronghold of ours in radars and electro

-

optics?

And combined with that, if you can talk about the RWR for the Su

-
3

0 that we were developing, what is the status on that? Because recently, I think HAL mentioned that they are very close to getting the contract to the Su

-

30 upgrade program. So are we involved in that? So that's the first question.

Bhanu Srivastava:

See, competition is not new to BEL. Way back in 2004, when government brought Raksha Utpadan Ratna, R&D concept, from then onwards, we are facing competition in both radar system and electro

-

optics and other projects also. So it's not like every time we got the radar rather. You remember that NPR, we lost to L&T and Elta competition. And then a few more EDDS we lost to Tata. There are some projects, CMS, there was a competition, combat management system, there for indigenous aircraft carrier, we lost to Tata.

But later on, we regained and

--

post we lost to Tata in 2011, all CMS programs we won

,

whether it is nominated

,

somewhere and somewhere competitive also. So you say that environment is there where this market is open and competition is there. We are fully geared up to face the competition and we had quite a bit of success.

What we have given is around the guidance of

INR

25,000 crores. It does contain certain amounts of competitive bids also. But then we have taken a sufficient, what you say, that factor when we say that

INR

25,000 crores range seeing the winning probability. So it's not like

we have added everything and told you

INR

25,000 crores. We have added some factors considering that when you are in competitive bid, you may not win everything.

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Jonas Bhutta

:

That's good. Sir, my

--

sorry, on the RWA for Su

-

30, sir?

Bhanu Srivastava

:

RWR,

I do not have detailed data as of now. Maybe I would like to target and pass it and tell you details sometimes later.

Jonas Bhutta

:

Sure. Sir, my second question was on this provisioning again. Sir, if I recollect, even 1 year, 1.5 years ago, I think we had provided for IACCS, I think, more or less the same amount,

INR

150 crores,

INR

180 crores. So in total, roughly

INR

400 crores is what we've provided for

in a project which was relatively lower margin in the first place compared to our other businesses gi

ven that it had a very high component of civil construction. Do you believe that most 1/3 of the profit margin that was expected in this project has been now provided for? And is there a risk for further provisioning? And how many of the 10 nodes have comm issioned?

Bhanu Srivastava

:

See, if you see that total project cost, it is

INR

8,000 crores for civil and electronic equipment supply, and

INR

2,000 crores AMC.

INR
8,000 crores, if you see, roughly

INR
5,000 crores in
the civil and

INR
3,000 crores is the
equipment. So that is total. There are 9 underground nodes
and 5 overground nodes.

Our majority of the overground nodes, I think it is
--

it has come up very well. As far as
underground, 2 underground nodes that has been completed, site acceptance test and

it is in the
process of
--

they are working, but we have to get the certificate in handing over. Remaining
are at various stages. Three are very advanced stage. Maybe by this financial year, it will be
completed remaining in next financial year. So that i
s the total status.

So whatever provisioning is there, I don't think this is the first year we are providing for
IACCS projects with just

INR
230 crores. We have not provided and we've made any
provisions earlier.

This is first year.
This is

INR
230 crores i
s the only provision, which is for
IACCS for a project value of around
INR
8,000 crores. This provision includes both civil and
the equipment's.

Jonas Bhutta
:

And this was to come with the AMC of

INR
2,000 crores. Has that AMC come?

Bhanu Srivastava
:

No, AMC
, it's coming. AMC is coming because AMC,

INR
2,000 crores is for 7 years for our
node

s. So as and when nodes are completed, that portion the AMC comes. So like overground
nodes, if 4 became operational, we got the AMC after warranty completion we got the A
MC.

So underground nodes also, the moment

--

they are complete and then warranty will be over,
we will get. So this is contract is

--

AMC contract is there in the main contract.

The value is
decided. Terms and condition are decided, but they will release t
he order, the movement
warranties on side

-

by

-

side basis.

Moderator:

The next question is from the line Atul Tiwari from Citigroup.

Atul Tiwari

:

Sir, in your order book, how much is the negotiated orders? And how much are competitively
bid?

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Bhanu Srivastava

:

Normally negotiated, you see around 90%. 10%, we can say that competitive bid also. But
negotiation customer does in competitive bid also. Even if you are in L1, they do conduct
negotiation and then pricing is finalized.

Atul Tiwari

:

Okay. So without any

competition at all, the proportion will be 90%, the nominated
order

?

Bhanu Srivastava
:

But one thing I would like to bring it is when we say that without competition, without competition at this point of time. But many of the projects, we did had a competition at the initial stages. And we won and then when we

--

it comes upgrades, it comes expansion, it comes all this things because we have already part

—

means services or products. So it makes sense for customers to come to us on single tender basis

.

Atu
I Tiwari
:

Okay. And sir, for the nominated margins, so the methodology is now well settled. There is no if and but on the methodology as to how the margin will be provided. Just asking this question because a few years ago, we had a little bit of a confusion or controversy regarding how the margins will be provided. So now there is no doubt on how the margins will be provided to the company, right?

Bhanu Srivastava
:

Yes.

Atul Tiwari
:

Okay. And now that your margins are expanding on your P&L. So do you think that the customer or the government can kind of claw back some of the margins?

Bhanu Srivastava
:

I think because then we negotiate single tender basis, they do have their benchmarking, right, with existing products, similar product, contemporary products,

they do the cost edits for larger projects and then this is there.

What I would like to say that when

--

as per MOD guidelines, when they say that 7.5% margin, profit is allowed, so a clean profit over and above all expenses. And all expenses includes building material expense, then manufacturing overhead, nonmanufacturing overhead, then project management cost. Many, many cost or heads

are there where pricing is given by government, cost is given by the government.

Now when you the efficient and very effective operations, you tend to save on all these fronts. And that's how our margin goes much more than 7.5% because of our operational efficiency. If you are able to negotiate, if you are able to better than what was the original proposal, if you are able to

find out alternate source, alternate product which meets the same requirement. If we are able to indigenize some imported products, then and reduce the cost. If we do the project management very effectively in low cost. If we do so, many things are there.

Overhead, we are able to reduce. We do with lesser overhead as compared to what is permissible as per government norms.

So all this add to the profit to or and above what 7.5% is in guidelines. So what we are able to maintain is our better efficiency, better project management and the innovation and R&D what we are spending and taking bringing down the cost, cost savings. We have the cost management committee across our SVO and R&D functions, where their main job is that continuously working on how to bring down the cost

of each projects by all these various methodology, which includes innovation, which includes alternate development,

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indigenization, all these aspects they keep on working. So this is the way we are able to maintain that margin despite the government announced.

Atul Tiwari

:

But sir, in the next iteration of the same product, does not the MOD ask you to share some of these efficiency benefits? Because, I mean, like in the regulated utilities, we see that regulator kind of keeps on tightening the norms over a longer time frame so that the efficiency benefits are shared with the customer.

Bhanu Srivastava

:

But then electronics is a very fast

-

changing technology. So by the time next time comes many things get changed. So

it is free tech

. So this i

s our synergy. As a business organization, we

have our own strategy how to meet the stakeholders', shareholders' expectation of margins.

Moderator:

The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

Mahesh Bendre

:

Sir, we are scalin

g up for operations and we are expecting a decent amount of orders going forward. So...

Moderator:

Sorry to interrupt, sir. Your voice is coming as very low. Could you please speak a bit louder.

Mahesh Bendre

:

Sir, we have a decent order book and order

inflow we are expecting. So I mean, to deliver

these orders, the supply chain management is very important. So in terms of vendor management, I mean the current vendor we have in India and abroad? And what kind of expansion you see our development to see i

n those just to improve supply chain management?

Bhanu Srivastava:

See, vendor management, many things. In defence projects, you get locked down to the vendor during trial and evaluation stage itself for majority of the cases. So you have initial vendor

se

lection, vendor approval, you take that, you decide that. But once that OEM product gets evaluated, it becomes a bit tricky and longer

-

term process to replace that.

So

,

all these products when

we go

through trial, evaluation, we identify 1 or 2 sources wh

ere

we get the product evaluated and we

stick to

that. So we are able to manage the supply chain

issue fairly well.

See,

i

f there's some issue in some parts, we have a panel processing where we

have a plan B for alternate source. But then we have to put ex

tra efforts to get it parallelly

evaluated, get limited qualification whatever the required is done and introduce that.

So our

R&D and product development teams keep on working on these aspects to take care of the risk mitigation.

Moderator:

Thank you.
The

next question is from the line of Amit Bhide from Morgan Stanley.

Please go
ahead.

Amit Bhide
:

So sir, I wanted to understand the medium
-
term execution outlook given the large backlog plus
the guidance that you have given? And also
[49:42 X
of QRSAM
]

al
so, we have a good
pipeline. So if we talk about 3 to 4 years of execution, what could be the CAGR, growth
CAGR that we can see?

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Bhanu Srivastava:

See, this year, we are targeting around 15%. That's what I'm telling based on what is the
requirement of the
customer. As earlier also I told that our execution plan depends upon when
the items are required by the customer, what is the window for that.

Even if I have the
INR
75,000 crores,
INR
76,000 crores order, suppose this is related with the
ships. Now if shi

p is going to be built in 2027, customer will take only 6 months in advance. Otherwise, what we will keep with this and we will pay to us and it will be lying there. So that's how we make that total production plan.

Like LCA also.

we have order for

full

8

3 quantity

,

but HAL

will not take all full 83 in next

1

year, 1

.

5 years. They will spread it based on their capacity. So b

ased on that, we make the

execution plan for every year. So like this year, we are planning somewhere around 15%

growth over this. Tha

t will be able to fairly meet the customer requirements. And this double

-

digit growth will continue and we will scale it up further. If further

order

comes, than our

capacity, as I was telling, 5 new factories are coming.

So once this order inflow is much

more than we'll scale up in even

--

the growth maybe even

better than what we are projecting now, much better than that. But that depends upon how our

capacity buildup and what is the requirement or expectation of the customer.

Amit Bhinde

:

And sir, just

the second one that I want to understand is how

--

what is the R&D pipeline right

now? And like how much of the percentage of revenue we are investing now and in the

forecast that you think?

Bhanu Srivastava:

Last year, we spent around

INR

1,100 crores, whi

ch was around 6% of our total turnover. On

absolute term, we increased, but because our turnover grew much more, so percentage term, it

is slightly lesser. But we are very aggressive on working on R&D. Many new projects we are

taking in all our products re

main. And we target at least 7% to 8% of our turnover going for

R&D.

Amit Bhinde

:

All right. Sir, and just 1 more thing that on the BEML product that we have, when would that

be ready? And any technical partner

--

technology partnership that we are planning to have?

Bhanu Srivastava:

BEML, we have signed an MOU to develop their electronic portion. There goes in their Metro products, that their bogies. so we have signed. We are working. We have formed the R&D team. So I don't think there is any technology partner is required. Our R&D is fully geared up.

We got a lot of learnings from working with Metro for Metro products. What learning we got, we are leveraging on those learnings for working on BEML requirements. Maybe if some expertise is available

are required from Delhi Metro, we will take from them.

Moderator:

Thank you.
The next question is from the line of Harshit Kapadia from Elara Capital.

Please go ahead.

Harshit Kapadia
:

Congratulations for good set of results. I just wanted to keep you on the employee cost. The employee cost has consistently come down over the last 8 years. Right now, it's around 12.5%. Where do you think this number would be over the next 2 years? That's the first question.

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Bhanu Srivastava:

It will be around the same range. Actually, the employee cost is increasing in absolute terms. As the turnover increases as well, the percentage has come down slightly. But consistently, we will expect it to be around 12% in the coming years.

Harshit Kapadia
:

Okay. And recently, sir, DRDO has come up with Netra as a product for the AWACS system. We hear that Bharat Electronics could be the beneficiary here. If you can help us with the size of this order, I think there is around 6 Netra...

Bhanu Srivastava:

See, it's still under discussion so at this point of time because now you are only saying that it's a very competitive market where DRDO has to look into many options including Bharat Electronics. So it is not fair for me to divulge at this point of time what we are asking to DRDO.

Harshit Kapadia
:

Okay. But any color on size, sir, would be helpful.

Bhanu Srivastava:

No. We'll tell it later. When things are concrete, then only we will tell.

Harshit Kapadia
:

Understood. And sir, 1 question on BEML. So you also signed up with manufacture engines for tanks for BEML, right? You have come...

Bhanu Srivastava:

No.
BEML is working on developing the indigenous engine. So it is a multi-company MOU what we signed. BEML is there. We are there. I think AVNL also is there. So what we have contributed is, electronic portion of that engine will be done by us.

Harshit Kapadia
:

Okay.
Understood, sir. But you will not be the lead integrator here, right?

Bhanu Srivastava:

Lead is BEML. Engine is the majority. Main thing is ICE engine, internal combustion and mechanical and all these things

--

BEML is having strength. Our core area is electronic portion.

Harshit Kapadia
:

And that engine prototype has already been developed, right? So right now, you are under testing those prototypes. Is that correct understanding?

Bhanu Srivastava:

No, I have
--

just now we have signed an MOU, so I have to look into. But I don't think prototype for what MOU we have signed it has been done. It is
--

they have developed and tested prototype for some other version.

Moderator:

Thank you
.

The next question is from the line of Harshit Patel from Equirus Securities.

Please
go ahead.

Harshit Patel
:

Sir, my first question is on there are several development programs happening on the artillery front, namely the ATAGS, TopGun system, MGS as well as light tanks. What would be our supply portion in these platforms? Also, if you could highlight what is the share of electronics as a percentage of overall cost in an artillery system, that would be helpful?

Bhanu Srivastava:

S
ee, artillery systems is now being done by private sector also and erstwhile
[
OSB company

56:21
]

also. So it depends upon what they want to get it from us and what they want to do from them, or they want to take from their OEMs. So at this point of time, it is difficult for us to

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really quantify for that.

But yes, artillery command and control system, and all we're integrating all these artillery has been done by us, and we are working on upgrading that. Similarly, some of the artillery products which are being done by

[
OSB
56:53]
, their electronic
suits are given by us.

Harshit Patel
:

Understood. Sir, my second question is could you give us an update on the Tapas, the UAV program, where you have been developing the payloads. This program, while the initial trials were reasonably successful, they fail to achieve certain required operational parameters. And I think the next set of trials will be conducted. So what is the road ahead over here?

Bhanu Srivastava:

See, with all these things, IAF, what I understand

and what input I have is that IAF is expecting to procure around 6 systems for Tapas, where lead will be HAL and payloads will be from us. So rough budgetary quote we have already given, so let us see when they process.

Harshit Patel
:

So
,

this will be like the limited series units before you get the bulk production order?

Bhanu Srivastava:

I'm not very clear on that because Tapas, if you see, lead is HAL. But they did have taken a budgetary code from us for payloads.

Harshit Patel
:

Thank you very much for
answering my questions and all the best.

Moderator:

Thank you.
The next

question is from the line of
Dipen Vakil
, an individual investor.

Please go
ahead.

Dipen Vakil:

Sir, my first question is on the line

of
. Sir, you mentioned that last year, you faced some supply
chain disruption because of the Israel geography. Sir, can you highlight which were the main
programs which were impacted where we procure components or subcomponents from foreign
OEM? And what is
it going
ahead? Is everything sorted now

or there are still any areas where
we're still facing challenges?

Bhanu Srivastava:

Some of the products which we had with foreign OEMs, see, it's not fair for me to just to
specify one individual company or second
individual company. There are many companies.
Some of them case problems, some of them we're able to work on. But as of now, fairly has
been addressed, what I can say.

Dipen Vakil:

So which were the programs that were affected for us?

Bhanu Srivastava:

Tha
t's what I'm telling. See, ther
e are quite a few programs we are doing. So for me, specifying
individual company is not fair for that company.

Dipen Vakil:

Got it, sir, my second question is that you mentioned that the competition is rising, and we are
see
ing increased private sector participation also. So how does BEL looks at private sector
participation? Is i
t more from collaborative front,

or is it more from the competition front? And
how do you see the situation evolving going ahead if it's on the coll
aborative front?

Bhanu Srivastava:

It's
--

both ways it is working. See, many products with big private sector, we are collaborating also. And some of area

where the products are common, we are competing also. It's a very healthy situation. And in fact, so me amount of competition is good because it brings the

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efficiency in the system. So we are fully geared up for facing competition. With the same set of OEMs, we are collaborating also

.

See, L&T, you see

Larsen & Toubro

some of the projects we are competin

g. Some of the

products, they're our suppliers. Some of the products, they're

--

as a shipbuilder, they are our customers. So all 3 types of relationships are there with the L&T. Similarly, Tata also same thing is there. So we are working on many products with this private company as a collaborator. But some of them is a fair game, where we have a similar type of product we compete also.

Dipen Vakil:

So is it fair to say that wherever BEL is collaborating, BEL will keep a core strategically important compon ents with them and outsource other subcomponents to private players?

Bhanu Srivastava:

See, it depends upon who is the lead. See, if it is my product, I will keep core with me and give non

-

core to others. If it is their product, they will keep core with th em and give us non

-

core. So it depends upon who has got upper hand. So case to case, it depends. If we are leading, then definitely, as a strategy, I would like to not part away with the core.

Dipen Vakil:

Got it, sir. Thank you so much for answering my question. All the best, FY'25.

Amit A. Dixit
:

Sir

. We'll take you to the last couple of questions, please.

Moderator:

Thank you.
Sir, you want to take more questions?

Bhanu Srivastava:

No. Last question. You can close it, please.

Moderator:

Yes, sir. Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I would like to hand the conference over to the management for closing comments.

Bhanu Srivastava:

Closing comments.

So

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thank you very much to all of you for discussing with us and having a query on Bharat Electronics. So again, I would like to reiterate our future outlook and our guidance for '24

-

'25. We are targeting a revenue of around 15%. EBITDA margin, 23% to 25%. Order inflow around INR25,000 crores.

R&D investment between 6% , to 7%, roughly around INR1,300 crores to INR 1,400 crores. capex around INR700 crores to INR 800 crores. And defense to nondefense business in the 85 - 15, roughly in that count. Export around \$110 million, that's what we are expecting. Order acquisition in export around the \$200 million

plus. So these are our guidance.

Thank you very much again for showing confidence in Bharat Electronics, and I assure you that we strive hard to do much

,

better than what we say.

So a bit conservative. That's why
whatever we say, it's based on our very thorough analysis and work by our team with a lot of
homework done. And whatever we

say, we stand by it. Thank you very much.

Moderator:

On behalf of ICICI

Securities, that concludes this conference.
Thank you for joining us, and
you may now disconnect your lines.

Call: Aug 2024

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Bharat Electronics Limited

(Govt. of India Enterprise, Ministry of Defence)

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ÿ-WE-mail : secretary@bel.co.inÿi/Web : www.bel-india.in*T.No. 17565/6/SE/NSEC/SEC

/ Date: 01.08.2024

Trftÿr / Trftÿrr,

Dear Sir/Madam,

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Sub: Transcript of the conference call with Investors / Analysts held on

29.07.2024

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find enclosed

herewith the transcript of the conference call hosted by M/s Elara Securities Private Limited

on Monday, 29th July, 2024 at 4:00 P.M for discussion on Unaudited Financial results for the

quarter ended 30th June, 2024.

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For your kind information, the aforementioned transcript is made available on the website of

the company www.bel-india.in under Investors - Stock Exchange Disclosure tab.

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Submitted for your information and record.

sfwÿi / Thanking You

wfk Yours faithfully,

ft ÿTKcf ÿ+dTR+U

For Bharat Electronics Limited

tt-ft/S Sreenivas

/Company Secretary

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Ends: As stated above.

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"Bharat Electronics Limited Q1 FY,25 Earnings Conference

Call"

July 29, 2024

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Management: Shri Manoj Jain - Chairman & Managing

Director, Bharat Electronics Limited

Shri Damodar Bhattad S - Director (Finance)

& Chief Financial Officer, Bharat Electronics

Limited

Shri S. Sreenivas - Company Secretary, Bharat

Electronics Limited

Moderator: Mr. Harshit Kapadia - Elara Securities Private

Limited

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quality, technology, innovation Bharat Electronics Limited

July 29, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Bharat Electronics Limited Q1 FY'25 Earnings Call hosted by Elara Securities Private Limited.

As a reminder, all participants line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing then "0" on your touchtone telephone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you and over to you.

Harshit Kapadia: Thanks, Shubhangi. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q1 FY'25 Conference Call of Bharat Electronics Limited.

I take this opportunity to welcome the management of Bharat Electronics represented by Shri Manoj Jain, Chairman and Managing Director, Shri Damodar Bhattad, Director, Finance and CFO, and Shri Sreenivas, Company Secretary, along with their team.

We will begin the call with a Brief Overview by the Management followed by Q&A Session. I'll now hand over the call to Manoj sir for his opening remarks. Over to you, sir.

Manoj Jain: Myself, Manoj Jain, CMD, BEL. I am pleased to announce the Financial Highlights of Q1 for Financial Year *24-25.

In this Q1, we have achieved a turnover of 4,400.27 crores, which is a increase of 19.1% from the previous year Q1 Results. The profit before tax increased to Rs.1,037 crores as compared to Rs.704 crores last year with a growth of 4

7.40%. The profit after tax has also increased to Rs.776.14 crores as compared to Rs.530.84 crores with a growth of 46.21%. The EBITDA also has increased to 22.82% as compared to 19.28% last year. The same thing is earning per share which has also increased to Rs.1.06 as compared to Rs.0.73 last year. The order book position as on 31.7.2024 is Rs.76,705 crores.

On all the parameters we have shown an upward increased trend. This is a brief financial highlight of Q1 this year.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have a couple of questions. The first one is on revenue guidance. If we look at the revenue, it has grown by almost 20% in this quarter YoY. Now, what kind of guidance would you like to give for the full year given that 1st Quarter have been quite strong?

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Management:

Amit Dixit:

Management:

Amit Dixit:

Management:

Moderator:

Umesh Raut: We would like to maintain the guidance we have given already in our previous con call, which will be 15%. So, revenue growth will be around 15% compared to last year for the full year.

The second question is on the order flow guidance. So, despite it being accentuated by elections, we saw a pretty healthy order flow for the company. In the last con call, you again gave a guidance for the order flow to be around 25,000-odd crores. Do you see some reasons for upward revision to guidance? And if it is possible to mention, can you just let us know the key contracts that were executed this quarter?

This guidance for this year what we had promised 25,000 crores, we will definitely retain that and we will meet this expectation and we will get this orders of 25,000 crores. In that the major order which we have received in the last quarter are BMP-2 Upgrade, the TR Modules for Thales and MPR Radar for ITR Chandipur, some spares for our P15 Bravo Ship for Communication System, Akash AMC, T90 Stabilizer Spare and CMS System. So, around 4,800 crores plus orders we have received in the last quarter.

I was talking more about the execution. So, can you highlight the major platforms that we have executed in this quarter?

So, in the last quarter, we have executed some six, seven main orders. One of them is LRSAM, which we are anyway executing year-by-year. But this quarter we have achieved around 842 crores through this particular project. Then this CBIT project which is our Civilian Sector-1 project which we are doing for Central Board of Indirect Taxes, etc., For them around 300 crores worth of order we executed. One Hammer Missile System we had executed around 235 crores. Then some Set Pump Terminals around 143 crores we had executed the order. IACCS is a big project which we are executing for the last 3-4 years. So, there are also around 132 crores. The EW Systems, we are supplying so many, but noteworthy is one Shakti EW System which we have supplied around 127 crores worth of equipments and Lynx-U2 that system also for naval requirements for 95 crores. So, these are in brief about the major projects which we have executed in this Q1.

The next question is from the line of Umesh Raut from Nomura India. Please go ahead.

My first question is basically on the AoN approval that today accorded by the Defense Ministry with respect to advanced land navigation system. So, could you please throw some light how big this opportunity for us in terms of orders in the future?

Management: Which one? Can you please repeat? Advanced land -?

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Umesh Raut:

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Management:

Umesh Raut: Advanced Land Navigation System, (ALNS), I think we have already delivered Version-I to the Indian Armed Forces previously. I think they are now seeking the proposal for MK-II

I which is

compatible with Indian Regional Navigation Satellite.

Correct. That is handled by our Chennai unit, and this is totally homegrown indigenous development by us. And this Mark-II... we can call it as a Mark-II also, here it is having capability of NavIC support also. So, IRNSS we call it, IRNSS restricted service support also will be there in that. So, we are confident we will supply in time this equipment because all the basic technology is already in our control.

How big this quantum of opportunity could be in terms of order inflow?

That I can't tell you at this moment of time till MoD gives us the real value, because it depends on the quantity and other configuration-related details. So, based on that, once we freeze everything with them, we will definitely come back to you.

My second question pertains to quick reaction surface to air missile where we are seeking final approval from the MoD. So, what exactly currently the status regarding that program and how soon we can expect that order to come?

All the trials and everything has been completed successfully. So, many other lab reports and other things also were given to them to the user, and it is satisfactory on all the things. So, all the paperwork is done for this and they have asked some budgetary quotes from us. I hope by the beginning of next year means April to June sometimes we may get this order because there is a long process, still AO and then they will get financial sanctions and then ask the formal RFP and then negotiation and then placing order to us. So, we are expecting maybe April to June timeframe next year we may get this order.

Sir, my next question is more of strategic in nature. If I look at your gross margin over the course of last five years, I think we made more of a bottom closer to 42% in FY'22 and now we are consistently reporting gross margins above 45%. And if I look at I think in last two years especially, whatever orders we have received, those are largely from base products or largely from a substitute for imported products. So, I think we are certainly now moving towards better gross margin trajectory. Is it fair to assume that (+45%) gross margin level is more possible to sustain for the company in the future?

Management: Current quarter, the gross margin is around 41%, 42% only, not 45, and going forward as we have already guided the EBITDA margin, I mean effectively will be around 23% to 25% is the guidance which we maintain for the current year. The gross margin of 40% to 42% will be the range, so 45-

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plus will certainly not be there. 40% to 42% is the range and EBITDA margin of 23% to 25%

guidance what we have given we maintain that guidance.

Umesh Raut: Is it fair to assume that in phase wise execution for programs like LRSAM, you are getting incremental learning curve in terms of better cost saving and that's how you are also reporting better profitability on same program in the last say four years?

Manoj Jain: See, the number of products composition is too large. We have 29 (SBU) Strategic Business Units. There are a number of products which coverage is very, very large. So, when we are giving the guidance of 40% to 42%, it is covering all, it covers LRSAM and all others. So, there will be some minor variations up and down between the products. But overall, the gross margin is expected to be in the range of 40-42%.

Umesh Raut: Last question is with respect to other expenses for the quarter. Those grew by about 30% year-on-year basis. Is there any major provisioning during the quarter?

Management: Yes, provisions have been there. Of course one is due to the scale of operations, obviously some

expenditures go up. That was one reason. The other thing is that provision for LD has slightly gone up. So, these are the two major reasons.

Umcsli Raut: Sir, can you please quantify the LD amount?

Manoj Jain: Provision

for LD and doubtful debts was more by 78 crores during the current quarter as compared to the last quarter.

Umcsli Raut: And what it was in the 1 st Quarter of FY'24?

Management:

Moderator: It was 54 crores last year and now it is 132 crores.

The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Sir, can you throw some light in terms of few orders which you expect over the next one or two years? You always highlight that in every call. So, I just thought just on the updated part any orders which are going back more getting elongated, any orders which you feel more confident that would come first, just first on that?

Management: So, what we are going to get this year some major order, one is ADFT or Apulia. We are expecting that order very soon, then EW suite for our Mi-17 V5 for which the trial has been almost at the last stage we are going to get RFP soon, then security and surveillance system for army that is for their army depots, etc., we are expecting a good order from that, mountain radar also, a good order is BH/IMTELECT FION/CS

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expected in this year, MFRX band radar for ships GMV ships that also is a good order and EW system for ground based, so that also is a good order we are expecting. These orders are of the order of 1,000 crores to 2,500 crores each order. So, these are some of the big orders we are expecting this year itself. And next year, definitely, as I told the QRSAM is the biggest order we are expecting. But in addition, we are having a very good leads right now and good progress has been done on MRSAM for Shivali can take Salwar class of ships, LORA Weapons System, and same thing MRSAM and MFSTAR for NGC vehicle, Next Generation Corvette Combat Weapons Systems and Sonar for P-75, etc., So, some 5-6 big, big programs of 5,000 to 8,000, 10,000 crores worth of value we are expecting in next two to three years.

Nitin Arora: So, in that case, when you started this year order which you're telling us where you are confident that you will do 25,000 crores of order inflow and you're also highlighting the next year as well. So, in that case even next year, do you expect a growth on such 25,000 crores order intake, because QRSAM itself will be a very big order. So, -

Management: What we are doing is excluding QRSAM, the base order of current year is expected to be 25,000 crores and next year also 25,000 crores expected excluding QRSAM. So, both the year it will be 50,000 crores.

Management:

Nitin Arora: And if QRSAM comes, definitely it will be additional around 20,000 to 25,000 crores.

So, you don't see any slowness that is happening from the government side, which is the fear of a lot of investors, right now that things will slow down and bid pipeline will get elongated, you don't see that happening from the government side?

Management: For the current year the capital is in the range of 1.72 lakh crores, out of which 1,05,000 crores is earmarked for the domestic procurement itself, means that we do not see any such thing, the budget also says the same thing, so we do not see any, we do not have any such fears.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: My first question is with respect to the Sukhoi-30 upgrades. It seems that this program will pick up the pace very soon. Hindustan Aeronautics also expects this order to come in FY'25 or at least by FY'26. So, what will be the different subsystems that we will supply over here and what could be our work share out of the total order which will be placed on HAL?.

Management: Actually we don't have exact figures of what HAL may get order. We only know our electronics components which are going to be there in 230 upgrade. So, there are various subsystems which we are planning for 230 upgrade including radar because in 230 upgrade this time radar also is planned to be induct

ed, Indian origin. So, that and EW System, then some Radios and other Communication

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Systems, so that way we are expecting in the 230 upgrade around 4,000 to 5,000 crores worth of different type of equipments definitely we will have order.

Harshit Patel: So, this 4,000 to 5,000 crores you are talking about the first set of fighter jets, which will be I think 84 in the numbers, or you are talking about the entire 260 units?

Management: If I am not wrong 230 upgrade right now is planned for first 84 or 100 numbers only. And after that only they will go to the next batch. So, this first one itself, we are expecting this much order quantity to us.

Harshit Patch My second question is with respect to the Netra airborne warning systems. So, has there been any progress on that in terms of DRDO finalizing, who will be the production partners for various systems and subsystems in that? Given that air force has projected a requirement of around 12 more such platforms along with the six that they are already operating at the moment, this could be a potentially very large opportunity for us?

Management: Yes, definitely, AEW&CS is a large opportunity and strategic importance for us. So, this Netra you maybe knowing we are supporting them, we are maintaining those aircrafts as well as a lead agency and we have the right expertise for this segment. Various subsystems which are planned now in the next order are already in the pipeline. We are having discussions including some radar which is required for this. This time we are going to indigenize some of the radars driven by DRDO, but BEL is one of the potential partners for them for these radars. So, radar, EW and communications, again, all the three subsets in this AEW&CS there is a large opportunity for us. Right now, confirmed order point of view, we don't have, except maintaining AEW&CS for these three platforms. That itself is a very good opportunity for us to understand all other subsystems, and we are in the process of indigenizing many more subsystems in that.

Management: Just a small question is on LCA Mark 1A and eventually Mark 2. Has there been any decision on who will be the production partner for the Uttam radar? So, will this be on a single vendor basis or the order will be divided in a certain ratio between two companies?

Management: As of now, Uttam radar for first batch for LCA Mark 1A is given to HAL. HAL is the lead agency and they will take the radar-related modules from one oblique two companies. That decision is not yet taken but lead integration for this radar will be done by HAL for the first batch. Next batch, they may review based on the performance and other parameters. They may select well also. But as of now it is HAL who is leading all the integration activities.

Moderator: The next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.

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Mohit Pandey:

Management:

Mohit Pandey:

Manoj Jain:

Mohit Pandey:

Manoj Jain:

Mohit Pandey:

Management:

Mohit Pandey:

Management: First question is on the QRSAM order next year. So, how big could that regiment be, the one possible in April to June next year?

No, we are expecting more than 25,000 crores order for QRSAM, but the value may change based on the final configuration, number of regiments, number of missiles to be added as per regiment, etc., that is a strategic call which our Indian Air Force and Indian Army are taking. The final configuration will we come to know only when AOM is awarded. So, that we are expecting very soon. So, once that is there, we will get the final figure, but definitely it will be 25,000 crores and above.

What would be the proportion of space and services now in the business mix?

Presently, during the 1st Quarter, the services are around 11% and

goods were around 89%.

So, that's the proportion of the defense business, this excludes the -?

No, no, I am telling overall.

Within the current order book, what would be the proportion of repeat orders for example orders that you've executed previously and getting repeat for broadly?

We don't have the exact quantification of what are repeat orders, but we can always tell, it is there, like for example Akash Squadron we had got earlier 6 Squadrons, later on we got 7 Squadrons and the LRSAM we had got earlier for four states and again we got for seven states. But the exact quantum of the repeat orders at this position, we do not have the information.

Sir, lastly is on export. So, as of now, which would be the top two or three countries where we are exporting products to?

Major exports right now is the medical electronics related TR modules and some parts for AE17, etc., (Inaudible) 23:20 and other things for LV Design. So, these are the major projects which we have executed in this quarter. Overall, we received major orders recently, that is for onboard naval equipments from L&T or SEZ export, then something for Airbus, we have got big order for T295, solar power plants for Guatemala we have got very good order now and TR modules, six and eight channel TR module for (TRDS) Thales Reliance Defense System that we have got good order now and a Compass also is a good export order from Israel and bid we have received. Recently, we have

received an export order of €25.75 million, that was from TRDS. So, that is for supply of TR modules for various airborne platforms for them.

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Mohit Pandey:Bharat Electronics Limited

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Last question is on the other income. So, is there any one-off in the other income or is it largely interest income on the term deposit?

Management:

Moderator:

Dipcn Vakil:

Manoj Jain:

Dipen Vakil:The other income increase is due to the interest income.

The next question is from the line of Dipen Vakil from PhillipCapital. Please go ahead.

Can you give a similar break up for defense and non-defense?

This defense is 84% during the current quarter, non-defense is 14% and exports is 2%.

Going ahead for FY,25, do we expect that to maintain like 80%-20% or how do we expect our defense and non-defense it will be?

Management:

Dipcn Vakil:

Management:

Dipcn Vakil:

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Dipcn Vakil:

Management:85% is defense, 15% is non-defense typically.

This year, as you mentioned that we have a 25 different line units working simultaneously. So, any CAPEX plans that are there for FY,25 and any capacity augmentation plans?

Can you repeat once more?

So, I am asking about your CAPEX plan for FY'25.

The CAPEX is around 800 crores is planned during the current year.

On what areas, are we planning to do this CAPEX on?

There are quite a few factories coming up as you may be knowing already; one is coming up in Palasamudram, one is already almost completed in Nimmakuru, one more is coming up in Hyderabad, Ibrahimpatnam, so 3-4 factories are coming up, one more is coming up in Nagpur. In addition to this, there are some capital equipments required for the production purpose. So, those are also there. All this put together is worth 800 crores I am talking about.

And how many of them will be operational, say, in FY'25?

In FY'25 the Machilipatnam unit will be operational, Nimmakuru what we are talking, all others will be in the next year only.

Dipcn Vakil: Last question is a little bit on the strategic part of it, Sir, the government has announced the positive indigenization list and there have been like four lists where the BEL has been given a certain

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Management:

Moderator:

Deepak Krishnan:

Management:

Deepak Krishnan:

Management:confidence that they can only procure from Indian players. So, how

does BEL view this move and

is there any issue with scaling up or supply chain issues that BEL faces in procuring any components or how has been the BEL experience with the entire PIL?

Our experience of the entire PIL is very, very good, because these PILs are at system and subsystem level. So, these system and subsystems which were earlier imported, now we have indigenous capability to develop them either our own or with the help of DRDO. So, that confidence we have given to our defense users and that's why they have come out with these PIL based on our capabilities. So, system and subsystem level, we are not finding any issue, but of course at component and material level indigenization is going at very slow pace. That will take its own time because that requires different type of infrastructure beyond our control like digital fabs and other things and real material processing related things, that will take five to 10 years to

become really most of those component level indigenization. There also we are attempting to develop some of the technologies including some of the chipsets ourselves, fabless design we have already started, but once the fab comes in India, we wanted to be the first user of those fabs for strategic importance IC for which we have already started developing fabless design. Over a period of five to 10 years, it will take to a reasonable indigenized on component level, but at system and subsystem level whatever PIL dates are committed, we are confident we will achieve that indigenization definitely much earlier than the committed days.

The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Sir, just wanted to sort of understand, last year we had some issues with Israel-based supply chain. Is there any sort of revenue that we got this quarter which was a sort of issue that in 2H FY'24 we couldn't execute that and that is out in execution in 1Q or could help us in 1H?

Yes, Israel war had impacted us little bit in last year. This year, our indication for the 1st Quarter shows that it has eased up. Like I said around 800 crores plus execution we have done for our LRSM program. That itself shows that the overall situation is in the right direction for us.

Maybe just two follow-ups. One wanted to sort of understand our contribution to the PINAKA system. And second, just wanted to understand the fifth indigenization list. What could be the quantum of value of products that BEL would have to indigenize over a period of time?

PINAKA per se we are not having direct contribution. We are only supplying some subsystems related to communication interface and other things to other companies. Because PINAKA order is received by other companies not by BEL, but we are supplying to those companies some subsystems. Right now we don't have any plans to manufacture PINAKA because that is a long-term process and we are just developing our capabilities for manufacturing PINAKA, but it will

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July 29, 2024

Moderator:

Amit Mahawar:

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Management: take some time. But of course we are supplying some subsystems which are required by these agencies. And your second question was regarding PIL. So, PIL as such we don't quantify how much business we are going to get, because PIL only gives the direction that these items in future, before the cutoff date will be procured from Indian companies only. But the future quantities is not committed right now. So, as and when that cutoff timeline happens, after that only Government of India comes out based on AOL and others. So, then only we can quantify the exact business volume, but definitely there is a requirement that we know that's why we are indigenizing, that's why we are putting efforts to develop those technologies, but exact quantification of business, it is too early to tell that.

The next qu

estion is from the line of Amit Mahawar. Please go ahead sir.

I just have one question on FY'25 and '26 the recurring base order rate of 250 billion ex of say next year QRSAM. What percentage of this is where we are going to have repeat orders or upgrade orders and what percentage is the first-time supply of any subsystems?

So, I think QRSAM is first time for us, MRSAM and MFSTAR, the second biggest order which we are going to expect that may be partially repeat only, third biggest order again LORA is a new order, so fourth again is repeat. So, I can tell you around 50% you can assume as repeat and 50% as new as of now what look to us the order, DDAC, so many other programs are there which are first time for us. So more or less it is around 50:50 we can say, 50% maybe repeat orders and 50% are new orders based on the efforts which we have put over the last three to four years.

Maybe I was more asking about ex of MFSTAR, MR and QRSAM, I was more asking about this year and next year we have 50,000 crores worth of orders which are excluding these large programs. I was asking in that number, sir, if 50%, 60% is a repeat order or more than that?

No, excluding this also, the equation will be more or less similar only. Around 50% you can assume as a repeat order, 50% is the new order.

What percentage of these would be nomination in terms of again this year, next year broadly?

Nomination as of now because we only have put all the efforts, and these are the strategic programs where we had put for last six to eight years R&D efforts. So, many of these programs are single tender for us, because we only have done all the investments in that. So, as of now I think out of what we have or what is the future projection, around 70% to 80% we are expecting to be single tender.

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Amit Mahawar:Bharat Electronics Limited
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Any change in terms from MoD in terms of the working capital requirements or the criteria of when you submit the cost sheets and get the approval, any important changes have happened which you want to highlight sir?

Manoj Jain: Nothing. They are going in right direction, and this is the right combination right now itself. So, no major changes in expected.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: My first question pertains to the operating margins which have been on the higher side so far at least in the last financial year and the start of this year with reference to your past guidances. So, can you just help us understand are these improvements sustainable and what is a sustainable gross margin and operating margin we should look for?

Management: So, we had already guided for a gross margin of around 40% to 42% for the current year and an EBITDA margin of 23% to 25%, so we maintain this guidance even now.

Gagan Thareja: And I think at the close of FY'24, you had indicated that mid teen sort of growth is sustainable going ahead. Do you maintain that that sort of a growth guidance as possible for this year and the coming two, three years given your order book?

Management: Current year revenue guidance we have already given a growth of 15% as of now. We have got a 76,000-order book and 15% growth guidance is what we have given. Current quarter as you know, we have already grown by 19%. So, we maintain this revenue growth guidance of 15%. As far as the next year is concerned, I think it's a little early to comment on that.

Management: Based on the QRSAM and other bigger programs development, we may see before end of this year, we will definitely revise our estimates in case we get this order in time.

Gagan Thareja: For the Kavach system, when will you be able to come out with your prototype and perhaps also when will you be able to do commercial supplies?

Management: Right now, this Kavach system, railway has told us to develop based on our capabilities and based on our some proto development, a test bed we have created, based on that, we have given confidence. They have given us around 18 months, timeline for developing the proto. We are confident definitely we will achieve it before then only. And after that only the commercial business-related orders can come. So, orders are expected after 18 months to 24 months timeline only, not before.

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QUALITY TECHNOLOGY INNOVATION Bharat Electronics Limited
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Gagan Thareja:

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Moderator:

Vipul K A Shah:

Is there any interoperability-related issue or challenge that needs to be resolved for Kavach before you can have software interoperability or issue which can lead to maybe some delay in commercialization?

1 don't foresee because right now also I think there are three companies where the order is coming, and they are reasonably interoperable. Of course, interoperability as the technology moves forward and some obsolescence issue comes, etc., sometime some batch, or some other hardware may have interoperability issues. I think for that Railways have come out with some software test lab where again BEL also wants to contribute for establishing that. So, that lab once it is in place, it will solve this interoperability issue to a large extent. But as on today it is not present, but we may foresee some time later because of technological obsolescence and other things. So, for that they are going in right direction and we also have studied that requirement and we are developing our system keeping that requirement in mind.

On supply chain perspective, I think at least for the missile programs, there has been some issue in getting some subsystem supplies from either the Israeli or the Russian companies. Is that now completely resolved, or do you see some of this especially pertaining to MRS AM perhaps creeping up and coming back in the future as well?

No, it is not resolved directly, although these components have not directly affected BEL, it has affected BDL a bit more. So, this question you should actually ask BDL team, but I know based on our technical interaction with them because for this program they are my partner. So, we are having a lot of queries and other concerns we are sharing mutually. The situation was a problem but we are in the right direction and it is under control now. There were some challenges because of some

supplies of subsystems from Israel as you have rightly told. But that challenge is now overcome, now it is the volume game to catch up again for this. So, that is happening. And exact quantification, I think BDL team only can tell you better.

The next question is from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

Any progress on MoU we have signed for battery management system and any progress on SaaS initiatives?

Management:

Vipul K A Shah: This battery management system you're referring to that Radar-1 which we had told one or two years back?

Yes, sir.

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BHARAT ELECTRONICS LIMITED

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Vipul K A Shah:

Management:

Moderator:

Satya Shridhar:

Management:

Moderator:

Aman Vij:

Management: So, as we already told, we are not factoring this and there is no progress on that, we are not factoring that into our order intake also and there is not much progress into that. So, we are not counting on that.

Sir, one small suggestion. If you can put a presentation on your slide where all the orders are pertaining to which programs are there, that will be really helpful and the orders executable over what timeframe, it will really help us to understand the company better. This is a small suggestion sir.

Please understand one thing that we are in a zone where we have got our other players also into this. So, listing out all the programs, telling about all the programs is a bit of an issue. So, whenever you're asking anything, we will be able to

tell what are the programs going on whichever can be

told, but there could be certain other programs which we would not like to tell at this point of time.

So, it is like that.

The next question is from the line of Satya Shridhar from Satya Shridhar Stock Research. Please go ahead.

Sir, your order book is showing 76,705 crores. This is a much bigger number compared to our annual turnover. How many years would this be executed in, and do you need any new capacity expansion to execute this?

See, our CAPEX plans are already in place to facilitate the growth what we are talking of 15% growth, what we are planning this year and of course for next year, it is early to tell. But some of the factories are coming up. This all will facilitate the growth of 15% what we are envisaging during the current year. And 70,000 order book generally we are expecting to have a order book to revenue ratio of two to three times.

The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

My question is around the fuses segment. So, we were supposed to supply around 500 crores worth of fuses every year. So, how much have we supplied in Q1 ?

We may not have that much detail, but we are continuously supplying fuses now since I think last one year and production is going on and this fuses are not like a pulse, they are a continuous supply. Although I don't have the exact data, you can assume it was a fair assessment, 500 crores, this year also we have planned roughly. So, divide by 12 into 3, roughly that much value will be there but the exact value I don't have, because this production is a continuous production type of

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thing. So, exact data I can share with you later on, but you can roughly assume this is the figure, around 100 crores you can assume was there from fuses.

Aman Vij: So, just wanted to check, do we have any capacity constraint in this or do we have enough capacity to supply this 500 crores worth of fuses every year?

Management: Definitely, there is a small capacity limitation because it is indirectly not a capacity limitation, but the Pune unit we are doing so many other products also. So, that's why this fuses we wanted to open up a new line at Nagpur over a period of time. So, next one or two years we can sustain this

type of a production here without compromising on our other products which are being manufactured at Pune. But over a period of time, we wanted to do all the manufacturing of fuses in our Nagpur plant.

Aman Vij:

Management: And what is the current indigenization of this fuses?

More than 50% already is there, but we are targeting 80% to 90% in another two, two and a half years.

Aman Vij: Sir, last part question was we had done an MoU with Rosoboronexport for an export to Russia for various kind of ammunition. If you can talk about the same, will this help in increasing the indigenization of the current supply which we need to do or this is a very separate product, and if it is a separate product, what kind of opportunity can we look at from these products?

Management: Firstly, this is a totally different product than whatever products we have handled till date. But it is a similar product like you can say it is an upgraded version of the fuses what we are supplying and it is for the different type of ammunition. We have just signed an MoU right now. The details of the business volume, work share, keeping the indigenization content more than 50% those detailed discussions are on the way. It will take another six months to nine months to settle. Then only we can come back to you with the exact quantification of the total business opportunity. But business is huge in this segment and it is strategic in nature in our line of business only. That's why we have signed this MoU with them.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Mana

gers. Please go ahead.

Gagan Thareja: My first one is I think you are in the process of building up four or five new facilities. Can you share, are they targeted at increasing in-house content or are they targeted at increasing revenue and what sort of impact they can have on top line and costs for you?

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Management: See, based on today's order book and revenue guidance what we have given, it is 76,000 crores and a 15% growth target in revenues. As we go forward, obviously, we will be planning for more growth. So, as the volumes go up to facilitate the expansion, we require new factories. So, that is how Hyderabad factory we are building one more factory for Machilipatnam, we are doing one more factory because Machilipatnam factory was of a small size. So, we are going for a slightly larger factory. One more is coming up in Palasamudram also in Andhra Pradesh. So, these are the facilities to facilitate the growth what we are planning for the coming years.

So, in-house development means indigenization definitely is there at all the factories all the time.

So, it is not that because of in-house activities we are developing the factory, but every factory wherever we are investing further or where we are producing right now in-house development indigenization is the main key today.

Bharat Electronics has always stated that a lot of work related to combat helicopters and aircraft and naval frigates and destroyers comes to BEL. I think a lot of orders have been placed for naval platforms, a lot are there in the pipeline likewise for LCA and LCH. What is your scope of work and what potential order pipeline do you see from this?

Definitely, the big platforms of naval variety or airborne variety, majority of the electronics comes from BEL. So, huge business opportunity is there for us for all these programs either directly from users or through HAL or MDL GRSE, etc., So, huge opportunities, that's why we have anticipated more than definitely 25,000 crores plus per year order acquisition. Right now, this year we have planned 25,000 crores. Definitely next year we will come out with a more revised figure keeping these business leads in mind. So, these all business leads we have captured and based on that only we are having our future projections we are making.

But is it possible to separately quantify what could be the pipeline from these platforms, even a ballpark approximate quantification would help?

That only happens when the AoN is granted, because with AoN, the tentative budgets also are there for the quantities. So, right now we have quality means we know these type of products, we are either BNE or we have the right products, but the exact quantities of each one of the platform varies just before AoN. After AoN only this will be better quantified for the thing. Till now we have our own market leads. Leads we can't share at this moment to you because this is a strategic marketing confidential data for us. So, as soon as it becomes public domain as AoN, that time we will definitely come back to you.

Moderator: The next question is from the line of Hardik Raut from 1IFL Securities. Please go ahead.

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Hardik Raut:

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Hardik Raut:

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Moderator:

Viraj Mithani:

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Viraj Mithani:

Management:

Viraj Mithani: I wanted to ask you with regards to the recently concluded different acquisition of Council, wherein when the Council has decided to pass event for advanced land navigation system for Army, what scope does this entail for us as a company in terms of order pipeline and when should this turn into order for us?

We have already supplied ALNS for the army, but that was not having this capability of IRNSS, navy, you call it now in the civilian

domain. So, in the defense domain, we call it IRNSS RH

capability. So, now they have come out that they want newer tanks with this ALNS having capability of IRNSS. So, that proto we have already developed for that and demonstrated as a technology. Now, after AoN, there is again a long-drawn process of issuing RFP and then sometimes they ask for MCMC trials once more, although we have given them some proto demo. So, after that only the real order comes to us. We expect the order to the tune of 500 to 1,000 crores in this lead itself.

So, the 500 to 1000 crores in total under ALNS or 500 to 1,000 crores for this year?

No, not for this year, ALNS. It may not come this year because it's still that RFP, then BMC, then placing order. Maybe we are lucky this year-end, otherwise next year only. So, not this year and execution will be around three to four years because this is also for various platforms, so it takes its own time, logistics and other issues are there for users also. So, generally based on our previous experience, it will be spread out over three to four years.

The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Sir, can you give me a breakup of your order book in terms of commercial, defense, rail and others?

Order book of the 76,000 crores, you wanted roughly in different heads?

Percentage wise defense is around 85.8% and non-defense is around 11.3% and around 2.9% is export. So, that is the breakup between the defense, non-defense and export for this order book which we have currently.

In the years to come, would the same mix be there, or the mix would be changing in terms of defense and non-defense?

Management: So, typically we are earning average is 85%-15%, 85% is defense, 15% is non-defense, minor 1% or 2% variations are there between these combinations because of the different type of product mix sometimes it happens but on an average it is 85%-15%.

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Viraj Mithani: Bharat Electronics Limited

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With Kavach coming with, the non-defense value goes up in terms of percentage. What is the size of the opportunity for Kavach?

Management: Kavach is actually a very big program. And right now, I believe railways is struggling with the supplies, means, the vendors are not able to supply the quantities. Knowing BEL infrastructure and capability to invest further by BEL, that's why railways has come forward to us for this development. But it will take, as I said earlier also some 18 to 24 months to start generating business or revenues from that business opportunity for BEL because anyway order will be splitted across all the qualified vendors. So, of the order of 20,000 to 30,000 crores business opportunities there for BEL, spread it across five to six years. Maybe 4,000 to 5,000 crores per year is the business potential for BEL, if we successfully complete that, but that will be after two years from today. Tentatively this is the figure which we are looking at.

Moderator: The next question is from the line of Himanshu Mandal, an individual investor. Please go ahead.

Himanshu Mandal: See, the technical questions and the financial questions, as I am an individual investor, answers I am hearing, and I am so positive by holding my stock with BEL. I have only one... maybe a question in others mind that as well is BEL also planning to give some bonus to their investors or something like this because other questions technically people are asking and I am totally happy with those answers?

Management:

Management: So, we would not like to comment on such things at this point.

We can't tell that until we have a board approval

Moderator: Ladies and gentlemen, we are taking this as a last question. I now hand the conference over to Mr. Harshit Kapadia for closing comments. Please go ahead, sir.

Harshit Kapadia: Thanks, Shubhangi. We would like to thank the management of Bharat Electronics Limited, Shri Manoj Jain - Chairman and

Managing Director, Damodar Bhattad as Director - Finance and CFO,

Sreenivas as Company Secretary for giving us an opportunity and to all analysts for asking all the questions. Any closing remarks do you want to share with the investors, sir?

Manoj Jain: Yes. So, future outlook as was told earlier, we are committed to that, that revenue growth of 15%, the EBITDA margin of 23% to 25% and order inflow of minimum 25,000 crores. So, these three definitely we are giving further guidance or reassuring that we are going to achieve this target in this year.

Moderator: On behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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Bharat Electronics Limited

(Govt. of India Enterprise, Ministry of Defence)

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/ Date: 01.08.2024

Trftÿr / Trftÿrr,

Dear Sir/Madam,

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Sub: Transcript of the conference call with Investors / Analysts held on

29.07.2024

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Pursuant to Regulation 30 and 46 of SEBI (LODR) Regulations, 2015, please find enclosed

herewith the transcript of the conference call hosted by M/s Elara Securities Private Limited

on Monday, 29th July, 2024 at 4:00 P.M for discussion on Unaudited Financial results for the

quarter ended 30th June, 2024.

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For your kind information, the aforementioned transcript is made available on the website of the company www.bel-india.in under Investors - Stock Exchange Disclosure tab.

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Submitted for your information and record.

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For Bharat Electronics Limited

tt-ft/S Sreenivas

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Ends: As stated above.

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"Bharat Electronics Limited Q1 FY,25 Earnings Conference Call"

July 29, 2024

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Management: Shri Manoj Jain - Chairman & Managing

Director, Bharat Electronics Limited

Shri Damodar Bhattad S - Director (Finance)

& Chief Financial Officer, Bharat Electronics

Limited

Shri S. Sreenivas - Company Secretary, Bharat

Electronics Limited

Moderator: Mr. Harshit Kapadia - Elara Securities Private

Limited

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quality, technology, innovation Bharat Electronics Limited

July 29, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Bharat Electronics Limited Q1 FY'25 Earnings Call hosted by Elara Securities Private Limited.

As a reminder, all participants line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing then "0" on your touchtone telephone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you and over to you.

Harshit Kapadia: Thanks, Shubhangi. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q1 FY'25 Conference Call of Bharat Electronics Limited.

I take this opportunity to welcome the management of Bharat Electronics represented by Shri Manoj Jain, Chairman and Managing Director, Shri Damodar Bhattad, Director, Finance and CFO, and Shri Sreenivas, Company Secretary, along with their team.

We will begin the call with a Brief Overview by the Management followed by Q&A Session. I'll now hand over the call to Manoj sir for his opening remarks. Over to you, sir.

Manoj Jain: Myself, Manoj Jain, CMD, BEL. I am pleased to announce the Financial Highlights of Q1 for Financial Year *24-25.

In this Q1, we have achieved a turnover of 4,400.27 crores, which is a increase of 19.1% from the previous year Q1 Results. The profit before tax increased to Rs.1,037 crores as compared to Rs.704 crores last year with a growth of 4

7.40%. The profit after tax has also increased to Rs.776.14 crores as compared to Rs.530.84 crores with a growth of 46.21%. The EBITDA also has increased to 22.82% as compared to 19.28% last year. The same thing is earning per share which has also increased to Rs.1.06 as compared to Rs.0.73 last year. The order book position as on 31.7.2024 is Rs.76,705 crores.

On all the parameters we have shown an upward increased trend. This is a brief financial highlight of Q1 this year.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have a couple of questions. The first one is on revenue guidance. If we look at the revenue, it has grown by almost 20% in this quarter YoY. Now, what kind of guidance would you like to give for the full year given that 1st Quarter have been quite strong?

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QUALITY, TECHNOLOGY. INNOVATION Bharat Electronics Limited

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Umesh Raut: We would like to maintain the guidance we have given already in our previous con call, which will be 15%. So, revenue growth will be around 15% compared to last year for the full year.

The second question is on the order flow guidance. So, despite it being accentuated by elections, we saw a pretty healthy order flow for the company. In the last con call, you again gave a guidance for the order flow to be around 25,000-odd crores. Do you see some reasons for upward revision to guidance? And if it is possible to mention, can you just let us know the key contracts that were executed this quarter?

This guidance for this year what we had promised 25,000 crores, we will definitely retain that and we will meet this expectation and we will get this orders of 25,000 crores. In that the major order which we have received in the last quarter are BMP-2 Upgrade, the TR Modules for Thales and MPR Radar for ITR Chandipur, some spares for our P15 Bravo Ship for Communication System, Akash AMC, T90 Stabilizer Spare and CMS System. So, around 4,800 crores plus orders we have received in the last quarter.

I was talking more about the execution. So, can you highlight the major platforms that we have executed in this quarter?

So, in the last quarter, we have executed some six, seven main orders. One of them is LRSAM, which we are anyway executing year-by-year. But this quarter we have achieved around 842 crores through this particular project. Then this CBIT project which is our Civilian Sector-1 project which we are doing for Central Board of Indirect Taxes, etc., For them around 300 crores worth of order we executed. One Hammer Missile System we had executed around 235 crores. Then some Set Pump Terminals around 143 crores we had executed the order. IACCS is a big project which we are executing for the last 3-4 years. So, there are also around 132 crores. The EW Systems, we are supplying so many, but noteworthy is one Shakti EW System which we have supplied around 127 crores worth of equipments and Lynx-U2 that system also for naval requirements for 95 crores. So, these are in brief about the major projects which we have executed in this Q1.

The next question is from the line of Umesh Raut from Nomura India. Please go ahead.

My first question is basically on the AoN approval that today accorded by the Defense Ministry with respect to advanced land navigation system. So, could you please throw some light how big this opportunity for us in terms of orders in the future?

Management: Which one? Can you please repeat? Advanced land -?

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Umesh Raut:

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Umesh Raut: Advanced Land Navigation System, (ALNS), I think we have already delivered Version-I to the Indian Armed Forces previously. I think they are now seeking the proposal for MK-I

I which is

compatible with Indian Regional Navigation Satellite.

Correct. That is handled by our Chennai unit, and this is totally homegrown indigenous development by us. And this Mark-II... we can call it as a Mark-II also, here it is having capability of NavIC support also. So, IRNSS we call it, IRNSS restricted service support also will be there in that. So, we are confident we will supply in time this equipment because all the basic technology is already in our control.

How big this quantum of opportunity could be in terms of order inflow?

That I can't tell you at this moment of time till MoD gives us the real value, because it depends on the quantity and other configuration-related details. So, based on that, once we freeze everything with them, we will definitely come back to you.

My second question pertains to quick reaction surface to air missile where we are seeking final approval from the MoD. So, what exactly currently the status regarding that program and how soon we can expect that order to come?

All the trials and everything has been completed successfully. So, many other lab reports and other things also were given to them to the user, and it is satisfactory on all the things. So, all the paperwork is done for this and they have asked some budgetary quotes from us. I hope by the beginning of next year means April to June sometimes we may get this order because there is a long process, still AO and then they will get financial sanctions and then ask the formal RFP and then negotiation and then placing order to us. So, we are expecting maybe April to June timeframe next year we may get this order.

Sir, my next question is more of strategic in nature. If I look at your gross margin over the course of last five years, I think we made more of a bottom closer to 42% in FY'22 and now we are consistently reporting gross margins above 45%. And if I look at I think in last two years especially, whatever orders we have received, those are largely from base products or largely from a substitute for imported products. So, I think we are certainly now moving towards better gross margin trajectory. Is it fair to assume that (+45%) gross margin level is more possible to sustain for the company in the future?

Management: Current quarter, the gross margin is around 41%, 42% only, not 45, and going forward as we have already guided the EBITDA margin, I mean effectively will be around 23% to 25% is the guidance which we maintain for the current year. The gross margin of 40% to 42% will be the range, so 45-

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plus will certainly not be there. 40% to 42% is the range and EBITDA margin of 23% to 25% guidance what we have given we maintain that guidance.

Umesh Raut: Is it fair to assume that in phase wise execution for programs like LRSAM, you are getting incremental learning curve in terms of better cost saving and that's how you are also reporting better profitability on same program in the last say four years?

Manoj Jain: See, the number of products composition is too large. We have 29 (SBU) Strategic Business Units. There are a number of products which coverage is very, very large. So, when we are giving the guidance of 40% to 42%, it is covering all, it covers LRSAM and all others. So, there will be some minor variations up and down between the products. But overall, the gross margin is expected to be in the range of 40-42%.

Umesh Raut: Last question is with respect to other expenses for the quarter. Those grew by about 30% year-on-year basis. Is there any major provisioning during the quarter?

Management: Yes, provisions have been there. Of course one is due to the scale of operations, obviously some

expenditures go up. That was one reason. The other thing is that provision for LD has slightly gone up. So, these are the two major reasons.

Umcsli Raut: Sir, can you please quantify the LD amount?

Manoj Jain: Provision

for LD and doubtful debts was more by 78 crores during the current quarter as compared to the last quarter.

Umcsli Raut: And what it was in the 1st Quarter of FY'24?

Management:

Moderator: It was 54 crores last year and now it is 132 crores.

The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Sir, can you throw some light in terms of few orders which you expect over the next one or two years? You always highlight that in every call. So, I just thought just on the updated part any orders which are going back more getting elongated, any orders which you feel more confident that would come first, just first on that?

Management: So, what we are going to get this year some major order, one is ADFT or Apulia. We are expecting that order very soon, then EW suite for our Mi-17 V5 for which the trial has been almost at the last stage we are going to get RFP soon, then security and surveillance system for army that is for their army depots, etc., we are expecting a good order from that, mountain radar also, a good order is BH/IMTELECT FION/CS

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expected in this year, MFRX band radar for ships GMV ships that also is a good order and EW system for ground based, so that also is a good order we are expecting. These orders are of the order of 1,000 crores to 2,500 crores each order. So, these are some of the big orders we are expecting this year itself. And next year, definitely, as I told the QRSAM is the biggest order we are expecting. But in addition, we are having a very good leads right now and good progress has been done on MRSAM for Shivali can take Salwar class of ships, LORA Weapons System, and same thing MRSAM and MFSTAR for NGC vehicle, Next Generation Corvette Combat Weapons Systems and Sonar for P-75, etc., So, some 5-6 big, big programs of 5,000 to 8,000, 10,000 crores worth of value we are expecting in next two to three years.

Nitin Arora: So, in that case, when you started this year order which you're telling us where you are confident that you will do 25,000 crores of order inflow and you're also highlighting the next year as well. So, in that case even next year, do you expect a growth on such 25,000 crores order intake, because QRSAM itself will be a very big order. So, -

Management: What we are doing is excluding QRSAM, the base order of current year is expected to be 25,000 crores and next year also 25,000 crores expected excluding QRSAM. So, both the year it will be 50,000 crores.

Management:

Nitin Arora: And if QRSAM comes, definitely it will be additional around 20,000 to 25,000 crores.

So, you don't see any slowness that is happening from the government side, which is the fear of a lot of investors, right now that things will slow down and bid pipeline will get elongated, you don't see that happening from the government side?

Management: For the current year the capital is in the range of 1.72 lakh crores, out of which 1,05,000 crores is earmarked for the domestic procurement itself, means that we do not see any such thing, the budget also says the same thing, so we do not see any, we do not have any such fears.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: My first question is with respect to the Sukhoi-30 upgrades. It seems that this program will pick up the pace very soon. Hindustan Aeronautics also expects this order to come in FY'25 or at least by FY'26. So, what will be the different subsystems that we will supply over here and what could be our work share out of the total order which will be placed on HAL?.

Management: Actually we don't have exact figures of what HAL may get order. We only know our electronics components which are going to be there in 230 upgrade. So, there are various subsystems which we are planning for 230 upgrade including radar because in 230 upgrade this time radar also is planned to be induct

ed, Indian origin. So, that and EW System, then some Radios and other Communication

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Systems, so that way we are expecting in the 230 upgrade around 4,000 to 5,000 crores worth of different type of equipments definitely we will have order.

Harshit Patel: So, this 4,000 to 5,000 crores you are talking about the first set of fighter jets, which will be I think 84 in the numbers, or you are talking about the entire 260 units?

Management: If I am not wrong 230 upgrade right now is planned for first 84 or 100 numbers only. And after that only they will go to the next batch. So, this first one itself, we are expecting this much order quantity to us.

Harshit Patch My second question is with respect to the Netra airborne warning systems. So, has there been any progress on that in terms of DRDO finalizing, who will be the production partners for various systems and subsystems in that? Given that air force has projected a requirement of around 12 more such platforms along with the six that they are already operating at the moment, this could be a potentially very large opportunity for us?

Management: Yes, definitely, AEW&CS is a large opportunity and strategic importance for us. So, this Netra you maybe knowing we are supporting them, we are maintaining those aircrafts as well as a lead agency and we have the right expertise for this segment. Various subsystems which are planned now in the next order are already in the pipeline. We are having discussions including some radar which is required for this. This time we are going to indigenize some of the radars driven by DRDO, but BEL is one of the potential partners for them for these radars. So, radar, EW and communications, again, all the three subsets in this AEW&CS there is a large opportunity for us. Right now, confirmed order point of view, we don't have, except maintaining AEW&CS for these three platforms. That itself is a very good opportunity for us to understand all other subsystems, and we are in the process of indigenizing many more subsystems in that.

Management: Just a small question is on LCA Mark 1A and eventually Mark 2. Has there been any decision on who will be the production partner for the Uttam radar? So, will this be on a single vendor basis or the order will be divided in a certain ratio between two companies?

Management: As of now, Uttam radar for first batch for LCA Mark 1A is given to HAL. HAL is the lead agency and they will take the radar-related modules from one oblique two companies. That decision is not yet taken but lead integration for this radar will be done by HAL for the first batch. Next batch, they may review based on the performance and other parameters. They may select well also. But as of now it is HAL who is leading all the integration activities.

Moderator: The next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.

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Mohit Pandey:

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Mohit Pandey:

Management: First question is on the QRSAM order next year. So, how big could that regiment be, the one possible in April to June next year?

No, we are expecting more than 25,000 crores order for QRSAM, but the value may change based on the final configuration, number of regiments, number of missiles to be added as per regiment, etc., that is a strategic call which our Indian Air Force and Indian Army are taking. The final configuration will we come to know only when AOM is awarded. So, that we are expecting very soon. So, once that is there, we will get the final figure, but definitely it will be 25,000 crores and above.

What would be the proportion of space and services now in the business mix?

Presently, during the 1st Quarter, the services are around 11% and

goods were around 89%.

So, that's the proportion of the defense business, this excludes the -?

No, no, I am telling overall.

Within the current order book, what would be the proportion of repeat orders for example orders that you've executed previously and getting repeat for broadly?

We don't have the exact quantification of what are repeat orders, but we can always tell, it is there, like for example Akash Squadron we had got earlier 6 Squadrons, later on we got 7 Squadrons and the LRSAM we had got earlier for four states and again we got for seven states. But the exact quantum of the repeat orders at this position, we do not have the information.

Sir, lastly is on export. So, as of now, which would be the top two or three countries where we are exporting products to?

Major exports right now is the medical electronics related TR modules and some parts for AE17, etc., (Inaudible) 23:20 and other things for LV Design. So, these are the major projects which we have executed in this quarter. Overall, we received major orders recently, that is for onboard naval equipments from L&T or SEZ export, then something for Airbus, we have got big order for T295, solar power plants for Guatemala we have got very good order now and TR modules, six and eight channel TR module for (TRDS) Thales Reliance Defense System that we have got good order now and a Compass also is a good export order from Israel and bid we have received. Recently, we have

received an export order of €25.75 million, that was from TRDS. So, that is for supply of TR modules for various airborne platforms for them.

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Last question is on the other income. So, is there any one-off in the other income or is it largely interest income on the term deposit?

Management:

Moderator:

Dipcn Vakil:

Manoj Jain:

Dipen Vakil:The other income increase is due to the interest income.

The next question is from the line of Dipen Vakil from PhillipCapital. Please go ahead.

Can you give a similar break up for defense and non-defense?

This defense is 84% during the current quarter, non-defense is 14% and exports is 2%.

Going ahead for FY,25, do we expect that to maintain like 80%-20% or how do we expect our defense and non-defense it will be?

Management:

Dipcn Vakil:

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Management:85% is defense, 15% is non-defense typically.

This year, as you mentioned that we have a 25 different line units working simultaneously. So, any CAPEX plans that are there for FY,25 and any capacity augmentation plans?

Can you repeat once more?

So, I am asking about your CAPEX plan for FY'25.

The CAPEX is around 800 crores is planned during the current year.

On what areas, are we planning to do this CAPEX on?

There are quite a few factories coming up as you may be knowing already; one is coming up in Palasamudram, one is already almost completed in Nimmakuru, one more is coming up in Hyderabad, Ibrahimpatnam, so 3-4 factories are coming up, one more is coming up in Nagpur. In addition to this, there are some capital equipments required for the production purpose. So, those are also there. All this put together is worth 800 crores I am talking about.

And how many of them will be operational, say, in FY'25?

In FY'25 the Machilipatnam unit will be operational, Nimmakuru what we are talking, all others will be in the next year only.

Dipcn Vakil: Last question is a little bit on the strategic part of it, Sir, the government has announced the positive indigenization list and there have been like four lists where the BEL has been given a certain

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Management:

Moderator:

Deepak Krishnan:

Management:

Deepak Krishnan:

Management:confidence that they can only procure from Indian players. So, how

does BEL view this move and

is there any issue with scaling up or supply chain issues that BEL faces in procuring any components or how has been the BEL experience with the entire PIL?

Our experience of the entire PIL is very, very good, because these PILs are at system and subsystem level. So, these system and subsystems which were earlier imported, now we have indigenous capability to develop them either our own or with the help of DRDO. So, that confidence we have given to our defense users and that's why they have come out with these PIL based on our capabilities. So, system and subsystem level, we are not finding any issue, but of course at component and material level indigenization is going at very slow pace. That will take its own time because that requires different type of infrastructure beyond our control like digital fabs and other things and real material processing related things, that will take five to 10 years to

become really most of those component level indigenization. There also we are attempting to develop some of the technologies including some of the chipsets ourselves, fabless design we have already started, but once the fab comes in India, we wanted to be the first user of those fabs for strategic importance IC for which we have already started developing fabless design. Over a period of five to 10 years, it will take to a reasonable indigenized on component level, but at system and subsystem level whatever PIL dates are committed, we are confident we will achieve that indigenization definitely much earlier than the committed days.

The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Sir, just wanted to sort of understand, last year we had some issues with Israel-based supply chain. Is there any sort of revenue that we got this quarter which was a sort of issue that in 2H FY'24 we couldn't execute that and that is out in execution in 1Q or could help us in 1H?

Yes, Israel war had impacted us little bit in last year. This year, our indication for the 1st Quarter shows that it has eased up. Like I said around 800 crores plus execution we have done for our LRSM program. That itself shows that the overall situation is in the right direction for us.

Maybe just two follow-ups. One wanted to sort of understand our contribution to the PINAKA system. And second, just wanted to understand the fifth indigenization list. What could be the quantum of value of products that BEL would have to indigenize over a period of time?

PINAKA per se we are not having direct contribution. We are only supplying some subsystems related to communication interface and other things to other companies. Because PINAKA order is received by other companies not by BEL, but we are supplying to those companies some subsystems. Right now we don't have any plans to manufacture PINAKA because that is a long-term process and we are just developing our capabilities for manufacturing PINAKA, but it will

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Moderator:

Amit Mahawar:

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Management: take some time. But of course we are supplying some subsystems which are required by these agencies. And your second question was regarding PIL. So, PIL as such we don't quantify how much business we are going to get, because PIL only gives the direction that these items in future, before the cutoff date will be procured from Indian companies only. But the future quantities is not committed right now. So, as and when that cutoff timeline happens, after that only Government of India comes out based on AOL and others. So, then only we can quantify the exact business volume, but definitely there is a requirement that we know that's why we are indigenizing, that's why we are putting efforts to develop those technologies, but exact quantification of business, it is too early to tell that.

The next qu

estion is from the line of Amit Mahawar. Please go ahead sir.

I just have one question on FY'25 and '26 the recurring base order rate of 250 billion ex of say next year QRSAM. What percentage of this is where we are going to have repeat orders or upgrade orders and what percentage is the first-time supply of any subsystems?

So, I think QRSAM is first time for us, MRSAM and MFSTAR, the second biggest order which we are going to expect that may be partially repeat only, third biggest order again LORA is a new order, so fourth again is repeat. So, I can tell you around 50% you can assume as repeat and 50% as new as of now what look to us the order, DDAC, so many other programs are there which are first time for us. So more or less it is around 50:50 we can say, 50% maybe repeat orders and 50% are new orders based on the efforts which we have put over the last three to four years.

Maybe I was more asking about ex of MFSTAR, MR and QRSAM, I was more asking about this year and next year we have 50,000 crores worth of orders which are excluding these large programs. I was asking in that number, sir, if 50%, 60% is a repeat order or more than that?

No, excluding this also, the equation will be more or less similar only. Around 50% you can assume as a repeat order, 50% is the new order.

What percentage of these would be nomination in terms of again this year, next year broadly?

Nomination as of now because we only have put all the efforts, and these are the strategic programs where we had put for last six to eight years R&D efforts. So, many of these programs are single tender for us, because we only have done all the investments in that. So, as of now I think out of what we have or what is the future projection, around 70% to 80% we are expecting to be single tender.

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Amit Mahawar:Bharat Electronics Limited
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Any change in terms from MoD in terms of the working capital requirements or the criteria of when you submit the cost sheets and get the approval, any important changes have happened which you want to highlight sir?

Manoj Jain: Nothing. They are going in right direction, and this is the right combination right now itself. So, no major changes in expected.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: My first question pertains to the operating margins which have been on the higher side so far at least in the last financial year and the start of this year with reference to your past guidances. So, can you just help us understand are these improvements sustainable and what is a sustainable gross margin and operating margin we should look for?

Management: So, we had already guided for a gross margin of around 40% to 42% for the current year and an EBITDA margin of 23% to 25%, so we maintain this guidance even now.

Gagan Thareja: And I think at the close of FY'24, you had indicated that mid teen sort of growth is sustainable going ahead. Do you maintain that that sort of a growth guidance as possible for this year and the coming two, three years given your order book?

Management: Current year revenue guidance we have already given a growth of 15% as of now. We have got a 76,000-order book and 15% growth guidance is what we have given. Current quarter as you know, we have already grown by 19%. So, we maintain this revenue growth guidance of 15%. As far as the next year is concerned, I think it's a little early to comment on that.

Management: Based on the QRSAM and other bigger programs development, we may see before end of this year, we will definitely revise our estimates in case we get this order in time.

Gagan Thareja: For the Kavach system, when will you be able to come out with your prototype and perhaps also when will you be able to do commercial supplies?

Management: Right now, this Kavach system, railway has told us to develop based on our capabilities and based on our some proto development, a test bed we have created, based on that, we have given confidence. They have given us around 18 months, timeline for developing the proto. We are confident definitely we will achieve it before then only. And after that only the commercial business-related orders can come. So, orders are expected after 18 months to 24 months timeline only, not before.

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Gagan Thareja:

Management:

Gagan Thareja:

Management:

Moderator:

Vipul K A Shah:

Is there any interoperability-related issue or challenge that needs to be resolved for Kavach before you can have software interoperability or issue which can lead to maybe some delay in commercialization?

I don't foresee because right now also I think there are three companies where the order is coming, and they are reasonably interoperable. Of course, interoperability as the technology moves forward and some obsolescence issue comes, etc., sometime some batch, or some other hardware may have interoperability issues. I think for that Railways have come out with some software test lab where again BEL also wants to contribute for establishing that. So, that lab once it is in place, it will solve this interoperability issue to a large extent. But as on today it is not present, but we may foresee some time later because of technological obsolescence and other things. So, for that they are going in right direction and we also have studied that requirement and we are developing our system keeping that requirement in mind.

On supply chain perspective, I think at least for the missile programs, there has been some issue in getting some subsystem supplies from either the Israeli or the Russian companies. Is that now completely resolved, or do you see some of this especially pertaining to MRS AM perhaps creeping up and coming back in the future as well?

No, it is not resolved directly, although these components have not directly affected BEL, it has affected BDL a bit more. So, this question you should actually ask BDL team, but I know based on our technical interaction with them because for this program they are my partner. So, we are having a lot of queries and other concerns we are sharing mutually. The situation was a problem but we are in the right direction and it is under control now. There were some challenges because of some

supplies of subsystems from Israel as you have rightly told. But that challenge is now overcome, now it is the volume game to catch up again for this. So, that is happening. And exact quantification, I think BDL team only can tell you better.

The next question is from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

Any progress on MoU we have signed for battery management system and any progress on SaaS initiatives?

Management:

Vipul K A Shah: This battery management system you're referring to that Radar-1 which we had told one or two years back?

Yes, sir.

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Management:

Vipul K A Shah:

Management:

Moderator:

Satya Shridhar:

Management:

Moderator:

Aman Vij:

Management: So, as we already told, we are not factoring this and there is no progress on that, we are not factoring that into our order intake also and there is not much progress into that. So, we are not counting on that.

Sir, one small suggestion. If you can put a presentation on your slide where all the orders are pertaining to which programs are there, that will be really helpful and the orders executable over what timeframe, it will really help us to understand the company better. This is a small suggestion sir.

Please understand one thing that we are in a zone where we have got our other players also into this. So, listing out all the programs, telling about all the programs is a bit of an issue. So, whenever you're asking anything, we will be able to

tell what are the programs going on whichever can be

told, but there could be certain other programs which we would not like to tell at this point of time.

So, it is like that.

The next question is from the line of Satya Shridhar from Satya Shridhar Stock Research. Please go ahead.

Sir, your order book is showing 76,705 crores. This is a much bigger number compared to our annual turnover. How many years would this be executed in, and do you need any new capacity expansion to execute this?

See, our CAPEX plans are already in place to facilitate the growth what we are talking of 15% growth, what we are planning this year and of course for next year, it is early to tell. But some of the factories are coming up. This all will facilitate the growth of 15% what we are envisaging during the current year. And 70,000 order book generally we are expecting to have a order book to revenue ratio of two to three times.

The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

My question is around the fuses segment. So, we were supposed to supply around 500 crores worth of fuses every year. So, how much have we supplied in Q1 ?

We may not have that much detail, but we are continuously supplying fuses now since I think last one year and production is going on and this fuses are not like a pulse, they are a continuous supply. Although I don't have the exact data, you can assume it was a fair assessment, 500 crores, this year also we have planned roughly. So, divide by 12 into 3, roughly that much value will be there but the exact value I don't have, because this production is a continuous production type of

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thing. So, exact data I can share with you later on, but you can roughly assume this is the figure, around 100 crores you can assume was there from fuses.

Aman Vij: So, just wanted to check, do we have any capacity constraint in this or do we have enough capacity to supply this 500 crores worth of fuses every year?

Management: Definitely, there is a small capacity limitation because it is indirectly not a capacity limitation, but the Pune unit we are doing so many other products also. So, that's why this fuses we wanted to open up a new line at Nagpur over a period of time. So, next one or two years we can sustain this

type of a production here without compromising on our other products which are being manufactured at Pune. But over a period of time, we wanted to do all the manufacturing of fuses in our Nagpur plant.

Aman Vij:

Management: And what is the current indigenization of this fuses?

More than 50% already is there, but we are targeting 80% to 90% in another two, two and a half years.

Aman Vij: Sir, last part question was we had done an MoU with Rosoboronexport for an export to Russia for various kind of ammunition. If you can talk about the same, will this help in increasing the indigenization of the current supply which we need to do or this is a very separate product, and if it is a separate product, what kind of opportunity can we look at from these products?

Management: Firstly, this is a totally different product than whatever products we have handled till date. But it is a similar product like you can say it is an upgraded version of the fuses what we are supplying and it is for the different type of ammunition. We have just signed an MoU right now. The details of the business volume, work share, keeping the indigenization content more than 50% those detailed discussions are on the way. It will take another six months to nine months to settle. Then only we can come back to you with the exact quantification of the total business opportunity. But business is huge in this segment and it is strategic in nature in our line of business only. That's why we have signed this MoU with them.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Mana

gers. Please go ahead.

Gagan Thareja: My first one is I think you are in the process of building up four or five new facilities. Can you share, are they targeted at increasing in-house content or are they targeted at increasing revenue and what sort of impact they can have on top line and costs for you?

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QUALITY. TECHNOLOGY INNOVATION Bharat Electronics Limited

July 29, 2024

Management:

Management:

Gagan Thareja:

Management:

Gagan Thareja:

Management: See, based on today's order book and revenue guidance what we have given, it is 76,000 crores and a 15% growth target in revenues. As we go forward, obviously, we will be planning for more growth. So, as the volumes go up to facilitate the expansion, we require new factories. So, that is how Hyderabad factory we are building one more factory for Machilipatnam, we are doing one more factory because Machilipatnam factory was of a small size. So, we are going for a slightly larger factory. One more is coming up in Palasamudram also in Andhra Pradesh. So, these are the facilities to facilitate the growth what we are planning for the coming years.

So, in-house development means indigenization definitely is there at all the factories all the time.

So, it is not that because of in-house activities we are developing the factory, but every factory wherever we are investing further or where we are producing right now in-house development indigenization is the main key today.

Bharat Electronics has always stated that a lot of work related to combat helicopters and aircraft and naval frigates and destroyers comes to BEL. I think a lot of orders have been placed for naval platforms, a lot are there in the pipeline likewise for LCA and LCH. What is your scope of work and what potential order pipeline do you see from this?

Definitely, the big platforms of naval variety or airborne variety, majority of the electronics comes from BEL. So, huge business opportunity is there for us for all these programs either directly from users or through HAL or MDL GRSE, etc., So, huge opportunities, that's why we have anticipated more than definitely 25,000 crores plus per year order acquisition. Right now, this year we have planned 25,000 crores. Definitely next year we will come out with a more revised figure keeping these business leads in mind. So, these all business leads we have captured and based on that only we are having our future projections we are making.

But is it possible to separately quantify what could be the pipeline from these platforms, even a ballpark approximate quantification would help?

That only happens when the AoN is granted, because with AoN, the tentative budgets also are there for the quantities. So, right now we have quality means we know these type of products, we are either BNE or we have the right products, but the exact quantities of each one of the platform varies just before AoN. After AoN only this will be better quantified for the thing. Till now we have our own market leads. Leads we can't share at this moment to you because this is a strategic marketing confidential data for us. So, as soon as it becomes public domain as AoN, that time we will definitely come back to you.

Moderator: The next question is from the line of Hardik Raut from 1IFL Securities. Please go ahead.

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QUALITY technology, innovation Bharat Electronics Limited

July 29, 2024

Hardik Raut:

Management:

Hardik Raut:

Management:

Moderator:

Viraj Mithani:

Management:

Viraj Mithani:

Management:

Viraj Mithani: I wanted to ask you with regards to the recently concluded different acquisition of Council, wherein when the Council has decided to pass event for advanced land navigation system for Army, what scope does this entail for us as a company in terms of order pipeline and when should this turn into order for us?

We have already supplied ALNS for the army, but that was not having this capability of IRNSS, navy, you call it now in the civilian

domain. So, in the defense domain, we call it IRNSS RH

capability. So, now they have come out that they want newer tanks with this ALNS having capability of IRNSS. So, that proto we have already developed for that and demonstrated as a technology. Now, after AoN, there is again a long-drawn process of issuing RFP and then sometimes they ask for MCMC trials once more, although we have given them some proto demo. So, after that only the real order comes to us. We expect the order to the tune of 500 to 1,000 crores in this lead itself.

So, the 500 to 1000 crores in total under ALNS or 500 to 1,000 crores for this year?

No, not for this year, ALNS. It may not come this year because it's still that RFP, then BMC, then placing order. Maybe we are lucky this year-end, otherwise next year only. So, not this year and execution will be around three to four years because this is also for various platforms, so it takes its own time, logistics and other issues are there for users also. So, generally based on our previous experience, it will be spread out over three to four years.

The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Sir, can you give me a breakup of your order book in terms of commercial, defense, rail and others?

Order book of the 76,000 crores, you wanted roughly in different heads?

Percentage wise defense is around 85.8% and non-defense is around 11.3% and around 2.9% is export. So, that is the breakup between the defense, non-defense and export for this order book which we have currently.

In the years to come, would the same mix be there, or the mix would be changing in terms of defense and non-defense?

Management: So, typically we are earning average is 85%-15%, 85% is defense, 15% is non-defense, minor 1% or 2% variations are there between these combinations because of the different type of product mix sometimes it happens but on an average it is 85%-15%.

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Viraj Mithani: Bharat Electronics Limited

July 29, 2024

With Kavach coming with, the non-defense value goes up in terms of percentage. What is the size of the opportunity for Kavach?

Management: Kavach is actually a very big program. And right now, I believe railways is struggling with the supplies, means, the vendors are not able to supply the quantities. Knowing BEL infrastructure and capability to invest further by BEL, that's why railways has come forward to us for this development. But it will take, as I said earlier also some 18 to 24 months to start generating business or revenues from that business opportunity for BEL because anyway order will be splitted across all the qualified vendors. So, of the order of 20,000 to 30,000 crores business opportunities there for BEL, spread it across five to six years. Maybe 4,000 to 5,000 crores per year is the business potential for BEL, if we successfully complete that, but that will be after two years from today. Tentatively this is the figure which we are looking at.

Moderator: The next question is from the line of Himanshu Mandal, an individual investor. Please go ahead.

Himanshu Mandal: See, the technical questions and the financial questions, as I am an individual investor, answers I am hearing, and I am so positive by holding my stock with BEL. I have only one... maybe a question in others mind that as well is BEL also planning to give some bonus to their investors or something like this because other questions technically people are asking and I am totally happy with those answers?

Management:

Management: So, we would not like to comment on such things at this point.

We can't tell that until we have a board approval

Moderator: Ladies and gentlemen, we are taking this as a last question. I now hand the conference over to Mr. Harshit Kapadia for closing comments. Please go ahead, sir.

Harshit Kapadia: Thanks, Shubhangi. We would like to thank the management of Bharat Electronics Limited, Shri Manoj Jain - Chairman and

Managing Director, Damodar Bhattad as Director - Finance and CFO,

Sreenivas as Company Secretary for giving us an opportunity and to all analysts for asking all the questions. Any closing remarks do you want to share with the investors, sir?

Manoj Jain: Yes. So, future outlook as was told earlier, we are committed to that, that revenue growth of 15%, the EBITDA margin of 23% to 25% and order inflow of minimum 25,000 crores. So, these three definitely we are giving further guidance or reassuring that we are going to achieve this target in this year.

Moderator: On behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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Moderator:

Ladies and gentlemen, good day and welcome t

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25
Earnings Conference Call hosted by
Nomura Financial Advisory and Securities

. As a reminder,
all participant lines will be in the listen

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only mode and there will be an opportunity for you to
ask questions after the
presentation concludes.

Should you need assistance during the conference
call, please signal an operator by pressing the star, then zero on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr.
Umes
h Raut

from Nomura. Thank you and over to you,
sir.

Umesh Raut:

Thanks, Steve. Good afternoon, everyone. On the behalf of Nomura, we welcome you all for the
Q2 FY

25 Conference Call of Bharat Electronics Ltd.

I take this opportunity to welcome the
Managem
ent of Bharat Electronics, represented by Shri Manoj Jain, Chairman and Managi

ng
Director, Shri
Damodar Bhattad
, Director Finance and CFO, Shri
Sreenivas
, Company
Secretary.

I'll now hand over the call to the Company Management for their opening remarks.
Thank you.

Manoj Jain:

Yes, good morning, good afternoon, everybody. Myself, Manoj Jain, CMD

B
E
L. I will just
touch upon financial highlights up to Q2
Financial Year

24
-
25.

So, in this Q2, we have achieved
a turnover of
INR

2,8530 crore
s

as compared to
INR
7,365 crore
s

up to Q2 of last year, with a
growth of 15.83%. And profit before tax has also increased to
INR
2,488 crore
s

as compared to
INR
1,777 crore
s
, which was there up to

last year Q2, with a growth of 45.05%.

The profit after tax also has increased to
INR
1,867 crore
s

as compared to
INR
1,343 crore
s

in
the last Q2, 23

-
24, with a growth of 39.03%. The EBITDA also has increased to 27.26% up to
Q2 of 24

-
25 as compared to 22.6
6% last year. The earning per share has also increased to
INR
2.55 as compared to
INR
1.84 in the last year at the same time as Q2.

The order book position
as on 1st of October 2024 is
INR
74

,
595 crore
s
.

So, overall on all the financial parameters, we have a
chieved a good growth up to Q2. This is a
brief offering remark from my side.

Management:

So
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we leave it to you for taking up the question

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and
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answer session Mr. Umesh. You can go ahead.

Moderator:

Thank you very much, sir. We will now begin the question
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and
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answer session.
Firs question is
from the line of Ankush Sharma from HDFC Life. Please go

ahead.

Ankush Sharma:

Just two questions.
One was on the order
in
flows. What we see for the first half, we've done
about
INR
7,500
-
odd crores of inflows. Our guidance, I think, is
INR
25,000

crores
.

So, if you
could just help us, which are the larger order
s that you expect in the second half which would
kind of help you get to that target? Or are you seeing any slippages or otherwise? So, just some
sense on the order inflows.

And my second question will be on the working capital. So, while profitability an
d top line
growth has been very strong in the first half, operating cash flows are actually negative

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2,300

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odd crores with this very substantial rise in both debtors and inventory. So, if you could just help us, what is driving that?

And do we expect th
at to kind of normalize by the end
of the year? Thank you.

Damodar Bhattad:

So, good afternoon. As we have told that we have achieved an orderable inflow of

INR

7,500

crores in the first half of

,

24

-

,

25, we are confident of achieving the target guidance giv
en of

INR

25,000 crores for

,

24

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25. In that, the major orders which are expected are, one is for
Ashwini

Radar of around

INR

2,500 crores, Electronic Warfare Suite for MI

-

17, that is

INR

2,000 crores,

ATULYA

Order is another

INR

2,000 crores, Shakti Phase

IV

is another

INR
2,000 crores.

So, these are the major orders expected. Already we have achieved
INR
7,500 crores and with
these orders and some other small orders, we are confident of achieving the given guidance of
INR
25,000 cr
ores. As regards the working capital, the current ratio as on 30th September is 1.6
and working capital is fairly reasonably okay. It has been around
1.5
-
1.6 for the past few years.
So, we do not see any much challenges in the working capital management.

A
Ankush Sharma:

My question is because your operating cash flow was negative despite this
...

Damodar Bhattad:

Operating cash flow is negative because in the first half, the inventory is more taken up because
for the second half of our turnover, further we have

to achieve around
INR
14,500 crores as per
the target. If you see our inventory, our inventory is around
INR
9,000 crores. So, first
half we
have achieved
INR
8,500 crores.

Given a guidance of
INR
15,000 crores, we hope to achieve
INR
23,000 crores turnover which
means we have to achieve
INR
14,500 crores turnover in the second half for which we have to
build up inventory for which cash outflow will be there. So, that is why the operating cash flow
is negative and inventory is slightly built up for the second half.
So, that will be recovered, that
will not be an issue.

Moderator:

Thank you. The next question is from the line of Priyesh from Mahindra Mutual Funds. Please
go ahead.

Priyesh:

Good afternoon, sir. Thank you so much for the opportunity. Sir, two
questions.

First, if you

could provide a breakup of execution for this quarter in terms of project or program wise ?

Damodar Bhattad:

Acquisitions what you have received in September or executions?

Priyesh:

Ye
S
, executions for this second quarter
?

Damodar B
hattad:

Executions in the first half we can tell you. Major was of course
LRSAM
,
LRSAM

order which
was executed in the first half.

Manoj Jain:

There are five, six more major projects. One is called C
B
IC project, we call it for Delhi
government, for Central

Board of Indirect Taxes. That is around
INR
300 crores we executed.

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S
, so many activities we are continuously doing and this first half we have almost some
INR
300 crores worth of orders we executed for that project. Then EW system of Shakti, around
INR
250 crores. Hammer missile systems,
INR
235 crores.

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around
INR
200 crores. So, these are the major projects orders which we executed till September
2024.

Priyesh:

What would be the quantum of
LRSAM
, sir?

Manoj Jain:

LRSAM

INR
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,
600 crores, roughly.

Priyesh:

I just wanted to understand the underlying reason that for the gross margin expansion that we
have seen in second quarter of FY

,

25, provide the reason for the same and also would that be
fair assumption that this could
be a sustainable gross margin for FY

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25?

Damodar Bhattad:

See, we have given a gross margin guidance of 42% for the current year,

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5. The current half, the gross margin we achieved is 45%. So, it is the composition of product mix during the first half of which has given us this margin of 45%.

Overall, during the current year, we expect to have the gross margin of 42% only as we have given the guidance.

Moderator:

Thank you. The next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.

Mohit Pandey:

Yes, good afternoon, sir. And thanks for the opportunity. Sir, firstly, if you could highlight which are the major projects to be executed in the next two quarters, that would be very helpful?

Manoj Jain:

Yes, in the next two quarters, the main project again is LRSAM. So, that is around INR 1600 plus crores we will execute orders for that. Then one, another EW project is called Himshakti.

So, that also will be around INR 800 crores to INR 900 crores worth of orders we will execute in the next half. One more EW project is instrumented EW Range. That also is one more major project executed by our Hyderabad unit.

Around INR 750 crores is there for that. Akash Army, we have already started good progress on that,

and we will liquidate around INR 500 crores worth of items we will deliver by March for Akash Army. D
-
29 EW system is our now continuously we are supplying.

So, in the next two quarters, we will have around almost

INR

500 crores worth of equipment we will supply for this

D

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29 EW system. And then weapon locating radar planes, we will supply around

INR

450 crores.

So, these are the major items which we are going to

supply in the next two quarters.

Mohit Pandey:

And secondly

on the supply chains, if you could give an update on Israel linked supply chains.

Are you facing any challenges on that front?

Manoj Jain:

Yes and no. Actually, major challenges which

we had

seen earlier about LRSAM

and other those

big

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ticket

items already streamlined. So, we are not facing any challenge.

Some other small

items which are not affecting our turnover that much, but this goes as a subsystem in larger

system of other DPSUs. There we

are finding some challenges. So, it may affect their turnover

that much, but our turnover point of view not in fact is

analysed

for items which are coming

from Israel.

All the items streamlining has been done in last three to six months. So, we are not

f

acing any challenge as such.

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Mohit Pandey:

And lastly, on margins, if you could highlight what are the two, three factors which lead to variation in margins across different products, that would be very helpful, sir.

Damodar Bhattad:

No, it is just the product mix of different products. See, there are 29 strategic business units which we have got,

and all are exhibiting in different product lines. So, it is all that combination factor has given us an advantage in this current half.

That is the only one. Individually, I cannot tell which product has given what that we are not able to comment on.

Moderator:

The next question is from the line of Nitin Arora from Axis Mutual Funds.

Nitin Arora:

Sir, just on the order intake guidance which you said, you feel still I very confident of doing INR 25,000 crores and you articulated a few projects.

Can you throw some light, especially on this Ashwini Radar and all, it has been now four, five quarters, we have been hearing that this is something coming. I just want to understand, it is some structural issue has come into it or it is just that the final price negotiation is somewhat delaying it.

Also, on the other projects where the confidence is so high that we will do INR 25,000 crores, are these more of in the final negotiation of pricing where they are stuck?

Just wanted first thing on that.

Manoj Jain:

Definitely, once we have told you that our target was
INR
25,000 crores of order inflow this year,
definitely we have done
homework,

and we are confident then only we
announced that. So, it
was there. Ashwini Radar, we have told, this Radar already we have become L1, already it is
declared L1 also.

So, it has become a multi

-

bid. Actually, we were trying this to become a single
bid
der
, but because of previous commitment
given by DRDO that
it will be a single bid for BEL

.

But anyway, over a period of time, they told let it go to multi

-

vendor situation and we were
confident that we will become L1 because our association, our development, our knowledge,
our strength, based
on that we can give to our users of most cost optimum solutions.

And then

we were L1 already declared. So, now declared L1, it may take another three months to convert
that L1 to getting the order. It will not be an issue.

Already, I think three vendors p
articipated in this and we were L1 in that. So, this is about to
come anytime now. Okay, so previous delay was because of that confusion only whether they
will go multi

-

vendor or single vendor or partia
l quantity single vendor to BEL

because B
EL

was
associ
ated from day one in this Radar development program jointly with DRDO.

So, we were fighting for
that,

and it was their previous commitment also. Anyway, part of life
that we have to have multi

-

vendor situation and multi

-

vendor
also there is no threat for
BEL

.

So, in this particular case, we have proved that we are cost competitive also and we are getting
order very soon now because all other processes are done by the user.

Reg

arding other three projects also, they are in a very, very advanced stage. We ar
e having
multiple discussions going on. Even some of them, I have already started PNC also, first round
of PNC, etc
etera has

started for that. So, we are confident in next three months, maximum four
months, we will have this order

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A

nd as soon as the order

comes, we will firstly intimate to

SEBI

and send to you immediately.

Nitin Arora:

Sir, the second question was given and sorry for again asking you this. I always ask this.

Is that

INR

25,000

crores

kind of an order intake, you have been consistently maintaining the momentum in the last two, three years, but given next year, how you are looking at it? I mean, to grow at INR 25,000 crores, you think you can grow on that number still? Do we have those programs, for example, MRSAM

is still there, but generally in your sense, in a very practical way, you think growing on INR 25,000 crores is still possible?

Because otherwise, then your growth, basically your profit growth will start looking quite weak. So, just more of a question on

a forward basis that how are you looking beyond INR 25,000 crores, if you look at your pipeline and government urgency of ordering new orders?

Manoj Jain:

Everything is promising for us right now, let me again assure you. We are targeting next year, it will be more than this year growth guidance, what we have given you. Next year, we will again consolidate all of that.

I can only assure you today, it will be more than what is there for this year. This year, we have a whole revenue growth of 15%. Next year, I can assure you now itself, it will be more.

Because of so many line items and so many discussions, we are already having on so many programs, including we have told QRS AM, including MRSA M for loan order. So, these all orders are going to fructify

mostly next

year. So, next year order book position, only QRS A M alone itself may give us INR 25 crores to INR 30,000 crores

order book, one line item itself.

Then remaining line items will give us something more. So, we are confident next year will be

definitely much more than what target we had set ourselves for this year. It will be much more, I can assure you, but that we will tell you from data on 1st April, definitely will come to you with much more better figure for next year.

But we are fully confident on that.

Nitin Arora:

And in terms of margin, you stated, you generally being saying that gross margin, I will maintain it for about 42%. But given you have done such strong margin, I understand mix always is important, which you better understand than us. But generally, in your sense, do you think there is a high chance of you doing better margin just because of the mix part, nothing else, I mean, operational leverage would be there.

But I'm saying just because of the mix where it is getting concluded, because you

stated one number of one project, which is like INR 1600 crores over the next one or two quarters. So, that could be coming because of that order mix is somewhat, do you think margins can hold up further?

Damodar Bhattad:

You are only asking in no different version of the same question. So, all I say is that we maintain the gross margin of 42% for the current year.

Manoj Jain:

We will definitely maintain that. We are in the process of doing further and further indigenization of our modules, subsystems, etc

ete
tera
. So, hoping that if the indigenization is done well in time, definitely it will be --

profit margins will increase.

But today we can't quantify

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abou

t the future. Today we are confident about what our margins which we have given to you,
we are definite
ly going to cross that. We will achieve this, no doubt on that.

Moderator:

Thank you. The next question is from the line of Mayank Chaturvedi from HSBC Mutual Funds.

Mayank Chaturvedi:

You highlighted that you now are working across 29 SBUs.

I think a
year or so back, it was
around 24 SBUs. Can you just highlight which SBUs you have added over the past one year and
what do you think is the total addressable market for these SBUs?

Manoj Jain:

So, first of January, we had opened five more SBUs and that one of them was EW Land Systems
at our Hyderabad. So, that was the biggest SBU because for that we were doing so much of
homework. So, they are now started generating.

This year, I think they will cross around
INR
1500
crores

plus turnover this year itself because last year they were working jointly with
another level system, SBU of EW. So, they already were doing good work. We had to only
streamline them and separate them and become a separate SBU.

So, that SBU already in the first year of existence so

-
called itself will cross
INR
1500
crores

.
Other four SBUs are created at Bangalore for us. That also started as a micro SBU type of
concept within B

EL
and some homework they have already done.

One of them is
s
eekers SBU,
RF and IR
s
eekers. Another one is Arms and Ammunition SBU. One of them is Network and
Cyber Security SBU and one of them is Unmanned Systems SBU.

So these four SBUs also have
good growth prospectors, etc
etera
. We have reviewed that. RF S
eeker SBU this year may touch
around
INR
350
crores
to
INR
400 crore
s

turnover and other SBUs also will be of this similar
line.

So first year for these four SBUs we have given a
n

internal
target of around
INR
200

crores,

INR
250
crores
to
INR
300 crore
s

. I am
barring this fifth SBU which will definitely cross
INR
1
,
500 crore
s

and then slowly they will pick up. Finally, we want all the five SBUs to become
INR
1
,
000 crore
s

SBU because they have those type of potential.

In next two to three years
,

they
will start contributing
INR
1

,
000 plus crore
s

. That we have already our own plan
s

for these SBUs.

Mohit Pandey:

Okay

.

And so on this Cyber Security SBUs, I think it was largely being
--

the services were
largely being consumed internally. Have you started offering these services to third party now?

Now that you're targeting

INR
200

crores

-

INR
300 crore
s

revenue.

Manoj Jain:

Certainly.

Because earlier their services were used for our bigger programs of our BEL itself
which anyway we were supplying
directl

y,

but there were no direct orders for them. So now

anyway they will keep on supporting that internal uses and we have our own internal booking
standards for that. If they give services to our internal SBU also

,

we account for that.

But
definitely now we are
re looking at direct turnover for them, direct sales
we call it

.

So there are four

,

five big leads already which have converted into a business case for them. We
are expecting one or two big orders in next 10

-

15 days or maximum one month time.

One from
Mi

nistry of Defense, one from Medical
AIIMS

and other departm
ents and some other are from
FOC

-
related activities for some DPSUs. So some four
,

five big leads are there which they are
going to get and then execute also.

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Some
INR
10

crores
-
INR
15 crore
s

type of orders they have already

got,

and they started
executing that.

But this
big
-
ticket

items we are expecting now and that's why we are confident
by March

,

direct sales they may cross
INR
200
crores
to
INR
250 crore
s

. But definitely they are
supporting
other SBUs and

generating indirectly revenue for them for around
INR
200 crore
s

worth services they started giving to other SBUs.

Damodar Bhattad:

Seeing the potential only

,

these were formed as separate strategic business units. There is a great
potential
in this area. There will be a slow beginning and as the time goes

,

they will slowly take
off.

Moderator:

The next question is from the line of
Harshit Patel from Equirus Securities

.

Please go ahead.

Harshit Patel:

Thank you very much for the opportunity

,

s

ir. So my first question is India's naval pipeline is
quite comprehensive in terms of additions of next generation destroyers, frigates as well as there
has been a substantial movement on the submarine programs as well recently. So could you
highlight how
we are going to increase our wallet share in these platforms

,

vis

-

à

-

vis how we

were doing in the past?

So basically what are our newly indigenized products and systems that we can now offer in these platforms

,

which we were not doing earlier?

Manoj Jain:

Definitely one is number. When number increases, turnover increases

.

And one is extra share in

these platforms. Extra indigenization or extra products to be added in these platforms.

So we are

working on both f

ronts, adding numbers, upgrading previous products because some of the

products which we have supplied now we are giving slightly upgraded features. So that is not called as a new

addition,

but upgradation also has a huge turnover advantage for us because

upgradation comes at some cost. So there are incremental product upgradation, subsystems upgradation

.

And third is adding some new portfolio of electronic variety subsystems.

So we are

working on all the three.

New variety share also we have now discussed

especially on submarine programs

,

etc

etera,

and

that itself will give us very good return or very good turnover for us. So all the three fronts

,

we

are working on these naval platforms.

S

o many new type of radars which were earlier imported

and now we are

indigenized,

and we are giving like this MFRX radar order which we received the last quarter.

That is one such example which was older ships. It was a foreign source radar and now we have indigenized and that's why now it is directly supplied by BEL.

Earl

ier

,

it was directly by global
radar. So that way we are increasing some other gun interfaces and other things we have added.
Some other integrated sonar suit type of things we are adding for submarine programs.

So we are keep on increasing the indigeniza
tion content in these programs and keep on upgrading
various products which we had supplied earlier

,

like EW communication tools

,

etc
etera,

we are
upgrading.

So all the fronts

,

we are finding in our naval pipeline projects itself are growing and our share

,

our electronic share is further increasing because of indigenization effort
s

which we have put at
right time. So because of that

,

naval segment is the most promising out of the three

;

army, navy
and airport for us as of now.

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But definitely other two also

,

army and airport also are catching up now

,

because there also we
have done a lot many indigenization programs and so many big programs

.

But definitely naval
has taken the lead as of now for us.

Harshit Patel:

Understood. So my second question is could you

comment on our content in the artillery systems
being developed by the private players
?

So there are many programs happening simultaneously
;

ATAGS
, tow
ed

gun systems, Vajra, mounted gun systems as well as light tanks.

So what is the
total addressable oppo
rtunity for us in these programs?

I am asking because a lot of OEMs which are developing these programs
,

they also have their

own electronics division. So would we be competing with their own divisions?

How our market
share, wallet share will pan out in th
e
ir

systems?

Manoj Jain:

Okay. All platforms

,

firstly for us each and every platform is important whether it is a naval platform or whether it is a tanks and guns type of platform because everywhere there is a presence of electronics and there is a presence of wealth. So in these programs

,

although many of the programs are now

--

this type of platforms are opened up to private

,

but basic electronics for that based on our experience, based on our product and based on our compatibility with the previously supplied system or based on our expertise of integrating them to a larger C4I systems

.

Because of all these things

,

we are confident that they are coming to us for all these type of interfaces

,

like they call it TIU is one such example.

The communication interface unit for all these tanks and guns is provided by us.

Typically

,

all type of EO system are provided by us. So those are

--

the tank radios, radio communication with them

,

that is provided by us

.

And because when they approach us

,

they know we will give them a quality product and which is interface able to present solution and future solution

,

because largely these are complex system

-

oriented

solutions

,

which

are handled by BEL

.

So that gives us an extra advantage and that's why even these private companies also want to work with us very

,

very closely.

So we are not forcing any problem. We are working very

,

very closely with Bharatpur

or Tata or L&T and all these big players, private players also

.

To see that

,

we give them

right products and technologies required for them in these programs.

Moderator:

The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit:

Yes.

Hi

,

good afternoon,

everyone and congratulations for a good set of numbers. The first question is on the EBITDA margin which seems to be very high in this quarter. Now just wanted to understand whether it is due to the nature of contract, nature of orders that were executed or whether certain provisions have been rolled back.

So just wanted to get a little bit more clarity on that.

Damodar Bhattad:

It is on the nature of orders executed.

Amit Dixit:

So there are no provisions that have been rolled back.

Damodar Bhattad:

No

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p

revisions withdrawn are not minimal only. It's more on the nature of contracts. That's why the gross margin is 45.

That is why the EBITDA margin has gone up to 27.

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Amit Dixit:

Okay
,

fair enough. The second one is if you can just throw some more light on QR
SAM

,

specifically where we are when we expect the ordering
?

I mean
,

where are we stuck?

What is
the major

--

a
re there some tests pending or something? And also whether we are also participating in this Virupaksha?

Manoj Jain:

Which one Virupaksha? Can you
explain a little bit more?

Amit Dixit:

Sukhoi
2
30.

Manoj Jain:

That is a
r
adar program of Sukhoi
2
30. Because 230 has so many upgrade programs and two or three programs we are taking lead also. We are having constant discussion with our defense users IAF for that.

So we are anyway engaging with them for EW right now. And for this

r
adar
program
,

we and SAL both are
participating,

and we will see
how,

but it will take some more
time to finalize the configuration, optimum configuration etc for this.

Because right now they
have just frozen.

The DRDO has just frozen the LCA configuration. So from that to Sukhoi 30 configuration there are a lot of technical challenges etc. We are just watching that and technically associated with them for
that.

So regarding QRSAM last time also we told quite a good advancement has happened now in last three months also. We are moving in right direction. Some clarification, configuration changes etc.

Some MRLS. Those type of nitty
-
gritty of the contract or scope of work

only is finalized. And
once everything is totally frozen it will go to ministry for competent authority approval.

Hopefully next year first quarter we are expecting RFP maybe should do us.

Amit Dixit:

Okay got it sir. Thank you so much.

Moderator:

Thank you. The next question is from the line of Ishan Shrimali from Tara Capital Partners. Please go ahead.

Ishan Shrimali:

Yes.
I have a couple of questions. The first what would be the data margin like outlook or guidance for FY25?

And the second thing is in the last call you had asked that you had said that you know capex for '24 -

25 is projected around INR 800 crores with some facilities in Hyderabad and Andhra and Nagpur. So could you elaborate on the anticipated production capabilities of these facilities and how they align with the future order pipeline?

Damodar Bhattad:

The EBITDA margin as you have told is we maintain at 23%

to 25%

what guidance we have already given for the current financial year.

Ishan Shrimali:

Okay for the current financial year.

Damodar Bhattad:

As far as the capex is concerned,

we are in the range of around INR 800 crores is what we are targeting in the current year. And what growth projections we are giving to you is all based on the different capabilities which are also coming. You are asking about the capex?

Ishan Shrimali:

No I first asked about the EBITDA margin guidance.

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Damodar Bhattad:

EBITDA margin EBITDA margin we maintain the guidance of 23
%

to 25
%

what you have
given for the financial year 24

-
25. Okay yes and as

far as capex is concerned
yes,

we are
expecting a total capex of
INR

800 crores in the current financial year. This capex what you are
telling these additional factories what are coming up it will take maybe next year next to next
year to fructify become o
perational it may be next

year,

and some may be next to next year also.

So these are part of work in progress in some of the cases. So whatever growth we are forecasting for the current year and especially in the next years is based on the additional capabilities also

which you are building up because as the base goes up the percentage also goes up and then a growth overall has to be more. For this only the additional factories additional capex is being done.

Ishan Shrimali:

That's it from my side. Thank you so much.

Moderator:

Thank you. The next question is from the line of Lavina from Jeff
e
ries. Please go ahead.

Lavina:

So that's a great set of numbers. I just wanted to check non
-
defense side any update you would like to give? The defense side is very clear.

Manoj Jain:

Non
-
defense. Non
-
defense side
yes,

we are having an order book position. I don't know exact
order book but around 10
%

of our order book is typically non
-
defense.

Right now we have
around
INR
8,475
crores

as our non
-
defense order book. We are getting very good leads now for
like we got last year CBIC and UP

112 as a project. This year also we are finding a lot of interest
in that our D4 system for BSF.

We are going to get order very soon. We have declared

already L1 for that also and one more

security related cabinet. What is that?

One more security related project we have recently got order. So we are getting every month around INR 500 plus crore s

worth of orders in the non

- defense segment also. We will have a logical mix of around 85 %
- 15 %

which we typically want to maintain between defense and non

- defense.

So we are in that range only right now also and plans are there separately because we review our non

- defense market leads, execution etc. separately and we found there are no problems for maintaining this ratio of 85 %
- 15 %
.

Lavina:

And lastly thank you for that and lastly sir I know a couple of people have asked as well but just want to understand there is a concern that defense in general might be slowing down. There could be some derailment in future orders. I know at this point in time the outlook looks very healthy,

but you think any challenge you foresee over 12 months or two years or three years that could derail the story in general from a very macro perspective?

Manoj Jain:

In defense or non defense?

Lavina:

In defense.

Manoj Jain:

So for next five years we are dealing with the leads and order books and other things. We are not having any issue for next five years. When we all sit together

internally and then seen what

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are the main leads which we are having or main acquisition plans of our defense forces, army, navy, airport, we are confident minimum 15

%

growth guaranteed for us in next five years.

We have made already for next five years o

ur internal plan which at appropriate point of time

we may share with you also. But definitely for next five years our visibility is very good for

maintaining minimum 15

%

growth. We wanted to target for 17.5

%

but right now minimum 15

%

guarantee visibility is ensured for next five years for defense electronics for us.

Damodar Bhattad:

And as far as the macroeconomic what you are dealing macro budget is concerned as you could see from the budget which is presented every year the defense budget is always on an increasing trend only in general. Maybe sometimes increases could be a little bit here and there but overall it is on an increasing trend only even in the country's defense budget also.

Lavina:

Understood sir. Thanks a lot. All the best.

Moderator:

Yes
s

. Thank you. The next question is from the line of Amit Mahawar from UBS.

Please go ahead.

Amit Mahawar:

Yes
. So I have two quick questions. First is so broadly in FY25 assuming
INR
250 to
INR2
60
billion worth of orders the advance that we will have is around
INR
2,500 crores plus minus or
there is a change sir
?

Damodar Bhattad:

What was your question?
INR
25,000 crores of orders and?

Amit Mahawar:

I am saying the advance that we get on orders. I was just trying to understand if anything has changed on the contract side
?

Damodar Bhattad:

No. In general the contractual terms more or less remains the same which is of course depending on contract by contract but more or less they are on the same pattern.

Amit Mahawar:

Same. Okay
. Fair.

The second question is more medium term. You shared about status on QR
S
AM and some large orders. Across 25
—

because QR

S

AM is a very long project,

and it is coming in stages.

So apart from QR

S

AM, MR

SAM and Akash N

G etc. I just want to understand how should we year

-

wise look at the large order configuration for B

EL

in 25, 26 and 27. The reason I ask this

question is if you are growing a turnover by 15% in 25 and 26 your revenue building is going to be more than

INR

500 billion.

So I just want to understand if 26

is going to be a very very high

intake year for you. Thank you.

Damodar Bhattad:

There is always, we are always talking of larger programs like QR

S

AM and some other

programs but there is always a base order which always is there which is

INR

15

,000

to

INR

20

,000 crores which constitutes for whatever supplies you have already made there are

upgrades, there are spare supplies, there are maintenance which are being done. So that base order is alwa

ys there. What we talk always of is the incremental program like s

ometimes we talk

of

Ashwini

Radar, QR

S

AM, MR

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These are the further programs which we talk. So base order of minimum of
INR
15,000 crores
is always there based on the old upgrades as well as spares as well as maintenance services for
which
equipment's

h
ave already been supplied. In addition these programs also build up on that.

So as it is as we say next year also the base order book of
INR
15
,000

to
INR
20,000 crores is
there. What we talk of QR
S
AM is over and above that. QR
S
AM is a special thing.

So we
are
adding as one of for next year. So similar programs will keep coming as years because so many
R&D spend is also going on in the company. So there are many programs of the Ministry of
Defense which are going on.

So as that I mean what to say as the prog
ram fr
uc

tifies in the
future,

we see more and more good size orders coming in.

Amit Mahawar:

Very helpful sir. Thank you very much and good luck.

Moderator:

The next question is from the line of Harsh
it

Jitendra Kapa
d
ia from Elara Capital. Please go
ahead.

Harshit Kapadia:

Thank you for the question and congratulations for a good set of results. Just two questions from
my side starting on the order book of
INR
75,000 crores. Could you give us a tentative breakup
regarding how much of the order book is
still left for LR
S
AM, MR
S
AM, the Electronic Warfare
System, IACCS which you generally give and some many other large projects which is there in
the pipe
?

Damodar Bhattad:

LR
S
AM order book as on 1st October is around
INR
4,200 crores spending order out of
IN
R
74,500 what we told. LR
S
AM is
INR
4,200, IACCS is
INR
2,000, A
kash

SAM
is
INR
3,500,
LCA Avionics is
INR
1,600, D
-
29 EWS is
INR
1,300, A
kash
ADC&

CL
RS

is
INR
1,500, MSWS

is
INR
1,000 crores and all others are below
INR
1,000 crores. These are the
major orders.

INR
4,000 of LR
S
AM,
INR
2,000 of IACCS,
Akash SAM

INR
3,500, LCA Avionics
INR
1,600,
D

-
29
AWS
INR
1,400, Akash SAM
INR
1,500 and Mi

-
17 upgrade
INR
1,000. These are the
major orders out of the
INR
75,000 order book what we told on 1st October.

Harshit

Kapadia
:

Okay and the LR
S
AM and MR
S
AM execution would be completed by FY26. Would that be a
correct understanding or would it be may go even to FY27?

Manoj Jain:

As of now I think 26 only,
but some spares and other small quantities only may spill over
to next
year. Major will be over in next year.

Harshit Kapadia
:

Okay and just continuing on the previous question on the order inflow part, if you can also
highlight apart from the QR
S

AM which you expect of let's say the first batch of
INR
12,000
crores
to
INR
14,000 crores, any other large program that you envisage for FY26 when you give
a guidance of
INR
37,000,
INR
38,000 crores in terms of order inflow?

Damodar Bhattad:

As we are telling there is a base order which you are expecting of
INR
15,000 crores which comes
up

from the old programs. This QRS
AM is a one

-
time high

-
value order which you are talking
of for the coming year, next year which you are telling it may come. There are many other
programs which are coming up on which our R&D is going on, we are working on those
programs.

It would not be fair on my part to name all the programs at this instance. Please

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understand it is an open forum so we cannot name all the programs what the company is working on.

Harshit Kapadia
:

Sure. Okay, I wish you all the best. Thank you.

Moderator:

Thank you.

The next question is from
the line of Deepak Krishnan from Kotak Institutional
Equities, please go ahead.

Deepak Krishnan:

So thank you for the opportunity. Just wanted to understand the defence, non-defence mix for 2Q as well as 1H FY25?

Manoj Jain:

As such overall we told, overall it is 85%

-
15%.

-
89% is typically defence and 10% to 15% is typically non-

-
defence. And quarter

-
to

-
quarter although we do not minutely check that,

but the ratio will be of similar order only in each quarter.

Damodar Bhattad:

If you are very precisely interested in the first half of 24

-
25, it is 87% defence, 10% non

-
defence,
3% exports.

Deepak Krishnan:

Sure. So then maybe just sort of a split on how much is indigenised versus how much is foreign collaboration?

Manoj Jain:

Total overall in this typically around 85% to 88% of the products which we supply are either in-house or by other indigenous sources like DRDO and any other Indian company. And typically TOT component is of the order of 10% to 15% only. So in general we maintain that as a logical mix because some TOT products also are required for growth, turnover and urgent requirements of the user, but over a period of time those are also we are in the process of indigenisation. So typical ratio of around 80% to 85% of total in-house come other indigenous sources of DRDO etc. the technology we are delivering.

So that ratio we are more or less tracking and maintaining.

Deepak Krishnan:

Sure sir. Maybe just want to sort of understand our sort of ability to continuously sort of report beta margins substantially higher than what is sort of the margins for a typical nominated contract. So how does it affect your future negotiations and upgrades or is it like every product is sort of looked at a new product.

So even if you are sort of reporting substantially higher than nominated ranges you can still continue to enjoy that because of our own sort of cost efficiency measures?

Manoj Jain:

The thing is overall how we earn the profit is not based on only margins. It is based on overall indigenisation effort which we put. We give the most optimum solution to our defense forces, the most economical way of solving a problem.

So there are various ways and overall again different type of product mix are there which gives us some gives us slightly better margins, some gives us slightly less margins. So overall margins are good because we have put a lot of efforts on R&D in-house as well as supporting industry also. So this indigenisation effort or this in-house R&D effort only gives us more and more margins in long term.

Deepak Krishnan:

Sure sir. Those are my questions and best of luck for future quarters.

Manoj
Jain:

Okay. Thank you.

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Moderator:

Thank you. The next question is from the line of

Gagan Thareja
from ASK Investments. Please
go ahead.

Gagan Thareja:

Good
afternoon,

sir. I hope I am audible.

Manoj Jain:

Ye

s

.

Gagan Thareja:

S

ir, in last quarter you indicated that you will also be doing work related to Kavach

which is the

anti

-

collision

train,

anti

-

collision systems. I think some large orders were to be placed in October, November for that.

Any ne

ws flow regarding that? Has BEL

participated there?

Manoj Jain:

n:

No. In the

Kavach

program we told our intention now that yes, we

are going to enter into this

Kavach

development. This development is an involved process.

So right now railway

has given

us one execution, small execution order to prove our capability and

that order they have told

around 18

months' time

to prove that on a small section. So we are in the pro

cess of development

of this Kavach

ourselves and we have to install it in that small execution place and once we

qualify

then

only,

we will be given the

bulk production clearance.

So right now we are in the process of fielding the prototype, developing and fielding the prototype and then only this bulk production activities will start.

So at least we have got this

order from railway for development right now. So we are in that phase because that way only railway works. Firstly they gave a small execution order based on the capability shown by us.
So we have proved our capability.

After witnessing that capability they have given us a small execution order to execute and the detailed evaluation will be done on that order, that particular execution order where we will really install it also and there only the efficacy of our system will be verified by railways and once that is done then only
,

we will migrate to participate in bulk production related orders. So recently they have RFP they have issued there we cannot participate because we have not crossed that particular milestone.

So once we cross that milestone the next order when it comes bigger order definitely,

we will participate
,

but this present order we cannot participate because we are still in that prototype verification phase for the Kavach.
.

Gagan Thareja:

Okay sir. Second question on around manpower and talent. One wanted to understand the attrition rate in the company and two I think there were some news, some media articles that you had given offers to graduate trainees in IIT Mandi but finally none of them joined.

Is there therefore a challenge in terms of getting quality manpower?
So attrition and hiring are the two aspects I want you to understand?

Manoj Jain:

Firstly
luckily,

we are not having attrition problem to the extent what this IT sector and other electronic sector persons are facing because of overall environment which we give to our manpower, the overall growth and learning opportunities which we give to our manpower. So our

attrition rate is typically 2%

to
3%

only during a post

-
COVID there was a small surge at that time I think we might have touched around 5%,

but otherwise we are generally 2% to 3%

only is our attrition rate which is manageable.

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What I was referring in IIT Mandi and other places also is now we are growing so for our future growth and where we have to do a lot more of indigenization, a lot more of M ak e in India and design in India type of initiative that requires much more manpower to be put in R&D for us to meet the government of India timelines and guidelines.

So one is doing more and more of indigenization, second is for our own growth for 15%

plus growth we have to diversify, we have to add so many new products in our portfolio so that requires more and more of manpower.

To attract that manpower we are going to all IITs, NITs and so many other places and we are coming up with the better and reward and recognition schemes that is a continuous process in BEL. So more and more of those schemes which we are going to give that will we are confident that with that we can attract the talent and increase our manpower considerably especially in R&D.

Gagan Thareja:

Okay then what could the hiring program look like sir, number of trainees or I mean at a level hiring absolute terms what is your target annually?

Manoj Jain:

No, this year in next 12 months we have set our own target that in next 12 months we should have permanent manpower minimum thousand plus we are going to add that we have already got from our board approval also. So that is for permanent manpower,

and I can tell you if permanent manpower itself we are going to have thousand plus more all

-
or
there

contract manpower like trainee engineers, project engineers etc, minimum this much

number always will be there.

So around 1,000

plus additional of other variety manpower we will have, 1,000

plus permanent manpower which we are committing for next 12 months we have come out with a plan internal plan for that,

and we are confident we will exceed our that internal target of manpower hiring also.

Gagan Thareja:

Sir final question from my side.

Moderator:

I am sorry to interrupt Gagan sir could you please finish

all back in the question
in queue for your final
question.

Thank you

,
the next question is from the line of
Rupesh Tatia with IntelSense Capital.
please go ahead.

Rupesh Tatia:

Hello sir

,

thank you for the opportunity and thank you for the good set of numbers

.

My question
is around the AESA radar sir

,

Uttam AESA radar for LCA program

,

so can you give some update
on that where is that and when are we expected a large order for that?

Manoj Jain:

This Uttam radar

,

actually radar as
an

integration will be done by HAL

,

because the first radar

,

there are a lot of challenges when first time any radar has to be integrated in an airborne platform

.

So LRD and took a calculated this task on hand and based on that they decided let HAL only
take the lead for this integration

.

So as the Uttam radar per se will be integrated by HAL only as of now for the first few radars

,

however the most important component of that is TR module and the triple
AU,

we call

it

,

so
these modules definitely there is a role of B
EL

to
play,

and B
EL

is working backward for giving
that type of a quality solution to HAL

.

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So it will take some more time for HAL to come out with the order for placing on us

,

but right
now the radar is

going on under integration trials in the stages and it will take some more time
to fully qualify

,

you may be knowing airborne systems qualification is a very involved process

,

so that process and overall integration of radar

,

so as a Uttam radar will be integrated oblique
managed by HAL although the basic components will come from industry and in that industry

B

EL

is taking

definitely good leads

.

Rupesh Tatia:

Okay

.

So

,

just one follow

-

up to that sorry

,

let's say planes and se
e a plane that will be need to be
produced in 2026

,

the order for that will come in

,

how much advance will it come

6

months in

advance will it come 12 months in advance ho

w does that ordering cycle work?

So

, sir,

other

question is this

Shakti EW System

,

I

think another private player I think was declared L1 so was
there L1

,

L2 in that and did we did we become

L2,

and did

we get some

order,

or the entire order

went to the private player

?

Manoj Jain:

Which Shakti you are referring

,
because one Shakti is EW Sh
akti one Shakti is we have our
military communication related Shakti
program,
you are referring to
...

Rupesh Tatia:

EW sorry, Electronic Warfare?

Manoj Jain:

No

,
EW Shakti is always with
BEL
it is a buyer nominated equipment and it has
,

because overall
the total solution is developed jointly by DRDO and
BEL
and I don't think any time it has gone
into multi
-
vendor situation the Shakti EW was always with
BEL
and it is with
BEL only

Rupesh Tatia:

So

,
I think the private

Adani has been growt
h
in its Annual Report that they have been declared
L1 for Shakti Electronic Warfare system
,

so I just wanted a cla
rification with respect to that?

Manoj Jain:

No

,
that may be some other contact

Shakti maybe they are telling
,

but this Shakti Nayan Shakti
and other EW program of naval ships
,

we are the buyer nominated equipment means our
equipment only has qualified

.

Airborne EW is a different name that is an

AEW&C
now

,

in
AEW&C

,

we also part

icipated for the new tender where I think

,

out there Adani became L1 but that is a system integration project

,

there is no development there system integration based on the caps design

.

So that project we lost to Adani yes

,

because we wanted to enter into this segment

,

we have
never entered we are only doing life cycle management of
AEW&C

EW system but we were
not a system integrator till date

,

so we wanted to enter into that unfortunately in this program I think

,

that they
quoted they became L1

,

although they have not understood the total project
nuances or project subsystems

,

which we understood very well
but
I think

,

for last

7

years some
three of their aircrafts are maintained by
BEL
only

.

But anyway they became L1

,

let
them prove that they can supply in that prices what they have
quoted best wishes to them

,

and anyway it's part of life we when we
quote,

we may become L1
we may not become L1

.

But this is not a development program it is an integration program and
mainly it

is a caps driven program

.

So that program you are right

,

but we have our own Shakti
for Navy Shakti where we are
BNE

.

I hope I clarified to you
?

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Moderator:

Thank you

.
The next question is from the line of Aditya Jaiswal from Nirmal Bang
Institutional
Equities

Please go ahead

Aditya Jaiswal:

In the terms of export like

,
what major orders like the
BEL
currently have and the contribution
of exports like currently
3%

so in the future this trend line will be more than
3% or what?

Manoj Jain
:

Definitely it has to be more than
3%
is not a healthy sign

,
but export we started with very small
order book and small orders etc

.
And to that to reach
3%
itself a challenge

,
but from
3%
our
target is to cross
5%
as earlier

,
maybe next year and if not ne
xt year next to next year we will
definitely
5%,
we have

an

overall order book of around
US\$
403 million as on today and with
various big orders are there in that
,

we are confident what's your target which we have set for
this year we are crossing that.

An
d next year it should be more than
3%,
I can assure you now itself
,

it will be more than
3%
every year
-
by
-
year we have to increase
,

and finally the government committee wants us to reach
double digit
.

So we finally have to reach 10
%

of turnover and export
,

but right now jumping to
10
%

immediately is not possible
,

because it requires continuous effort systematic effort etc
.

So
we are every year
-
by
-
year we will increase our percentage of turnover from e
xport
,

right now
I can't tell you when we will reach 10
%

but our goal is 10
%

and it will be a growth path only

every
year,

we will increase on whatsoever we have achieved last year

,

these two are our guiding
principles exact values etc

.

We will communicate

to you maybe next year beginning

.

Aditya Jaiswal:

So can you name a few projects that are
in the pipeline for the exports?

Manoj Jain:

Major projects in the pipeline
that is actually around \$500

-

plus million leads are there with us

,

right now one or two major
things actually are there for RWR MAWS is prayers and training
for this Airbus what I think today that T295 inauguration is there

,

for that some expected order
is planned compass related order and
Gimbals
related orders from Elbit systems for exporting to
them

,

so that they can supply to some other countries

.

Some Asian countries related some orders are there big orders

,

something related to Brazil
something related to Weapon Locating radar in Egypt

,

so those type of big leads are there around
\$500

-

plus million leads we are working right now

.

And we are confident we can liquidate as

many as possible of them in the next
1

year

.

This year anyway we are going to we are targeting

around
\$200
-
plus million
acquisition.

So that we are confident we will have that much acquisition extra in this year

,

and overall the
order book is healthy from export point of view the way we are planning the way our growth is
there
, so we are confident about that.

Aditya Jaiswa
I:

Thank you
,

sir
.

That is for my side
.

Moderator:

Thank you
.

Ladies and gentlemen

,
that was the last question for today's conference called
.

I
would now like to hand the conference over to the management for their closing comments
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Manoj Jain:

Yes
,

the fu
ture outlook as we told we started
,

what's your data we are committed to achieve that
,

so that only shows the overall confidence from well management to the investor that what we
started the year we are continuing on that goal and we are confident that we
are going to achieve
that goal of overall revenue growth of 15
%

EBITDA margins of 22
%

to 25
%

order inflow
minimum
INR
25,000 crore
s

we are crossing
,

we will cross R&D investments
,

we have increased
INR1300
-
plus crore
s,

we are going to have that figure capex
INR
700 crore
s

plus and defense
non

-
defense business of around 85
%,

15
%

so these are all guidance what we have given we are
committed to achieve that for this financial year

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.
Thank you

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Moderator:

On behalf o
f
Nomura,
that concludes

this conference
.

Thank you for joining us
,

and you may
now disconnect your lines
.

Thank you
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3Q FY '25
Earnings

Conference

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Moderator:

Ladies and gentlemen, good day, and welcome to the Bharat Electronics 3Q FY '25 Earnings Call hosted by IIFL Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Renu Baid Pugalia from IIFL Securities. Thank you, and over to you.

Renu Baid Pugalia:

Thank you. A very good evening to everyone. On behalf of IIFL Capital, I would like to thank

the management of Bharat Electronics for giving us the opportunity to host the
3Q FY '25
earnings call. Today, from the management team, we have with us Mr. Manoj Jain, Chairman and Managing Director; Mr. Damodar Bhattad, Director Finance and CFO; and Mr. Sreenivas S, Company Secretary.

Without taking much time, I now hand over the call to Mr. Jain for his opening remarks.
Thereafter,
we can start the session for Q&A. Thank you, and over to you, sir.

Manoj Jain:

Okay. Thank you, madam. Good afternoon, everybody. So I will just briefly summarize our financial highlights up to Q3 of financial year '24, '25. So the turnover increased to
INR
14,174
crores up to Q3 as compared to
INR
11,485 crores, with a growth of 23.41%. The
profit before
tax, that is also increased to
INR
4,242 crores up to Q3 as compared to
INR
2,949 crores last
year up to Q3, with a growth of 43.86%.

And profit after tax, that is increased to
INR
3,183 crores up to Q3 as compared to last year
figure of
INR
2,236 crores, with a growth of 42.34%. The EBITDA has increased to 28.07% up
to Q3 as compared to last year's figure of 23.67%. That way earnings per share has increased
to
INR
4.36 up to Q3 as compared to last year figure of
INR
3.06. And order book position as
on 1st of January 2025 is
INR
71,100 crores. This is a brief financial highlight of Q3.

Management:

Yes, we are open to question and answer the session, madam.

Renu Baid

Pugalia:

Sure.

Moderator:

Thank you. We will now begin the question and answer session.
The first question comes from
the line of Mohit Pandey from Macquarie Capital.

Mohit Pandey:

Congratulations on the good set of P&L numbers. Sir, my first question is on order inflows. So are we sustaining a sharp pickup in 4Q because of your guidance earlier was INR 25,000 crores. And --

what is the latest on the guidance on orders now, sir, for this year?

Manoj Jain:

Okay. We have achieved, I think, around roughly INR 1,000 crores

order this year ,

as against the target of INR 25,000 crores. Many projects are in the pipeline and which we are hopeful to get in the next 2 months. So we are confident to achieve this INR 25,000 crores order inflow by the end of the financial year.

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Mohit Pandey:

Sir, maybe for the 3 or 4 large orders that I think you had mentioned last time that you were expecting. If you can give an update such as for Ashwini Radar Electronic Warfare for MI - 17 as well HimShakti Phase 4, you're still expecting

them in this quarter? Where are the delays exactly if you could give some color, if possible?

Manoj Jain:

So all these orders, most of the orders already PNC, CNC is concluded and it is in the contract finalization stage. So that's why we are confident that in the next 2 months, we will get the confirmed order also from ministry for these projects. All the 6, 7 projects, which last time we told, including the 2 you have mentioned, also Ashwini also MI
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and V5, these all are in a stage of contract English finalization, you can say. The basic PNC for many of them are already concluded. So that's why we are confident we will achieve INR 25,000 plus crores order inflow this year.

Mohit Pandey:

And sir, with regards to QRSAM, if there is any update if you can provide that the pipeline order for next year?

Manoj Jain:

Yes. There's a project. It's going on well. So many queries, configuration changes and other things were there between Army and Air Force. And it is going in the right direction. Hopefully, next 6 to

8 months or maybe within a year, we will get this order in our hand. So we have planned also that this order to be in the next financial year only in our end. So we are confident it is --

we will get it before March '26, this prestigious order.

Mohit Pandey:

And sir, last question would be after QRSAM, which would be the large pipeline orders that you will be looking at in the next 2, 3 years?

Manoj Jain:

Actually the second largest order will be this MRSAM & MFSTAR related variants for next generation corvettes and other ships. That will be the second largest order, which we are expecting in next year mostly. That also we will finalize by next year. And then there are some sub 5,000, 5, 6 more orders, which we are really working for next year.

So next year, again, anyway, we will tell you in the month of April when we assess the actual situation of how many we can finalize our contract in the next financial year. We will let you know April or May timeframe.

Moderato

r:

The next question is from the line of
Amit from PL Capital.

Amit:

Congratulations for the strong numbers. My first question is on pretty strong performance this quarter, if possible for you to highlight on which orders contributed in execution in Q3? And which were the orders which were kind of margin accretive? And second part is the 9 months growth is already 25% plus on top line and margins are also more than 27%. Would you be revising guidance for FY '25?

Manoj Jain:

Okay. Firstly, the major order executed until third quarter, LRSAM was the

number one in the
lead, followed by WLR, the weapon

-

locating radar, the IACCS system, the Shakti EW System,
the
ADC&RS

the Akash speed program, we started supplying of the subsystems there. And
one civilian project, CBIC, we call it, this is for a land

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ba
sed infrastructure across pan India.

So major orders, which we executed till quarter 3 are these 6 projects.

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And your second question was related to change of our plan for this financial year. That we
will anyway let you know at the end of today's session

. Because by that time, we will
summarize anything else, and then we will definitely tell you about our future outlook.

Amit:

My next question is on the delays which are happening with HAL and would like to understand, is there any portion of order which you have, which is for supply to LCAs? Or are you seeing any impact on your order execution order book or order intake related to LCAs?

Manoj Jain:

So for us, there is no problem. What was

--

because we are supplying electronic modules to LCA program. These

electronic modules are as per the planned targets based on our way of assembly, testing and evaluation and a requirement of HAL, which was agreed between both our organization long back . So we are on track with that.

So whatever they want, we are definitely meeting and executing their requirement of all the

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I

think it is around 11 to 15 electronic modules, which we are making for LCA programs.

So these all we are supplying as per their requirement. So we are not foreseeing any challenge from electronic

modules per se now.

We had some initial problem last year, but that's all initial teething problem, we have solved. And now we are

--

the way they want that rate only, we are now totally streamlined our production rate. So we are not foreseeing any problem for LCA

-

related electronic module supply from BEL.

Amit:

Sure, sir. Lastly, on non

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defense, what was the contribution? And second thing, many players want the Kavach orders in the past 1

months

, 1.5 months. Any outlook you would like to give on non

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defense especially on Kavach orders in subsequent years? And also orders

--

any orders related to semiconductor electronics sectors, if you're focusing there at all? So are they going to enhance your order intake pipeline, if you could throw some light on this

a

spect as
well?

Manoj Jain:

Okay. Till quarter 3, we have

--

our nondefense, we have achieved around 11%. Nondefense
and export put together. Nondefense per se calculation is around 8%, 3% export, because
export is a mix of defense and nondefense. So over
all, you can say around

--

tentatively around
10% was nondefense and 90% was defense in our execution.

And your point about Kavach. So Kavach, we have got the initial executional order, which we
call it technically an R&D or a prototype order for proving
our indigenous solution, which we
are developing ourselves. Developing, installing and then getting the certification/te
sting by
the railway authority.

So that once that execution order is successfully done by us, then only railway will qualify us
for the

bigger tender. And then only we can participate in those tenders. So that is again next
year, maybe by

June, July, hopefully, we may go through this process of installing and testing
in an executional factor.

After that, only we will come back to you abo
ut what is the order book impact based on
Kavach successful completion. So let me firstly successfully complete this execution order,
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prove my designs, and then only we will know also our even cost, what cost we have made the
final solution. And based on t

hat only we will have the correct assessment of how much business share we can get in subsequent years to come. So today, it is a bit early to do. Today, we are technical in the R&D phase of Kavach program.

Moderator:

The next question is from the line of Umesh Raut from Nomura India.

Umesh Raut:

Congratulations for the very good set of numbers. Sir, my first question is pertaining to gross margin. If I look at gross margin for first 9 months, I think it is around 49%. And we have always guided gross margin s in the range of 42% to 44%. But if I look at, I think, the last few quarters and the kind of orders we have received, those are more or less repeat orders of existing programs, AMC contracts and service portion of these earlier programs. So is it fair to assume that going forward, gross margin profile for us will structurally improve from guided range of 42% to 44% to about closer to 50%?

Manoj Jain:

Yes. See currently, the gross margin is not 49% as you said, it is around the range of 44.5% only, for up to December, the gross margin is 44.5% only, and we have guided for 42% to 44%. So as of now, we maintain that range of gross margin.

Umesh Raut:

Okay. Sir, one clarification here, while calculating gross margin, are you only assuming raw material and credit goods cost and excluding the portion of purchase of stock in trade and trade in stock?

Manoj Jain:

No, no, these are also taken into account. Purchase of stock in trade, raw materials all are taken and even the portion of WIP, which is there at the end of the December quarter is also taken into account. Separately as to who it is really then, but the gross margin is only 44.5%, as of now.

Umesh Raut:

My second question is pertaining to the deal, which is right now going on between India and Russia for acquisition of long range radar, which can detect missile and aircraft up to about 6,000 kilometers to 8,000 kilometers. So I think this is very big about closer to \$4 billion. And any idea over here, what kind of role Bharat Electronics can play?

Manoj Jain
:

No. The thing is we are very good or a leader in the radar domain, no doubt on that. But this particular deal is a G2G level. So direct role of BEL is not frozen as on date. But as these things progress, based on that only role of BEL will be decided. And whatever role Ministry gives to BEL, BEL is definitely be able to take that role. But today, it is not finalized. It is an exploration from BEL point of view, it is an exploration or watching mode.

Umesh Raut:

O
kay. But as media suggests 60% of value
addition would be done in India only. So is it fair to
assume that BEL being a leader in radar manufacturing, they'll have a larger portion of it?

Manoj Jain:

Definitely, BEL should have and BEL will have. But as of now, it is too premature to tell
about the
exact figures, what we will have because let government level negotiation and talks
happen and conclude. Based on that outcome only, we will have a concrete idea about these
figures.

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Umesh Raut:

So sir, next question is pertaining to employee cost. As we
understand now there is 8th pay
commission, which is now getting set up, and I think it is getting effective from next year
onwards. So any approximate idea for

employee cost increase you will have probably in FY
'27?

Damodar Bhattad:

See, this for us, public sector, the next wage revision is due only from January '27. It's not
--

it's the Pay Revision Commissions for central government. I think the year is different. And for
us, it is from January '27. So for '26, '27 per se only 3 months effect will be
there on the
employee cost. And even going overall employee wage revision happens, the projected
turnover increase what we are expecting, we'll ensure that the employee cost t
o turnover
percentage doesn't ve
ry much.

Moderator:

Next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit:

Congratulations for a good performance in this quarter. I have 2 questions. The first one is on MRSAM. Again, there was some delays from BDL side earlier because of the component being sourced from outside. But there were --

there was news that it is getting indigenized. So just wanted to understand our role over there? And how much will that account for us as revenue and when it can be recorded? That is first one.

And there's the second --

then the Part B

of this question that recently BDL also got MRSAM order from Indian Navy. So what could be our portion in this? And when we expect to get this order?

Manoj Jain:

No, let me tell you, firstly, this is a BDL - related question. So BDL is in the right position

to answer that. Our direct contribution in the missiles of this MRSAM order, because BDL gets missile in these orders. So our portion is nil as on today for the missile portion. But of course, there is a lot of electronics in that.

And as you have rightly told, there were some issues in electronic module supply from outside to BDL that we are having constant interaction with BDL to see can we leverage our in-house R&D strengths to indigenize a few more components of this.

And definitely, once we indigenize means that order will come to us only. So right now, we are in the process of finalizing the indigenization plan for these missiles. And final answer, you can get only from BDL. But definitely, there is a good scope of BEL manufactured or designed modules to be added in these programs.

Amit Dixit:

The second one is that you indicated that the next big order that will come would next generation corvette, but also, we expect that P-75 and P-75I

could also be ordered in due course. So just a ballpark,

what kind of share we expect, at least from electronic component and all from these orders?

Manoj Jain:

Anyway, as you told that NGC, so definitely, we are going to get this MRSAM & MFSTAR

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related orders, which we are expecting definitely next year, it may conclude for us. But P

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, good progress is there, good discussions are there. And a lot of electronic components in both the programs will be from BEL that much only I can tell you. But right BHAMreucr

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now until that contract is finalized or at least

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stage is cleared, we can't give you the exact numbers.

But this also will be a very good number. It will be definitely 4

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digits, but exact number today,

I don't want to tell you, but maybe by April, May timeframe, we will exactly tell you what type of n

umber we are expecting because definitely, these will be now we are expecting in next year itself. Earlier, we were thinking it may slip further, but good progress has happened on both the programs. BEL is deeply involved in these both program, 75AS and 75

I. And the

exact numbers, we'll let you know by April, May timeframe.

Amit Dixit:

Sir, just a follow

-

up for NGC for which substantial progress has been made, is it possible to quantify

--

you can give a range also that what kind of orders we can get over t here?

Manoj Jain:

We are expecting around

INR

14,000 c

rores to

INR

15,000 crores worth of orders for NGC.

Moderator:

The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore:

Congratulations on a very good set of numbers. In addit

ion

--

in continuation of the last

question, could you also spell out the ballpark range of size for the 2 large orders that you expect next fiscal QRSAM and the MRSAM that you mentioned, given that NGC is almost

INR

140 billion,

INR

150 billion will you giv

e us a better sense?

Manoj Jain:

Yes. QRSAM, we have told, also, it is between

INR

25,000 crores to

INR

30,000 crores. And

we are expecting definitely next year only based on the progress which has happened this financial year. So we are definitely going to

get

--

before next financial year end, this order

should be in our kitty. And the other one, NGC, I already indicated, it is around

INR

14,000

crores to

INR

15,000 crores.

Sumit Kishore:

And MRSAM?

Manoj Jain:

NGC means that

MRSAM & MFSTAR

and the package,

the total package put together is

around this.

Sumit Kishore:

Okay. And this
INR
250 billion to
INR
300 billion packages that you get next year and the year
after that, everythi
ng is expected in FY '26 itself?

Manoj Jain:

Which one? Both these programs, we a
re expecting in '25, '26
--

before March '26, we should
get both the orders.

Sumit Kishore:

Excellent. And both these contracts would have what sort of execution schedule in terms of
time line for booking revenues?

Manoj Jain:

Typically for the QRSAM progr
am 18 months to 24 months as the first half production. First
of production may be some 5% to 10% of the order value, which we can execute in 18
months
to 24 months. And then followed by another 2 years plus the remaining order will be executed.

Sumit Kish
ore:

Okay. And MRSAM, the NGC?

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Manoj Jain:

MRSAM, it will be a bit more faster because that

--

but that is over a period of 4
years
to 5
years again. So per year, we may expect in that around
INR
2,000 crores or to
INR
3,000 crores
worth of execution we can

--

we are planning.

Sumit Kishore:

Okay. My second question is given such strong revenue growth and margin performance in the first 9 months, how would you revisit your guidance on both revenue and EBITDA margin?
And given that

--

how would you look at may
be given your order book right now is down 6%,
7%, I know fourth quarter. [
inaudible 24:00
] Also revenue growth and margin outlook would
you leave us with for FY '26?

Manoj Jain:

In between there was a blank. Can you please repeat your second question?

Sumit Kishore:

Sir, I was saying that in the first 9 months, your revenue growth and margins have been well ahead of your full year guidance. Would you like to revisit your full year guidance? And b, your order backlog is down about 6.7% year

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on

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year as of

9 months, even with the pickup in
inflows in fourth quarter and with the revenue growth acceleration, your order book may be flattish at the end of FY '25. So what kind of revenue generation can happen
in FY '26, given
that QRSAM, et
c

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, are expected only
towards by the end of the fiscal?

Manoj Jain:

Okay. Regarding guidance, anyway, in the end, we will tell all of you because there are multiple questions from multiple follow, where we are looking at our guidance, whether it is a revised figure or not, we will definitely tell you at the end of this session. And regarding order book, as I already told, although we have achieved only around
INR
11,
000 crores order book
till now.

But next 2 months, we are going to achieve another
INR
14,000 crores, which is a
gap. We are
confident about that 5, 6 programs are in the final stage of contract finalization.

So we are
definitely confident to achieve that. And for next year, once we ha
ve this order book, which is
presently
INR
71,000 crores plus, around
INR
14,000 cror
es more work

we will get also.

S
o next year start will be better than this year start. So we will expect a good growth and other
margins and other targets that we will anyway let you know by April.

We do not have much
concern on the order book because as
of now, even though this year remains flat, there's
always a base orders of around
INR
15,000

crores, which is always there.

And this orders of QRSAM and
MFSTAR
for NGV, this when they come next year, the order
book will automatically grow next year by 1st

April '26, the order book will be much more
healthier, if these orders are expected, in addition to the base orders of
INR
15,000 crores. So
this year, maybe it is just flat but current next year growth will take care of the order book
once again.

Sumit Ki
share:

And we hope that the margin improvements are sticky, and you'll cover that all subsequently.

Thank you.

Moderator:

The next question is from the line of Atul Tiwari from
J.P.Morgan

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Atul Tiwari:

Sir, just one clarification. So this MRSAM orders, the
y are for NGC. So this is the entire
package, right?
INR
140 billion,
INR
150 billion in MRSAM/NGC?

Manoj Jain:

Yes, yes, yes. It is a package. It is the total package from us type of electronics for NGC
program. You're right.

Atul Tiwari:

So
INR
250 billion
to
INR
300 billion for QRSAM and for this NGC/MRSAM package
INR
150
billion. Is there any other large orders that you have in the pipeline over the next 3 years?

Manoj Jain:

Definitely, yes. Next year itself, we have done 3, 4 major projects in pipeline, whi
ch we are
hoping to get order.

Damodar Bhattad:

We have told for major orders are
INR
14,000 crores,
INR
25,000 crores, but
INR
2,000 crores,
INR
3,000 crores, and there another from 5, 6 orders which are expected in next year. And 3
years range, definitely,
it will be much more. But presently, we are talking of '25, '26.

Atul Tiwari:

And sir, for the submarine program, could the size be similar like

INR

150 billion,

INR

200

billion for all the P

-

75 and P

-

751, is roughly the quantum will be in the same ballpark

or can it

be substantially more or substantially less?

Manoj Jain:

Right now, I don't want to give the exact figure, but it will be a bit less than these 2. It will be lesser than these 2, that much only I can tell you. But because the exact quantification

will be

done in the next 1 or 2 months because that only discussions are going on between us and

MDL. And maybe by April, we will give you a more quantified figures. But as on today, I can

tell you, it will be lesser than this because it will not be in th

e 5

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digit, it will be 4

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digits only,

that much I can tell you.

Moderator:

The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel:

So my first question is on the electronic warfare systems for our airborne platforms. So a

t

present, which are the platforms for which we supply these

E

W systems, such as D

-

29? Also

on top of that, which are the future platforms, maybe

LUH, LCH, IMRH,

LCA Mk

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c

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which we are the development and production partner?

Manoj Jain:

Okay. Fir

stly, any aircraft or helicopter, which is there with Air Force or Army Aviation or

Navy Aviation. They have one or the other EW system of BEL. Minimum one EW system of

BEL is mandatory because it is a strategic requirement. So that will be always be there

. So in

all flowing air platforms, we have EW system.

But now we are from the basic EW system, we are migrating to EW Suites with a complex EW system having multiple components. So D

-
29 is one such EW Suite program, and as the name indicates, it is for MiG

-
29 aircraft. That's why the 29 stands for MiG

-
29. So it is for MiG

-
29 program, the total EW Suite that we are executing right now.

And for all future programs, as you have mentioned, various helicopter programs, where other programs, EW Suite of different configurations are worked out, and many of those

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programs are in very advanced stage. As we told MI

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and V

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5 we are just going to get the contract any day

We have already concluded PNC

, etc. Jaguar Aircraft, LUH, LCH, ALH also next version. So

those type of various EW Suites and different configurations are in the pipeline and in the advanced stage of finalizing the configuration/trials.

Harshit Patel:

Sir, my second question is I wanted to relate our future margin trajectory with the localization levels. So what share of this localization benefits will be retained by us? And what we have to pass on to the Ministry of Defence in terms of maybe lower nominated contract prices. I'm asking this because our current level of margins are substantially higher than what we used to report in the past?

Manoj Jain:

See, on the margin front, as we told, we'll give the guidance at the end. We take a contract from the customer at the

--

what's reported and negotiated prices, as you know. There are some localizations going on. All these are also factored in. And then only the negotiation takes place if the customer is also aware, and we negotiate with the customer.

And as far as the margin guidance is concerned, your precise question comes to the margin guidance only at the end of it all. So as we told, we'll be telling at the end, what is our revenue growth and the margin guidance.

Moderator:

The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta:

So I will begin with a very basic question, sir. So this

INR

25,000 crores, which we will log in

for this year, execution will start in FY '26 or maybe starting from the end of this year. But we have a backlog of FY '25 from previous years, which I believe is somewhere around

INR

7

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odd crores of this thing?

Now the thing is, one, this current revenue, which is coming, is it coming

--

should be coming

from the older orders book and there will be a combination of margins. So the backlog of the margin

--

of the order, is that the margin

rate is coming from? And therefore, going forward,

the new contracts that we are getting, our margin may decline, maybe slightly or maybe marginally or could be higher?

Other thing is what is the bill

-

to

-
book ratio? So if I take a look
--

if I look at this number, we
have done almost like in 9 months, roughly around a revenue of
--

good revenue numbers of
around
INR
14,000 crores, 9 months. So this is still around 30% of t
he boo
k that we have or it
is higher?

And do we expect that our execution pace will increase, and therefore, this 30% will go to
35%, 40% because I know you'll have a decent order book for the next 5 years. There's no
doubt. My question is on the executio
n part. Are we stepping it up?

Second is, how are the margins being evaluated based on the past orders and the current
orders? And going forward, how much would be new orders be contributing to our margins
going forward?

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Manoj Jain:

See on the execution front, you are asking us, whether we'll step it up. It is not only dependent
on our stepping it up only, it is also dependent on the customer contract delivery schedules. So
any large orders, if you take in defense orders, generally, t
he range is there for any large are
INR
20,000 crores,
INR
25,000 crores, say, the general deliver
y supply range is 3 to 5 years.

For any order is just not dependent that if you want to do INR 70,000 crores, we can do it this year, next year. Even if we want

to do, we cannot do it just because the customers' delivery schedule will not call for that. That is one.

Second thing is on the margins trend, you are telling old orders, new orders. We have a variety of orders, say around more than 300 products are there, different products and with 29 SKUs covering it. So define the margins in the old order, new order and coming orders and what will be the combination and all those things is precisely we'll not be able to tell that. All we can tell you is the overall guidance, which we'll be giving at the end of the session, we'll be giving the overall revenue and EBITDA guidance growth.

Jyoti Gupta:

Then the other thing is I wanted to ask that while you're saying that you are on track in terms of timelines for the

LCA

Mk

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1

, but the

LCA Mk

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1

s

are already delayed by a year. However, your timelines are very well matching with the

--

I don't know when the LCAs would come out. So

--

which means your revenues are not impacted in any way in terms of the delivery for LCA, right

? So is that

LCA Mk

-

1 you're saying, so in

LCA Mk

-

2

also, you would have got orders.

Have you got orders or likely to come for LCA Mk

-

2

as well because that will give us a guidance

LCA Mk

-

1, I don't know how many because anyways the squadrons have reduced

the number of

--

what we understand?

And we do not know what is the kind of numbers we would likely to deliver for

LCA Mk

-

2

,

as well

in terms of the number of jets?

Manoj Jain:

Actually, your question is mainly relevant directly to be answered by HAL. We,

based on our

interaction and discussions with HAL, I will just try to reply to you. Our supplies are always electronic modules, as I already told. These electronic modules can be separately tested also by HAL because the HAL is making all the basic frame and other things, basic systems.

And at subsystem level, when we supply to them, they can test it. So there is no problem of taking these modules, I can supply these modules to HAL, HAL use it and test the system as much as he can with this. You are indirectly referring to the engine

-

related delays.

But definitely, HAL is the best one to answer. So engine

-

related delay are not going to affect

our delivery between BEL to HAL that much I can assure you. The second thing is you told

LCA Mk

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2

. M

k

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2 is st

ill going through prototype phase only, I should say. So from prototype

phase to come to the real production phase, it will take a few more years. Till that time, we are supplying

LCA Mk

-

1 83

-

number order we got.

And second was we are going to get, for which advanced level discussions and activities are going on, this 97 number

LCA Mk

-

1A order. So these 2 orders, what we are executing and what we are going to get very soon are

LCA Mk

-

1A only. M

k

-

2 is still going through the certification phase only. So it will take some more time to come to production phase.

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Moderator:

The next question is from the line of Deepesh Agarwal from UTI Asset Management Company.

Deepesh Agarwal:

My first question is, so you have been looking to scale up the nondefense revenue share over the past couple of years. However, if we see the nondefense revenue shares has been more around 8% to 10% kind of from mark. So when do you expect that to scale up?

Manoj Jain:

Good question. Actually, this nondefense, as I told, 8% to 10% is for last so many years. But now we want to make it double digit. And double digit will be between first level 10 to 15 range we want to increase. Finally, as a healthy sign, nondefense should be around 20% to 25% of our turnover as a logical mix.

So we are aim

ing for that. We have lot many dive

rsification plans related to nondefense. We have come out with the network and cybersecurity

-

related business. We have come out with 1

or 2 more areas, especially like homeland security area. Data center area is anyway growing.

So

we want to go in that segment.

The border security related projects that type of a project. So we are a very, very advanced stage of many of those programs. We thought of entering through BSNL programs also. We have partially succeeded in that, but there were some minor issues in getting some big orders there. But we are definitely in the next again big opportunity.

We will bid because we are technically capable in this telecom domain of civilian. So telecom civilian domain we are looking as a great prospectus for us and network and cybersecurity

- related domain, and of course our e

- governance

- related activities or digitization

- related

activities

es, related software solutions.

So these 3, 4 areas, we have done reasonably good work now. So we are hoping that very soon, maybe next year or next to next year, we will be in 10% plus, definitely 10% to 15% margins for this segment. And over a period of time, maybe up to next 5 years, we may get between 20% to 25% region for the turnover mix between defense and non

- defense.

See, we should also understand that while non

- defense numbers will continue to increase, the defense order size are much more feasible. For example, what you are telling about QRSAM and this NGC order, they are much more feasible. So even though the increase in numbers happen, the percentage in non

- defense cannot increase to that extent.

So that being the case, the non

- defense percentage increase will be on a little slower scale and it will take a little longer time. But overall what we

are looking at is a business increase which will definitely happen.

Moderator:

Sir, the participant has moved out of the queue. We will move on to our next question. The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil:

My question is regarding the order book. So we have an order book of close to around INR

711

billion. So, first, can you give us a breakup as to what is the defense order book and the BHAMreucr

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nondefense order book? And the second part of it, what will be the main i
tems in the existing
order book, which is about
INR
10 billion?

Manoj Jain:

Again, that defense and non

-

defense typically in the order book also something similar to our
88%, 89% defense, 10%, 11% nondefense. That ratio is in the order book also. And some o
f
the major order book what we have is related to electronic fuses, the LRSAM project, Akash
Prime, BMP

-

2 upgrad
e, HimShakti and Arudhra Radar.

So these are the top 6, 7 projects,
which constitute this order book what is their
INR
71,000 crores work with us
. This is around
INR
20,000 crores to
INR
25,000 crores is among these 6 projects.

Dipen Vakil:

Sir, can you help us with the quantum of top 5 projects if possible?

Manoj Jain:

The top 5 projects are electronic fuse, LRSAM, Akash Prime, BMP
-
2 upgrade and Him
Shakti.
And they are ranging between the
INR
2,500 crores to

INR
4,500 crores.

Damodar Bhattad:

These 5 orders put together around
INR
18,000 crores.

Moderator:

The next question is from the line of Aman Vij from Astute Investment Management.

Aman Vij:

My
first question is on Kavach. So when you talk about today we are at R&D stage, and by
June, July, you expect this R&D stage to be over. So is my understanding correct that,
normally, a company needs to supply the hardware and software prototypes. So that y
ou will
supply by the June, July 2025?

Manoj Jain:

Yes. We will put this hardware and software both in a test line, which will be given by
railways to us. We'll put it and start

the integration and testing phase. So by June time frame,
our development of h
ardware and software will be over.

Aman Vij:

And sir, normally, after that, there is normally a field trial of like 5,000, 10,000 hours. So we'll
be starting that field trials by June, July?

Manoj Jain:

No. The thing is after the development phase, this is

--

one is called integration and testing
phase at the actual line. And after that only, the certification related or the reliability related
testing starts by railways. So I don't know how much time they will take during the testing
phase. It may take 1

m
onths
to 2 months typically, but sometimes it takes a bit more also. So
depending upon that time only

--

and then the certification

-
related reliability testing.

So based on that only, it will take

--

wild guess is 4

months

to 6 months it should take for

those

type of testing. So maybe by December, January timeframe, we may get the clearance. But it
may vary by a few months here and there.

Aman Vij:

Okay. And directly, will we get...

Moderator:

Sorry to interrupt, to restrict your question to one, because there are other participants who are waiting in queue.

Aman Vij:

Yes, just finishing this on one question I have. Is it correct to assume that after all this clearance, say it happens next year?

So do you directly get 4.0 approval, Kavach 4.0 approval?

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Man

oj Jain:

Look, once we clear that, then only we will be qualifying for next bid

--

next big order which

will come because recently, I think they had issued some RFP where we are not qualifying right now. So next big order after we are qualified. In that order,

definitely, we will bid. And

based on our cost trend, L1 discovery and the order will be splitted across multiple vendors.

That is

--

railway has to decide that what will be the terms and condition in that RFP.

But typically, in their RFP, they split

the order across top 2 or top 3 vendor.

So we are confident we will get a sizable portion at that point of time. But today, it is a bit early to tell and quantify the business volume for that until we clear the testing and certification phase.

Aman Vij:

J
Just one small question on fuses. So how are the delivery going about? We had to supply like
INR
500 crores per year for the next 10 years. So have you supplied in 9 months, whatever
quantity, say,
INR
350 crores,
INR
375 crores already? And you have talked about this
Rosoboronexport MOU, which had signed 6, 7 months back and you were told in the next 6
months, we'll be able to talk more about it in terms of export opportunity. And the
indigenization portion also, you had talked about we are 50%. By next year,
what it can be? So
these 2, 3 small questions on fuses, if you can answer?

Manoj Jain:

No, we have ramped up our fuse production as part of this order, what we have got. And I
think in last 9 months, we have got reasonably good progress. And whatever was committed to
Army, we are going to meet by March. We have an MOU with them for yearly quantities. So
first 2 years, the quantities are slightly less
than

only ramping up. So as per the contract, I think
we are on target for that, barring some initial teething
problem, which was there for first 6
months.

But now it is totally stabilized, and we are not foreseeing any problem on that. Regarding
ROE, it is
--

it was for some 2 programs of Indian requirement only right now, not for export.
And those programs are
right now internal processing of the case is going on. Then there will
be technical evaluation, then some other activities and then only discovery of L1 will be there.

So it will take some more time at the ministry level. And regarding indigenization, yes, we
have done good progress on indigenization front also. Within 2 years,
we have to do
indigenization complete for this program. And we are confident that in 2 years' time frame, we
will do the indigenization as agreed to ministry.

Aman Vij:

Which part

is left, sir? So we are 50% indigenized. So which part is remaining?

Manoj Jain:

No, total, all critical component of this fuse will be indigenized. Although we have made our
own totally indigenous version also,

home grown

for some other application, not
for this Army
program, but for some other naval program, we have made totally
home grown

fuse. But for
this Army program, it was based on transfer of technology.

So in that transfer of technology, indigenization content was to be increased to 100%. So
that
activity is going on. In 2 years, we will indigenize it, but it is not based on the in

-
house design.

The design was not from us for this program. But once it is manufactured in India, it is
technically we are totally independent of manufacturing each
and every part.

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So that activity only was the commitment between us as part of that contract. But parallelly, as
I told, we have put our R&D team to make totally indigenous version of fuse, which we have
successfully made for one naval program. And then w
e will subsequently make it for Army
different programs.

Moderator:

The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan:

I just wanted to understand, so next year, we're looking at

INR
25,000 crores QRSAM

,
INR
15,000 crores from corvettes and then
INR

15,000 crores base orders? We are targeting all these 3, is that understanding, correct?

Manoj Jain:

What we told last year that beyond QRSAM, minimum INR

25,000 crores more we will get. So

QRSAM, which we are n

ow progressing very well. Hopefully, it will be between

INR

2,500

crores to

INR

50,000 crores will be the order book inflow next year, but that exact value, we will tell you in the month of April.

Deepak Krishnan:

Maybe just wanted to check if there was any provision reversal or any sort of FX loss or gain in other expense this quarter, which was sizable?

Manoj Jain:

Which one?

Deepak Krishnan:

Any provisions for FX in other expenses this particular quarter?

Manoj Jain:

See, you are talking of

--

precisely wh

ich line you're talking of, other expenses or other operating revenue or?

Deepak Krishnan:

Other expenses, any large provision creation or any FX gain or loss in other expenses in this particular quarter?

Manoj Jain:

A large provision was towards there, it

was provisioned towards

--

liquidated damages was

there on account of some certain delay in supplies. That was a large provision in other expenses.

Deepak Krishnan:

Sir, any quantification that you want to share?

Manoj Jain:

Quantification, yes, the total

quantification in the provisions was around INR

600 crores for provision towards doubtful debts and penalties.

Moderator:

The next question is from the line of Amit from PL Capital.

Amit:

My question was on the Defence Ministry announcing this year as a year of reform, and we saw talking about AI, robotics and machine learning. Any reading you have for Bharat Electronics? Will there be advancements of electronics or value of defense electronic components being higher compared to the previous years? And any reading through you have from this document or any discussion with Ministry with Bharat Electronics perspective?

Manoj Jain:

Definitely, once Ministry has announced year of reforms, we also had geared up for that. So we have given our targets for reforms, different, different targets for

reforms and different
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projects

- processes where these

reforms will be reflected. One such reform was recently flagged off. You might have noticed this, battlefield surveillance system, Sanjay.

That was also one of the important reform we wanted to flag off in this year itself, in the January itself, although there were a lot of challenges, but we told we will finish this product because this is going to change the battlefield surveillance in a bigger way.

So reforms mainly in the form of new technology infusion, infused products to be launched this year.

So this year, you will see many number of reformed projects, the projects which are going to change the battlefield landscape. So those type of projects we have lined up. One by one, we will announce them. This BSF was one such project which we have announced. So many more are there. That is the commitment between us and our ministry. So we have already given our commitment about a series of reforms, which we are going to do in this year.

Amit:

Lastly, on a clarification on order book breakup, which you shared top 4 to 5 orders are about INR 30,000 crores, INR 35,000 crores and I think Fusion order is to be delivered in phases over 7, 8 years. Any thought on other large orders? What is the delivery time line for the LRSAM, Akash Prime, BMP 2 and HimShakti?

Manoj Jain:

No. HimShakti, I think is for --

next year itself, we will liquidate it. So it is only for this year and next year. This year, we are going to supply some portion and because it's still one quarter is left. But majority of the supplies will be in the next year. So HimShakti is only for next year, not beyond. MPR Arudhra is, I think, for 4 years plus. BMP 2 also is 4 year plus. So these are 4 year plus program.

In general range, you can tell any of these orders, they have a minimum time frame of around 2 years and it goes up to 5 years, such type of orders because they are different, different orders, exact delivery schedule of each one, we do not have right now.

But general thing is, it will be a minimum 2 years period for such orders and generally, it goes up to 5 years depending on the order size and delivery schedule.

Only fuse is an exception because we have got a long term order that is for total 10 years, in which first year we are concluding this year, then 9 more years, it will be there because that is a yearly target we have told.

Moderator:

The next question is from the line of Harshit Kapadia from Elara Securities.

Harshit Kapadia:

Congrats for a good
set of numbers. Just wanted to check with you on
--

one is on the Uttam
Radar side. What we have heard is that probably you will be manufacturing Uttam Radar. Now
is that the correct statement to make? Or Israel radar will be used in the
Tejas Mk1A
, if you

can give a clarification? And in the 97 number of Tejas, which is going to come in subsequent
FY '26, that's what expected. Would you be participating in those as well? A clarification
would be helpful here.

Manoj Jain:

Okay. Firstly, again, Uttam Radar,
which configuration, which Uttam Radar will go or the
foreign made, that is a decision between user and HAL. We don't have any role to play for that.
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So configuration in any aircraft is decided between user, with Air Force and HAL. We are not
a party to th
at. Our job is only to supply them electronic module.

Uttam Radar per se, the decision was taken and through a process, it was decided. HAL is the
integrator for Uttam Radar. And some modules level only, they will decide whom to place
order. BEL also is i
n the race of getting some sub modules order from HAL. But that will be
the call by HAL, how much he will do in
-
house and how much of the modules, which he will
get partners and those partners have to fight for the L1.

So there is no confirmed BN
E type of

th

ings in Uttam Radar for BEL as of now. So let us see when the numbers, RFP will be issued by HAL at that time, but HAL is a system integrator for Uttam Radar, not BEL. So that was a calculated decision taken, informed decision taken by all stakeholders.

So today, when the RFP is issued by HAL for subsystems, that time only we can quantify how many subsystems BEL may get ordered and what is our aggressive marketing plan of getting that because it will be through multi

-
vendor situation.

So multiple vendor
s are there for some module level, although BEL has definitely a strategic advantage. But today, I can't tell how much of that I will grab at the sub

-
module level for
Uttam Radar. And about this 97 number, Tejas, again, all the electronic modules, already inquiry has come to BEL, and we are in the process of finalizing and some contract

-
related
discussions and other things activity already started. Regarding Radar 197, again, it will be called by HAL, not by BEL.

Harshit Kapadia:

And can you share some upda
te on the anti

-
drone system, sir, because that's where some
competition is seen rising and orders also getting into traction mode. So where is BEL
positioned? What's an order pipeline there, if you can share some insight?

Manoj Jain:

We are the leader in a

complex high

-
end, high energy hard

-
kill and soft

-
kill

-
based solution,
which was originally designed by DRDO. So that we have supplied, these complex solutions,
we have supplied to Army, Navy and Air Force. All the 3 supplies are over. Now we are
getting a
n order from BSF. That is the one big order in pipeline, which I think we are already
declared L1. So we are hoping in this year order to come, and then we will start supplying that.

Very good leads are there from various foreign countries for this
particular complex anti

-
drone
system, which we call D4 system. So

--

many countries, 8 to 10 countries have shown good
interest in that. We have given demos to them. And we hope some contract may be finalized or
good lead will be there during the next Aero

I
ndia with these foreign countries because we are
anyway demonstrating this system again there.

And a lot of technical and other discussions will be there with many countries related to this anti

-
drone system. The smaller anti

-
drone system, there are multiple vendors, including BEL also. So that is a different, different order keeps coming, and there is a role for everybody. There are some start

-
ups. There are some other MSMEs, and there is BEL, of course, also, but they are not that complex like this D4 system.

So this D4 system right now, we are the only supplier, although the technology was given by DRDO to 4, 5 bidders. But till date, nobody has totally acquired the technology and made the BHAMreucr

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prototype as per our knowledge. So we are only supplying this,

and we are going to supply this number. We are in constant touch with Army, Navy and Air Force also for repeat orders. So that we will see when it will mature.

Harshit Kapadia:

Sir, last final question. Sir, in one of the committee reports by defense, there was an order inflow number mentioned over the next 3 years of close to more than INR

1.2 lakh crores for Bharat Electronics. Now given that FY '26 number was close to INR

45,000 crores. Now you recently just mentioned you are looking somewhere around INR

2
5,000 crores to INR

50,000
crores of order inflow.

And earlier, you had guided of
INR
36,000 crores,
INR
38,000
crores

order. So is it right to
estimate that you will see an order inflow of
INR
45,000 crores for FY '26, considering what
you had mentioned
earlier in terms of orders coming from QRSAM, MRSAM and other
programs. Would that be a right understanding?

Manoj Jain:

It is a right understanding, but exact figures, w
e will tell you in the month of April. But yes,
QRSAM, there is a very, very good prog
ress. So we are hoping next financial year, QRSAM
will come. We are more than 90% sure as on today to get that deal in next financial year itself.
That's why we are hoping our order book inflow next year will be between
INR
25,000 crores
to
INR
50,000 crores
. Let us watch for next 2 months. In April, we will have much more
quantified figures about our target for next year.

Moderator:

Thank you.
As there are no further questions in the queue, I would now like to hand the call
back to Renu Baid Pugalía from IIF
L Capital. Please go ahead, ma'am.

Renu Baid Pugalía:

Yes. Thank you, team. I would now request management to make comments on the guidance
for which everybody has been waiting for if there is any change or revision to that. So over to
you, sir, for your c
losing comments and remarks.

Manoj Jain:

No, our closing comments are, again, the same. We have
analysed

our 3 quarters. Third quarter
was really very good for us. But seeing overall complex projects, mix of solutions, mix of
challenges, what we have for f
uture. So still we want to retain with 100% confidence, our
revenue growth of more than 15%, which we told at the start of the year.

We are confident we are going to cross 15%. So we are telling our revenue growth will be 15%
and more. EBITDA margin defin
itely will be between 23% to 25%, may touch around 25%
based on the Q3 performance. And order inflow, although as I told, it was
INR

11,000 crores
till now, but we are confident to cross
INR
25,000 crores. So these three parameters, definitely,
we are going
to achieve. That is our final guidance.

Renu Baid Pugalia:

Thank you, so much, and best wishes, sir. Thank you for giving us the opportunity to host the call and thank the audience for being very patient. Thank you, everyone.

Manoj Jain:

Thank you, all.

Mo
derator:

Thank you so much. On behalf of IIFL Capital and Bharat Electronics, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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Moderator:

Ladies and gentlemen,

good day. And welcome to the Bharat Electronics Q4 FY '25 Earning
Conference Call, hosted by IIFL Capital Services Limited.

As a reminder, all participant lines
will be in listen

-
only mode and there will be an opportunity for you to ask questions at the e

nd
of today's presentation. Should you need assistance during conference call, please signal an operator by pressing star then zero on your touch
-
tone phone.

Please note that this conference
is being recorded.

I would now like to hand the conference over
to Ms. Renu Baid from IIFL Capital Services
Limited. Thank you.

And over to you, ma'am.

Renu Baid:

Thank you. A very good morning to everyone present. On behalf of IIFL Capital, I would like
to
welcome

the management of Bharat
for the

4Q FY '25 Earnings Ca
ll.

From the management
team, we have with us today Mr. Manoj Jain, Chairman and Managing Director; Shri Damodar
Bhattad, Director, Finance, and CFO; and Mr. Sreenivas,
Company
Secretary.

I now hand over the call to Mr. Manoj Jain for his opening comments
. Thereafter, we can start
the session with Q&A. Thank you.

And o
ver

to you, sir.

Manoj Jain
:

Thank you, madam. Good morning all.

So I will, firstly, cover the financial highlights for
financial year '24, '25. The turnover increased to
INR
23,024 crores, as

compared to
INR
19,820
crores previous year, with a growth of 16.17%. The profit before tax increased to
INR
7,090
crores
, as compared to
INR
5,335
crores

previous year, with a growth of 32.91%. The profit after tax also increased, to
INR
5,288
crores
, as compared to
INR
4,020
crores

previous year,
with a growth of 31.55%. The EBITDA also has increased to 29.39%, as compared to 25.22% last year.

The earning per share increased to
INR
7.23, as compared to
INR
5.50 last year.

Order book
position as on 1st
4 2025 is
INR
71,650
crores
.

So overall, on all the parameters, company has registered good growth. Parameters are well within what's given to you as a target or expected performance. I hope we have increased only your expectations.

And now briefly about the current geopolitical situation. You all know BEL systems were there in all the forward areas, providing offensive and defensive applications, a lot of C4I solutions developed by BEL and used by our users who are there in the field this time. You have heard a lot more through the media about BEL involvement. BEL teams were there in the forward area supporting our users and getting the feedbacks.

Overall, we feel satisfied that, yes, a technology developed by us was used by our users in a very, very efficient way. We got a lot of appreciation from our users recently.

And regarding this emergency procurement which government has now come out immediately, still the projects are being discussed. So various projects of army, navy and air force are being discussed.

We are actively involving ourselves for those discussions. And we are hoping good orders will come under emergency procurement also for us. Otherwise also, anyway, we have a long lineup of various projects which we are expecting in this year and subsequent years.

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That is in brief from my side. Thank you. Thank you all.

[inaudible 0:04:30]

Management:

Now

start the session with Q&A.

Mode

rator

:

Thank you very much.

The first question is from the line of
Mohit Pandey

from Macquarie.

Please go ahead.

Mohit Pandey:

Yes. And congratulations on a good set of numbers. Sir, my first question is on orders. So
firstly, any ballpark number you would like to share on what could be the quantum of

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I

know you mentioned this is still under discussion, but any
ballpark number on what could be
the quantum of the

emergency procurement orders that would come this year? And secondly,
any update you would like to provide on the large pipeline orders such as QRSAM and
corvette

-

linked orders? That would be very helpful
, sir.

Manoj Jain

:

Yes, certainly. Now, EP projects, it may be a bit early. Maybe another 1 week or so, we will
get the correct estimate of what all the projects which are coming

--

which are to be done by
BEL because

--

you know EP projects are for arms and ammunition replenishment, some other spares, etcetera, those; and a few critical subsystems or systems which they feel are to be purchased immediately.

So there is a list of so many projects and spares which we are looking at, but at this stage, because

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discussions only are going on. Once the list is finalized, then only we will come back to you. Something like a minimum 8 to 10 or more different line items, I am expecting immediately, minimum most. It may be even more also. Because the list is being

finalized till
now.

Now regarding the long

-

term projects. Yes, as you have told, QRSAM, good progress is done on QRSAM in last year. And as we told last year, we are expecting QRSAM order, hopefully, before March, but it may slip to April, May also. Right now we are thinking it may come by February, March itself because good progress is there on that front, but worst case, it may be shifted by 1 quarter.

So that is our thing for the biggest order, which is, as I already told, around 30,000

-

plus crores order. We want to grab it in this year itself. Worst case, it will be Q1 of next year. And so many other big projects are in pipeline, which we are hopeful to realize this year and subsequent years.

Mohit Pandey:

Sir, if I can ask, what are the other bigger pipeline projects that you're expecting this year?

Manoj Jain
:

Yes, certainly. No, the thing is that is the biggest QRSAM, but in addition to that, the NGC program, Next

-

Generation Corvettes, for that, there are so many items of BEL. So we are expecting a major order of that subsystems because that will come from 1 of the shipyards only

--

or 2 of the shipyards who will become L1 and L2.

From them only, it will come. So we are hoping that majority of those subsystems

--

there are
around 10 to 12 subsystems which are there on these type of ships. So those will come in this year. Then we are hoping Shatrughat and Samaghat . That is a EW system. So that also, we

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may get this year; in addition, so many other things, like additional LCA requirement which HAL is pursuing.

So from HAL, we may get the order this year only; then some B&D spares for LRSAM, ATULYA radar, Shakti, other GBMES, like that. There is a long list, ADFCR. So a long list of projects which we are hoping will come in this year. Worst case, they

may go to
--

slip to next year Q1 or Q2. So that way, we have good leads right now order acquisition related. And we are hopeful for
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to be better next year.

Mohit Pandey:

Yes, understood, sir. I have other questions. I'll come back into the queue.

Mod
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rator
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Next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit:

Congratulations for a good set of numbers. Sir, considering whatever you have discussed in the previous question, I just wanted to understand the kind of order inflow that we may expect for this year. I know there has been around INR 3,300 crores that you have received, so far, but what kind of order inflow do you expect this year? And the subpart of this question is that, given that we have seen skirmish on the border and

missiles have been successfully deployed, don't you expect QRSAM order actually to be expedited.

Manoj Jain
:

Yes. That's why I told that earlier also. QRSAM order related, all the paper activities and other things are going on very, very fast. We

have also made one team dedicated for only finalizing this contract with the user. We are hoping it may come by last quarter of this year itself, but we are telling in addition to QRSAM. QRSAM, maybe around --

roughly around INR 30,000 crores, we are expecting.

In addition to that, we are hopeful to get this year around INR 27,000 crores

additional orders, so if QRSAM comes in this year, total, we will cross INR 50,000 - plus crores

this year itself. Otherwise, also, minimum INR 27,000 crores, we are expecting this year of the orders, which I have told you a big list was there. So these all orders definitely will give us more than INR 27,000 crores

this financial year as the order book, additional orders.

Amit Dixit:

So just a clarification. 30,000 crores is the total size of QRSAM, or our share?

Manoj Jain
:

The QRSAM is

--

we are the production agency for QRSAM, so order will come to BEL. So

total

INR

30,000

crores

is what we are expecting as order from users to BEL. And this order actually combines air force and army to tal requirements.

Amit Dixit:

Got it, sir. The second one is on the S

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400. So we found that S

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400 was very successful in the recent clash. And Project Kusha is being contemplated now, as per the media reports. And the size of the order could be, as per media reports, around

INR

40,000 crores, so what would be our share in Project Kusha?

Manoj Jain

:

As you have rightly told, yes, indigenous S

-

400 is called Kusha. And knowing the importance of this project, we started investing on this project. Presently this project is driven by DRDO, and BEL is a

development partner for them. The DcPP, we call it. So we are the development partner with DRDO. And we are developing jointly with them so many subsystems of the

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Kusha, mainly all type of radar. Different type of ra

dars are there in that; different type of control systems, control centers we call it. Those are there.

There we are already nominated DcPP. System integrator for this is yet to be finalized. We are hopeful that we will be system integrator also. So, in case we are system integrator, then as you have indicated, around INR40,000 crores order will come to BEL because system integrator only gets

--

if they decide to have two system integrators, then also definitely then, 100%, we will be one of them. We are confident of that. So then maybe around INR20,000 crores, as per your estimate, will come to us as direct order.

But the subsystems which are there, major subsystems of indigenous S

-

400 will be from BEL.

So that's why we are expecting very good order book of these subsystems, but presently we are more involved in how to make this system very quickly jointly with DRDO. So, our main focus right now is on the development front, but definitely orders will come in due course of time.

Moderator:

Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora:

Sir, though you articulated the kind of emergency procurement which is happening, just on the execution side also, you see what you would have planned 6 months back for this year, FY '26. Is there a chance of faster execution because of the certainty of further disturbances, what is happening currently? Or any change in outlook in that part on the revenue side?

Manoj Jain:

Revenue side. Anyway, at the end of the call, we will tell you what we are expecting this year, but as you have rightly told, yes, the need of the hour is to execute the projects faster. So we are assessing that situation. Based on that situation, we will see how we and [inaudible 0:14:42].

Because it is not that what we produce is manufactured within BEL. It is with a large number of MSMEs, other vendors who are there, who are supporting us, so we are in constant touch with them in last 15 to 20 days and

seeing how we can overall make the total execution faster. Internal also, some process improvements further, we have done.

So jointly between that and discussions with our MSME and other vendor, we will come out with a plan of executing it definitely more faster than what is expected by our users now. I can assure you we are

going to meet or exceed our user expectations. That is our goal. Even during this Op Sindoor also, whatsoever users expected [inaudible 0:15:33], definitely

--

I am

confident that we have met or exceeded their expectations in terms of support, spares and other things.

And we'll continue to do that by giving them earlier to the requirement deliveries. So that, we are doing, all these things. And definitely we will execute it faster than their expectations.

Nitin Arora:

And any comment on the profitability, sir? It's been very strong, Q4 specifically as well. So whole year margins are pretty much higher than your guidance. How one should look next year, if you can comment one on that? That's it.

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Damodar Bhattad:

The revenue and margins guidance, we'll give at the end.

Moderator:

Next question is from the line of Sagar Gandhi from Invesco Mutual Fund.

Sagar Gandhi:

Yes. Sir, my question is on the working capital. While the performance has been outstanding, our working capital seems to have deteriorated significantly both on the receivables inventory front and payables also. I mean you have cleared dues of --

I mean you have cleared substantial amount of liabilities. If you can comment on how do you see this receivables inventory changing over the next few quarters?

Damodar Bhattad:

See. If you look at our working capital position, it has been fairly stable around 1.5 current assets to current liabilities. Even the current year, the 31st March '25, the current ratio is around 1.7.

So, receivables and inventory,
there's not much change as compared to the previous year.
Maybe 5, 6 working days

--

5, 6 days is the highest. That's all. So overall it remains same.
Working capital position remains good. And we are getting good inflows from the government side also.

Sag
ar Gandhi:

So sir, your other liabilities. If you look at your cash flow, other liabilities section: There is a material change, INR2,900 crores change, year

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over

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year. And consequently, that has lead to
net cash from operating activities going down from I
NR4,600 crores to only INR586 crores.

Damodar Bhattad:

No. That is

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if you could see, it is on account of the advances, what we had received last year
order book. The advances were slightly higher. This year, the total order book intake was
slightly less
, 18,000 only, as you are aware. So based on that, the cash flow from operating

--

to that extent, it is less.

Sagar Gandhi:

But there are no challenges on the receivables front is what you confirm?

Damodar Bhattad:

No, no challenges, yes.

Moderator:

Next
question is from the line of Vatsal Desai from HDFC Mutual Fund.

Vatsal Desai:

Congratulations on a great set of numbers, sir. Sir, my question is again regarding the
emergency procurement. So could you give a quantum of what will be the size of the
procur
ement? And what will the margins look like for those?

Manoj Jain:

Again, as I told you, it may be a bit early. Maybe within

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I hope, within the next 8 to 10 days,
all the EP, procurement, list by all the three defense users will be finalized. And then on

ly we
will have the correct estimate of what are the projects which will come to BEL in that. So
today, it's not appropriate for us to tell, but we are discussing for various requirements,
emergency requirements from them.

But how many they are going to f
reeze under EP and how many they will go through the
normal FTP or other path, that, our user has to take. So once that list is final
ized, then only we
will start responding and planning for quicker execution for those EP projects. So today, I can't
give y
ou the quantified figures.

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Vatsal Desai:

Understood, sir. And you also mentioned faster

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you try to implement faster execution for
these projects. So, will that escalated pace of execution impact margins positively or
negatively?

Damodar Bhattad:

See. Ma

rgins guidance including everything, we'll be giving at the end of the conversation.

Vatsal Desai:

Okay, sir...

Manoj Jain:

We are assessing all the situation. Based on that only, we will give you our final figures of the
margins and others at the end of t
he call.

Moderator:

Next question is from the line of Atul Tiwari from JP Morgan.

Atul Tiwari:

Sir, my question is on NGC program. Could you shed some color on the size of the orders that you could expect from this?

Manoj Jain:

As I told, we are having so many subsystems of NGC. So almost all electronics in the NGC program will be from BEL. The thing is the subsystems finalization with the shipyards may take some time. Overall, it will be of the order of INR6,000 crore to INR10,000 crore. I don't know exactly right now how much they will realize this year and how much may spill over to next year.

But large amount of order, maybe largest in this year, after QRSAM, will be from this NGC program. But technically it is subsystems. So different orders may come from two shipyards, but put together, the figure will be between INR6,000 crores to INR10,000 crores somewhere.

Atul Tiwari

Okay, sir. And sir, my second question is on your exports. What was the quantum of exports in FY '25? And are you seeing increased traction in exports because of the performance of your products in the recent contracts?

Manoj Jain:

The thing is, last year, I think, we achieved [\$106 million 0:21:42] which was a healthy growth for us as compared to overall defense ministry. All the productions, defense productions, what they have achieved, overall we have exceeded from that. This year, we are planning around \$120 million, but as you have told, a lot more leads are now fructifying or may fructify, based on the last geopolitical situation, where our equipment solutions performed exceedingly well.

But that takes its own time. That takes minimum, I can say, one year for us to convert those leads or those advantageous things to orders. So, we have to wait for at least one year to get those orders and execution will take another 12 to 18 months.

So, export front. We will see right now, our growth, based on our previous order book, etcetera, we are expecting around \$120 million this year, which is again a healthy growth of more than 15%. We are targeting

--

maybe after 1 or 2 years, based on the

--

what sort of progress we may get on these new leads, we may expect more than 20% growth.

But for that, we have to really work hard this year to convert those leads into confirmed orders. So that

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at the end of this year only, we'll let you know how much we have engaged on the present technological solutions which we have to generate new leads.

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Atul Tiwari:

And sir, a follow

-

up question on exports again. Over past few months, we have seen European rearmament. And we are given to understand that you already have some relationship with various users in Europe in supplying components and all that. So are you seeing some kind of traction for supply for European rearmament from your side?

Manoj Jain:

Def

initely this is good for BEL because so many of our electronic systems; our fuses, different type of fuses; and other ammunition which we are now in

--

so those are really required by
European countries, so we are in constant touch with our internal teams,

defense st

ategies at

those countries, etcetera; and coming out with our revised marketing plans to capture projects on those countries. As and when we capture any project, we will definitely immediately come back to you that this we have got. Right now t
hese are, again, leads or opportunities for us and
we are working hard to convert them into orders.

Moderator:

Next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta:

Great set of numbers. My question is, of course, you being defense PSUs, the lineup of orders will never be an issue for you and you will continue to have very large orders. But my first question is in terms of margins. We've seen a sudden jump by 4% on a
year

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on

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year basis. Any
specific reasons that we see this margin which has happened?

And the second thing is that while I understand a lot of procurement orders will be finalized in the next 7 to 8 days, even if they were not there, without that, we

--

could we manage similar
margins going forward if there was no such emergency situation or any of that sort? And why
was other expenses

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and so I mean there's a sharp decline in terms of raw material and other
expenses in the fourth quarter on a Y

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Y basis

. Could you please explain that?

Damodar Bhattad:

Yes. The margins increase, what you were telling in the beginning, it's purely due to the scale of operations. The scale of operations was higher, which led to the increased margins. So material consumption

remained around 55%, as was in '23

-

'24. The same was in '24

-

'25 also.

So the material consumption being 55%. The scale of operations led to increase in EBITDA margin. As far as the current year margins are concerned, we'll give the guidance at the end.

Jy

oti Gupta:

Okay...

Damodar Bhattad:

Other expenses reduction you had asked. Other expenses, last year, we had a provision for intangible assets of INR96 crores, which was not there this year. So that led to the reduction in other expenses. Other things, more or less, were constant. Normal increases were there as it is for the scale of operations. Because of one intangible assets provision which was there in '23

-

'24, so due to that, the other expenses got a reduction. It has got reduced.

Jyoti Gupta:

Okay. O

ther thing is in terms of, as an integrator, you said

--

so one is you said you will have
for subsystems and then you're also looking at integrator

--

becoming an integrator for some of
the procurement platforms. Now my question is if you were on the

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is is irrespective of whether the orders are there or not, but on a general basis on a base case scenario, if we are on subsystems and we move to an integrator, how does that really improve my margins?

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Manoj Jain:

The thing is, when we are subsystem fellow , subsystems are generally homegrown, so we have definitely good margins for that. System integrator role is a bit different and challenging because he has to take care of integrating all the subsystem and delivering the required results.

The system integ
rator generally gets the direct order, so from order book point of view, being a system integrator is
--

definitely it will affect
--

or it will improve my top line. But subsystems which are there, which will come anyway, whether I am system integrator or not, will make my top line reasonably okay, but definitely my bottom line is more
--

better with subsystems.

So subsystem and system, both are required for BEL. And especially, BEL type of a company only can play the role of system integrator because that
--

challenges at system integration are of totally different variety. Different type of experience are required. Different type of integration skills are required in addition to project management skills.

So that
--

being last 70

-
plus years in this field,

we know all the present sy

stem, future system,
legacy systems, those system integration and overall project management for these type of
large projects, which covers multiple technologies, like radar technology, ammunition
technology, missile technology a
nd control systems, GUIs. There are
--

different type of some
10 to 12 different technologies are there.

BEL is, luckily, working in all those technologies, so we can give much more quicker and
better system integration experience to our defense users. So

that's why, generally for these
complex systems, first choice is typically BEL, but wherever they have not selected us, we are
trying for that.

Some of the cases, as a strategy, if they want to become 2 system integrators, then they will
select, definite
ly based on our
--

BEL's experience of last 70 years and all, large system
projects which we are handling presently also. So if they give competition, we are hopeful
--

definitely we will be one of them, but that call
--

different, different user directorate or DRDO,
they will decide whether they want a 2
-

system integrator or single
-
system integrator.

Personally I feel single
-

system integrator is the right choice because you can't develop system
integration capability at 2 different parallel places because

that challenges
--

and then
synchronizing these 2 system integrators may be a tough call, but that call, I leave it to users or
our DRDO friends to decide because we will not come into that. We are capable of being
system integrators. That only, we are te
lling. And we are hopeful to be system integrator for all
these bigger, larger programs.

Moderator:

Next question is from the line of Sumit Bhatnagar from LIC Mutual Fund.

Sumit Bhatnagar:

Sir, my question is regarding Project Kusha. Any timeline when we can accept
--

expect this
order, FY '27, FY '28?

Manoj Jain:

You know it is still in R&D phase. So R&D phase, we can't predict the overall trial times. You know how much time it takes for different type of utterance testing and validation by the users. I hope prototype will be available for all these things in next 1, 1.5 years total timeframe

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because we are only developing majority of the subsystems for that. So next 1, 1.5 years, it will be available.

After that, typically for these type of systems, it may take around 12 months to 24 months of trials. Sometime, it takes even 36 months also, so we --

this program is driven by DRDO. So we will give right support to them so that they can compress their timelines. But exact timelines of the project, it is better that you ask DRDO only in some different forum. Because right now we are only giving total development support to DRDO because the program is driven by DRDO.

Moderator:

Next question is from the line of Devesh Lakhotia from IKIGAI Asset Manager.

Devesh

Lakhotia:

So sir, congratulations, firstly, on a great set of numbers. My question was again on the margin side. I just wanted to check. While you have highlighted that margin improvement is partly on account of operational

--

increasing scale of operations, but is there

--

so a couple of things on the margin side.

Is there particular segments or particular products where you earn better margins compared to others? Or has the margin profile at the contract signing stage itself increased over the past few years? From a continuity standpoint, is it fair to assume that

--

obviously, guidance, you will give later, but is it fundamentally higher margins that we are looking at as a company?

Damodar Bhattad:

So as we told, the scale of operations

--

purely the scale of operations led to the increased margins. And as you yourself told that the guidance for the current year will be given at the, I mean, end of the call. So that's what I would like to tell on the margin front.

And as far

as your question on whether on the contract signing stage and segment

-

wise, these type of information, generally, we do not tell about which segment, what we earned. Because segment

-

wise information, we do not give.

Manoj Jain:

Just I wanted to add 2 more lines in that. These margins

are going to increase further, I can assure you, because we are doing real rigorous indigenization of the various system, subsystem and even at component level through directly by BEL; or by involving all our industry partners, including MSMEs and start

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u
ps.

And of course, many of the subsystems are in

-

house developed, like you have seen latest Akashteer program. More than 90% indigenous content was there. And most of the subsystems of this were made in

-

house. So this in

-

house development meeting the exact requirement and indigenization drive, these two will definitely take margins higher and higher. That much, I can assure you.

Moderator:

Next question is from the line of Ranodeep S from MAS Capital.

Ranodeep S:

Sir, if I'm not wrong, till now we've released 5 lists of embargo. Any expectations for any sixth list being released? And is BEL slated to capture that market share?

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Manoj Jain:

The PIL list you are referring, I believe. The positive indigenization list, which in that list the embargo of not importing them. So we are there in all the PILs because majority of the systems directly, indirectly have defense, electronics or systems in mind. So we are there. We are developing so many solutions as part of PIL 1 to 5.

And some of the solutions, we are working jointly with our other ecosystem partners. So PIL 6, whenever will come, definitely it will help BEL, because BEL main motto is indigenization or developing the systems and solutions indigenously. We are born for that mission only, so all PILs directly, indirectly will definitely help BEL.

Ranodeep S:

Sure, sure. Sir, can you share some thoughts around
--

we did see a post that around

299

patents BEL has now under its pocket. So is there a school of thought around monetizing it in the future? Or what is the guidance around it?

Manoj Jain:

Let me tell you our first aim of filing these patents was to protect the IP, because this is a defense IP. So this IP should be protected. So first aim was to protect that. But as we have told, yes, if somebody comes forward using this or commercialization of these patents, if some real needs are there, then we should commercialize that also. But that is a slightly more involved process.

We are in the process of finalizing the ecosystem for that because first thing is we should have a transparent way of valuation, IP valuation we call it. So that should be done because
--

I should know what is the price of this and price benchmarking has to be done for these patents. We are in the process of finalizing one or two agencies who can do this job for us.

And once that is done, then only we can go and offer it to somebody who is interested in that. So today,

it is a bit early for me to tell how quickly I can commercialize my patent, but main aim of patent was to protect the IP.

Ranodeep S
:

Sure. Sir, one last question and pardon my enthusiasm here. If I see the last

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year sales
growth is at 12%. And last

-
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year profit growth is 15%. This has led to an amazing 27%
growth in the stock price. Any guidance in terms of where do you see the revenue growth in the next 5 years inception?

Manoj Jain:

Okay. Again that is
--

I am also highly optimistic. So I can tell you that growth what I want to have, definitely it should be minimum 15%. So 15% to 17.5%. And after 5 years, we want to touch even 20%, but right now it is 15% to 17.5% growth what I am looking at. And I am confident we will definitely achieve it in next 5 years. And about profit also, as you have t

old,
it was 15%.

And now we are giving consistently more than 20%. So we are hopeful, once this indigenization and a lot of in

-
house developed products
--

based on our in
-
house R&D
strengths, products and solutions are there which are meeting users' aspirations
--

so definitely
it will be definitely more than 20%. So first figure will be more than 15% to 17%. Second figure will be more than 20%, so what you have told
--

'27 will definitely become more than 30%,
to 35%, for you. We are hopeful for that in next 5 years. We will see.

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We are working towards that. How much we will achieve that, God only knows. We are only putting efforts for achieving that. And we are hopeful for that because of the overall ecosystem which is there; overall strengths which we have acquired over a period of time, especially our in

-

house strength, working with academia, working with start

-

ups, working with other MSME and other stakeholders in this domain.

So collaborative working. Even

with our competitors also, we are doing now on larger scale.

So with these types of strategies, I'm confident we will achieve. We want to not only meet your expectations. We want to exceed your expectations. That is all what our whole team BEL is continuous

sly doing, and we will not disappoint you.

Ranodeep S:

Really appreciate the response and the long response. So thank you so much and wishing you all the best and helping India stay safe. Thank you.

Moderator:

Thank you. Next question is from the line of Deepak Krishnan from Kotak Institutional Securities. Please go ahead.

Deepak Krishnan:

Sir, just wanted to understand just one thing on the margin front. I know you give the guidance at the end. And you indicated scale, but if you look at this year also, we

are doing system integration LRSAM, which would sort of be the biggest revenue contributor. So in spite of doing much more higher system integration, we are seeing much higher margins at a gross level, even the last

--

over the last 3, 4 years, what the numbers have been.

So is there anything else that we should be aware of that from

--

even at a gross margin level,
as we go ahead and do QRSAM and some of the other systems integration projects? In
addition to indigenization, we are seeing this huge ramp

-

u
p in gross margins. Sir, any thoughts
over there?

Damodar Bhattad:

The gross this margins, whatever you are talking of, it's not only LRSAM we are doing. We
are doing many, many product systems across all the SBUs, so what we get is a result of
combination of factors. So there are some with little lesser margins. There ar
e some with better
margins. So all this combination of factors is what decides the final margin.

So it's rightly said in the beginning, we do system integration also. And we also develop
subsystems, modules. We sell subsystems and modules levels also. So
with this combination,
we are able to arrive at these margins. Individual margins, as I told, we'll not be able to
comment on that.

Deepak Krishnan:

Sure. Just one question on the INR27,000 crores guidance. The emergency procurement will
be above and beyon
d that whatever we get from that. That is not included in the core order
inflow of the guidance?

Damodar Bhattad:

[inaudible
40:58] what you are talking. We are talking of a INR27,000 crores figure as an all
-
inclusive figure. INR3,300 crores of this has al
ready been received. Balance INR24,000 crores,
whatever we expect to receive in the current year. Of course, it is excluding QRSAM.

Deepak Krishnan:

Sure, sir. Those are my questions. Thank you.

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Moderator:

Thank you. Next question is from the line of Manish Ostwal from Nirmal Bang Securities.
Please go ahead.

Manish Ostwal:

Yes, sir. Thank you for the opportunity and most of the questions are answered already. I have only one question. In terms of achieving the growth of 15% to 17% over the next 4 to 5 years, what kind of investments we are making into

--
in terms of capex and secondly, R&D efforts.
Can you talk qualitatively on these two aspects? It will be a great help for us?

Manoj Jain:

As you know, as you have rightly told, once we have to have better growth, then we should have good products and good infrastructure. So both are required. So as we have told, we are investing on both fronts, whether it is in R&D front or whether it is in capex front. Capex front itself, I think, this year you might have noticed we have increased our investment.

I think, last year, it was around INR600 plus crores. This year, it was more than INR900 crores. And next subsequent years, we have a really good growth plan. I can assure you it will be more than INR1,000 crores per year we are going to invest. Exact values, we will tell you from time to time, but it will be more than INR1,000 crores per year is the investment in capital we are looking at.

We are having plans of making new factories at important locations in India, which will be

--
some of them will be even bigger than our present establishments. So we are investing heavily and we will

--
going to invest heavily on bigger infrastructure, in addition to smaller infrastructure like product support centers and other infra for serving our users better. But the

big manufacturing setups two or three are already in the pipeline which are going to be inaugurated very, very soon, but two or three bigger investments which are actually larger than our present two big factories.

You know our biggest factory is in Bangalore complex in Bengaluru. And the second one is in Ghaziabad. So we are planning to have bigger than these two units, more units in future. In next 2 to 3 years or maximum 4 years, you will see that we will start operations in those new locations also, so that will take care of this year
--
on
--
year growth of 15%, 17.5% and beyond.

R&D, also same way, we are already scaling up. You will see further big, big programs, big R&D investments done by us and not only on the revenue side, on manpower front also. So this year itself, I think we are investing in R&D manpower alone around 700 to 1,000 engineer. So for that, we can take up much more challenging and big programs, but as you have seen, now we are not only at subsystem level.

We are at system and solutions level company, like the latest Akashteer program you have seen or Akash program or IACCS program or BSF program. These all program requires a lot many software and hardware engineers. When we are developing it, majority in house also, so we are investing on R&D manpower, R&D infrastructure, R&D projects jointly with the industry partners as well as capex related big infrastructure investments. So all these ones we are doing, I'm confident that we will achieve this type of growths which I have indicated.

Manish Ostwal:

Thank you, sir. Thank you.

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Moderator:

Thank you. Next question is from the line of Dipen Vakil from PhillipCapital. Please go ahead.

Dipen Vakil:

Thank you for the opportunity and congratulations on a great set of numbers. Sir, my first question is, is it possible for you to give an order book breakup with respect to key projects that are currently outstanding in your order book?

Manoj Jain:

Certainly. The biggest order book right now is LRSAM, then HimShakti, Akash Army, D

29

EW system, LRUs for

our LCA 83 aircraft, the BSF project, the ADCRS Akashteer project, the Arudhra radar which we received last year. So these all are planned to be executed mainly this year.

Overall, we have around INR71,000

-

plus crores of order book which is having so

m

any items

which are lined up for next 2 years typically, 2 to 3 years. And out of that, what I just now told you are to be executed this year. So we already planned what

--

all these major programs, how

we are going to execute. And that's why we are confident we'll give a good growth.

Dipen Vakil:

So on the percentage front, these large projects would contribute

--

constitute how much

percentage from your total order book.

Manoj Jain:

Which last projects?

Dipen Vakil:

Large projects...

Manoj Jain:

La

rge pr

jects. For this year execution, or total? Overall, order book

-

wise, the top 12 projects

constitute about 40%. 40% of the order book is from the large projects.

Dipen Vakil:

Got it, sir. And so what would be your defense and nondefense split for FY '25 on revenue front?

Manoj Jain:

That will be

--

okay. It will be around 92% to 93% defense and remaining, nondefense.

Dipen Vakil:

Got it, sir. Thank you so much for answering my question and all the best for FY26.

Moderator:

Thank you. Next question is from th

e line of Raj Rishi from DCPL. Please go ahead.

Raj Rishi:

Yes. Like, the nondefense part, how much do you see as a percentage of turnover in 3 years?

Manoj Jain:

Nondefense presently, as I told is around 6%, 7%. And when this EVM

-
related execution are
the
re, that is typically becoming 12% to 14% also we have touched typically
--

15%, up to
15% we have touched earlier, but we are focusing on other nondefense revenues also. So our
aim is without EVM also, we want to cross 10% immediately. And in longer run,
it should
cross 15%
-
plus in nondefense.

Raj Rishi:

And sir, Europe is significantly ramping up its defense budgets. Do you expect BEL to benefit from that?

Manoj Jain:

Definitely. As I told, some of our products, arms and ammunition, fuses, etcetera, we are
e
planning to supply to them, but one more thing where we are looking at them is a lot of

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contract manufacturing, this quality contract manufacturing for aerospace and defense which we are doing.

That, we are thinking that much more scaling up will be possible for that. Because knowing their manufacturing constraints and knowing our infrastructure and our quality consciousness which we have proved beyond doubt to them. So they are coming up with so many systems and subsystems to manufacture in India also f

or their global requirements, so we are working on both the fronts.

Raj Rishi:

And sir, your views on like

--

the perception is that, post Operation Sindoor combat

-

tested

Bharat Electronics products you've mentioned in your Twitter handle also, there's a game

changer for the profile of Bharat Electronics. Do you

--

what's your comments on that?

Manoj Jain:

The thing is we are working for last at least 20, 25 years on all these technologies, especially the [Tech III program 48:58] programs or the large missile

program. We are working on all

these things. We are supplying to our users. First time it has been used in a war

-

like situation.

So practically, how it is used, that gives us much more confidence and our users also much more confidence on this complex technological solution which we have made for them.

So that perception of them will not only improve our order book from Indian users, but definitely it will help us to export some of these solutions or variants of these solutions to various countries world

wide. So that is our aim. So we are hoping for getting good export order book from this technology which is now

--

proved their efficacy in the real war type of situation.

Raj Rishi:

Right. And sir, last question. What's your expectation on the drone and this one drone front?

How

--

and BrahMos? How are you involved in these 2 projects?

Manoj Jain:

BrahMos, we are involved in some 2 subsystems right now. I will not tell you the exact scope

of

of those things, but definitely we are there in BrahMos. I can assure you.

Raj Rishi:

Is it significant, sir?

Manoj Jain:

We are changing our scope of work or contribution in BrahMos. But as you know, a lot many requirements are coming up not only from India, from other countries also. So BrahMos Aerospace also has approached us for doing right investment, to see that large quantities, how

we can support them. We are in constant discussion with them. We have come out with plans to manufacture and even design some of the next

- generation subsystems for them. And you
wi
ll see much more contribution from us from
--

for BrahMos also. Akashteer, anyway, you know we are working.

Raj Rishi:

Yes
...

Manoj Jain:

Same thing is on drone also, done front also, some 4, 5 important drone
- related activities we are working; and drone warfare is integral part of our present C4I solutions, like you have seen Akashteer or BSF or other program, IACCS. There is drone warfare modules in all of them,

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but we are working on making it next generation because, as you know, drone
- related
technologi
es keep on changing.

So our drone warfare also should be always better and better. So for that, we have tasked our software teams or our [Tech III 51:28] teams to come out with better and better drone warfare solutions using the latest technologies of AI.

So that work, already we have started for that.

Raj Rishi:

Okay. And sir, last question. There were some reports that, from 5G, when we go to 6G, it's

going to be a game changer for DevTech. So like view on how

--

impact on Bharat Electronics.

Manoj Jain:

5G to 6G for telecom. Or which one you are referring...

Raj Rishi:

No. Like, generally if the spectrum goes from 5G to 6G, for DevTech, Dev Electronics, a company like Bharat Electronics is going to be a game changer. Any

--

what's your comment
on that?

M

anoj Jain:

And whenever any new technology comes, there is a scope of getting newer and newer orders.
So this 6th

-

generation technologies for telecom especially and networking, that we have
already started working with our CRLs. You may be knowing we have
Central Research

Laboratory. So they are looking at all these technology, how to use them and adapt them for
defense needs, so we are investing on those fronts in our research community.

And definitely, every new technology, I can tell you, will give more
and more business

opportunities for companies like BEL who are there in defense electronics, which are staying
because of the technological advancements. So any new technology gives us a lot of
opportunity. We don't see a technology as a threat. We see new

technology always as
opportunity.

Raj Rishi:

Okay

.

Thanks a lot, sir. Thank you.

Moderator:

Thank you.

Next question is from the line of Karan Gupta from [Asit Mehta 53:10]. Please go
ahead.

Karan Gupta

:

Yes. So, good morning, sir. My question is related
to

--

first of all, on the revenue side this
quarter. Is it some lack of execution, sir, that we have reported last year? This quarter only,
compared to sequentially previous quarters and last year.

Damodar Bhattad:

So we couldn't get your question fully.

Can you repeat?

Karan Gupta
:

Is it
--

yes. Is there any lack of execution this quarter? We reported 6.5% of growth this quarter compared to sequentially quarters and last quarter.

Damodar Bhattad:

No. Are you talking of lack of execution? Or what...

Karan
Gupta
:

Yes, yes.

Damodar Bhattad:

Overall
--

see, overall, we had given a year
-
on
-
year guidance, growth of 15%, revenue growth.
And we have achieved 16%. Quarter
-
on
-
quarter, as we have told earlier also, there are some

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variances which happens due to the
nature of products, nature
of systems, but overall, our
revenue guidance was 15% and achievement has been 16%. Quarter

-
on
-
quarter variances are
there, which we have earlier also told in the con call.

Karan Gupta
:

Okay. The other income side, which is
--

wh
ich has been now the part of your EBITDA, is
down 10%, 11%. So what is the other income? In the last 2 years, this is increased
significantly. So what is the other income part?

Damodar Bhattad:

Other income part is not counted for the EBITDA margins. Only
operating income and the
production is counted. Other income is not a part of EBITDA margin. You do not have to get
into the accountancy part of it. Let's take it that way. EBITDA margin is what is EBITDA
margin.

Karan Gupta
:

Okay, okay. I'm just asking wh
at is in this other income. What is increasing in the last 2 years.

Damodar Bhattad:

What is there in the other income is mainly interest income on term deposits what we get
Dividend income, interest income. These are the other incomes.

Karan Gupta
:

Okay.
And just last one, on the working capital side. The receivables has increased this
quarter, but the operating cash flow is comparatively significantly lower than last year. So do
we have any problem on the receivables side? Will it recover next year or thi
s year, FY '26,
fully or partly?

Damodar Bhattad:

There is no problem on the receivables side. The operating activities, cash flow from operating
activities, what you are telling, significant reduction, it's just a reduction due to the order
--

some of the

orders getting into the next year, what we thought will come in the previous year.
We got INR18,000 crores. So some spillover was there, as we had given in our first week of
April guidance, that from INR5,000 crores, negotiations were finalized and it has

got spilled
over to the next year.

So that was the, what to say
--

that is what led to the reduction in cash flow from operating
activities. Otherwise, there's no challenge on the receivables front. And overall, the difference

is only 5, 6 days from

--

compared to last year, which is because of the slightly increased sale in the last quarter of the current year.

Karan Gupta

:

Okay, okay. And how much outsourcing we do from local manufacturer or some small companies, some small businesses?

Damodar Bhattad:

See. Generally our MSME procurement is in the range of 30% of

--

total procurement may, our MSME procurement is around the range of 30%. I don't have the exact number for '24, '25, but it remains in the range of 35% actually.

Karan Gupta

:

35%, what we can

consider for the overall order book. If we are executing, let's say, INR1,000 crore of

--

for some projects, so then...

Damodar Bhattad:

Overall domestic procurement 35% comes from MSMEs.

Karan Gupta

:

Okay, okay. Thank you. Thank you.

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Moderator:

Thank you

.

Next question is from the line of Nikhil Purohit from Fident Asset Management. Please go ahead.

Nikhil Purohit:

Hi.

Thanks for taking my question

Just one question. I wanted to understand what products capture higher margins. I'm aware you don't give out

individual numbers. And I don't want the margins for each product, just the products which are margin accretive for the company. That's it. Which of them...

Damodar Bhattad:

You ask the question straight or you ask this way. It doesn't make much of a difference what we have

--

you tell high margins automatically, the others are low margins, so it really doesn't make a difference. You don't ask margin product

-

wise or you tell of the higher margins. So all we tell is we don't give segment

-

wise margins. We do n't tell product

-

wise margins. We talk only of the overall margins.

Definitely there will be some high margin, some low margin, all these combinations are there. There are more than 200, 300 products and service

s we are offering. So there are a combination

of factors. And overall margins is what we give the guidance for.

Nikhil Purohit:

Got it, sir. Okay. Thanks.

Operator:

Thank you.

Next question is from the line of Harshit from Elara Capital. Please go ahead.

Harshit:

Hi. Thanks for the opportunity and congratulations for good results, sir

. I have two questions.

On the order inflow side, since you mentioned that there is a risk that it can spill over to April, May, is this because now this year we're having an emergency procurement? And the budget is around INR1.8 lakh crores, so they have to extinguish this budget. Earlier, EP was not part of

this spending, so because of EP spending coming in, some order may be pushed to the next year. Is that a worry for you?

A
nd secondly, if you can share some details
on the Counter

-
Drone System, sir, which has been
applied. Has this been used in the conflict which happened and you're expecting any orders
coming from the Counter

-
Drone System? Thank you.

Manoj Jain:

Okay. Firstly, let me tell you this QRSAM which I was e
xpecting may go to next year not
because of the budget, I feel. Budget, Government of India has allocated enough. And this year
also, as you might have seen in media report, INR40,000 crores to INR50,000 crores
additional budget, also they are giving, so I

don't see budget as a problem. QRSAM is a very,
very big program.

And a lot of internal processes are there. Negotiation rounds will be there. Scope of work will
be there. The thing is it is jointly progressed for Indian Army and Air Force. So those type

of
--

procedural challenges only, I am seeing, which we can't predict the time lines. That's why I
told it may be last quarter of this year. Or first quarter of next year, we are expecting that to
happen, but no way, It is not related to budgets.

It is r
elated to process

-
related time it takes for such a large program. I can tell you it will be the
largest program, once we receive it, what BEL has received. Because till now, I think, we have

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received largest order book of single order of around INR8,000 crores to INR10,000 crores only.

So this is INR30,000 crores, so definitely a lot of paperwork, a lot of processes has to be followed by all for that. So that only, I am expecting. It may take this much time, seeing the size of the business, for this. And..

.

Harshit:

Understood, sir. And overall size of the QRSAM is 60, right? And you're only getting the first. And the second regimen is in 30,000. Is that a correct understanding?

Manoj Jain:

No, no. I never told that. Last year also, we made it clear. The first order of Indian Air Force and Indian Army will come to BEL because that is combinedly processed and they are nominating BEL as a production agency. It was already nominated, BEL, as a production agency.

So this first order, combined order of these, is

around INR30,000 crores. That order, we are confident to get it. After that, next order, when they will place, I don't know that. Maybe because of the success of the first order, they will wait or what. That is the government has to tell.

Right now government is processing the first order, first biggest order. And later on only, subsequent orders may come, but this first order, we are hopeful to get 100% to BEL only, no other fellow.

And regarding counter

-

drone system. It has used its effectiveness in the recent op Sindoor you have seen through media reports also. We had supplied these systems to army, navy and air force; and it has performed very well at all the 3 fronts. In addition, we have got recently order from BSF also for that and recently one more order from army we have got

--

we have got 2

--

a few days back.

And we are hoping to get some more repeat orders for this because it has proved its efficacy in the

field conditions. And the user is happy, so user is recommending it for repeat order, so we are hoping to get a few more repeat orders of this counter

-

drone system.

Harshit:

And you have soft kill and hard kill both. Or you are only into soft, sir?

Manoj Jain:

No, we are into both. And this particular counter

-

drone system which you are refe

rring has

both the featured hard kill and soft kill, although we have some solutions which are only soft skill also.

Harshit:

Understood. Any quantum of per size? Or this is like INR50 crores, INR100 crores this counter

-

drone system would be approximately?

Manoj Jain:

You might have seen recently we have published an

--

okay, we have not given that detailed

breakup, but a good counter

-

drone system, rough value only I can tell you, is around INR15 crores to INR25 crores, is

--

a good with a hard kill, soft k

ill both, combination, is around that

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range. Depending upon the configuration, wear and spares and other support, etc., the value may vary, but it is of that magnitude.

S. Sreenivas:

So I think that

--

I think we can wind it up madam. Because it's already

past 11.

Manoj Jain:

Just see for 1 or 2 more questions. Afterwards, we should wind up, madam, please. This is our request.

Moderator:

Noted, sir. Next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar:

My question was regarding I think recently we've won some orders for our software

- defined radios. So could you elaborate more on what kind of opportunity we are seeing in this in terms of maybe early requirements or the opportunity over the next 3 to 5 years? And what is the competitive

landscape over here? Is it an in

- house technology? Or are we lead integrators for this product?

Manoj Jain:

The SDR, Software Defined Radio, is a technology in itself. So all the radios in the field, whether it is there with army, navy or air force, are being replaced by SDR. So as you have told, competition is there or not. For naval programs, we are supplying, I think, some 5 different type of SDR.

And for those, we are the single vendor because we were the first one to develop these jointly with our DR

DO friends and some other industry partners. And we were the production agency for that because SDR is a complex technology in itself. So all the naval programs, we are the single vendor, you can say, and we are supplying large numbers.

And a recent order

of last

--

I think, a few months back, we got around INR1,000

-

plus crores

order that was for SDR navy versions only. Regarding other services, like especially for the army, where we have supplied all their tactical radios right now, majority of them are from BEL. A few were imported also when BEL products were not there in between time line.

So they were there. These all have to be replaced by now, indigenous SDRs, so we are expecting of the order of roughly around 40,000 to 50,000 numbers of these SDRs for army in years to come. And for that, we are the

--

one of the leader, but definitely there will be some competition from other players.

But today, for one of the DRDO program, we are the nominated production agency. And that SDR also has come up very well. We are soon expecting big orders for that. And parallelly also, we are developing other

-

form

-

factor SDRs where there is some competition, but knowing our strength and knowing our success for our naval and other projects of SDR, we are confident that more than 80% to 90% of those orders or maybe, best case, 100% of those orders also will come to BEL.

Khush Nahar:

So if you could help me with maybe just on rupee crore in terms of pipeline for the next 3 years or 5 years, whatever visibility we have?

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Mano

j Jain:

The order book.

New order inflow in next 3 to 5 years will be sufficient to make our company grow more than 15%, I can assure you. We are targeting around 17.5%

--

15% to 17.5% of growth in next 5 years, as I already indicated. We are confident our

order book will be more than that.

Khush Nahar:

Yes, but I meant about the SDR pipeline that we are seeing in terms of rupee crore?

Manoj Jain:

Okay. SDR for naval front, I think we have got order worth around INR2,000 crores to INR3,000 crores roughly in

last few years. We are expecting from maybe another INR2,000 crores to INR3,000 crores in next few years, but biggest numbers will come from army, where as I told you now, 40,000 to 50,000 numbers, roughly, SDRs, they will be requiring immediately.

So tentative cost of one SDR, I can guess, is around

--

depending on again the configuration, 10 lakhs to 20 lakhs, to 30 lakhs. So 10 lakhs to 30 lakhs, I am expecting for SDR. You can take average of 20 lakhs. So 20 lakhs into 40,000 to 50,000 is

--

are the volume expected or business volume expected of these SDRs.

Moderator:

Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Ms. Renu Baid for closing comments.

Renu Baid:

Thank you, everybody, for participating patiently. Before we close the call, I would request Shri Manoj ji, to kindly reiterate the annual guidance for fiscal '26. And then we can close the call with his closing remarks. Thank you. And over to you, sir.

Manoj Jain:

Okay. So our guidance for financial year '25, '26 is revenue growth around 15%, EBITDA margin around 27%, order inflow more than INR27,000 crores. The R&D investment, definitely we want to increase, but it will be of the order of INR1,600 crores and beyond. And capex, as I told, more than INR1,000 crores. And defense to nondefense business, typically we are expecting around 90:10 ratio. So these are our guidance for year '25, '26.

Moderator:

Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Moderator:

Ladies and gentlemen, good day and welcome to the Bharat Electronics Q1 FY '26 Earnings Conference Call hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen

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only mode and there will be an opportunity for yo

u to ask questions after

the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you.

Harshit Kapadia

:

Thank you, Vishaka. Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q1 FY '26 Conferen

ce Call of Bhar

at Electronics Limited. I take this

opportunity to welcome the management of Bharat Electronics represented by Shri Manoj Jain, Chairman and

Managing Director;
Damodar Bhattad S

,
Director Finance and CFO; and Mr.

Sreenivas

S,
Company Secretary along with their team.

We will begin the call with a brief overview by the management followed by Q&A session. I'll now hand over the call to Manoj sir for his opening remarks. Over to you, sir.

Manoj Jain
:

Thank you. Good afternoon, everybody. So these are the financial highlights for Q1 for the year '25

-
'26. Revenue from operations, it has increased to INR4,417 crores up to Q1 as compared to INR4,199 crores last year figure with a growth of 5.19%. Then profit before tax, it has increased to INR1,289 crores up to Q1 as compared to INR1,037 crores previous year Q1, with a growth of 24.28%.

The profit after tax that also has increased to INR969 crores in Q1 as compared to INR776 previous year Q1, with a growth of 24.87%. The EBITDA also has increased to 29.86% up to Q1

as compared to 22.82% last year. Earnings per share has increased to INR1.33 as compared to INR1.06 and order book position as on 1/7/2025 is INR74,859 crores.

Of course, after that I think almost around INR2,600 crores more we have received order after 1st July, so that you may be knowing through our different disclosures from time to time, including one

disclosure happened today also of around INR 500

-
plus crores
So these brief about the financial highlight of Q1 for Bharat Electronics.

Yes, ma'am you can take

on now
questions.

Moderator:

Thank you very much. We will now begin the question and answer session. The first question is from the line of Umesh Raut from Nomura.

Please go ahead.

Umesh Raut

:

Hi, sir. Good afternoon and thank you so much for this opportunity. My first question is pertaining to our margin performance for the quarter. We have seen a very sharp increase in our margins on a year

-

on

-

year basis. So could you please share some insights behind these improvements? What was on the account of material savings, localization and [inaudible]
0:04:18]

and how much was on the account of product mix?

Manoj Jain

:

Overall margins, that is

--

last year itself

we had almost 27%. So it is slightly better than that and it should be a good sign only, I should say. So that is there. So it is

--

although last year
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first quarter, it was less I agree. But overall, at the year end, we had almost 27%

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plus was there
and this year guidance was 27.

So we are trying to adhere to the guidance what is given to you. So that is the first thing which I want to tell. Damodar sir, do you want to tell something about .

Damodar S Bhattad
:

As regards to gross margins, gross margins were better in the first quarter in the composition of products, which was more in house

manufaturing were the re. So it was gross margins were better in the first quarter. As you rightly said it is due to composition of product mix. .

Umesh Raut
:

Got it, sir. My second question is pertaining to large ticket ordering opportunities . So could you please update us timelines

for these following programs? So update on QRSM program. So where exactly now you are seeing this program kind of getting finalized in terms of order timing?

Second, with respect to MSR program and exit kind of now getting finalized through shipyard sites?

And third, basically, on the project Kusha which is

kind of in the finance phase of development now?

Manoj Jain
:

Okay. QRS
A
M

which was told last time also we have progressed a lot now. You may be knowing DAC approval was already appointed.

Moderator:

So I try to interrupt you, sir. Actually, there is an

echoing sound from your line. Can

you please check

it and also some disturbance from

the background.

Manoj Jain
:

Madam we are also noticing that

Moderator:

Yes.

Manoj Jain:

Here, it is clear. But when we were speaking, we were seeing background noise, echo was coming from other side, I believe.

Moderator:

Just a second. Mr. Umesh, can you please check if there is anything around your side on the speaker phone?

Umesh Raut
:

I'm on mute mode.

Manoj Jain
:

It
think now it is better. Because when Madam, we were speaking voice was clear from both sides. Shall we go ahead, Madam?
?

Moderator:

Yes. Thank you.

Manoj Jain
:

So QRS
AM, as you may be knowing the DAC approval was given on 3rd July

2025. So good progress has happened on that front. So now only the RFP has to be issued to us, which internally there are some processes for that. We are constantly following up that. We are confident to get this order by February, March as of now also.

It may not slip to Q1 of next year. We are confident we may get in the Q4 of this year itself

QRS

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M because the progress looks really good for us and D

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approval already has come.

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Regarding
[inaudible 0:07:26]

and other subsystems. This was also told last time that our
shipbuilder, they already got the order.

So we have already started discussing with them about the configuration, final effect about the
final bomb. So those activities are going on at a good pace. So we are hoping in the next 3 to 6
months, we will get a

considerable portion of subsystems order with us. So that is a
--

good
progress is there, but this is having some
five, six

different types of subsystems.

So for each subsystem, configuration and other details, final details are being worked out.

After t

hat we will have P&C, CLC then order placement by them. So hoping that also Q3 and
Q4, we are expecting a major portion of that. Some small thing will spill over to Q1 of next
year also, some small subsystems may go, but majority of the orders we are expect
ing Q3 and
Q4.

Q2 nothing may happen because still we are in that discussion and that mo
de only the P&C,

CL

C will take time. So typically, Q3 and Q4 we are expecting majority of the portion for t
his.

And for the Kusha
, we'll be knowing w
e are still in the
development and space

jointly with the
DRDO. So DRDO those development

-

related trials only are going on. So order conversion is

at last time also all, it will take a minimum 3 to 4 years.

Until that time, we are developing systems and testing jointly with

the DRDO, the subsystems
and their performances. This is in brief about all the
three

systems..

Umesh Raut
:

Got it, sir. Thank you so much. If I can squeeze one more.

Moderator:

Sorry to interrupt you, Mr. Umesh Actually, I would request you to rejoin the

queue for
follow
-
up questions.

Umesh Raut:

Okay. Thank you so much.

Moderator:

The next question
is from the line of Amit Dixit

from Goldman Sachs.

Please go ahead.

Amit Dixit:

Hi, good afternoon everyone and thanks for the opportunity.

A couple of quest
ions from my
side. T
he first 1 is on
Virupaksha
. Now there has been a
press release by company

indicating
that they have received order for exciter unit and certain other
components for
Virupaksha
.

So
just wanted to understand, have we also received the order or in which phase we are? So that is
my first question.

Manoj Jain:

Okay.
No. This Virupaksha radar is for mainly 230. So, there are various subsystems in that.
We have got one order, developme
ntal order, from DRDO for that, and that order we are in the
stage of execution. But these are called development orders. So, after development order, and

what you are referring also, that company also has got developmental order for some two subsystems, we

call it.

So, they have got some order, but main order has not gone to them. Main order is with, I think, if I'm not wrong, it is BEL and Astra Microwave, if I'm not wrong, for the main systems. So, we are developing these prototypes. Once these prototypes are evaluated and tested, and I am

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confident we will qualify, then only the production phase

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related or bulk orders will come. So,

right now, it is a prototype development jointly with DRDO for this Virupaksha radar.

Amit Dixit:

Great. So, thanks for the

clarification. The second question is essentially related to the emergency procurement. Now, in the last

con call

, of course, fresh from the skirmish, we

expected that there could be around, the media articles indicated INR40,000 crores to

INR50,000 crore

s of emergency procurement.

But things appear to have cooled down a bit on that front. So, what are you hearing? And some of these orders that we have got in the recent quarter, do they also pertain to emergency procurement or emergency procurement, if any, would be over and above this?

Manoj Jain:

Okay. The emergency procurement, overall, the activities started, as last time told. We have received one or two orders already as part of emergency procurement. I think it was when we had given our public state

ment, there we have written also some of the items, like, one LLLR radar we received, and one more item, I think. So, we have started getting emergency procurement
- related orders also.

As it was told the last time, I think September is the cut
- off as of now for them. So, by next two months, we are expecting many more orders. But overall, all these orders, let me assure you, they will be part of our INR27,000 plus crores of order book, which we wanted to get in this total financial year. We have already received more than INR10,000 crores. So, remaining INR17,000 plus crores, definitely the EP will help us in crossing that target.

Moderator:

The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani:

Hi, sir. First question on the, any impact of supply chain since this quarter we did about 5% growth, despite very strong order book? So, first thing I wanted to understand, anything which impacted the revenue betting, because of the supply chain issue? And second, how are we dealing with the

rare earth magnet ban which came from China? Any exposure there and how are we dealing with that situation?

Manoj Jain:

Okay. Yes. Your first point is correct that we only could register 5.19% growth. We were expecting around INR200 plus crores further execution of the order, but last minute because of geopolitical situation, especially in Israel

- Iran conflict, that affected our minimum INR200 plus crores of the revenue. So, because of that only we thought we will be in double

- digit growth, but because of this only we could fall short of that. Anyway, quarter two we will compensate for this, I am confident about that.

And regarding this rare earth magnets, it is not affecting us directly, because this is mainly for EV and other segments. We are not right now in EV segment as a big player. We are only doing some partial R&D in the EV segment for chargers and others. So, it is not affecting us at all. This rare earth magnet related issue is not affecting BEL. It is mostly affecting automobile sector and other companies.

Amit Anwani:

Sure. And sir, I wanted to understand on the current order book plus...

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Manoj Jain:

That will be the third question. Please, you have told, madam has told two, you have already asked to, please join the queue and we are available till 4 o'clock, please.

Amit Anwani:

No worries.

Manoj Jain:

Yes.

Moderator:

The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel:

Hi, sir. So, my first question is, could you share some timelines for the Shatrughat and Samaghat

electronic warfare system orders? Also, how large these orders would be?

Manoj Jain:

Yes. This
Shatrughat and Samaghat

order, good progress already has happened. We have received even RFP for one of the program, because they are quite interrelated

program,
Shatrughat and Samaghat
. So, we have got one
Samaghat

program. Already the RFP has been issued to us. So, we are in the process of responding to that.

Generally, in the public, we only go after we receive the order. So, this intermediate stage, we generally don't tell. But anyway, to give you confidence that it has come to that stage. And

following this, the next order will be for Shatrughat . RFP will be issued for Shatrughat . More or less similar configurations are there. One is for plain and desert. One is for mountain requirements type of thing. So, the total order I think for Shatrughat and Samaghat

put together will be around INR6,500 crores plus. Okay.

Harshit Patel:

Understood, sir. Sir, my second question is on the Next

-
Generation Corvettes

program. So, you have highlighted that we would get the subsystems related orders worth INR60 billion to INR100 billion. So, sir, what is the overall addressable electronics pie in this order out of which we are getting this INR60 billion to INR100 billion? I am just trying to understand what is the input content over here in this program?

Manoj Jain:

These are all subsystems barring MF

-
STAR, I think. The MF

-
STAR, MRSAM only is having some 50%, 50% work share arrangement with our foreign partner. All other

subsystems are totally homegrown. So, they are as such only dependencies of ICs or some other component level thing which manufacturing capacities are not there in India. But otherwise, from indigenous content point of view, they are totally homegrown.

MF

-
STAR, MRSAM, typically it is around 50%, 50% work share between us and foreign OEM, typically roughly. So, that is the total NGC program. So, in the total program per year, I think around 60% to 70% minimum indigenous content will be there. It will be higher only, exact value I do not know, but roughly you can assume around 70% indigenous content for the NGC program for BEL.

Moderator:

The next question is from the line of Atul Tiwari from JP Morgan.

Atul Tiwari:

Yes. Sir, my question is slightly medium

-
term. Your revenues are now almost touching on an annual basis INR300 billion. And except for some of these larger orders, your order inflows are about INR270 billion. And even in this quarter, the order book was slightly stood down
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slightly. So, thinking forward three years, four years out, can we sustain 15% plus revenue growth from this large base of revenue?

Manoj Jain:

Certainly, yes. 16% is not at all a challenge. We are actually internally aiming for 17.5% plus. As it was told also last time also, so

many projects are in pipeline where we have done good investment at right time. So, two programs are anyway QRSAM and Kusha, which you know, which are definitely INR30,000 crores, INR40,000 plus crores.

But in addition also, so many other missile programs, we are now DcPP partner for DRDO, like one of the missiles which was tested yesterday, Pralay, it is BDL and BEL are the two DcPP. So, that way, so many other missile programs, we are now confident that our share will increase in this program.

In addition to our main equipments of electronic variety in ships, submarines or air force, radars. So, these all programs, we have a good pipeline, we are envisaging for at least next three years, four years for order inflow, as well as for execution. The execution

itself, as I stand right now almost INR80,000 plus crores order book is already there with us today, and including QRSAM, around INR40,000 crores to INR50,000 crores we are going to get orders now.

So, I don't see 16% or 17% will be a challenge for me, but definitely it will not go below 15%, that much I can assure you. It will be between 15% to 17%, 17.5%, 18%, somewhere, we will try to stabilize around that type of a growth pattern based on the order inflow and type of projects where we are involved right now.

Atul Tiwari:

Great sir. And, sir, the last question is on margin. See, the margin performance has been very strong, even in this quarter, on a base of last year, where the margins were all 28% plus at the data level. So, can we see further margin expansion also over the next two years, three years,

beyond 28%?

Manoj Jain:

Presently, we have guided for a margin of --

EBITDA of 27% this year and we maintain that. Since the composition of product mix is different in every quarter, so it appears it's a little more this time, but overall for the current year, we maintain it at 27%. And over a period of time also...

Atul Tiwari:

Great, sir.

Manoj Jain:

27% is a healthy figure. Anyway, next year when we review our product mix, we'll come back with a revised figure, which may be left side or right side, I don't know right now, depending upon the overall product composition, but it will be around...

Management:

27%.

Manoj Jain:

This range only, that much I can assure you. Yes.

Moderator:

The next question is from the line of Manish Ostwal from Nirmal Bang.

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Manish Ostwal:

Yes, sir. Thank you for the opportunity. I have two questions, one on the employee base side. So, what is the current base of employee and in terms of addition last three years, four years, how many people we added on the technical side, and how much money we are spending on the innovation R&D side in a yearly basis, the percentage of revenue?

Manoj Jain:

Okay. Our employee base was around 9,000, slightly less than 9,000 it was. This year, as we have told earlier also, we will cross around 9,600 plus, and next year we are planning crossing definitely 10,000 plus. So, because overall, and most of the employees what we are adding now is in the technology front, and almost 70% plus of our new recruitment is going into R&D, because we know we require more and more stronger R&D to take care of this new technology related products, like AI as a technology, ML as a technology, quantum as a technology, which are imbibed inside all these new developments.

So, we are adding good technical manpower, almost 200 scientists also we are taking from premier institutes for our CRLs as part of this activity. So, total we put in R&D around 6.2% last time, it was turnover of our turnover on R&D. This year also we are expecting a bit more than that only. So, between 6% to 7% of our turnover, we wanted to invest on R&D.

And as it was told last time also, total R&D investment this year will be between INR16,000 --

INR1,600 crores plus only, between INR1,600 crores to INR1,800

crores, somewhere we will plan, and it will not be below INR1,600 crores that much I can assure you for doing this innovative R&D across all domains where BEL is operating.

Manish Ostwal:

Yes. Second, sir, in terms of that you talk about the technology like AI/ML and quantum technology. So, in terms of modern warfare, where do you see the significant shift in terms of this, I mean, technological trend? And secondly, whether those technology we are having right now in India or we need to have ToT with other

countries? So, can you talk about in slightly detail where we are in terms of technological aspects compared to the other players like in the US or China?

Manoj Jain:

Let me assure you, we are almost at par with these countries in this new technology domain of AI/ML. We are working closely with our defense forces to see that how this modern warfare can be benefited by this new technology of AI/ML. The main challenge there typically in AI/ML is the data. So, how to get the right data to train ourselves?

For

that, we have done considerable work. We are having a very, very close tie

-

up with our defense forces. We have created AI incubation centre for Navy and Army at BEL, so that we, user and startups, all can work together and develop this technology

--

this
cutting

-

edge
technology well in time. So, we have done good investment, we have done a good
infrastructure and good framework for these technologies to be developed for the modern
warfare.

As you may be knowing, all major C4I programs, which we have used e
ven in the recent
option tool also, were primarily from BEL, with support from DRDO as the initial technology
provider, but now it is mainly spearheaded by BEL. A lot of AI/ML components were there in
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these systems, but many more are planned now as a value

addition for these C4I programs
based on AI/ML technology.

So, we are confident we can do jointly with our startup ecosystem, we can do jointly with our
defense users in place, closely working with them. We can give these cutting

-

edge

technological soluti

ons related to modern warfare without any support from foreign countries.

That much I can assure you.

Moderator:

The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta:

Good set of numbers. I have two questions. One is relating to
export component in revenue.

How is that likely to look

--

how is it going to look like in the next five years? Is it going to increase? And second is, we are talking about missiles, but LCA Mark I, where this --

the

CMD of HAL said that we would finish five LCAs

.

But it looks like we've received two engines in July, and we expected to receive roughly around 12. And my sense is, best

-

case scenario, we should be complete with seven LCAs. So, what would be a contribution in terms of from the LCAs this year? How will that impact your margins or revenue from the HAL platforms?

Manoj Jain:

Okay. So, regarding export, we are having consistently performance of almost 20% year

-

on

-

year growth on export front. And we are confident over the period of next five years, we try to

reach around 10% of our turnover through exports. Right now, it is around 4% to 5%. So, we are constantly putting effort as the overall company is growing at roughly 15% to 16%. But export, our internal target is more than 20%.

So, over a period of time, the export share to the overall turnover will steadily increase. And we wanted to reach in next five years around 10% of our turnover through exports. So, that is our vision about the exports. We are going in the right direction with a reasonably good speed, I should say, on export front.

Regarding LCA, yes, there were some delays of the engine availability to HAL. But our components, our electronic components, which go in these platforms, because that goes and that is they use for their testing and making the total LCA ready for just fitment for the engine.

Jyoti Gupta:

Yes.

Manoj Jain:

Their side, we have not seen any challenges. We are regularly started supplying to HAL and that we continue to supply. So, HAL finally supplying LCAs to user is not

impacting well, per se.

Jyoti Gupta:

Yes.

Manoj Jain:

So, our regular production to meet their expectation as per the contractual timelines which between us and HAL was committed. We are more or less on target for that and it is not going to affect our revenues per se.

Jyoti Gupta:

But what

could be the contribution of your revenues coming from HAL?

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Manoj Jain:

HAL this year, I think, HAL, we are supplying LCA component and then some other helicopter components also. So, those are there.

Jyoti Gupta:

Oka

y.

Manoj Jain:

Overall, I think, we are planning around, you can assume around INR1,000 plus crores total put together for LCA...

Jyoti Gupta:

Okay.

Manoj Jain:

And other helicopter programs of HAL. Typically...

Jyoti Gupta:

Okay.

Manoj Jain:

INR1,000 crores p

lus minus INR100 crores may be there, because some few radars also we are supplying to them this year for their airport operation. So, tentatively around INR1,000 plus

crores, you can assume.

Jyoti Gupta:

Sir, one more question, can I add in this?

Manoj Ja
in:

No. No. No. Please join the queue.

Jyoti Gupta:

Okay.

Moderator:

The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil:

Congratulations on a good set of numbers. Sir, my first question is in the line of to understand a little bit of your order book, sir, can you give us the breakup of the pending orders in your current order book? So, major, maybe five, 10 contracts, which are large value in your order book?

Manoj Jain:

Certainly. So, as on today, as on 1st of July, technically, the major order book, largest is LRSAM program, which you may be knowing, we received one order also --

this year also out of that. So, around INR5,000 plus crores is LRSAM program. Fuses is around INR4,500 plus crores. Akash Army is the third one, which you may be knowing, Akash Prime trial successfully, it was done recently, nearly, which came in the media also.

So, that around INR3,000 crores. BMP upgrade around INR3,000 crores.

Ashwini
,
Arudhra
radar
around INR2,500 crores, Shakti around INR2,000 crores
--

Shakti
EW system
around
INR2,000 crores. So, like that is their top 10, 12 programs itself consisting of around INR35,000 crores to INR40,000 crores order book for us.

Dipen Vakil
:

Got it, sir. And I

wanted to also understand, sir, recently, you received an air defense ATULYA

radar

from Indian Army. So, what would be the kind of execution cycle for such order?

Manoj Jain
:

I think it is around 3 years, if I'm not wrong, because already, we have realized a
--

plus early
production model also for that. And total 24 numbers of the radar, we have to supply as part of
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this. Roughly 3 years, I can say, exact details, I don't have. But typically, because there is no FOPM

or other things there, we have to directly start supplying because we have already developed the prototype and are ready with the so

-
called production version now. So, we hope to complete this in roughly 3 years' time frame.

Dipen Vakil
:

Got it, sir. So safe to understand that even Electronic Warfare suite for M
i
-
17 helicopters was the execution cycle would also be 3 years?

Manoj Jain
:

Not wrong, it was 4 years

.

For Mi

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17 V5

you are telling?

Dipen Vakil:

Yes, yes.

Manoj Jain:

It is
depending
upon
not only our production capacity. It is depending upon what user
wants

because user has to do like upgrade. They are already flying this helicopter. So, when that will
be available to us for these upgrades, so they have their own plan for next 3 to 4 years

. So, if

I'm not wrong, it was almost 4 years

.

Dipen Vakil:

Got it, sir.

Manoj Jain:

Almost 1 year is already passed in that,
3 more years

.

So total 4 years is
the

delivery schedule,
if I'm not wrong about that. But that is
mainly
because of the overall pl
anning jointly between
us and Air
force

.

Based on that, the schedule was worked out

and we are on time

f

or
su
pplying
them t
hese

subsystems.

Management:

See, all these are factored in, in our
giving
our execution program. Whatever we are telling is
all facto
ring in our

execution programs, whatever you are projecting.

Moderator:

The next question is from the line of
Hardik Rawat from IIFL Capital

.

Hardik Rawat
:

Thanks for the opportunity.
Good afternoon and
congratulations
team on a very strong
set of
numbers.

My first question is

,

ending on the question of the order book constitution, which
are the major

--

considering our guidance a conservative guidance of 15%, roughly INR22,000
crores of balance revenue to come in the next 9 months. What will be the major
program that
will contribute to this?

Manoj Jain
:

Just
--

Major order to be received or order to be executed in next 9 months? What was your
question?

Hardik Rawat:

Orders to be executed, sir.

Manoj Jain
:

Order
s

to be executed, then it's okay.
LRSAM
, of course, always are tops for us. So
LRSAM
around INR3,000 crores, we are working to execute this year.
HimShakti

is

another big
program where we are going to realize the revenue around INR1,700
-
plus crores.

Akash Army, around INR1,300 crores, D29, LRU for LCA
, BSS and
Rudra around
INR600
crores to INR800 crores each and then links you to
IACCS
, Shakti EW,

BMP

-
2

upgrade
around INR500

-
plus crores and then remaining are smaller, smaller things.

So overall, we have
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planned totally how we're going to execute in
next 3 quarters left over to achieve this growth
of at least 15% for this year.

Hardik Rawat:

Got it, sir. That's very helpful. One last question would be with regards to the margin front.
Now we have seen a sharp expansion in the operating margin, which h
as largely been led by
the gross margins yet our other expenses have grown as a percentage of sales by roughly 215
bps to 9.5 percentage. Any specific reason because of this

--

reason for this jump as a
percentage of sales? Have we made any additional prov
isioning this quarter?

Manoj Jain
:

Yes, very regular provisioning will be a part of whatever we need to do at that particular point of time, depending on the delivery schedule of products. But in certain cases, we get the DD extension without the LD or without the penalties also. So, we are able to reverse. So, provisioning is there as a part of other expenses. But that is a regular feature

we do

.

Hardik Rawat:

Yes. So, nothing out of the ordinary?

Management:

Got about

[inaudible 0:

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standard, yes.

Mo

derator:

The next question is from the line of
Andrey Purushottam from Cogito Advisors

.

Hello. Sir,
your voice is not audible.

Hello?

I will request you to join the queue.

The next question is from
the line of
Ajinkya Jadhav from KRIIS Portfolio

.

Ajinkya J
adhav

:

Yes.

Thanks for the opportunity. Yes.

Just wanted to ask, like, are we into the SONAR
system? Like have we participated in the tender for the
ATAS

SONAR?

Manoj Jain

:

SONAR, I think we are the largest supplier of SONAR, and we are the trusted partner

for

NP

O

L, who is the main designer for SONAR

s in

India. So, we have associated ourselves with

them since beginning

,
and we are doing some proactive investments also jointly with them on
SONAR. We have our own some subsystems development and indigenization

program also for
SONAR, like Side

S
can SONAR and others.

We are planning to have export worthy version of SONAR also. So overall, I think in the
SONAR front, we are a good technology provider for our defense forces. And we are doing
now some more value ad
dition in that by adding this AI/ML type of technologies or integrating
it for larger strategic platforms.

So as such, I don't see any issue of changing our role for that.
We are going to f

urther excel only in this domain.

We are hiring some more advis

o

rs

in this domain to see that with a strong position in the
SONAR development, we continue to maintain. And we are hardly depending on foreign
countries from the SONAR perspective, although a few
foreign
origin

SONARs
are there, but
they ca
me
as part of the p
latform earlier itself.

Any new SONAR per se, I doubt whether now
we are importing.

Ajinkya Jadhav:

Yes, great to know about that. And the second question is regarding that, what is the sales mix
for between, you can say, the component assembly and the
product in our total sales?

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Manoj Jain
:

The thing is
, per se,
we are making product only. As part of the product, we do the assembly,
okay? Per se assembly, we don't take as a business case, okay? So, we generally sell modules,
some modules,

systems or sys
tems of systems.

Same thing is our components per se, components direct business because we have a
component foundry also, but that a business is very, very minimal because that is only f
rom a
strategic
ISRO
and other requirements only. That is very, very

insignificant, I should say, as
part of the business. It is more of a strategic
in nature, presently
. So presently, our sale mix is
mainly of products and solutions.

Moderator:

The next question is from the line of Karan Gupta from
Asit C Mehta

.

Karan
Gupta:

Yes
, hi.
So, I
just
joined a
little
bit late. So, I just see commentary.
On the
--

one

question
regarding revenue and margin side. So, what's the product mix change has happened kind of
4%, 5% of the revenue growth this quarter. On the margin side,
going gross margin
improvement is around 9% to 10%. So, what product mix have changed?

And you've also said something on the more
you are
doing in

-
house manufacturing of some of
the components which was your earlier in outsourcing. So, what's the impact of
in future, in

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hous
e

manufacturing and the product mix on the margin? I mean if you can just quantify if we
are doing more in

-
house manufacturing, so how it will impact positively on the margin side?

Manoj Jain
:

Okay. Let me again clarify. I think last tim
e also we told it is not in

-
house manufacturing. It is
in

-
house design or indigenization, which as
a

drive we are doing. Manufacturing, we do based
on the case

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to
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case basis. Typically, we involve our MSME and other partners more and more.
Wherever they ar
e available and their quality output is insured, we generally take from them
only.

When we are not finding any MSME partner for doing manufacturing those items only we do
in

-
house manufacturing. Otherwise, our moto and vision is

to promote our MSME partner
s and
take their health as and when required as much as possible. But I was mentioning about in
-
house design and indigenous designs. So, we are doing more and more efforts for
indigenization.

So, indigenization is a bit different in designing in India, but

manufacturing in
B
EL
or
outside
BEL
that we see on case

-
to
-

case basis. And as I told, wherever possible, if any vendor is there,
MSME vendor is there, we firstly off to that only.

And that only will give us actually more and
more margins. because definite
ly, when we inv

olve our
MSME vendor eco

-
base, it will be
overall beneficial for them and for us also.

Only thing we have to ensure is the quality and timeliness of the deliveries. That we go
through a rigorous process of evaluating our vendor base. And bas
ed on that only we select
them. But once we select, we really do hand holding and see that they also prosper and we also
prosper. So that is the
--

about this in
-
house manufacturing
oblique
opening in
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house design
front
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The second point you t
old

about revenue. Yes, this year, first quarter, we had got almost 5%
only as our revenue growth, mainly around INR200

-
plus crores, which we thought we will
realize the sales by June because of geopolitical situation, especially in Israel
-
Iran conflict.
Some

of the critical components from Israel could not come. And because of that, we could

not achieve
, otherwise our
target was at least 10% plus in the first quarter itself.

Overall, anyway, definitely, we will cross 15%. But in the first quarter itself, we were having
our internal target of 10
%

-
plus. But we could fall short of this because of this last

-
minute so

-
called surprises for us. And that is a regular feature nowadays knowing the geopolitical situation around the world.

But sometimes, some particular item may affect us a bit more in 1 quarter, next quarter, it will compensate.

Because we have overall a very, very large product mix. So, this large product mix will not impact us too much like here also around INR200 crores in fact only was there, which definitely I'm confident they will compensate in quarter 2.

And overall, margin

wise, as was told earlier also, our product mix is so large we can't quantify whether this product mix and what margin will come with this product mix. Average it out and overall

, what guidance we have given will be around that only will be our margins. It will not affect too much because of so

-
called

geopolitical situation or because of the product mix for one

particular month, etcetera.

Karan Gupta:

Okay.

Okay.

Fair enough. Second one

,

on anything we are doing with live simulation?

We are providing services to maybe export side or domestically for some companies, live simulation?

Manoj Jain:
:

Live simulation?

The simulator business we are having. Simulators, we are supplying

--

ex

porting also now to some of the countries. And definitely, in India, large complex systems and solutions related to Radar or missile segment, we are developing advanced simulators for our Indian needs.

But we found a lot of export opportunities, and we have exported in the recent past, also some 2, 3 good leads, we have exported also.

And we are doing marketing for our simulator business further in many more countries. So, we are confident that the simulator business is really great going for us and good growth prospect for us.

are there

in this business.

We are putting some more manpower also in this particular segment and then seeing that some of the large programs because you may be knowing all large programs require the high

-

end

simulator also

. So, we wanted

to develop those simulators

well in time itself so that it can be

used while supplying the equipment itself. The

se

simulators can be used for good training from day 1 itself. So, we are working for that.

Karan Gupta:

So, part of the business

--

is the part of the business is simulators business?

Management:

Part

of the business is...

Manoj Jain

:

Simulator as a business

--

no, no, no. Simulator as a business will be around maybe 2% to 3% of our total business, less than 5% definitely. One of our SBU

is primarily doing that business

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and
two

of our R&D houses are supporting them. So out of total 29
SBUs,
actually
one

SBU is
more focused towards simulator and
one

more S
BU

is
partially supporting them.

So, you can
see the overall business also depends up
on how many
SBUs

are working. It's around, you can
say, roughly 2% of our business.

Moderator:

The next question is from the line of Nikhil Purohit from Fident Asset Management.

Nikhil Purohit
:

Yes
, hi. Thanks for the
opportunity. Am I audible?

Manoj Jain:

Yes.

Nikhil Purohit:

Yes.

Just

two

questions. So, what was

--

I joined the call

a little

late. What is the defense

versus

non

-

defense ratio?

Manoj Jain

:

Again, typically, defense, non

-

defense, it's 88% to 90% and 10% is roughly non

-

defense,

which is our t

ypical figure.

Nikhil Purohit

:

Got it. Okay. And does our exports order inflow guidance remain intact?

Manoj Jain

:

Yes, yes, yes. We are confident. We are confident of what our target we have given around INR120

-

plus million. We are confident we will have

that. Good progress already has been

done, although we don't give a direct breakup of how much export order we have received quarter

-

to

-

quarter, we don't give that, we give o

verall

consolidated figures only. But in this

order, what we have received right n

ow, so there is some portion of export orders also. And we

are confident we will meet our guidance on export

front

.

Moderator:

The next question is from the line of Umesh Raut from Nomura.

Umesh Raut

:

Thank you so much for giving me an opportunity once aga
in.

The first question is, sir,

pertaining to increase

--

possible increase in employee cost on the account of
8th pay
commission now, specifically in FY '28. Because I think if I look at

early
assessment of what
they are recommending

,

I think it is about
closer to
3x kind of increase in basic

p

ay. So, any
assessment, early assessment, what kind of increase we can expect in case of employee cost?

Manoj Jain

:

I
think at that point also, last time also we indirectly hinted to you.

This

8th pay commission
things are not directly relevant for us, although indirectly, it will control our PR

P

.

There will
be a separate pay revision committee, which will be constituted by government for PSU

.

That
will get some input from this 8
th

pay commission, but it will not
be exactly same.

And in the PR

P

, they give a lot of flexibility to PSUs to decide, based on their profitability and
viability
of

--

from financial point of view. So, at that tim
e we will see

--

definitely we want to
give the best to our employees.

But I do
n't see any big challenge in the FY '28 for that.

We will start doing some small provisioning from

,

27 and onwards and see that

--

but I don't
think it is going to impact us too much because our overall growth

,

turnover
will compensate
for this small incre
ase in employee cost. That much I can assure you.

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Umesh Raut:

Got it, sir. And sir, my second question, if I look at our services business, I think there also, we have set up now new SBU related to SaaS business in the non

-
defense area, but I think our
ser

vice business contribution in overall turnover is still at about closer to 10%, 11%. And
looking at our defense installed base
as well now, it looks like we have a sizable exposure
towards install base

,
and indigenization is also going up.

So how do you th
ink this services
turnover as a percentage of total revenue for you to go up in medium to longer term?

Manoj Jain
:

You have told a 10% to 11% is our services sector.

Moderator:

Sorry to disturb you
, sir.
Again, your line is echoing, there's an echo in
your line.

Manoj Jain
:

That is
madam on the
Nomura

side, I believe.

They have to mute.
Shall
I go ahead
, madam
?

Moderator:

Yes,
yes.
Please go ahead.

Manoj Jain
:

Yes. So, 10% to 11%, as you have told, we are trying to increase it to 13%, 14% over
a

period
of next 2 years. So definitely slightly increase will be there in the services because some of the
new areas also now we are pursuing the services, especially
one

order which we have received
even today,
whatsoever
we have given in public domain data relat
ed to financial services
related business by our software SBU, we have got a good order.

So, these orders of non

-
defe

nse
variety
also will increase. So, we will have 3% to 4% overall
increase in our overall product mix because of services. So, we are
expecting 10%, 11% will
become 13% to 15% over a period of time.

Umesh Raut
:

Got it. Sir, just
one

clarification. As a part of d
efense
offset contracts, does services
come
under as more of a potential opportunity for exports?

Manoj Jain
:

Everything can com

e under opportunity for export. But definitely, right now, we are not getting any big leads of the services variety under offset.

Under offset typically is a contract manufacturing type of thing or some of the subsystems which we have to supply to them as B&E, etc
etera

. So, services per se and offset, these two are not gelling together as of now, but definitely there is a scope.

Moderator:

The next question is from the line of Harshit Patel

.

Harshit Patel

:

Thank you very much for the follow

-

up, sir.

Sir, we

have

received an order

worth close to

INR

2000 crores from HAL for the electronics LR

U

s for LCA

Mk1A

.

Moderator:

Sorry to disturb you, sir. There is a noise

in

your background of whistling

.

Harshit Patel:

Hello, is it audible?

Moderator:

Yes, yes.

Y

ou are audible, but there was a...

Manoj Jain

:

Yes, some noise is there

, echo,

but we will manage. And when we speak at the time, I think he has to mute.

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Harshit Patel
:

Sure, sir. We'll do that. Sir, we had received an order worth INR1,000 crores from HL for the electronics LRUs for the first 83 numbers of the LCA Mk1A

program. How large could be the follow

-

on order for the subsequent 97 numbers, how much more wallet share we will take with the enhanced offerings in this upcoming order?

Manoj Jain
:

It will be more or less in that order of 83 to 97 and

y
early escalations. H

A
L cannot give us more than that. So, it will be because quantity to quantity

and typically it is year

-

on

-

year escalation. So that will be there. So, you can extrapolate how much it will be

--

r
oughly, it will be around INR3,000 crores, I can say, including escalations, roughly INR3,000 crores plus/minus, we have to sit across with HA
L and do smart negotiations.

That only will tell us what is the final figure.

A
and as and when we finalize that contract, we
will definitely intimate to
all of
you. But you can assume ballpark figure of roughly INR3,000
plus/minus few hundred crores here and there.

Harshit Pate

I
:

Sir, I was asking from the point of view that
won't we be supplying many more subsystems
vis

-

a

-

vis what we are supplying right now? For example, the Uttam AESA radar could be part
of our offerings when we'll go to
the

--

this additional 97 numbers. Ther
e could be much more
offerings on the electronic warfare subsystems as well.

So, we will be supplying the same
subsystems or we will increase our scope as well in this newer order?

Manoj Jain

:

You have rightly pointed out. What I was referring you because
you told electronic
subsystems, which we have supplied for 83. So, for 97

,

we will
supply

all those same. But of
course, EW and Radar are the two new subsystems which still not finalized configuration or
minor details of that.

And there are

--

I think in b
oth of them, there are two partners.

So, we don't know who will
become L1 in that. So, we are only bidding

,

but not confident whether we will get the full
or
der.

So maybe for those EW and Radar, there is a 50% probability, I should say.

Although as
management, I should be confident about 100
%

, but I know my competitor also would like to have.

And the second thing, HAL may decide to give it to L1 and L2 because many times when systems are complex and timelines are crucial, they split the order between

L1 and L2.

So right

now, EW and Radar related, th

ose discussions or those draft RFPs or contract discussions have

not yet started with HAL. So I can't quantify right now what type of terms and conditions they are going to write for that.

Once they give us

some draft RFP, then I can come out with a more revised figure for this EW and Radar.

So right now, I have excluded EW and Radar from that and only the other sub

-

electronic

subsystems, around 11 to 16 type of subsystems which we are supplying for them. So those subsystems only I told order value of around plus minus,

INR

3000

-

plus minus few

hundred

crores.

Moderator:

The next question is from the line of
Darshan Parmar from Jefferies

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Darshan Parmar

:

Hi, sir.

Congrats

on a good

set of numbers. Most of my questions are answered. I just had one

question regarding the potential opportunity on the drone front. If you could give some sense on that, please?

Manoj Jain

:

Drone

s

per se

,

we have some four or five major leads where we are working on drones. One of the lead anyway is the Archer UAV for which some trial and other evolutions are going on and immediately completing that

.

We are expecting a big order on Archer UAV.

But in addition,

there is a loitering ammunition, there is a logistic drone, and there is a male variety of drone requirement which has come.

We are pursuing these three, four more opportunities of drone. Male and Archer are definitely big leads for us. So we are confident by year

-

end

at least one of the order we may get out of these four or five leads before this. And the next

2

to

3

years, definitely some big orders we will expect from that.

But presently, I don't have a quantified figure about that because these all are in different stages of evolution only. They have not come to a contract finalization stage where I can clearly give you some numbers. But definitely drone and drone warfare and anti

-

drone

,

these

are the area of importance for BEL.

We are committed for this particular segment because we know we can give very good solutions to our defense forces in this segment.

Moderator:

The next question is from the line of Girish

from MS.

Girish

:

Thank you for the opportunity, sir.

Just a couple of questions. Firstly, on the order book, what portion of the order book of INR75,000 crores that you have today, is recognizable as revenue beyond FY '27 as in the contractual obligations

and your execution, which is going to be beyond FY '27, whether it is FY '28 or '29, if you can quantify that?

And the second question I had was on the order book on

--

currently, how much of it is nomination versus competitive bid? Those two were

the questions.

Manoj Jain

:

So, order book, out of this next 2

years, only a majority of the orders we are going to execute. Only some two, three big programs like fuses is there, which is there for next 10 years, actually. And EW systems solutions are typically for around 4

to 5

years delivery schedule. So these are only a little bit larger.

So more than 3

years out of this order book, around ...

Management:

INR14,000 crores.

Manoj Jain:

INR 14,000 crores is there for more than 3

years. Remaining all are within 3

years executable.

And regarding nomination and competitive bidding, the ratio is around 90 %

-
plus minus to
10%. 90 %

-
10 %
, we can say roughly. 90% nomination, 10% competition as of now.

Girish
:

And this is
--

competition is including the non
-
defense
--

or ar
e you talking only about defense,
sir?

90
%
-
10
%

ratio?

Management:

Put together.

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Manoj Jain:

Put together.

Even some of the non

-

defense also we have got on nomination. It is not th

at only

defense we get on nomination.

Girish:

Understood.

Manoj Jain:

And

based on our

--

acquired across a number of year

,

some of the nomination projects we

have got, like this platform screen door, which we have got. So many other projects are there on non

-

defense also. So this mix is for both defense and non

-

defense, both.

G

irish:

Just like you said, 3 years plus is INR14,000 crores. 2 years plus would be how much, sir?

Would it be like INR25,000

-

odd crores or any ballpark number here?

Manoj Jain

:

Yes. 2 to 3 years is around INR8,000 crore plus. So, 8 plus 14 around INR22,000

cores,

INR23,000 crores is 2 years plus.

Management:

We can have

one last question, please.

Moderator:

Okay

, sir.

The next question is from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat

:

Appreciate the follow

-

up opportunity

. Two

quick questions

. Firstly, with regards to the export
s

opportunity, sir, which are some of the key
projects that BEL has developed, which are finding
good traction in the export market
s
?

Manoj Jain
:

The thing is, for us, all our radars, missiles, communication systems, so
ftware solutions, all are
there in our export
-
related portfolio for us. Drones and anti
-
drones.

Especially anti
-
drone
systems also, a lot of opportunities are exist
ing right now.

And one new area now is the C4I
solutions.

After Op Sind
oor
, you might have
seen so many of our C4I solutions were time
-
tested. So now many of the countries are coming towards us for giving a customized solution
for them for the C4I.

In addition, our contract manufacturing related to TR modules and
LV racks, we call it, those
type

of things also are increasing for us. So, there is a good set of products and solutions across
almost all domains where BEL is working. So good export leads are there right now.

And
that's why we are confident we will achieve
the
--

whatsoever
we have giv
en guidance
,

at the
end of the year, we are going to achieve that. So, these products are almost all major areas of
operation of BEL.

Hardik Rawat:

Got it, sir. And lastly, sir, what would be the capex figure for FY '26?

Manoj Jain
:

Capex figure is INR1,00

0

-

plus crores

.

We are going to have this time INR1,000 crores plus only. It cannot be less than that. That is we are committed this year because we are having large expansion in other plants already are underway and a lot of capital items are required for our new generation test instruments and others. So overall, put together, we have done good planning for that, and we are confident that we will definitely cross INR1,000 crores.

Moderator:

Ladies and gentlemen, that was the last question. I now hand the conference over to Harshit Kapadia for closing comments. Please go ahead.

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Harshit Kapadia

:

Thank you, Vishaka. We would like to thank Manoj sir, Shri Damodar

sir,

as well as Sreenivas

sir

giving us an opportunity to host this call. Any closing remarks for the investor community, sir?

Manoj Jain

:

Okay. The same is like future outlook for FY '25, '26. We are maintaining all those parameters. I will just repeat that

.

Revenue growth more than 15%, EBITDA margin more than 27%, order

inflow of INR27,000

-

plus crore
s excluding QR

F

M

.

if QR

F

M comes, which we are still
confident for Q4. If it comes, then it will be
additional
INR30,000 plus crore.

R&D investment as it was committed, it will be INR1,600

-

plus crores only. Capex, INR1,000

-

plus crores and export \$120

-

plus m
illion.

So, these are our future outlook for FY

,

25

-

,

26, and

we are confident of achieving this.

Moderator:

Thank you. Ladies and gentlemen, on behalf of Elara Securities Private Limited and Bharat Electronics, that concludes this conference. Thank you for

joining u

s, and you may now
disconnect your lines.

Manoj Jain

:

Thank you.

Management:

Thank you, all.

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Moderator:

Ladies and gentlemen, good day, and welcome to the Bharat Electronics Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen

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only mode,

and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Vikash Singh from ICICI Securities. Thank you, and over to you, sir.

Vikash Singh:

Good evening, everyone. On behalf of ICICI Securities, I welcome you all on Bharat Electronics Q2 FY'2

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Results Conference Call. I would like to thank the management to give us the opportunity to host them.

From the management side, we have with us ;

Mr. Manoj Jain, Chairman and Managing

Director;

Mr. Damodar Bhattad, Director Finance and CFO; and his team.

Without taking any much time, I hand it over to Manoj

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for his opening remarks. Over to you, sir.

Manoj Jain:

Thank you. Good afternoon,

everybody. So here is the financial highlights for H1 up to Q2 for financial year '25

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'26. So this H1, we have achieved revenue from operations, we have increased it to

INR

10,180 crores as compared to

INR

8,782 crores up to Q2 of last year with a

growth

of 15.92%.

Profit before tax, that has increased to

INR

3,023 crores up to Q2 of this year as compared to comparable period of last year,

INR

2,488 crores with a growth of 21.5% Profit after tax, that has increased to

INR

2,255 crores up to Q2 as compared to

of

INR

1,867 crores up to Q2 last year

with a growth of 20.77%.

EBITDA has increased to 30.15% as compared to 27.26% up to Q2 last year.

Earnings per

share, that has increased to

INR

3.09

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up to Q2 of '25

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'26 as compared to

INR

2.55 up to Q2 of

last year.

The

order book position as on 1st October '25 is

INR

74,453 crores

a

and as on today, it has

become

INR

75,600 crores. Orders acquired till 1st October '25 in this financial year is

INR

12,539 crores

a

and till today, it is

INR

14,750 crores. So overall, across all

financial

parameters, we have registered good growth, and the company is having plans to sustain

whatsoever guidance we had given at the year beginning. That is the brief financial highlights

of H1 '25

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'26.

Hello. Our highlights are over. We can start

questions and interactions.

Moderator:

The first question is from the line of Dipen from PhillipCapital.

Dipen:

Congratulations on a great set of numbers. Sir, my first question is on your order book side, sir.

Sir, can you tell us as to

--

so right now, w

e are having an EBITDA margin of close to around,

say, 28% to 29%. So what kind of execution are we focusing on that the EBITDA margin

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continues to remain high? And do we expect it to sustain on the similar levels going ahead as well?

Manoj Jain:

Certainly
, although product mix for H1 and product mix for H2 is more or less similar. And as we told earlier also, product mix has more than 350 main equipment and subequipment line items are more than 1,000 plus. So we are totally diversified in different, different functional areas of defense electronics.

So as such, because of this product mix, for us, we are feeling H1 and H2 may not have too much changes. So EBITDA margins will remain more or less similar. And what the guidance we have given more than 27% EBITDA, we are confident to achieve by the year
-
end.

Dipen:

Got it, sir. Sir, my second question is on the line of, sir, what
--

so currently, the emergency procurement orders are expected as well as some large product value items are also expected in second half. So can you give us an idea as to what all orders are in the advanced stages of finalization, which we can expect in second half?

Manoj Jain:

Certainly. As we told last quarter also that we were expecting a good number of emergency procurement orders.
So finally, we have received already some 11 orders
--

emergency procurement orders worth around
INR 1,350 crores and around
INR 2,000 crores worth of emergency procurement orders are in pipeline where CMCs are concluded, and we are expecting it mostly by next 2 weeks, so we will get. So this is about the emergency procurement orders.

Our other main, main orders, which are in pipeline, we have told QRSAM, we are hopeful, fully confident that before March, we may get QRSAM order. We have already submitted our

RFP response, et cetera. So cost audit and other activities as per the procedure is going on.

And we are confident of achieving that by March. But in

addition to QRSAM, Shatrughat,
Samaghat projects, the NGC

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related next

-

generation corporate

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related subs

systems orders from

shipyards, additional LCA 97 numbers order from HAL for our avionics packages, Shakti,
GBMES, mountain radar, HAMMER, like that, these are all orders

--

big orders are in

pipeline, which will definitely make our overall score what we com
mitted to you,

INR

27,000

crores. So we are confident that we will definitely achieve more than

INR

27,000 crores order

book

--

order received in this financial year other than QRSAM.

Dipen:

Got it, sir. Sir, last question, sir. Sir, right now in your order

book, so the large contract, top 10

or top 12 projects contribute how much of your current order book? So mainly LRSAM, fuses,
Akash missile system, et cetera?

Manoj Jain:

How much of the order book is pending of these orders? Or what is your question?

Dip

en:

Yes, yes, pending. Pending Order book.

Manoj Jain:

The order book as on 1/10/25, 1st October '25, LRSAM is around

INR

5,000 crores, electronic

fuses are around

INR

4,500 crores, BMP

-

2 upgrade is

INR

3,000 crores, Akash Army

INR

2,700

crores. So all this put together, top 7 orders we have got the list right now, it comes to around

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INR

25,000 crores. Top 7 orders constitute

INR

25,000 crores, of the 1st October orders around

INR

74,000.

Moderator:

The next question is from the line of

Amit Dixit from GS.

Amit Dixit:

Congratulations for a good set of numbers. A couple of questions from my side. The first one is on Project Kusha or Sudarshan Chakra, where we are on the project actually, where is the development going? And when can we expect some kind of order from this particular project?

Moderator:

Mr. Dixit, can you please be a little louder?

Manoj Jain:

Yes. I could read no issue. So voice was sufficient to reach our ears. So I will just briefly tell you the Project Kusha is a DRDO program, as told earlier also to you. And we are the development partner for DRDO for major subsystems of Kusha program, mainly related to radar and control.

So these radar and control system, there are some 3 type of radars and 2 type of control and communic

ation centers, then launches, support vehicles, et cetera. So these radar

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related

prototype development, we are doing right now jointly with LRDE, who is the DRDO partner from radar point of view. Overall program is handled by DRDL.

So with DRDL, we are d

iscussing control center and communication system

-

related modules.

So these 5 major modules of this program are under the prototype development stage right now. Then it will be followed by system integration.

And then only trials

--

integrated trials will

be planned by DRDO, where BEL will give good

support to them. So I feel these all trials, et cetera, after the prototype development, which will take

--

prototype development itself will take another one more year for us. And then

integration, testing, tri

als and then afterwards, it goes into the so

-

called production phase, I

should say.

So we are expecting order by December 2029, the first production order for us because right now, it is that way is the prototype developmental order which we have received. So from

prototype development order to the real big production order worth hopefully more than QRSAM order we are expecting. But that we are expecting by December '29 time frame.

Amit Dixit:

That's very helpful, sir. The second question is on the

--

actually the recent AON that was

issued of around

INR

79,000 crores. So there were various platforms, et cetera, over there as

well as some electronic systems. So just wanted to get an idea that what could be the approximate share for BEL in that

INR

79,

000 crores?

Manoj Jain:

Because i

t is at AON stage itself only, it has not become RFPs, and RFPs also are going

--

some of the RFPs we will receive directly, like GBMES project RFP, we are receiving

directly, we are going to receive. But other RFP will be

received by other system integrators,

and we will get electronic share of that.

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So as such, we cannot give you quantified figure. But out of this AON, 3 to 4 main leads or main products of BEL will be there in that. So we can expect of the order of
INR
10,000 crores
worth of items, we are
--

we may get orders, but the order may not come directly from user. It
may come from system integrator also. So of the order of this tune, I hope we will get, 1 or 2
only will be direct orders, but remaining will be in
direct orders to us.

Moderator:

The next question is from the line of Umesh Raut from Nomura.

Umesh Raut:

Congrats for a very good set of numbers. Sir, my first question is pertaining to order inflow
guidance of
INR
27,000 crores, excluding QRSAM for FY '26
. So in that order inflow
guidance, are we assuming any orders from next
-

generation corvette or from avionics packages related to recent ordering for light combat aircraft?

Manoj Jain:

Certainly, yes. As I told, in this NGC partial orders because overall N GC has so many BEL components. But some of the components orders we are expecting around INR 4,500 crores worth of orders this financial year, we are expecting from NGC overall program.

And remaining orders maybe a INR 8,000 crores to INR 10,000 crores worth

we may get in the next year only because configuration and other finalizations are going on for that. The nitty - gritty is being worked out for those subsystems still. So --

and LCA, so we are expecting in another 1, 1.5 months, hopefully, we will get from

HAL this order for avionics package for all the items for this 97 aircraft order. That may be around INR 2,500 crores plus/minus something.

Umesh Raut:

Understood, sir. Sir, my second question is on AMCA program. Now that you have a collaboration with the L&T in terms of participating in RFI. So essentially, I just want to understand how your scope would be different than the program like LCA or say, helicopter programs, what kind of supply you does right now to HNL?

So how the scope would be kind of differ ent in case of AMCA? Can we assume relatively far higher share in terms of addressable market if you get AMCA contract in terms of, say, development program?

Manoj Jain:

Yes. Certainly, that is our calculated strategic move from only supplying electronics for helicopter, for LCA type of program. Can we go higher level integration or higher level value addition in airborne platforms. So AMCA, we found as first big opportunity, and that's why we tied up with L&T. And as a consortium, we have already given RFI

response for that. And we are hopeful to qualify and further may get orders also.

Definitely, we are aiming for that. There, our role will be not only supplying this avionics or electronics portion, but system integration, aircraft integration, testing, validation and that type of a role, which is as a platform, aircraft as a platform. That role we wanted to increase our role in that type of a program. So for AMCA or UAV type of programs, we wanted to have our value addition increase from our traditional electronic modules to systems level contribution.

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Umesh Raut:

Understood. And what if in a scenario suppose other consortium gets that contract, do you think you can supply avionics packages or other packages to those consortiums in AMCA program?

Manoj Ja

i
n:

Definitely, yes, because this program is driven by DRDO. ADA is the lead agency for that.
And we

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because for the last 20

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plus or 30

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plus years of association with them at R&D level,
we are developing many modules or many subsystems related to electro
nics for ADA.

So these subsystems will be taken by all consortium, whosoever wins this program, these

modules order has to come through BEL only because we have a proven capability for that. And we have already developed or developing these prototypes jointly with ADA and ADE.

So these modules share anyway will be there with us. But as I told, we wanted to go up the value chain by providing system

- level solution also or system integration
- related expertise also
- we wanted to develop in this critical segment
- . And that's why we have done this consortium
- based approach of bidding also.

Moderator:

The next question is from the line of Mohit Pandey from Citigroup.

Mohit Pandey:

Sir, first question would be on QRSAM. So once the order is received, what would be the execution time line, sir, 3 to 4 years? Is that a fair assumption?

Manoj Jain:

No, it is a bit more because the program is very complex, first thing. Second thing, we wanted to do one more round of detailed evaluation. We call it first of production module, trials/evaluation. So we wanted to do jointly with our user, FoPM trials also. So because of that trial to prove some more cutting edge extra features, et cetera, whether they are really matured for production phase or not because you know earlier phase was a prototype phase.

So prototype phase to production phase when we go for bigger programs, we generally add FoPM stage. So in this program also, there is an FoPM stage. Because of that, the overall program schedule will be around 5 to 6 years of total execution time for the

--
this program.

Mohit Pandey:

Understood, sir. Okay. Sir, second question was on the DAC approval. So apart from the INR 79,000 crores, there were other 2 approvals as well this year, so

--
other 2 set of approvals.
So possible to

share what could be the size that BEL could be in play for from the other 2 as well that total to around, I think, INR 1.4 lakh crores or INR 140,000 crores?

Manoj Jain:

Definitely in that, the biggest program was QRSAM only, of course. But other than QRSAM

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Shatrughat, Samaghat and so many other projects were there, which were included in that. And
so many other naval ship programs where the shipbuilders will back end give orders to us. So
overall, out of all the 3, if we include QRSAM also, it is definitel
y more than
INR
50,000
crores worth of orders we are expecting for BEL.

Mohit Pandey:

Understood, sir. Sir, last question would be on
capex
. So in the media, there were reports that
BEL may undertake
capex

in Andhra Pradesh around
INR
1,400 crores, followed
by another
phase of
capex

there. Any comments on that, sir? What could this
capex

pertain to?

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Manoj Jain:

Okay. No, this has come in media also because we had a detailed discussion with Andhra Pradesh government, and we have given our commitment to them. And based on that, Andhra Pradesh government actually has given commitment on joint behalf our and AP government behalf to our Raksha Mantri sir also.

So that is the largest investment which we are doing, and we call it DSIC. So this is Defense System Integration Complex, where we are mainly making the QRSAM program will be made out of that facility.

But in addition, there will be so many other activities, other strategic business units also, we are going to shift or going to operate from there, including these unmanned systems, missile systems, military radars. So those type of subsystems also will be manufactured there

. But in addition, the largest thing will be this QRSAM program, system integration, testing, validation, qualification, these are related infrastructure, we are going to have there, that is around 920 acres of land.

And with the investment of minimum this INR 1,400 crores, which we have already committed. But if required, we are not hesitant to invest further in case other programs, other complex, bigger programs like Kusha and others comes in time, we are having good space there to do further investment if required.

Damodar Bhattad:

Just to add to what our Chairman has said, this investment will happen over a period of 3 to 4 years.

Moderator:

The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta:

Great set of numbers. I have 2 questions. One is, I believe FY '26, we should close our EBITDA margins with close to 28% plus because that's what I've assumed considering the kind of order books you have?

And second, it's actually a 2

-

way question. One is the recent LCA Mark 1, which was delivered by

--

delivered to Indian Air Force was basically sort of rejected saying that there were some spoilers in the avionics and the radar from Israel, is possibly inadequate.

Does that mean that we have

--

since we know that the first batch of 41 LCA was supposed to have Israeli

-
built ELINT AESA radars
?

S
o now do we stand to gain from this that we would now be integrating our AESA radars,
which, of course, you are actually producing? And second is, what concerns are there in the avionics part for the LCA Mark 1, which led to this kind of discomfort within the Indian Air Force for LCA Mark
...

Manoj Jain:

Okay. Hello?

Jyoti Gupta:

Ye
s, sir.

Manoj Jain:

Voice is clear. Okay. So EBITDA, as we had told at the year beginning, we will definitely be around or up more than 27%, and we are continuously working for that by doing different type

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of cost optimization, indigenization. As last time

also we told, we have continuously these type of activities for cost reduction, indigenization and improving our operational efficiency. So with that, we are confident we will definitely have more than 27%.

Now coming about LCA Mark 1A. So LCA Mark 1A, as you know, program is steered by HAL, not by BEL. But BEL is a very good strategic partner for HAL. And in this, all the major avionics

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all the basic avionics

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related electronics, which is typically designed by ADA, ADE and other DRDO labs, and of course, BEL also was part of design and now BEL is a production agency for that.

So these items, we are supplying for LCA, and we don't have any concern on this avionics parts because these avionics parts, full design information is available with BEL. Of course, software is jointly held by BEL and DRDO, but hardware and hardware obsolescence and everything is, again, spearheaded by BEL and well supported by DRDO.

So there is no concern about avionics. As we have indirectly or directly hinted, sensors, the radar and EW sensors when the program started, they were of foreign origin, but that was at that time, indigenous space grade

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airborne grade sensors of this variety was not available. That's why it was a joint call of DRDO and HAL to take that.

And BEL was

mainly in the reviewing portion, if at all. BEL was not in driving portion to select this. BEL is always in the developmental level support only, not the decision maker because the decision maker is typically the designer, original designer is DRDO, ADA and production agency, which is HAL. So these 2 only have taken. So that's why the question actually pertains to them what it is.

But as we have told and as an electronics professional, we also know in general that, yes, there were some issues and still

ou

r indigenous radar and sensors are going through final stage of trials and evaluation. And that's why at right time, a call will be taken by HAL management to replace this foreign source of sensors with the indigenous one. And that is going to happen very soon. But the final decision and final evaluation status of this indigenous sensor will be given by HAL, not by BEL.

Jyoti Gupta:

Yes. So that's

--

because our indigenous radar is better than the Israeli

-

based ELINT that we
have been taking. And that's why

I feel there's an opportunity for

--

a huge opportunity for
BEL actually in terms of the radars. And so...

Manoj Jain:

No, no, definitely. It is BEL opportunity, but the decision of indigenous versus foreign will be
taken jointly by DRDO and HAL. And the
day they will take based on all the inputs, all
evaluation reports and all other things, definitely BEL will be beneficiary. I know.

Jyoti Gupta:

Yes. Absolutely. Perfect. That's an excellent answer. One more thing, sir, one last question, if I
may ask. Do

we see any opportunity with the resumption of India

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China flights, specifically in
terms of the super alloys and any special metals that we are looking from China? Does that sort
of, in any way, improve our situations and help any kind of strategic alliance in terms of
movement of these rare earth metals?

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Manoj Jain:

Again, we are not directly
--

as you well now, we are not directly dealing with rare earth metals or alloys and other things. Of course, with program like AMCA, we have to migrate finally. But

today, presently, we are mainly concentrating on defense electronic systems, subsystems and components.

And this particular thing is more applicable to HAL and MIDHANI as on today. But definitely, as time progresses, as we move closer to the total overall

value addition of different subsystems for AMCA or other programs. Definitely, we also will be concerned about that. And on that day, I can appropriately answer your question. Today, please
--

this question is
either to MIDHANI or HAL.

Moderator:

The next

question is from the line of Atul Tiwari from JPMorgan.

Atul Tiwari:

Sir, my first question is on the potential for large order inflows beyond QRSAM. So once you get QRSAM, by end of this year, the next one that we know of is Project Kusha possibly by December '29. So between these 2 large orders, are there any other large orders of similar size that can potentially come through?

Manoj Jain:

Definitely not
INR
30,000 crores or
INR
40,000 crores single order. As we told last time also,
this
INR
30,000 crore
s,
INR
40,000 crores type of big order comes once in 4, 5 years only
because it requires that much effort to make that type of a large systems. But of course,
INR
2,000 crores to
INR
5,000 crores worth of various products or various orders are in
pipeline for

us for next 2 to 3 years.

So those will keep on coming, but a big large program like Kusha or QRSAM, that type of a

program as of now is not there in our road map. And without that big program also, definitely we are going to have every year

INR

25,000 cro

res,

INR

30,000 crores,

INR

35,000 crores worth

of products

--

new orders, where individual order may be of the order of, you can assume roughly

INR

5,000 crores as individual orders.

Atul Tiwari:

Okay. Great. And sir, my second question is on your interest in AMCA. So would it be

--

would it possible to share some kind of color on what is expected from the winner here? So in terms of the capex

that you will have to do to create these facilities, the kind of technology risk that you are taking. So any color on

that?

I mean, what

--

how much you will have to spend to build these facilities? Because obviously, as of now

we don't have anything as far as system integration for fighter aircraft is concerned.

Manoj Jain:

This point, anyway, we also debated discussed when we took this strategic call, when we have to invest and how much we have to invest. Definitely, that is a question investors also will be worried. But let me tell you, the AMCA program for the next few years, 6 to 8 years is mainly still realizing 5

prototypes with the total support and handholding and driving by ADA. So it is ADA and this consortium partner jointly will do, and they will use all the infrastructure, which is created by ADA for this purpose.

So as such for the next few years, 5 to 8 years, we are not expecting big capex

investment. But of course, for modules, some module testing or some jigs

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related infrastructure, which is

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definitely much less than the final
capex

infrastructure, maybe maximu

m

INR

100 crores to

INR

200 crores is what we may have to do investments for jigs, et cetera, in the next 5 to 8
years. But no big
capex

is planned as per the project plan, which is shared by ADA as part of
the RFI, although more clarity will come when they
will evaluate all of us and then issue RFP.

So RFP will further quantify this aspect. But as per RFI, which we have received and we have
analyzed, all of us, the
capex

is not expected

--

large

capex

is not expected for completion of
this first phase, whic
h is this 5 aircraft realization prototype phase.

Atul Tiwari:

And sir, just a follow

-

up on that, when will the final winner be known? And when is the first prototype expected to be rolled out?

Manoj Jain:

No. The prototype already has been made in different forms and shapes by ADA. One is for like the RPS testing, one for some other purposes, et cetera, they have made. But the first real prototype based on all electronics and other subsystems as part of this program, ADA is, I think, planning in another 1,

1.5 years' time line, first prototype. And then improvisation of that, then second and third, then fourth and fifth. So total 5 prototypes will come out. Final time lines are actually decided by ADA. But macro level, we know that.

And that's why this evaluation, right now, this RFI evaluation, I believe committees are constituted and they are evaluating the proposals submitted by all of us. And it is

--

they have to decide when they will finish this activity. We are only hoping that another 3 months to 4 months by March

--

February, March, we may expect this qualification of the RFI phase will be over. But these all are our expectations. Exact figures, either ADA can tell or that committee can tell. And we are not party to that committee or not ADA.

Moderator:

The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore:
:

My comments on the strong performance of Bharat Electronics so far this fiscal. My first question is in relation to the execution cycle of the order backlog, which seems to have contracted. So your order backlog broadly has been

--

has not grown over the past 18 months.

Your revenue growth has persisted at mid

-

teen levels, this quarter was even better. So how has the nature of the contracts in backlog really changed?

Or is it the better execution that you are doing? Or what has led to sort of a compression of the execution? That's the first question.

Manoj Jain:

The thing is we have evaluated all the existing contracts which we have. As the year starts itself, we sit together and then chalk out our plans, how we can materialize within the PDC of that because these orders have a staggered delivery. So each order is not for 1 year. Some orders are 3 years, 4 years. In that, for this year, what is our commitment as per the

contract.

And we ha

ve done total planning that like whatsoever was to be supplied this March '26, we have already put in our road map, execution plans are in place. We are reviewing it periodically. And we are confident that we will achieve may not 100%, but we are aiming for 100%, but we will

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between 90% to 100% delivery on time, we are expecting right now.

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And over a period of time, we finally want to make it really 100%. But as you know, electronics market, there are associated challenges, related to obsolescence related to some other issues, related to component availability, especially.

So because of that, some minor variations or minor surprises keeps happening for us, but that should not affect maximum 5% to 10% of our deliveries. So 5% to 10% deliveries may overspill by a few months. But as such, we have planned right now all 100% of our committed time lines part of this execution orders we are going to achieve.

Sumit Kishore

:

Okay. And you mentioned in the earlier reply that product mix will be as favorable as it has been in H1 and H2. I mean, from QRSAM coming into your books, does the product mix really change in the next financial year? And how should we be thinking about QRSAM revenue and margin booking profile as it gets executed over the next 5, 6 years?

Manoj Jain:

Firstly, for next year, I don't see any product mix change per se because QRSAM next year, we will only make the prototype. This prototype is again a saleable prototype, I should say. That's why it's called the first of production model. So I should not say prototype, it is a first of production model. And that first of production model will take minimum 12 months to 18 months' time to realize because it is a very, very complex system.

So next year, we are not expecting any turnover or business from the QRSAM program. Next to next year only, we may be able to sell it in case we successfully complete all the FoPM trials, et cetera.

Over a period of time, QRSAM per se is also similar to our existing product mix only. We are not having a big difference between QRSAM and other programs. So our overall product mix may not change that much because right now also we are supplying so many type of radars, so many type of missile system like Akash, Akash Prime, Akash Export. So QRSAM will be one more feather in our cap only.

So as such, product mix may not change that much, and it may not affect our other margins, EBITDA margins, et cetera, that much, which what we feel over a period of time. So over a period of time, overall product mix, overall diversification, overall other subsystems, et cetera, will make our product mix really wide enough to take care of different type of variations in one subsegment or segment.

Sumit Kishore

:

Very clear. So for 12 to 18 months, you may not book a very

meaningful revenue in QRSAM contract after you receive it?

Manoj Jain:

Yes, yes, yes. Because that is a FoPM realization time for us.

Sumit Kishore

:

Very clear. Just one final clarification. The first half of the fiscal, how is your working capital...

Mod
erator:

Request you to rejoin the queue follow

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up as there are many participants left in the queue. The next question is from the line of Amit Anwani from PL Capital.

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Amit Anwani:

My first question is on the 8th pay commission where the terms of reference has been, I think, approved by the government. And just wanted to understand what is your assessment with respect to the quantum increase which you guys are expecting as and when this is implemented? And will it be higher, lower than the last pay commission?

Any assessment on the 8th pay commission and which financial year we will start providing or seeing the impact of this?

Manoj Jain:

Let me again clarify. Last time also, I think somebody else asked the question. Eighth pay commission is not for public sectors. So it is not for us. It is for central government employees. And for us, there will be

--

we call it fourth PRC because last time third PRC was there. That committee recommendation will be applicable from 01/01/2027.

And that PRC, again, government has not yet constituted that committee. Government will constitute a separate committee for PRC, fourth PRC. And that will give the general guidelines for public sector employees.

And after they study and there will be a lot of flexibility for individual PSU to adapt because we are a business entity, based on our business scenario, based on our past record, based on our profitability, based on our future growth, they are giving us a lot of flexibility to decide within the general framework.

So our framework will be quite different from 8th pay commission framework. And as we have told 8th pay commission, what expectations are there, I feel a central government employee can better guess that than we, public sector employees.

Amit Anwani:

Right, sir. But sir, any quantum based on your framework, how much increase can happen?

Manoj Jain:

That is a wild guess. And I think as PSU employees, we should not answer that. And we are --

generally, we don't analyze that also because for us, the quantum, our reference is 01/01/27 and it is PRC. We have to only see based on third PRC to fourth PRC, what more we may get. There, I can tell my wish is definitely what salaries we are getting on 01/01/27, maybe 10% to 15% higher salaries we are expecting minimum from that.

Da
modar Bhattad:

As far as your question on financial flows are concerned, '26, '27 will be only 3 months effect from January to March because it will be from January. From '27, '28, yes, effect of repair revision will be there. But the volume growth and quantum increase in turnover will take care of all these increases what are expected to happen.

Amit Anwani:

Sir, on QRSAM, which you highlighted that it will take 18 months. And I understand that I think there are 3 regiments and each regiment has some 72 missiles and launchers. So how the production stage will be there after 18, 24 months? Will it be like 1 regiment each 1.5, 2 years?

Some understanding on that, and what is the direct scope of work since the missiles also, launch vehicles also, and we are integrators, I believe. So what percentage is our direct scope of work in this 30,000 crores?

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Manoj Jain:

Yes. So firstly, as you told, delivery schedules anyway will already quantified in the RFP, which has come to us. And generally, it is kept so

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called st

ategically confidential. But of

course, there are 2 phases, as I told. One is the FoPM phase, which will take 12 to 18 months to realize and then some evaluation time, which may be 3 months to more than 3 months.

I cannot exactly quantify. After that only

, we will start the production. But based on the risk

and

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business risk and need

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strategic need, we generally start production

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related activities

for that phase also a bit ahead.

So overall time lines will be around 5 to 6 years, as already told. An

d this will have parallel

production for Army and Air Force because as you know, the order is more or less 50

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50, we

can say, across Army and Air Force in this program. So production also will be parallel for

both of them so that we can start equipping Arm

y and Air Force parallelly. That is our plan.

And as you have told, yes, we are the main system integrator for this. And BDL is our main strate

gic partner for missiles. But other than BDL, there are 3, 4 major stakeholders for us.

They are providing some

other subsystem, including launches, T/R modules and other

subsystems to us for integration. And the major subsystems here are radars. So 2 type of radars are there and control centers. So those integration definitely will be done by us. Launcher, et ceter

a, our primary aim is basic integration only, but otherwise, they come.

So that's already in the prototype phase, we have already taken care of and roles and responsibilities of BEL, BDL and other stakeholders is already quantified. All of them are aware

of. We had already done multiple rounds of sensitization meeting with all our important stakeholders. And that's why we are fully geared up to realize FoPM because in FoPM also all the stakeholders have to work together and for production phase.

So the sen

sitization to all the stakeholders already has happened. Delivery schedules, what is expected from them, et cetera, has been chalked out. And we are confident that once we receive the order in a time

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bound fashion, which is indicated in the order, we, alon

g with our

stakeholders, definitely will supply in time.

Amit Anwani:

Congratulations for the strong numbers.

Moderator:

The next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur:

Congrats on a great set of results. So I just want to

ask about your exports. We know that, that

is a strategy for BEL as well. I just wanted to check specifically on our exposure to Myanmar and whether that's likely to remain well below 5% of overall revenues and it's not necessarily going to become material

for the firm going ahead?

Manoj Jain:

Yes. Exports, as we have told earlier also, is a slightly different ball game because it requires different expertise and total order realization has various other challenges, including like LC opening and other issue

s. So we are right now targeted 3% to 4% of our turnover through

exports. But we are confident over a period of time in next 2 to 3 years, we are definitely going to have 5%. And our long

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term vision is to increase it to 10% of our turnover coming from

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Various activities are planned to increase our export portion from our overall turnover. And we are confident with those activities and those initiatives which we have taken and we are going to take. We are confident that we will be in the right path to increase percentage of our export turnover year

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year, and finally, touch 10%.

Today, we have a very good healthy order book also, around USD 326 million order book is there with us, and we have very good leads also. So we are confident that whatever path we have laid down for our continuous year

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year export growth, we are on the right trajectory.

And definitely, we will keep giving you better and better results on the export front also.

Shirom Kapur:

Got it, sir. And just strategically, when we

do get to this

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aiming for this 10% number, will a significant portion of that overall revenue 5%, could there be that kind of exposure to Myanmar as well? Just wanted to get a sense of that.

Manoj Jain:

No. The thing is for us, each and every country, which is of strategic interest to us and which --

who wants to take products from us based on the maturity of our products, we give equal priority to each and every such lead.

Myanmar was also such lead where we have supplied earlier some equipment and even now also some discussions and other things are going on. But each and every country is important to us. It is nothing specific to one or second country for us. Each and every export lead, we take it very seriously. We go, present, discuss, quantify and then see that our products go a

nd supports them for their initiatives.

Shirom Kapur:

Noted, sir. If you could just help us with the execution for 2Q and 1H that has driven your 26% growth in 2Q and overall 16% growth in 1H, which major programs have contributed in terms of execution?

Manoj Jain:

Okay, major or executed till now, okay. So this total up to Q2, major 6, 7 programs contributed. So one of them, top most always in the last few years is the LRSAM program of Navy.

Second was Himshakti. Third was our battle surveillance system for Army. Fourth was Akash Army. Fifth was LCA Mark 1A LRUs, the avionics

- related modules. Sixth was the Lynx U2 fire control system and seventh was Shakti EW system. So these 7 systems were the major orders which we have executed, which was worth around INR 4,000 crores roughly.

Moderator:

The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel:

Sir, firstly, could you give us an update on the Archer UAV program and...

Moderator:

Mr. Patel, can you please be a little louder? We can't hear you properly.

Harshit Patel:

Is it audible.

Moderator:

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Manoj Jain:

Yes, you can continue. Actually, voice is clearer to us to some extent more than the coordinator, but you continue. We are able to listen reasonable.

Moderator:

Please continue, sir.

Harshit Patel:

Could you give us an update on the Archer UAV program and our role is that, what is the status of the program, various vendors and the final system integrator, project size, time lines, et cetera? I am asking because recently, L&T has partnered with General Atomics to participate in the 87 MALE UAV program worth almost INR 30,000 crores. So will these 2 be the competing programs or how it will play out?

Manoj Jain:

Okay. As you may be knowing , Archer program is driven by ADE, and we are the nominated Development cum Production Partner for them. And with that status and with that support, we

have realized prototypes of Archer. And I think first successful trial of Archer UAV was conducted a few

days back only where it met all the parameters.

And now we are in the process of refining it and seeing the market for it because firstly, the prototype development has to be done and then only you can market. So now prototype development phase more or less is over. Formally, it will be declared by ADE because we are only DCCP partner for them.

But because we are DCCP partner, we know this much is the development done. A very good progress has already been done on Archer UAV program. But as you may be knowing, Archer is not this MALE variety. The MALE variety, what you have hinted about L&T and GA association, that is slightly different type of a program. Archer is much smaller and lower capacity UAV. So Archer will not compete with this program.

But of course, there is one more program mostly announced by ADE is Archer

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NG. So Arthur

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NG as a program, definitely, we would like to have a good share in that program. We may lead also that program. We don't know as of now. But that program is more or less competing with this MALE UAV program as per public information available with us from the ADE.

But that question, again, you have to ask DRDO or ADE, what is Archer and what is Archer

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NG program. Based on our association, we are just sharing this input. And that program

definitely will compete with this L&T, GA association, or there are so many competing products for this MALE UAV, for which I think RFP also is issued now or

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going to issue actually.

They have indicated RFP will be issued mostly on next week.

And in that RFP, we are also going to bid. That much only I can tell you. But for that, we have to do so much of strategic alignment, seeing, analyzing

what is our strength, what is our other consortium partner strength, whether we should go for a consortium or not. Those are all things you will come to know maybe another 3 months' time line.

And

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but I can assure you, definitely, once we have decided that we are entering into this AMCA or MALE UAV program in a big way, definitely, we will put all our efforts to see that we provide a right solution for this program also.

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Harshit Patel:

Sir, secondly, can you very broadly bifurcate your current order book of approximately

INR

74,000 crores among land

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based systems, naval systems and airborne systems. Also,

if

you can give a sense on competition in each of these 3 domains where the competitive landscape is intensifying, where are the areas where we can further garner some more market share? Also areas where the indigenization is lagging vis

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vis the other ar

eas. This flavor will

be very helpful, sir.

Manoj Jain:

Let me tell you, we are more or less equally distributed across Army, Navy and Air Force, whether it is our product segment, whether it is our order book. So more or less, we are equally spreaded across all the 3 segments.

And we treat all the 3 segments more or less similarly because basic defense electronics components, systems, subsystems are more or less similar expertise. Although evaluation or certification criteria are different for all the 3. And that way only like indigenization is core also on land system, it's fastest, naval system is second, and then airborne system, it takes a bit

more time to indigenize. So that is there.

So each segment has its own small, small challenges, et cetera. But

overall, for us, all the 3 segments, we are equally geared up. We have different, different SBUs focusing on these segments. Like our naval related segments, there are 5, 6 SBUs, we are specialized for handling naval customers.

Same is for our Army customers, some of the SBUs are specialized for that. And for airborne also, we have 2, 3 specific SBUs. We are more focused on Air Force as a customer. So as such, we give almost equal priority to all the 3 very, very important customers for us.

And that is the uniqueness of BEL also, that because we know Army, Navy, Air Force, that's why the interoperability across them or the theater command type of program where integration or jointness across all the 3 are required or large C4I programs where expertise of all the 3 domains is very much essential.

We are definitely a natural leader for that segment. And that way only we had decided maybe 20, 30 years back only that we should give equal opportunity, equal strength and equal resources for all the 3 segments because each segment is unique, but each segment has many commonalities as we see from our side.

Moderator:

The next question is from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat:

Congratulations on a good set of numbers. So extending previous participant's question, what are projects that --

do we expect to execute in the second half of this current fiscal? I gather that you mentioned the projects that we have executed, but what are the large projects that we are expecting to execute in the --

can you hear me?

Manoj Jain:

Sorry, sorry. I was on mute. So I heard your question. So for the next half, we have 7 main programs which are there and LRSAM is topping the list, followed by Himshakti, then Akash Army, then Arudhra MPR radar, then D

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avionics LRUs for LCA

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Mark 1A, and electronic fuses. So these are the top 7 big projects which we are going to execute in H2.

Hardik Rawat:

Got it, sir. And sir, historically, for the naval platforms that have gotten ordered, our --

typi
cally, our share has been around in terms of electronic subsystems that go into it, anywhere around 20%, 25% of the overall cost do we see a similar order inflow coming in from the recently announced landing platform docks or the amphibious vehicles that the AON was recently granted for?

Manoj Jain:

No. Let me tell you, frankly, because the naval corvettes or other type of strike ships, et cetera, and this docking platform, there is a small difference in configuration. So large complex strategic electronic modules or systems in that will be much less. So as such, for --

there are
other
--

so many other programs in pipeline where our share will be more. But for this program, our electronic module share will be less.

Hardik Rawat:

That's helpful. One last clarification was with regards to what you said earlier. Could you please confirm whether, I think you said that in the AONs that were sort of announced, the last 3 AONs, which total roughly INR 1.7 trillion for the previous 1 --

previous 2 ones and the one that was quite recently announced, the INR 79,000 crores one, are addressable or the order inflows --

potential order inflow that could come to us would be around INR 50,000 crores, INR 40,000 crores from the previous 2 ones and INR 10,000 crores from the recent.

Would that be correct?

Manoj Jain:

Yes, yes, yes. Certainly. That is correct, but it include QRSAM, it include QRSAM...

Hardik Rawat:

And what would be the expected --

sorry. It include QRSAM. Including QRSAM...

Manoj Jain:

Yes, yes, yes.

Hardik Rawat:

And lastly, the expected size of the GBMES project that was quite recently announced, what do you expect the size to be in terms of rupee value?

Manoj Jain:

If I'm not wrong, it is INR 1,500 crores to INR 2,000 crores roughly.

Moderator:

We will take that as the last question for today. I now hand the conference over to the management for closing comments.

Manoj Jain:

Okay. So as we told and the way we have progressed through Q1 and of course, through Q2,

we are confident that whatsoever guidance which we had given at the year start, we are on the right track to meet those guidance. So I will again reiterate our commitment that revenue growth, we are going to have 15% plus EBITDA margin, definitely 27%.

Order inflow as we committed other than QRSAM,

INR

27,000 c

rores. And including

QRSAM, it will be around

INR

57,000 crores. R&D investments more than

INR

1,600 crores,

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1,000 crores with a defense and nondefense business ratio of 90% to 10%, which is our typical ratio. So this guidance, definitely,

we are going to achieve. That is our final comment for today.

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Moderator:

On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Manoj Jain:

Thank you. Thank you all.

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Earnings Conference
Call
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January 28, 2026

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Moderator:

Ladies and
g
entlemen,
good day
and
w
elcome to the Bharat Electronics Limited Q
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Earning
s

Conference
Call

,

hosted by
Motilal Oswal Financial Services Limited

.

As a reminder, all participants

line will be in the listen

only mode

and there will be an
opportunity

for you to ask questions after the presentation concludes. Should you need any assistance during
th
is

conference call, please signal an operator b

y pressing

“*” then “0”

on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to

Ms. Teena Virmani

from

Motilal Oswal Financial Services

Limited

. Thank you and over to you

Ms. Virmani

Teena Virmani

:

Good evening, everyone.

Thanks Ikra.

On behalf of

Motilal Oswal Financial Services

,

I

welcome

you all for

Bharat Electronics

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results c

onference

c

all.

I would like to thank the

M

anagement for giving us the opportunity to host the call. From the

Management

side we have with us

Mr.

Manoj Jain

—

Chairman and Managing Director

;

Mr.
Damodar
Bh
att
ad

—

Director

(
Finance
)

and CFO
;

Mr.
Sr
ee
nivas

—

Company Secretary.

Without taking much time, I hand over the call to Mr. Manoj for his opening remarks

,

and after that
we will open the floor for Q&A.

Over to you, sir.

Manoj Jain:

Thank you,
Madam
. Good afternoon, everybody.

So, I will just briefly summarize the financial highlights up to Q3 for the
Financial Year '25

-

,

26
:

So, till Q3, we have achieved revenue from operations of INR 17,302 crores as compared to INR 14,538 crores

,

which was up
to Q3 of last year with the overall growth of 19%. The profit before
tax increased to INR 5,171 crores up to Q3 as compared to INR 4,242 crores up to Q3 last year
with a growth of 22%.

The profit after tax also increased to INR 3,845 crores as compared to
INR 3,183 crores up to Q3
last year with a growth of 21%. The EBITDA has increased to 30% up to Q3 as compared to 28%
up to Q3 last year.

The earning per share also increased to INR 5.26 up to Q3 as compared to INR 4.36 last year, same

time.

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And order book position as on 1st January 2026 is INR 73,015 crores

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and as on
28
th

January 2026,
as on today

,

is INR 73,450 crores

. A

nd order acquired till 1st January 2026 is INR 18,100 crores

,

and till today is INR 19,300 crores.

This is the brief highlights of our financial performance up to Q3. So, now the floor is open for questions

and

answers.

Moderator:

Thank you very much.
We will now begin the question

-

and

-

answer session.

(Operator Instructions)

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Mr. Umesh Raut from Nomura India. Please go ahead.

Umesh Raut:

Thank you so much for this opportunity. Good evening, and congratulations for a very good set of results.

My first question is pertaining to the guidance for FY '26 now, given that we have reported about 19% sales growth in first 9 months and we have received closer to INR 19,300 crores of orders. So, are we revising our sales growth number upwards?

And considering that there is also a finalization of NGC order,

which is remaining with the shipbuilders. So, are we anticipating any spillover of order from NGC from this year to FY '27, which we were assuming earlier during Q2 call?

Manoj Jain:

Yes, regarding guidance, as we told, we are consistent about our guidance.

So, whatever

guidance we gave at the start of the year, we are maintaining that and we are confident that we will achieve or exceed this guidance.

Regarding NGC, yes, we told after Q2 also that there is chance of spilling over orders

to next financial year. Now also, we are quite hopeful that maybe around INR 3,000 to INR 5,000 crores

deal we may get before March end,

and the remaining leads or remaining orders may come in Q1,

and some of them maybe Q2 of next year.

But definitely by next year Q2, we will get all the orders of NGC order,

because it is split across multiple line items and a separate order we are expecting for those line items. So, that's why that is our final call right now that around 20% to

25% of the orders we may get before March and

remaining orders in Q1 and Q2 of next year.

Umesh Raut:

Understood.

So, are we including these NGC orders in our guided number of
INR

27,000 crore

s

for

FY '26?

Manoj Jain:

Yes, around

INR

3

,000 crores

to

INR

4,000 crore

s

is included in that for FY '25

-

26

,

because we

expected this conclusion

,

because mostly at

GRSE level and G

S

L

level, it is already concluded

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with Government. So, they are now in the stage of final negotiation and other things for these line
items including

spec

finalization. Some of these type of technicalities only are going on.

So, we are
confident that before March, we will get
INR
2
,000 cro
res

to
INR
3,000 crore
s

minimum this year
and that is included in this
INR
27,000 crore
s

guidance which we have given.

Umesh Raut:

Understood. Second question is on the margin side.

If I look at this quarter margin, it was closer to
30% at EBITDA level. I

think other expenses are down by about 15% vis
-
a
-
vis our 24% top line
growth. So, any one
-
off in other expenses that we had in
3rd
quarter
?

A
nd for
9
months
,

our
EBITDA margin is closer to 29% which is much higher than guided number of 27%.

So, are we
expecting major outperformance in terms of EBITDA margin for
full year
'26?

Damodar Bhattad:

No. As of now, we maintain the EBITDA margin of 27% what we have guided for the current year
,

because it is a composition of products which we sell. So,

up to December, what we have sold and
from January to March, the composition will be slightly different.

So, we maintain the EBITDA margin of 27% only for the current financial year.

Umesh Raut:

And pertaining to specific third quarter, about other expenses declining by 15% year

-
on
-
year?

Damodar Bhattad:

Other expenses declining? Just a minute. I will just look into it and tell you.

So, we can move on to the next question. I will just brief you on that.

Manoj Jain:

Somebody else can ask the question.

By that time, we are just getting the data. We will reply while replying to his answer, we will reply on this also.

Moderator:

Thank you, Umesh. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta:

Good evening, sir. Thank you so much, and great set of numbers.

On a similar line, I just wanted to know EBITDA margin improved sequentially. What is your outlook for margin stability through FY '26 and into FY '27? Are there any headwinds from input costs or manpower expenses that we should expect for FY '27?

Also, can you elaborate on the key drivers behind this margin expansion? Was it product mix, cost efficiencies or

prices?
?

Damodar Bhattad:
:

FY '26, as we told, we are maintaining the EBITDA margin of 27% for the current year. As far as the next financial is concerned, we will be giving our guidance when we meet next time.

So, we will be giving the guidance for FY '26

-
,
27 later on. Presently, we maintain the EBITDA margin of 27% for the current financial year.

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As r
egards to composition, it has different product mixes there.

That's how it plays to this slightly higher EBITDA margin in the up to December. But overall, for the current financial year, still we maintain the EBITDA margin of 27%.

Yes.

Manoj Jain:

And regarding the manpower expenses, as you have told, we are not anticipating much change in the manpower expenses, which is around 14% typically of our turnover. We will have more or less similar figures only. And as told earlier also, it is pay revision or this labour codes, et

c
etera
, are not
going to affect us too much
,

because w
e are more or less aligned with this labour codes also.

So, that as well as the pay revision, which may affect for 3 months, something extra. But because of our increased turnover and other parameters, we are not seeing much change in our manpower costs as a percentage of turnover.

And the key driver for better EBITDA margin typically is product mix.

But definitely the indigenization

, which we
keep
on increasing. Our value addition
is becoming more and more. Our
material cost in our overall turnover is reducing, although marginally slightly.

But it is in the
reduction side only. And that is mainly because of more and more indigeni
z
ation, more and more
involving our MSME friends. So,
because of that, little bit more push on positive side for the
EBITDA margins are there.

Jyoti Gupta:

S
ir
, one more question in terms of execution pay, which is seen in the
defense

electronics. Are there
any delays in project deliveries due to supply chain constraints or approvals? And if so, how is

BEL
mitigating those? In case there is anything for future products that you see or anything currently
which is there?

Manoj Jain:

Supp
ly chain management is the real job of companies like us, definitely. We are closely watching
it, closely monitoring it at various levels.

And
overall,

what we had seen last year
, I
ast year to this
year was much more comfortable for us. And next year to fo
llow, it will be much more better,
definitely.

So, this year also we are targeting around 95% of our items
,

we will deliver on time.
That is our internal target. And next year we wanted to make it 100%.

There are some supply chain related constraints
because of some of the items, especially
semiconductors and some rotary joints or some other critical items which are not manufactured in
India. So, there are some supply chain management related challenges
, b
ut we are foreseeing them
a bit before and tryi
ng to mitigate that a bit early.

So, that overall delivery to our customers is not
affected.

Jyoti Gupta:

Okay. Thank you so much, sir.

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Moderator:

Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher Capital. Please go ahead.

Amit Anwani:

Thank you.

My first question, sir, with respect to the order. So, this year since 9M is quite strong, we will definitely be doing more than
INR
27,000 crore
s

top line. And even on order inflow, we
have guided
INR
27,000 crore
s
.

So, just wanted to understand
y
ou have been, of course,
highlighting about at least 13
%

-
15% growth even for next 2

-
3 years. Just wanted to understand
apart from QRSAM, which is expected, to sustain growth you will be needing more than
INR
30,000

crores to INR
35,000

crores
intake.

So, does that give you confidence that we are going to have this kind of intake?

And are there any medium to large orders which you are expecting in next 12

-

18 months, which kind of ensures that you win more than INR 30,000 crores to INR 35,000 crores next financial year to sustain growth?

Manoj Jain:

Certainly. Once we have committed to you that we are going to have a growth of more than 15% year

-

on

-

year. So, that we have taken care of for next 3

-

4 years at least, what all are the expected orders in pipeline.

Based on that and their convergence timelines, based on that only we have given this confidence or this commitment to you.

So, there are so many projects in pipeline for next financial year

,

other than QRSAM. And we are closely watching that

,

and definitely it will be more than INR 25,000 crores

which we are seeing minimum other than QRSAM.

So, QRSAM itself we are hopeful that we may get by this year itself

,

by Q4 itself. Still we are more than 90% confident of getting that now itself.

Some few p

ercent chance only to spill over to Q1 of next year.

But we are putting all our efforts to see that QRSAM also comes this year itself. So, that will give me around INR

30

,000 to INR

32,000 crore additional orders in my kitty. But in addition to that minimum INR

25,000 plus crore
additional are already pipelined in next financial year.

So, we are confident that we will have steady growth of more than 15% in years to come.

Damodar Bhattad:

As regards to s
omebody has asked the query on other expenses from
quarter
to
quarter
and what is
the reason for decrease. Actually, cumulatively the other expenses have increased only.

For
quarter
-
on
-
quarter
last year the provisions were slightly more
,

because of which the other expenses are
decreased now. It is due to provisions decrease current year.

Quarter
-
on
-
quarter
there is a provision decrease.

Overall cumulatively for 9 months
,

total other
expenses have increased only.

Amit Anwani:

Yes, right
sir.
So, one clarification on NGC
,

you said we are accounting for
INR
3
,000 crores to
INR
4,000
crores
which is roughly about 25%. So, that
INR
10
,000 crores to INR
12,000
crores
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will be probably coming in H1

,

the remaining portion, right? Is that the right understanding for NGC?

Manoj Jain:

Yes, yes, yes.

Correct, correct. We will try to get it in Q1 of next year

,

but it may spill over to Q2 maximum. So, in H1 of next year we are hopeful to get remaining around INR 10,000 crores to INR 12,000 crore in next

year.

Amit Anwani:

Right. And lastly, since we had very strong margins and even the utilizations must be going up. So, what stops us to revise the guidance

,

because the ask rate for guidance at 27% for 4Q is only 25%.

So, are we expecting the product mix to be not favorable in 4Q or maybe next year as well? Because I think comfortably

,

we can do more than 28%

-

29%. So, what is stopping us to not revise that since we have already completed 9

-

10 months of the financial year?

Damodar Bhattad:

See, overall guidance for the current year has been given at 15%. So, quarter - on - quarter we have not given.

Amit Anwani:

Sir, EBITDA margin I was saying.

Damodar Bhattad:

EBITDA margin, yes, it will be around. Because see again as we told it is about the product mix only.

So, product mix has been most favorable up to December ,

and maybe slightly lesser favorable from this time on. So, we feel that the EBITDA margin will be maintained around 27%.

Manoj Jain:

It will not go below 27% ,

that much we are ensuring.

Damodar Bhattad:

Yes, yes, yes.

Manoj Jain:

I can assure you it will not go below 27% ,

which we started our year with ,

and we are continuously going towards that only. There should not be any doubt in the minds of you that it will be below 27%. That much we are ensuring.

Amit Anwani:

Yes.

Sir, last question on the EU deal. There has been a talk about defense cooperation in that document ,

and kind of synergy between the Indian players and export to Europe. So, any assessment you have done that leads you to some kind of product exports in Europe?

Manoj Jain:

It is too early to tell that right now.

But definitely it is opening up a new market for us. And there is
1
more thing, new joint research opportunities

also. Because I think they have told that there is a
big r
esearch fund also available with EU
,
where they want to have some joint development.

So, there are definitely companies like

BEL
who are R&D focused
,

and technology focused
companies. We will have good tie

-
ups for a good joint research and where we may expect some
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fund
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w also from research point of view. And research will definitely generate some more
business.

So, we are expecting more and more bu
siness from them. But today we have not
quantified that. Maybe when we meet in April, by that time we will quantify how much more is
there

,

and based on that only we will give you the better guidance for next year.

Amit Anwani:

Understood. Thank you so muc
h
,

sir

,

and all the best.

Moderator:

Thank you.

The next question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit:

Good evening

,

sir

,

and congratulations for a good set of numbers.

A couple of questions from my side.

The first one is essentially

,

recently we have been hearing a lot of shortage with respect to semiconductor chips as a result of which the prices have gone up significantly in the market. So, are you also seeing any impact of that in your bill of materials? And can you quantify for us what percentage of this semiconductor chips comprise?

Manoj Jain:

Semiconductor chips are very important component of

BEL designs

, n

o doubt on that. But knowing this shortage of chips and especially sometimes

1

particular type of chips are in shortage

. W

e had already made design efforts to make alternate designs. So, based on that

,

today we are not feeling that hit on because of shortage of chips.

So, our designs are now much more generic I should say like that.

So, we are not fore seeing

any major challenge for us because of availability of chips or chips shortage. And overall I think the chips

,

we are having almost total type of semiconductors are around 2000 plus type of different type of semiconductor and other chips are there in

our total
project portfolio.

And of course

,

we are there indigenizing a few of them. And few more we are expecting
Government to come out with some plans

,

with the help of other startups and others. And overall
we see that chips should not become a bottleneck for us in years to come.

So, we are coming out
with that type of a plan of indigenizing those chips. So, firstly we want to start with some critical
c
hips. We have already done some investment for
microwave

-

related

important chips.

So, we have
designed our own chips to avoid this type of shortages and this type of dependencies.

A few of digital chips also

,

fabless

designs we have done. And all the fabs
which are coming in
India

,

we have signed an MOU with them

,

and early engagement already started with them to
leverage on strengths of them manufacturing in India.

So, with these type of things we are
confident that chip

-

related issues or surprises should
not affect

BEL
that much. That much only I
can tell you at this point of time.

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Amit Dixit:

Sir, as a percentage of COGS how much would this chip cost be? Just a broad estimate.

Manoj Jain:

Out of the BOM, bill of material, let us say bill of material is 100. So, in that 100

,

around 20
%

to
30% typically will be semiconductor chips

-

typically
. Because remaining are some assembly, some other components, mechanical components, and testing.
.

All other things put together are there. But semiconductor chips, specialized semiconductor chips are of the order of this percentage.

Amit Dixit:

Okay, wonderful
, sir
.

Sir, second question is with respect to the execution this quarter. So, if you can break down the revenue broadly into the execution by platforms that would

be great.

Manoj Jain:

Previous quarter means Q3 or you are asking about Q4?

Amit Dixit:

Sir, Q3.

Manoj Jain:

Q3.
Major orders we have executed in Q3. Up to Q3 we have executed mainly LRSAM project, Him S hakti

Project
, Battlefield Surveillance Project,
Lynx
Fire Control Solution, Akash Army,
LRUs for LCA, Mark 1A, all the
the digital LRUs, and Shakti EW system.

These are the major orders which we have executed up to Q3, in which the 7 project itself would
have accounted for around
INR
5000 plus crore
s
.

Amit
Dixit:

Okay, and for Q4 what are the major platforms for execution?

Manoj Jain:

Plan
ned

for execution in Q4 are again LRSAM, Akash Army,
HimShakti
,
Arudhra
MPR will be
added in the kitty. D29 EW system we will supply a bit more
,

because last time in Q3 it was a bit
less number

.
Now around
INR
500 plus crore we may supply in Q4.

BMP
-
2 upgrade also now we will supply a big number. And LRUs for LCA definitely will
continue.

So,
this is around
INR
4
,000 crores to INR
5000 crore
s

come
s from these 6
-
7 major
projects in Q4.

Amit Dixit:

Understood sir. Thank you so much and all the best.

Moderator:

Thank you. The next question is from the line of Harshit Patel from

Equirus
Securities. Please go
ahead.

Harshit Patel:

Thank you very much
for the opportunity

,

sir.

Sir,

my first question is on the Akash
Missile

program. While it is under execution wherein Bharat Dynamics is the lead integrator and we supply
to them.

Why you have

n

o

t included Akash

Next Generation

in your near term or the nex

t

1

year

pipeline? What would be the size and probable timeline for this large project?

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Manoj Jain:

So,

as you have rightly told the Akash project which we are executing right now is called Akash
Prime. Lead bidder was BDL

,

and we are doing production of
that items

,

and some testing and

other integration, some other trials
, et cetera,
were done.

We are hopeful of executing more than
90% of that order before this financial year itself.

Akash

-

NG per se is the next

-

generation Akash for which trials are
already completed. Now the
process of A

0

N approval will be put up

,

and that's why we are not that much confident that by next
year end we may get.

It may spill over to
next

-

to

-

next

year.

So,

in

,

26

-

,

27 we may not get the confirmed order of that

,

but defin

itely

,

27

-

,

28 we have planned
that. If we are lucky

,

we may get in the Q4 of next year

,

but we know the process takes its own
time also.

So,

AoN,

and then approval

,

then RFP issuing to BEL. This one will be issued to

BEL

only not BDL.

So,

hoping may be Q4

of

,

26

-

,

27

,

else it will be in

,

27

-

,

28 only

,

we may get the order
for this.

Harshit Patel:

Understood, sir.

Just a small clarification. You said we will be the lead integrator for Akash

-

NG

and not BDL, right?

Manoj Jain:

Sorry, sorry.

It is not we will be, we want to be.

Okay.

Air Force

is we take, Army is by BDL.

So,

Akash Air Force. Akash

-

NG right now the requirement is from Air Force

,

so that's why we are the
lead bidder for this.

For Army also we want to be

,

but as of now Army

-

Akash

is handled by BDL. Akash Air Force is

led by BEL. Of course for QRSAM program Army and Air Force

,

both we are the lead bidder.

So,

that's why there is some small confusion happens sometimes

,

but Akash

-

NG we are the lead bidder

and that's why it will be ha

ndled by BEL

. A

nd
back
-
to
-
back
,

we will have arrangement with BDL
for the missile portion
S
.

Harshit Patel:

Sir, a
ny size
for
the program you can indicate?

Manoj Jain:

As of now
,

because again once A
O
N is done
,

then only the exact configuration will be finalized
,

because the configuration or the requirement keeps changing.
So,
how much quantity they want
,

based on that
,

but based on the present discussion it is of the order of
INR
2,500
crores
to
INR
3,000 crore
s,

as of now but when A
O
N will be done
,

before then that they will have their own
internal assessment about exact quantities which are required.

So,
it may var

y, may be generally on
the plus side only typically.

So,
right now the estimate is between
INR
2,

500
crores
to
INR
3,000
crore
s
.

Harshit Patel:

Understood.

Secondly, there seems to be a lot of delay in the order placement for Shatrughat and Samaghat electronic warfare systems

,

since these
2

have been in the development stage for a long
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time now. Any particular reason for the slow movement in these 2 programs and when do you think we will finally get this order?

Manoj Jain:

Let me tell you Shatrughat and Samaghat

,

both projects there were small delays because of the rigorous trials

,

et

c
etera
. but that
phase is over.

Trials were over, trials were successfully concluded

with the lead person is
DRDO and

well supported by BEL. After that RFP was issued to BEL. We
have given RFP response also.

So,
case is moving very, very fast. Cost audit also is done.
So,
we
are hoping out of the
2

programs

,

maybe one of the
programs

we may get this year itself by Q4.

Otherwise definitely they are in H1 of the next year, both the programs. But we are still trying

,

because things are moving in a really positive way, very, very fast way right now.

So,
we are
expecting one of the program

,

Shatrughat we may get order by Q4 of this year itself.

Otherwise of
course

,

both the programs definitely by H1 we are going to get,

that much I can assure you.

Harshit Patel:

Thank you very much for answering my questions.
And all the very best.

Moderator

:

Thank you.

The next question is from the line of Hardik Rawat from IIFL Capital. Please go ahead.

Hardik Rawat:

Thanks for the
opportunity

,

and congratulations team on another solid quarter.

Sir, I wanted to get
an understanding

,

based on our guidance of roughly
INR

27,000
odd crores,
and this was prior to
the EP getting approved. Now we are looking at a balance of around
INR
8,00
0
odd crores
of
inflows that are to
flow. Which systems in our expectations, what programs are going to constitute
this
INR
8,000
crores of balance
inflows?

Manoj Jain:

Mainly LCA order from HAL we are expecting very soon
, a
nytime because we have done
conclusion of price also.
So,
we may get that. That is our biggest order in this quarter

for us

.

As I told you, NGC and the Shatrughat, these
2

we are hoping to get by this year itself

. A
nd
remaining orders are there, 2
-

3 more,
bigger order of around
INR
1000 plus crore, we are confident
we will cross
INR
27,000 crore
s

without QR
SA
M, definitely.

Hardik Rawat:

Okay, sir.
If you could indicate the size of these
3

major orders that you mentioned, I understand
that for NGC you mentioned
INR
2
,000 crores to INR
3,000 crores in this current year, but for
Shatrughat and the LCA LRUs that you spoke about, any indication as to the size of these orders?

Manoj Jain:

Shatru
ghat will be around
INR
3,000 crore
s,

and LCA order also will be around
INR
2,400 crore
s

plus, roughly.

Hardik Rawat:

Got it, sir.
My second question was with
regard

to the provision
write
-
backs
that you mentioned in
this quarter, what could be the size of

these provision

write
-
backs
that you have done?

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Damodar Bhattad:

Provision
write
-
back

what you have done is overall
INR

256 crores.

Hardik Rawat:

Got it. Okay, sir.
I have more
questions;

I will get back
in the queue
.

Thank you so much.

Damodar Bhattad:

Okay
. T
hank you.

Moderator:

Thank you. The next question is from the line of
Kavish Parekh
from B
&
K Securities. Please go
ahead.

Kavish Parekh:

Hi, good evening. Thanks for the opportunity
,

and congratulations on
a great set of numbers. My
question is with

respect to the QR
S
AM project.

So, could you please break down the total project
cost into key components and who will be the key suppliers for the same? For instance, missiles go
to BDL. It would be great if you could quantify the same
,

and also mention w
hat would be the
order values for vehicles, launchers, et

c
etera
. and how much of the content will be handled by
BDL in
-
house?

Manoj Jain:

QR
S
AM is a very complex project
,

consisting of various big, big subsystems

. A
nd missile is of
course the largest
subsystem
, a
nd missile will go to BDL from
BEL
.

So,

BEL
will place an order.
Once we receive the order, we will place an order to BDL about the missile

. A
nd missile order
itself will be roughly around 30% of the total order value, roughly

,

I am telling you
. So, that will be
there
.

A
nd we will see what else we can share with you

,

but remaining orders will be executed by

BEL

,

and definitely we have our large ecosystem of industry partners for QR
S
AM program.

S
o, we
jointly with them definitely will execute
the remaining portion which is around 70%, you can say,
will be executed by

BEL
with the other industry partners of

BEL
. A
nd BDL is our of course the
largest partner in that way

,

because the missile comes from
them
. Of course, in missile also some of
the s
ubsystems we will jointly make. Some of the electronic subsystems also we will jointly make

,

that is the agreement between

BEL
and BDL.

So, overall this program will definitely give a boost

,

not only to

BEL
and BDL, it will give a major
boost to all the ma
jor industries in India.

Kavish Parekh:

But within that 70% could you quantify how much would be handled by
BEL
in
-
house?

Manoj Jain:

As such we do

n
o
t want to quantify at this stage
,

because once we receive the confirmed order with
exact quantities
,
then
only we can say this much portion is going to L&T or this much portion is
going to other vendor
,

et

c
etera,

like that.

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Today we cannot tell you that
,

but definitely it is based on the approved vendor list of DRDO.
Because it is a DRDO developed project

,

where some vendors for some line items also are defined
by DRDO

,

and as per the configuration list given by them only the orders will be placed among
those approved vendors which DRDO has finalized.

Overall integration definitely will be done by

BEL

,

and overall offering as integrated system will
be done by
BEL

.

So, that is as per the agreed philosophy between

BEL
and DRDO. It is as per the
LATOT document

,

which is signed between

BEL
and DRDO

. T

that type of arrangement is there

,

and that is common to all
DRDO projects. So, in every DRDO projects

,

in the LATOT document

,

they will quantify the total configuration list of major subsystems

,

and those subsystems we have to
take from those vendors.

In QRSAM program

,

because it is a very large program

,

DRDO and

BEL
jointly have developed
not only single vendor

,

in most of the line items we have developed alternate vendors also. So,
because of that we hope that any surge capacity which is required for this program will be

sufficiently handled. So, this is done as

per the configuration list

,

which is finally given by DRDO
to us.

Based on that only we will give this individual line item or some modules related orders to
different stakeholders.

Kavish Parekh:

Understood, understood. And following up on QRSAM

,

once the project enters execution in FY '28
or

,

29, I understand the execution will be spread over 4 to 6 years.

What sort of a margin impact

d

o

you anticipate here

,

considering a large part of the program sort of gets outsourced?

Manoj Jain:

No, no, no.

It will be more or

less similar like Akash

,

which we are handling. Something like that
only

,

outsourcing will be more or less similar in QRSAM program.

So, we are anticipating what
type of margins will be there in this program definitely

. A

nd when we will

come out with year

-

on

-

year guidance

,

at that time we will see how much QRSAM will contribute to that

,

and based on that
only we will give you the overall guidance in that year projections.

Kavish Parekh:

Understood, understood.

Lastly,

sir on exports, any key export opportunities that you see over the
next 12

to 18 months?

Manoj Jain
:

Definitely

,
export opportunities are there in all the areas of
BEL
's

operation and we are doing a
focused attempt to increase our export turnover from pre
sently
3%
to
4%
to
5%
in near future and
overall
10%
in a long

-
term.
So,
that is our plan or vision.

F
ew orders which we are expecting in Q4
are related to Satellite Communication Equipment, Communication Equipment, the TR
M
odules
which we are regularly ge
tting from France, the
Data Link
projects and operationalization of our
Coastal Surveillance systems for various countries.

So

,

these are some of the major leads
,
which
will convert into
reality

in Q4.

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Kavish Parekh:

Understood. Then on the non

-
defense

side
,

I think the medium to longer

-
term guidance
our
aspiration is to have the mix split in say 10
:90

between non
-
defense

and
defense
. Any key
incremental opportunities that you see on the non
-
defense

side to be materialized over the next
,
again 12
months

to 18 months?

Manoj Jain
:

Certainly,

as you also told
,
right now our non
-
defense

is around
6%, 7%
type of thing only

,
which
we want to definitely cross
(
+10%
)

in near future and long
-
term our aim is to make it 15
%

and
beyond.
So,
for that continuous
efforts are being done
,
especially

in
R
ailway and
M
etro segment
we have got good leads

,
KAVACH
program is going in right direction. Our CBDC program also is
coming to almost a finishing touch and PSD platform

, S
creen
D
oors we have got some orders and
some
more good leads are there for us
. S
o

,
that is related to
R
ail and
M
etro.

In addition

,
we have got very good leads and very good orders related to Airport Authority
,

means
aviation sector. From HAL we received the order, from Airport Authority we have rec
eived orders
,

and many more orders are in pipeline related to Airport Authority, related to radar, related to our
Air Traffic Management System and other related subjects.

So,
these two itself will give us a very
good lead in non

-
defense
. A
nd
space

will be partially
defense

,
partially non
-
defense

for us
,

so that
also will give some contribution for non
-
defense

segment for us.

So,
these three are the main
sectors

where we are aiming right now big leads

. A
nd of course
,

our
cyber security business
,

da
ta center type of business also will give us reasonably good non
-
defense

leads.
So,
put together
,

these we are confident that in near future we will try to cross 10
%

of our
turnover through these non
-
defense

leads.

Kavish Parekh:

Go
t it, sir, All the very
best. T
hank you so much
. A
ppreciate it.

Moderator
:

Thank you. The next question is from the line of Mohit Pandey from Citi. Please go ahead.

Mohit Pandey
:

Yes. G
ood evening
,
sir.
Sir,
first question is on the data center opportunity
. S

o
,
if you can
elaborate
on what exactly is our offering here? I understand
,

this year an order has also been won right?

Manoj Jain
:

Yes,
orders what we have won is a few hundred crores
,

which is not our aim. Our aim is to quickly
get a few thousands of crores in this da
ta center business

. A
nd main aim is that we wanted t

o give a
secure data center solution and combined not only as a data center as a combined value

-
added
solution with the AI cyber security and other components built into these digital platforms.

So,
we
wa
nted to give a comprehensive package around data centers
,

so that is our aim and we have done
some good beginning right now

. B
ut
it is
still a long way to go to reach a sizable portion around
,

O
ur aim is minimum
INR (
+1,000
)

crore

next year onwards from data center type of business

.
So,
that is our aim

and a few hundred crores is not sufficient for us
,

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So,
we are working out a unique solution
,
because data center you know there are so many private
players
,
so many other OEMs are
there who are directly selling these solutions.

So

,
our solution
should be unique

.
So,
we are working on how to make it unique. We are working out with some
start

-
ups also in this domain

,
who are having some unique ideas in this solution

,
especially

,
AI
re
lated some unique ideas are there

,
which can be exploited through the data centers.

So,
we are
working out various combinations with them

. A
nd hopeful to get unique solutions in this domain
for
BEL
to sustain.

Mohit Pandey:

Understood

,
sir

. A
nd who are the

target customers here are these government data centers or
yes?

Manoj Jain

:

Yes,
mostly government only
. S
tate government and central government related activities only
. W
e
do not
want to go to the general public or general private and OEMs
,
etc. We are
having good leads
in various state governments also.

Mohit Pandey:

Sure
,
sir.
So,
second question is on margins
,
so I wanted to understand
,

if commodity cost
movements around copper, aluminum, silver
,
etc. what kind of impact they may have on our
margins i
n the coming quarters if at all?

Manoj Jain

:

We are not anticipating much because of these metals

. B
ecause firstly
,
ours is a semiconductor or
electronics company
,
where material
,
these variety
does not
impact us that much
. M
aybe overall in
our materials
,
maybe 5% or so
,

maybe coming from so
-
called materials for us. So

,

I
do not
see any
major change for us as a company.
MIDHANI

or some other company definitely it may affect

,

but

not

BEL

.

BEL

is more affected by

semiconductors

,

and that I already explained

,

semiconductor we

have come up with our own plans to mitigate the risk.

Mohit Pandey:

Yes. U

nderstood

,

sir

. A

iso

,

with regards to semiconductors

,

and overall

,

what kind of

price

variation clauses

,

are you able to pass on any unexpected increases to end cus

tomers is that possible

in our business?

Manoj Jain

:

Yes

, W

e are having this ERV clauses

,

so exchange rate variation clauses in most of our orders with

our

defense

forces

. A

nd that

,

indirectly covers all the semiconductors also.

Mohit Pandey:

Understood

, S

ir. A

nd sir

,

last question again is on margins

.
So,
I understand
,

most of the
defense

orders are currently on nomination basis and my understanding was for most orders margin profile would be similar

.
So,
just wanted to
understand

how product
mix
impact

,
is it because
indigenization levels are at different levels across different products or how should one understand that?

Manoj Jain
:

Yes
,
indigenization levels also are different
. S
ome of the products we have I see content of around
50
%

to 60
%. I
n some of
the projects it is 80
%,
some of
the projects
even it is touching 90
%

also
.
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A
nd secondly

,
some of the projects we are doing value addition of the order of 30
%

to 40
%,

means
we are assembling a card
,

assembli
ng system
,

subsystem
,
system and then making a sys
tem of
system
. I
n some of them
,

we are system
integrators

only
.
So,
in the system integrator projects
,
our
own value addition will be less
,

so our own margins will be less
.

So,
that

i
s why as told by the
D
irector of
F
inance also
,

our product mix is really big and it is a big
AI algorithm
,
which finally decides what should be our margins in this year based on the
products

which

we are going to sell this year

. I

t is a very

-

very complex equation let me tell you

. I

t is not

very easy

to comprehend with

(+

350

)

products and products of products or systems and systems of systems

,
calculating exactly what will be the final margins for me is a really a tough exercise and that we do typically every quarter only

,

we

cannot

do every day

. I

t is

a very

-

very complex

.

So,

based on

that only

we give you an indication about what will be my margins this year

.

Mohit Pandey:

S

ure

, S

ir

. A

nd last question is

,

overall and on aggregate basis what would be the indigenization level now

,

any ballpark number

that is possible to share

?

Manoj Jain

:

A

gain

, I

told you

,

it is varying from 50

%

to almost 90
%

or
(
+90%
)

in some of the programs it is
like that

.
So,
average you can say
,

50 plus 90 divided by 2
,
around 70
%

to 73
%

may be the overall
indigenization level
.

Mohit Pandey:

S
ure
,
sir
. O
kay
,
sir
. T
hank you so much and congratulations
,
again
. A
nd wish you all the

best.
Thank you.

Manoj Jain
:

Thank you.

Moderator
:

Thank you. The
next question is from the line of
Dipen Vakil
from
PhillipCapital
. P
lease go ahead
.

Dipen Vakil
:

Hi, sir.

T

Thank you for this opportunity and congratulations on a great set of numbers

. Sir,

my

question is

,

so first

,

can you provide us with a break

-

up of your current order book

? S

o

,

you have

an order book of close to around

INR

73

,

000 crore

,

so what would be the major

orders in that order

book

?

Manoj Jain:

Yes,

certainly

, I

will tell you

. A

s on 1st

J

anuary 2026

,

the major order book consists of electronics

users

,

because we got the order for 10 years requirement for them and

LRSAM

,

BMP II

Upgrade

,

A

kash

A

rmy

, A

shwini

Radar

, MPR

Arudhra Radar

and

EW Suite

for

Mi

-

17 V5

. S

0

,
these seven

projects will constitute around

INR

(

+20,000

)

crores

.

So,

major projects are these and out of that

first project only is for eight more years now

,
remaining pr
jects

,

like

LRSAM

is now

1 year

-

1.5

years more we have to execute

,

BMP II

,

all other projects are typically

for next two years we will

execute also

.

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Dipen Vakil

:

Got it, sir. Sir and

for those smaller value orders

,
so the less than
INR
1

,
000 crore
orders that we
can get on a recurring basis

,
what is the likely execution period for those smaller orders like
,

is it
like within the executed during the same year or what

would be the general idea for that
?

Manoj Jain:

No,
those orders typically are 12 mo
nths to 18 months typically
,

sometime only 24 months
. B
ut
less than 24 months

,
definitely these smaller orders
typically are.

Dipen Vakil:

Got it, sir.

So,
the
INR
7

,
000 crore or
INR
8

,
000 crore additional order in
-
flow

,
so you gave us two
-

three names
on the major acquisition that are pending
. S
o

,
is there a chance to surpass on the
INR
27

,
000
crores
with the help of emergency procurement and the smaller value order

or
I
think
INR
27

,
000 crore is on the

upper end side of the guidance?

Manoj Jain
:

No. T
hat much a
gain

I
can assure you
INR
27

,
000
crores
we are going to cross
. H
ow much more
that depends upon the last minute surprises

,
and the
Q
4 w

hether we will get some more bigger
order out of this in
Q4,
or they may spill over to
H1.

So,
that is the only
suspense for us
. B
ut we are
confident

,
based on large orders movement as well as
,

so many more small orders are in pipeline
for us

.
So,
we are going to cross
INR
27

,
000 crore that much
I
can confidently tell you
. H
ow much
more
? T
oday
, I cannot
tell you and if at all we
do not

cross too much

,
it will be in the
H1
that much
will be there

,
because the good progress is already done on

these major leads for us

.

Dipen Vakil:

G
ot it
,
sir
. S
o
, okay,

I will
get back on the queue
. T
hank you so much for a
nswering my question
and all the best
,

Manoj Jain:

Okay.

Moderator
:

Thank you. The next
question is from the line of
Atul Tiwari

from
J.P. Morgan
. P
lease go ahead
,

Atul Tiwari
:

Yes. T
hanks a lot

and congrats on
, yet
again

,
very strong set of numbers
. Sir
my question is on your
bid for A
M
CA project in conversion with L&T
,

so where we are in that process as of now

? A

nd

when can we expect some kind of definite movement and selection of the partner who will make product for AMCA?

Manoj Jain

:

A

s you may be know

ing

,

and

I

think the last time we told

I

believe

,

that we have partnered with

L&T for that and L&T is the lead bidder

.

So,

right now

,

it was only the E

o

I response

. S

o

,

E

o

I

response we

had

submitted

. A

ll the

Eol

responses are evaluated by a high

powered com

mittee in

MoD. W

e are confident that we will be one of the selected bidder

. A

nd soon we will get RFP

.

H

opefully

,

my estimate is around mid of

F

ebruary

,

we may get the RFP and then they may give us

some reasonable time to respond to

the RFP.

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A
s of now
, I
am confident based on the strengths of
BEL
and L&T that we will be the strongest
bidder in that particular RFP

. T
hat much only
I
can tell you

,
but exact
English

or RFP also
I do not
know

.
So,
what will come in RFP

,
but based on the strength of
BEL
and L&T
we are confident that
we will be the strongest bidder for this program and we will get this program
.

Atul Tiwari
:

And sir,
my second question is on prospects for large orders

.
So,
QR
S
AM and MG
C

order we
know
. B
ut except for these two
,
what are some of the

larger orders that we can expect over next

two
years
-

three years
?

Manoj Jain
:

There

are multiple such programs

,
definitely are there for us
,

for next two
years
-

three years

. B

ut

one of the largest program where we are working right now with good investment is that

Kusha

program which is the indigenous

S

-

400

.

So,

there we are working and we will expect something

like

QRSAM

type of order only

. W

hen that project rectifies

,

so it m

ay take almost three years

roughly to get that order

,

so maybe around

20

28

-

20

29 or so

,

we may get that big order

. B

ut in

addition

,

there are some

INR

(

+3,000

)

crore

or
INR
(
+4,000
)

crore

,
some 8 to 10 big programs
which we are expecting next year and
next to next year
.

So,
there is a long list of those
programs,

and we are confident we may get a sizable portion of
those programs in next and next to next year
.

So,
we have our own plans of total type of leads for
these programs to maintain this growth
of

(
+15%
)

and good progress is there on all those programs
.

M
any of the programs the R&D phase is already over
.
N
ow

,
it is in the paper evaluation and
processing related things only are going on
.

So,
we are having very good confidence to get them in
next o
ne
year
or one two years

Atul Tiwari:

G
reat
,
sir
.
T
hank you
.
T
hanks a lot
.

Moderator
:

T
hank you

. The
next question is from the line of
Sumit Kishore

fro

m Axis Capital. P
lease go
ahead

.

Sumit Kishore
:

Good

evening and thanks for the opportunity

. T
wo
questions

,
the first one is again on other
expenses

. F
or the
nine
-
month

FY
20
26
-
and
-
nine
-
month

FY 20
25
period,
could you please quantify
what is the extent of non
-
linear provision in the other expenses
? That is my first question.

Damodar Bhattad
:

Other
expenses for the nine months has increased from
INR
1
,
158
crores
to
INR
1
,
280
crores,
okay
. I
n that

,
major reason is provision towards doubtful debts

,
which is around
INR
110 crores is
the increase

,
it

is
INR
709
crores
current year

,
as against
INR
598
cro
res
last year
. I
mean

,

other
expenses increased by
INR
100 crores because of this provision

,

major is that only
.

Sumit Kishore
:

And the provision
for doubtful deb
t,

are there any other large provision
?

What is the total
provision
?

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Damodar Bhattad
:

T
otal provision is 709 for the
9

months
ended D
ecember

Sumit Kishore
:

S
o actually then
,

the other expenses have gone up even lesser than the 10.5
?

Damodar Bhattad
:

M
ainly due to the

provisions only
.

Whatever increase we are seeing is on account of provisio
ns

It
was
INR
1

,
158 last year
INR
1

,
280 current year and
INR
110 crores is on account of provision

So
it

i
s almost same
.

Sumit Kishore
:

T
here is massive operating leverage which is playing out

.

Ye
s.

That

i
s quite good

.

The second one
is on other income

.

The other income for the
9

-

month period is down about
(Inaudible)

52.08

so
how your cash position and what element of treasury decline is there or so

what is explaining the
other income decline
?

Damodar Bhattad
:

O
ther income decline is
,

the interest income is slightly less as compared to last year

.

I
nterest
income has decreased from around
INR
472 crores to
INR
416 crores

.

As you know

,

generally
there has been a decrease in interest rates also

.

Average yield has also decreased on the dep
osit

.

So
that is one major
reason on
account of that

.

So that is why the other income has slightly decreased

.

I
n addition to that last year

,

there are some
FE

gains which is not there now because the rupee has
depreciated current year

.

Sumit Kishore

:

Got i
t

.

And what is your cash position at the

end of cash and bank balance as of
9

month
FY '26
end?

Damodar Bhattad

:

C
ash
position

is reasonably

good at
INR
7

,

000 plus crores

.

Sumit Kishore

:

T
hank you so much

,

sir

.

Damodar Bhattad

:

R
ight

.

Moderator

:

Thank you.

The next question is from the line of

V

ikas

Singh from ICICI S

ecurities

.

Please go

ahead

.

Vikas Singh

:

H

i

,

sir

.

Good evening and thank you for

the opportunity

.

S

ir,

just wanted to understand our

R&D

CAPEX

which we are doing this year and given we are participating in so many program

,

how

should we look at our

R&D

expenditure going forward as well because obviously this should go

up

,

so if you could give us some insight

into it

?

Manoj Jain

:

Y

e

s. T

his

R&D

CA

PEX

means

R&D

expenditure total

,

R&D

expenditure has

2

components

,

one is

r

evenue and one is

CAPEX,

CAPEX

requirement of the

R&D

community means the test

instrument and other infrastructure

.

So put together itself we will call it as a total

R&D

expenditure

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for us

.

That last year

,

it was

INR

1

,

468 crore or so

.

This year

,

our target is crossing

INR

1

,

700 plus

crore

s

and next year

,

it will be more than

INR

2

,

000 crore

s.

So overall

,

now

,

we wanted to have

almost 20

% plus

increase

year

-

on

-

yea

r on our

R&D

expenses

,

because we know the overall

requirement of indigenization is increasing

,

overall requirement of new technology development is

increasing

.

We are also diversifying into new and new areas and these new areas require more

R&D

resources

.

So we are k

eeping on increasing our

R&D

budget as well as our

R&D

manpower

also

.

So today

,

we are having more than 3200 plus
R&D

engineers

.

In last one year itself

,

we have
added almost 700

-

1000
R&D

engineers in our
R&D

manpower and we will continuously increase
furt
her for diverse
R&D

areas where we are working

.

So overall

,

we know
, you also may be
knowing that BEL

is a
R&D

focused company with the three

-

tier
R&D,

so definitely we are going
to increase our expenditure or technically it is an investment

,

not expenditu
re

.

R&D

investments we
are going to increase in a very sizable way

,

minimum 20
% year

-

on

-

year
growth investment we
have committed

now

.

I
t will be more than 20 only
I

can assure you

.

Vikas Singh

:

N
oted

,

sir
. And sir,
just one question

,

just a repeat of a previous participant
, in terms of AMCA, I

know we are usually
3

people who are there

.

I
n case of whatever the order comes if we are
,

so what
percentage would be supplied by us
?

So let

u
s say

,

what is the percentage that probably would h
ave
already been settled between you three people

who are bidding for the
AMCA,

right
?

Manoj Jain

:

N
o
,

the thing is

,

let me tell you

AMCA,

right now

,

there are multiple consortiums

.

So

5

or

6

or

7

consortiums have participated in

EOI.

Hopefully

,

in

RFP

may

be issued to

3

or

4

only because they

cannot evaluate too many fellows so

I a

m guessing that

,

but after

RFP

then there will be

L1

discovery

,

technical evaluation and then

L1

discovery

.

We are confident of qualifying technical and

we are confident that we will be

L1.

Once we are

L1

between

BEL

and
L&T,

we have arrived at
some work share arrangement between both of us

.

L&T

has back

-

end arrangement with the third
partner

.

So that his porti
on some of the execution will be done by the third partner

.

Our portion as
of now we are free to work with that third partner or not

,

but right now the commitment is between
L&T

and the third partner

,

not directly between us and third partner

,

but seeing t
he project
progres
s,

seeing the strength at that point of time

,

we may share some of our work share also to our
third partner

. I

hope
I have answered your question.

Vikas Singh
:

Y
es
, sir. I

just wanted to know the currently work share percentage is divided

without the third
partner divided

,

what percentage yours
?

Manoj Jain
:

I
t is more or less 50
-
50 because

we told 50
-
50 is the overall investment
,

50
-
50 will be the more or
less work share between both the lead bidders
.

So
L&T

and
BEL,

it is more or less 50
-
50 because
investments and everything has to go together only
.

You can't have investment more and that work
share less
. S
o right now
,

everything is 50
-
50
.

Vikas Singh
:

Noted
,

sir
.

That

i
s all for my side
.

Thank you and all the best
.

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2
3

Moderator
:

Thank you.

T
he next question is from the line of B
h
alchandra Vasant Shinde from Motilal

Mutual
Funds. Please go ahead.

Bhalchandra V. Shinde
:

Go
od evening
,

sir
.

Congrats for good
set of
results
. Sir,
in overall scheme of things in larger
programs
,

post
FY '2
7
,

what is the visibility like what kind of a pipeline we are working so that we

wi
ll be able to maintain
INR
25
,

000
-
INR
30,000

crore

s

kind of
order in
flows over next

3

-

5

years

?

Manoj Jain

:

T

hese all projects

, I

can't tell you today because some of the proje
cts are multi

-

vendor also

.

Many

projects are definitely nomination basis because of our continuous efforts which we have done over
last

5

plus years to develop the critical technology modules for those programs

.

So we are confident

overall

.

There is a big

list of projects for us

.

I

n that a list of almost 30

plus

items are there which are

minimum

INR 1,000

plus crore business for us in next few years

.

So that is a big list and we have

done a reasonably good

R&D

already for them and as

I

told

K

usha is one

such program where we

have done very good investment further and we are hoping it will be another QRSAM for us

.

So

these type of a

2

-

3

big programs definitely will take care of a big order book at the end of the year
and then this smaller

INR 1,000, INR 2,
000, INR 3,000, INR 4,000

crore worth of orders

,

definitely

will take care of our overall growth of more than 15

%.

Bhalchandra V. Shinde:

A

nd sir

,

whenever a new orders

like QRSAM

,

K

usha program starts executing

,

is it fair to assume

that our margins will

have some dilution because there the indigenization component will be at the
lowest level and over a period of time

,

you ramp up in the indigenization

?

Manoj Jain

:

N

o

,

let me tell you

.

These

programs are 100

%

indigenous

.

The QRSAM or

K

usha programs are

100

%

indigenous except the ICs and other things

,

semiconductors

,

So overall indigenization level
in this program is good

,

however

,

because this program

,

we will play slightly higher end role

,

the
system integrator role

,

so the profit actually will be shared by large industry partners

,

MSME
partners also

,

So we may have slightly lesser margins in this project

,

but overall projects will be
very good profitable for company and for our MSME and other partners

,

So definitely

,

that

i
s why
we told now we have a mix

,

some projects we are working as a system integrator

,

some projects we
are working from ground up like at component level or subsystem level also

,

So our value addition
varies from

, I

told you around 40

%

-

45

%

to someth
ing like 10

%

-

15
%

depending upon the type of
program

.

So because of that our EBITDA margins etc

..

that

i

s why

I

told it is a complex equation
and that

i

s why average only we told last year there

i

s 27

%

and this year also we are sticking on to
27

.

Next year

,

A

pril

,

we will come back to you with our guidance for next year based on that year
product mix and what type of products are there and what type of value addition in each product
which we are anticipating in those programs

.

So based on that we will decide

and let me tell you in
these programs of QRSAM

,

K

usha

,

etc

..

because they are 100
%

indigenous

,

definitely it will be
much more cost effective for us as well as for our users

.

Bhalchandra V. Shinde

:

G
ot it
. Thank you, sir.

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Moderator
:

Thank you
.

The next question is from the line of Prathamesh Rane from
E
lara

S
ecurities
.

Please go
ahead
.

Prathamesh Rane
:

S
o
congratulations on a
great set of numbers
,

sir
. J
ust two questions from my side
, what could be
the U
t
t
am radar update for 97 numbers and
w

hen

would we expect the order
?

Manoj Jain
:

U
ttam radar right now as a radar is

handled by

HAL

and only subsystem level
,

the triple
AU

level
only
,

we are one of the vendor
s.

But decision about how many of
U
ttam radars will go or not
whether in this 97
,

full 97 will be
U
ttam radar only
,

that decision is being taken by
HAL

in
conjunction with our
DR
DO

friends means
ADA.

So
ADA and HAL

jointly are deciding how
many of these 97 numbers order will be supplied with
U
ttam
,

how many will be with foreign radar
or mix of these two
,

we are not a party to that
.

Once
HAL

finalizes the configuration

,

at the time
only

,

they will ask for a bid for this triple
AU

which is the most complicated subsystem or most
costly subsystem of thi
s and then only we will come to know and we will quantify

.

As on today

,

we
have not added that in our kitty of this immediate market leads because we are not sure about
configuration finalization by
HAL

still

.

So the day they finalize and then they issue

R
FP,

after that
only we can plan

.

Prathamesh Rane

:

A
nd one last question

.

On 52 military sa
tellite order what would be BEL's

scope

in that
?

Manoj Jain

:

A
s of now

,

military satellite we are not in business

,

so we are in the prototyping or coming out with
som
e unique solutions

.

So we are tying up with some of the startups and some

of the even foreign

OEM

s also

,

we are tied up

.

So we are coming out with a unique proposition for this military satellites and then only we wanted to bid

. So

right now

,

it is a bit early to tell how much of this share we will get

,

but we have done reasonably good progress in coming out with a unique solution for this jointly with our startup and other industry partner

S.

And once we offer that solution to our military friends

,

then only we can quantify how much of this share can come to us

.

Today

,

it is a bit early to commit

.

Prathamesh Rane

:

Sure

,

sir

.

Thank you,

sir

.

Manoj Jain

:

M

a

,

am

,

it is already

5.

Management
:

M
aximum one last question
,

ma
,
am
.

Moderator
:

We wi
ll be t
aking one last question
,

si
r.

Manoj Jain
:

Yes.

Moderator
:

S
o the next question is from the line of
B
alasubramania
n

from
A
rihant
C
apital
.

Please go ahead
.

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Balasubramanian
:

Good evening

,

sir

.

Thank

you so much for the opportunity

.

Sir

,

indigen
iz
ation is
slowest in urban
systems

.

What specific components are still imported and what is the roadmap for substitutions

.

And how we are leveraging
DRDO

partnership to accelerate indigenous development in sensors
radars and

EW
systems
?

Thank you.

Manoj Jain
:

Yes,

D
RDO

is continuously developing sensors
, EW

systems

,

etc

..,

but as you have told already that
airborne system there is a challenge of testing

,

certification etc

.,

so it takes its own time

.

I

f some of
the subsystems are already proven in some foreign
platforms

,

then we are tempted to use them also
till our own indigenous systems are matured

,

but

I

can tell you more than 70

%

-

80

%

of airborne
sensors are now of indigenous origin

,

but definitely a few are still of foreign origin because they are
already te
sted somewhere in some other platforms

.

So those particular systems which are already
inducted there which we are also taking

,

there we are going at module level indigenization

.

So that
activity is going on and definitely

,

all airborne subsystems we wanted

finally to be only indigenous

.

We are maybe around 70

%

or more already indigenized

,

but there is still some gap which we are
bridging either by efforts of our own

,

ours
plus
DRDO plus
other industry partners

.

So there is a
slightly more complex problem in

airborne segment and we are trying to attack it jointly and
various programs are going on at
BEL,

at
DRDO

and at our industry partners also
.

Balasubramanian
:

G
ot it
,

sir
.

Thank you.

Moderator
:

Thank you.

In the interest of time
,

that was the last question
.
I
would now like to hand the
conference over to the management for closing com
ments
.

Manoj Jain
:

Thank you all
.
A
s you have seen
,

till
Q3

we have gone reasonably good and
I

hope we have met the
expectation of you all
.

And as we started the year
,

we want to see that year end will be with the
figures which we had committed to you means revenue growth more than 15
%,

EBITDA margin
definitely more than 27
%,

order inflow
INR
27,000 crore
s

plus
,

R&D

investment although we told
INR
1
,
600 crore
,

but
I

am
confident we may cross
INR
1
,
700 but at least
INR
1
,
600 plus definitely
we are going to be there
,

CAPEX
INR
1
,
000 crore and defense non
-
defense business of 90 to 10
.

So these are our guidance as future and we are hopeful to exceed that only
.

That is a brie
f

summary
from my side
.

Moderator
:

O
n behalf of
M
otilal
O
swal
F

inancial
Services L
imited
,

that concludes this conference
.

Thank you
for joining us and you may now disconnect your line
s.

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Call: May 2026

t
/
To
,
SPF
)
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%
.
National
Stock
Exchange
of
India
Ltd
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H
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fill
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^
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1
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®
?
ITT
^
ft
,
Exchange
Plaza
,
C
-
I
,
Block
G
,
TTST
-
^
prf
TTFT
^
W
,
TRT
^
Bandra
Kurla
Complex
Bandra
,
East
,
g
=
rf
,
R

^
Klg
-
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Moderator:

Ladies and gentlemen, good day, and welcome to Bharat Electronics Limited Q4
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Earnings Conference Call
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hosted by ICICI Securities Limited.

This conference call may contain certain forward

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looking statements about the company,
which are based on belie
fs, opinions and expectations of the company as on date of this call.

These statements are not a guarantee of future performance and involve risks and uncertainties
that are difficult to predict.

As a reminder, all participant lines will be in listen
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mode and there will be an opportunity
for you to ask questions after the presentation concludes.

Should you need assistance during
the conference

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phone.

I now hand the conferenc

e over to Mr. Vikash Singh from ICICI Securities Limited. Thank

you, and over to you, sir.

Vikash Singh

:

Thank you, Ria. Good evening, everyone, and welcome to today's Q4

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Call. From the management side, we have with us Mr. Manoj

Jain, Chairman and

Managing Director; Mr. Damodar Bhattad, Director

of

Finance and CFO; and Mr.

S.

Sreenivas, Company Secretary.

Without taking any much time, I'll hand over to Chairman sir for his opening remarks. Over to you, sir.

Manoj Jain

:

Thank you.

So,

Manoj Jain, CMD, BEL this side. So firstly, I will talk about the financial highlights of financial year '25

-

'26.

So,

the revenue from operations has increased to

INR

27,480 crores in '25

-

'26 as compared to

INR

23,658 crores previous year with

a growth of

16%.

The profit before tax increased to

INR

8,075 crores in '25

-

'26 as compared to

INR

7,090 crores

previous year with a growth of 14%. The profit after tax increased to

INR
6,048 crores in '25
-
'26 as compared to
INR
5,288 crores in the previous year, with a growth of 14%.

The EBITDA has increased to 30% in '25

-
'26 as compared to 29% in '24
-

'25. The earnings per share also increased to
INR
8.27 in '25
-

'26 as compared to
INR
7.23 in year '24
-

'25. The order book position as on 01/04/2026 is

INR
73,882 crores and order acquired till 31st March 2026 in the previous year was

INR
30,045 crores. This is a brief financial highlight of financial year '25
-

'26.

As we told in the beginning of the year about the guidance, we have met all the guidance parameters in the last financial year. Thank you from my side as the opening remarks.

Moderator:

Thank you very much.

We will now begin the question

-
and
-
answer session.

First question is from the line of Mr. Amit Dixit from GS.

Amit Dixit:

Congratulations for a good set of numbers, sir. A couple of questions from my side. The first question is essentially that the new orders that we are seeing in defense electronics, particularly

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centered around new age technologies, quantum computing, drone, etcetera. So how do you see B
EL developing capabilities for that?

Is it that we are cultivating a system of start

-

ups kind of working with them to ensure that we
get those technologies or we are working with our ecosystem of other subcontractors,
established subcontractors, the
unlisted or listed companies in this space.

I just wanted to
understand your thought process around it, the kind of
capex
that it would involve and how
you are building capabilities for these kind of o
rders that are expected to flow?
[Inaudible
0:04:43]

Ye
s, sure, I will.
So,

sir, my question was that in the view of the recent orders and
developments in the defense electronics space, particularly some of the orders that we have
also got in the field of drone electronics, the new age technologies, quantum co
mputing.

I just wanted to understand that how
--

and BEL we are developing capabilities for that,

whether it is in

-

house training or whether you are cultivating a system of startup

,

cultivating

those kind of companies that are in new technologies?

Or is

it through the tried and tested

mode, the subcontractors that we already have

,

and

the kind of

capex

that would be entailed

?

So just want to understand your broad thought process around this? That is the first question.

Manoj Jain

:

Yes, I heard your questi

on properly now.

So,

these cutting

-

edge technologies, they have to

develop it in part of all the collaboration partners.

So,

partners for us are DRDO,

s

tart

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ups,

a

cademia and our

i

n

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house itself.

So,

this

drone

electronics or drone technology or quantum

te

chnologies, whether it is QKD or

quantum

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safe communication

, etcetera, we are working on

all these 4 pillars of development.

So,

we have done a good hands

-

on on these technologies

and a few POCs are also given to our defense users.

So,

we have totally geared up to tap all these technologies through all these 4 spectrums of working. I hope I have answered the question.

Amit Dixit:

Yes, sir, partially

.

I mean, just wanted to understand whether it will entail more capex from us going ahead and whether since we

are working with a lot of stakeholders, whether it will impact our margins going ahead?

Manoj Jain

:

Firstly, let me tell you, margins should be better only when new technologies comes in because new technology means more value addition.

So,

whenever this technology goes to field, definitely, there will be more value addition from us.

So,

margins will be on the higher side only for that. But right now, there are no big

-

ticket

projects, capex projects on that.

Now coming to

capex

infrastructure

re built by BEL on that. Definitely, we have developed a good infrastructure because these technologies require a good computing infrastructure, firstly, because the underlying technology in that is AI.

And AI requires a very good computing infrastructure,

whether it's CPU or is it GPUs. So that we have invested heavily.

And of the order of minimum

INR

100

-

plus crores in last 2 years we have invested and at least a

round

INR

100 crores to

INR

200 crores worth of investments are in different stages of approval.

So that is the main
capex
, which is required. The building and other infrastructure,
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testing infrastructure, integration infrastructure, that is definitely much less as compared to the
compute infrastructure.

And that also we are creating at 3 to 4 places
, including our CRL Ghaziabad, our CRL
Bangalore, our D
S
TC, our Unmanned Systems, our
Network
a
nd Cyber

Security
SBU and our
Palasamudram facilities.
So,

at these 5 places, we are investing on capital or other type of
infrastructure. But the CPU from GPU i

infrastructure is actually created already at our CRL
Ghaziabad, CRL Bangalore and software SBU and
P
DI
C
.

These
4 places already has been
done. Last year, we have done some upgradation of the infrastructure. And now we are going
to create
one
separate high
computing
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high
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performance computing infrastructure very soon.

Amit Dixit:

Great, sir. The second question is essentially on the semiconductors.
So,

if you could highlight
what part of our total
COGS
is semiconductors and the recent increase in semiconductors
prices, whether we are able to pass it on or we have to absorb this?

Manoj Jain
:

Let me tell you
,

all semiconductors right now are imported because still in India, that
infrastructure is just coming up. But semiconductors, although they are very, very
important
component for us, but there are other systems, subsystems, other technology components,
including compute resources and other things are there.

So,

semiconductor per se is around 17% to 19% of our material cost. VoP, we can say Value of
Product
ion. So that is there.
So,

per se, semiconductor cost increase, if at all, it increases, it
affects only this portion only. So overall, on the margin, it may not affect us that much.

And of
course, we are in the process of indigenizing some of the
technology itself. And that way, we
will compensate for this price offset.

Moderator:

Next question is from the line of Umesh Raut from Nomura.

Umesh Raut:

This is Umesh Raut here. Sir, my first question is pertaining to submarine program that is

being talked about in between India and European OEM.

And this is probably getting finalized with Mazagaon

Dockyard with the value of closer to INR90,000 crores. So,

about this program, what kind of opportunities in terms of flow - through orders that BEL can expect?

Manoj Jain:

Definitely, in all submarine program or ship - based program, major electronics comes from BEL. Of course, in these programs, especially this P - 75I program, there will be some foreign component also, because the foreign partner is working with MDL and of course, indirectly is working with us also.

So,

some foreign component with good indigenous content will be there. But there are some components which are homegrown and which will be inducted as part of this. So, I can again tell you more than 50% to 60% of electronics in this program will be from BEL.

And we are in very, very advanced stage of discussion with MDL and with this foreign partner of MDL for that program.

So,

there are around 6 subsystems we call as part of the submarine program. Their technical names are Communication Suite, Navigation Complex System, The Combat Weapon Control System, Combat Information System, Torpedo Fire Control System, Missile Fire Control

System

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System. Like that, some subsystems are there, which are primarily all our electronics driven.
So,

these all subsystems will be part
of our BEL kitty.

Umesh Raut:

Understood.
Specifically,

on this only, so in per ship cost or per submarine level, how much of
electronics could be the percentage cost of total shipbuilder
--

total submarine value, roughly
ballpark number, if you can give?

Manoj Jain:

I can't tell you exactly, but around 25% to 30% typically comes to electronics portion
generally. But in this particular one, because there is a foreign element also, it is not totally
homegrown or in

-
house. So that's why the ratio may slightly

vary 5% plus/minus on this
number.

Umesh Raut:

Understood, sir. My second question is pertaining to QRSAM program. Where are we in terms
of finalization? I think in last call, you mentioned probably by March or June end this year,
you are signing this con
tract with the customer.
So,

any update about this?

And once we get that program, how soon we can expect execution to start? And whether we
will have similar set of margins as compared to our existing business or margins could be
lower in initial stages an
d probably it could be more
back ended

in terms of higher margins?

Manoj Jain:

Okay.

So,

as I told last time also, we were actually hopeful that by last year, last quarter itself, we may get or else the first quarter of this year.

So,

we are still fully op

timistic that before June

end, we may get this order. There is only 5% to 10% chance that it may slip to July. But

otherwise, we are confident as on today also that by June end, we may sign this contract.

All the formalities, all other evaluations, all tec

hnical CMCs, etcetera, different stages are

there. They all are over now in the process of necessary approvals at various stage in ministries.

So,

we are confident that in next 1, 1.5 months, it should be over. Worst case, it may slip by 1 more month.

So,

we are not expecting more than that delay as of today.

And regarding the program, once we sign the program within 18 months, we are supposed to give the first of production model.

So,

we have already started gearing up the initial homework
what is required

for this, we have already started, so that we don't want to slip on this first target of 18 months. We will definitely give our first of production model within 18 months of signing the contract. And after that, only the real bulk supplies will start.

Reg

arding the margins, etcetera, it is too early to say whether it will be a bit more than that or a bit less than that bec

ause once we finalize contracts

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back contract with our Tier 1,

Tier 2 suppliers, then only we can come to know how much may b

e that. But definitely, it will

be similar orders only. May not have too much change, but exact quantification of the project, we will come to know once we sign that contract with our Tier 1 and Tier 2 suppliers.

Umesh Raut:

Understood. My last question is

more of on the bookkeeping side. If I look at other expenses for the quarter gone by, those were up by about 36% year

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on

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year. Any one

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off provisioning
that you did during the quarter?

Manoj Jain:

Yes, DF sir will tell.

Yes

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Damodar Bhattad:

These are bas

ically regular provisions due to increase in operations. For example, performance
warranty as the turnover increases, we need to provide more for the performance warranty and
certain other expenditure, which are in line with the scale of operations also. T

here are some,

of course, LD

-

related expenditure also in this. So overall, based on scale of operations, this
expenditure has increased.

Umesh Raut:

So,

provisioning for the full year FY26 more or less were similar to FY25?

Damodar Bhattad:

Total provision
s.

Umesh Raut:

Yes, total provisions as a percentage of sales were similar to FY25 or were there any increase in FY26?

Damodar Bhattad:

No, FY26 definitely has not increased. It's almost similar only on the similar pattern.

Umesh Raut:

Understood. Thank you
u. Thank you so much and all the very best.

Damodar Bhattad:

Thank you.

Moderator:

Thank you. Next question is from the line of Dipen Vakil from PhillipCapital.
Please go ahead.

Dipen Vakil:

Thank you for the opportunity, sir and congratulations on a great execution on margin. Sir, my first question is on your existing order book.

So,

can you help us with the breakup of your
existing order book in terms of project

-

wise? And what will be the timeline to execute the
current order book?

Manoj Jain:

Yes.

So,

the order book of around INR74,000 crores mainly consist of some big ticket few
items, I will just list. The electronic fuses, the LRFM, the LCA Mark 1/Mark 1A LRUs for
Tejas, BMP

-

II upgrade,
spare services and miscellaneous items, Ashwini radar then EW Suite
for Mi

-

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So,

these are the major projects which we are going to execute in next 2 to 3
years.

Out of that, I think all items we are supplying next year also, although the electronic fuse is for another 7 to 8 years more 7 years more. And BMP

-
II upgrade also is for another 2 years.
Remaining are 1, 1.5 years, we are going to execute these orders.

Dipen Vakil:

Got it. Sir, is it possible quantify some of the big

-
ticket

items?

Manoj
Jain:

Yes. Electronic fuses around INR4,300 crores still left for us for next 7 years. LRSAM around INR3,500 crores, LCA around INR3,200 crores, BMP

-
II upgrade around INR2,800 crores,
Ashwini, around INR2,460 crores, Mi

-
17 V5around INR2,200 crores spare services,
miscellaneous, again around INR2,500 crores. These are some of the major items which are to be executed in '26 and beyond.

Dipen Vakil:

Got it, sir. Sir, my second question is on the line of your order inflow guidance for the upcoming year. So excluding QRSAM, what can be the order inflow that you're looking at in FY27?

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Manoj Jain:

This data anyway, I will tell in my closing remarks about the guidance for this year.

Dipen Vakil:

Got it, sir.

So,

then I'll fall back on the queue, sir.

Manoj Jain:

Yes

. Thank you.

Moderator:

Thank you. Next question is from the line of Mohit Pandey from Citi Research.

P

lease go

ahead.

Mohit Pandey:

Yes

. Good evening, sir, and congratulations on strong execution continuing. The first question is on the DAC approvals that

we saw last year, almost INR6 lakh crores. Sir, and this year, we have seen almost INR30,000 crores of base orders.

So,

is there a possibility of base orders being a step

-

up next year as these orders come into

--

as these approvals come into order in

plac

e?

Manoj Jain:

Definitely, that anyway I will tell in my closing remarks, what we are looking at for this year and beyond. So please wait for the closing remarks.

Mohit Pandey:

Understood, sir. Sir, second is on the other income. It seems to have come off.

So,

what could
explain that for this quarter?

Manoj Jain:

During the year, the average interest rates have been less. Average yield from the bank has been less. That is the major reason for the other income decrease.

Mohit Pandey:

Understood, sir.

Mohit P
andey:

Of course, FD increase has also caused some effect on that.

Mohit Pandey:

Sorry, sir, last part, I did not get.

Manoj Jain:

Foreign exchange impact is also there.

Mohit Pandey:

Okay.

Manoj Jain:

Other income reduction is on account of these 2 average interest rate reduction and foreign exchange variations.

Mohit Pandey:

Understood, sir. Sir, and just also wanted to understand on exports, the share of export orders in the backlog seems to be increasing.
So,

what is driving that?

Manoj Jain:

The order

book is healthy from export point of view. We have around USD96 million order book for this year and subsequent year. Some of the orders are to be executed in 2 to 3 years. That's why once I will give guidance about this year, I will tell what is executable in this order book in this financial year, what we have planned that will tell at the end of this call.

Mohit Pandey:

Understood, sir. And one bookkeeping question. If you can share the amount of advances that are there? Yes. So operating cash flow this

year seems to have improved.
So,

is it driven by
increase in advances? That is what I want to understand.

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Damodar Bhattad:

No. Over the year, I mean cash flow has been more or less good, as you can see from the cash balance at the year

-
end. Advances as of

the
year end

is around INR12,500 crores from the customers.

Mohit Pandey:

Okay. Okay, sir. Okay, sir. That's it from my side. Thank you so much.

Damodar Bhattad:

Thank you.

Moderator:

Thank you. Next question is from the line of Atul Tiwari from JPMorgan

Please go ahead.

Atul Tiwari:

Yes. Sir, my question is again on the fact that your order book has not grown this year. In fact, it has been flat for some time, because now your annual order inflows are very similar to your revenue number.

So,

in that situation,

how long can you maintain this 15% plus kind of revenue growth? Is it feasible to maintain that level? Or do we come down to a lower level of 12%, 13% over medium term?

Manoj Jain:

No, definitely, that answer I will tell at the end of this call. But

let me tell you, I think last year

also we told, that every year we get some fixed set of orders. And every 3 to 4 years, we get some

big

-

ticket

projects. And that big ticket projects will take us with a good healthy position

of the order book and execution

and a good growth rate.

So,

like this year, QRSAM, definitely,

we are going to get now anytime soon.

And that way, after 2 or 3 years, we again have 1 or 2 big ticket items in pipeline, which are more than INR20,000 crores, INR25,000 crores type of

--

one big ticket item definitely will be

there to recoup. Otherwise, the constant order flow will be there

based on our

all

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different

type

of portfolios.

So,

with that, definitely, with

we are going to have a very, very good growth rate. And that anyway,

I will tell you at the end of the program. But let me again assure you, there will not be any

downtrend. We have

seen

we are highly optimistic for the next 5 years, at least where our

main, main leads are, and we are confident we will have higher trajectory only, not at all a lower trajectory.

Atul Tiwari:

And sir, in addition to QRSAM, which is likely to come very soon, could you talk about a few

more larger projects, in excess of INR50 billion or INR30 billion order size, which would come to the company over next 2 years?

Manoj Jain:

Yes, certainly.
So,

NGC, there are some so many subsystems of NGC, Next Generation Corvette program, which definitely will come this year. And a few may spill over to next year also, a few subsystems. But at least 50% of the subsystems we are hoping to get this year only in NGC program.

The Shatrughat and Samghat EW solutions, we are hoping very, very soon. P

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75I, which I listed just before.
So,

there are a lot many 6 subcomponents within that.
So,

we are going to get some order for that this year. HAMMER program, we are expecting very soon.

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Shakti Phase IV, we are expecting very soon. MF

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X radar for naval ships also we are expecting very soon.

So,

these are some of the big

-

ticket items, which we are going to get mostly in this year itself. A few may spill over to next year. That is '26, '27 and slightly beyond '27, '28, this mix of the projects which I have listed just now to you.

Atul Tiwari:

Okay, sir. Thank you.

Moderator:

Thank you. Next question is from the line of Jatin Sangwan from Optiver. Please go ahead.

Jatin Sangwan:

Thanks for taking my question. My first question is on Project Kusha.

So,

I was reading somewhere that India is preparing for maiden firing trial of Project Kusha's air defense interceptor by late July. So just wanted if you could give some color around that and what is our role and what kind of order we could get

for this prototype?

Manoj Jain:

Let me tell you again, this program is spearheaded by DRDO. We are one of the largest Development

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cum

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Production Partner for them. So as such, this question is more relevant to DRDO. Of course, when we are their DcPP partner, we know whatever portion we are developing for them.

So those portions, various radars, various control centers, communication systems, they are in very, very advanced stage of delivery or prototype realization. I can only tell about what portion I am developing directly. But the total program and trial directive and which missile to be tested first and in what configuration, these all are decided by DRDO.

So,

this question actually directly relates to them.

So,

it's me, I am only answerable for these subsystems right now.

Jatin Sangwan:

Got it. And the second question is on data center. We had the ambition to target the government data center business.

So,

what's our order pipeline for this business? And are we seeing any success over there?

Manoj Jain:

Dat

a center business, already there are so many players.

So,

we wanted to give some unique solution.

So,

uniqueness comes from 2 fronts. One is from security point of view to give a more cyber safe solution that we have taken a few leads where we are adding cybersecurity components of ours.

But otherwise, the server and other components are COTS. So that is one set of target customers for us, where we have got some few hundred crores projects only right now. But a big chunk is waiting for us where we wanted to

give totally indigenous total data center solution with hardware and software stake also and cybersecurity components, all are homegrown, a few from our own company and a few from our Indian

development partner, C

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DAC.

So,

we are in a very, very advanced stages of discussions with them to provide end

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to

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end

totally homegrown data center solutions for a large number of customers.

So,

once we click on that, that orders we are expecting of the tune of INR2,000 crores to INR10,000 crores, somewhere in between.

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The first order will be from the

--

right now, maybe a few hundred crores we already have, but
if good leads are there, we may expect around INR1,000 crores to INR5,000 crores type of
business from the first segment of business. But the larger segment of
business is through this
total homegrown solution of data center, which we are eyeing at little bit more.
So,

we are in
advanced stage of discussions with C
-
DAC and then their Tier 1, Tier 2 suppliers.

Jatin Sangwan:

Sure. Got it. Thank you.

Moderator:

Tha
nk you. Next question is from the line of Amit Anwani from PL Capital.
Please go ahead.

Amit Anwani:

Hi, sir. Thank you for the opportunity and congratulations for a good set of numbers. Sir, first
question on the constantly improving gross profit margins
. If you see from F '24 to now, we
are almost at 49%.
So,

there is a substantial improvement in the gross profit margin over past 2
to 3 years. And considering that you highlighted what is going to come from the current order
book for execution, what is yo
ur sense on the gross profit margin for F '27?

Manoj Jain:

Again, I will tell you at the end, although I know the answer for many of this, because unnecessarily I did not want to repeat that. So definitely, I will tell all these points at the end. But let me again tell you this profit margins are because of mix of products. So,

product mix
year

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on

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year slightly vary. And based on that, some variations will be there.

So that we predict at the start of the year. And generally, we are up to the mark of what we

predict.

So,

this year also we have done the prediction. And that predicted value, I will tell you in my closing remarks.

Amit Anwani:

Right, sir. Sir, second question, you alluded that we are looking for at least 4 to 5 years of good growth. So just wanted to understand on capacity side, where do we stand in terms of capacity utilization and the capex requirement according to the pace of growth which

we are expecting?

And how much was the capex this year? And what is the guidance for capex for F '27?

Manoj Jain:

Definitely, as you rightly told, if we have to have a good growth, we should have a good investment plan also.

So,

it is not only the project, it is the capacity also has to be augmented.

And that is a continuous journey in BEL. But knowing our large base now and with that large base, this type of a growth, double

-

digit growth require further investments. We had already done a good plan for that.

And last year, I think we had INR900 crores capital expenditure was booked. This year, anyway, I will

tell you at the end, it will be definitely much more than that. But we have much more bigger plans for the next 3 years. Some big projects at Palasamudram, at Chittrakoot, and Vellore facility, they are in pipeline for us in addition to our Ghaziabad and Bangalore.

Large investments are planned to upgrade the facilities for diversified products and the new dimension of the product which we are going to enter. And that large capex projects are in pipeline. So that put together all definitely will make sure that we don't have a capacity limitation when we execute the project for years to come.

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Amit Anwani:

All right, sir. But currently, where we stand like 70%,
80% or how much from the current
capacity still is possible 1 more year, 2 more years?

Manoj Jain:

No

, it is nothing like that this present capacity for 1 year or 2 years, etcetera, because we have,
again, a mix of products. Something we produce in

-
house at component level, till module and
system level. And some of the projects we are doing only system in
tegration capability.

So,

system integration related projects require much less infrastructure, much more skills.

At component or subcomponent level, it requires a great capital infrastructure also specialized
infrastructure. So as such, we can't tell you
my present capacity is for how many more years.
So,

we have to invest at different places for different type of infrastructure. Like for
semiconductor component assembly and manufacturing, we require SMT machines and our

clean rooms and our different type
of MMIC related

--

MMIC handling type of processes,
etcetera.

At other end, we require large space for methane integration type of projects.
So,

we are
investing on both fronts. As such, we are not seeing any choking for us for next few years,
maybe 3 to 5

years. As such, there is no choking for the capital infrastructure. But we are
continuously adding so that we don't face this type of choking for next 10 to 15 years also.

Amit Anwani:

Right, sir. Sir, finally, on status on the AMCA project, so we are hearing that land has been
finalized for that INR15,000 crores project.
So,

any status from your side in terms of RFPs and
any other development which might have happened on that side? Than
k you.

Manoj Jain:

Yes. Certainly, as you may be knowing that we are one of the 3 selected bidders for receiving
the RFP. Pre

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RFP related meetings already happened. So now we are expecting mostly this
month and next month, the formal RFP will be received b
y us. I mean we as a consortium
partner, BEL and L&T.
So,

L&T was our lead bidder.
So,

L&T will receive the RFP mostly
anytime in the next 15 days to 1.5 months. And then we will start responding to the RFP.

Regarding development and the land acquired, etc
etera, that is done by DRDO because again,
we will be the DcPP partner only for the 5 number prototype. But the program is being run by
ADA, Aeronautical Development Agency. So that land and that test facility is actually taken
by ADA, and that will be use
d for AMCA program.
So,

we will also use during this
development jointly with ADA, that facility also.

But we are also
--

we start investing on our own infrastructure once we receive RFP, and once
we are selected as the selected bidder, then of course, we
will
--

our investment on capital will
increase. Right now, we have only done the basic plans, assuming in case we are the selected
bidder, what we have to do. So that type of plans only we have done, but real execution or real

investment will only happen
once we are selected as the successful bidder at the outcome of
this RFP.

Amit Anwani:

Thank you so much, sir, and all the best. Thank you.

Manoj Jain:

Thank you.

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Moderator:

Thank you. Next question is from the line of Ankur Sharma from HDFC Life.
Please
go ahead.

Ankur Sharma:

Thanks. My question has been answered.

Moderator:

Thank you. Next question is from the line of Harshit Patel from Equirus Securities.
Please go ahead.

Harshit Patel:

Thank you very much for the opportunity. Sir, firstly, on the pricing in the nomination
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based
contract, when the new PBT norms were announced by the Ministry of Defense back in FY '20, it was expected that the margins would come under pressure. On the contrary, margins for
--

not just you, but the whole defense ecosystem has expanded.
So,

what has enabled this performance?

Manoj Jain:

As I told last year also, again, I am telling you it is the indigenization, indigenization of critical technology, indigenization of modules, system, subsystems. That has definitely helped

all of us
for that. And that's why we are putting all our efforts in increasing this indigenization score for all of us.

So,

one thing is by our own in

-
house efforts, we have created even a separate indigenization cell in BEL to closely monitor our own development as well as the development done by our MSME and other start
-
up and other partners. We are closely monitoring and supporting our ecosystem partners to increase this indigenization. The more faster we do indigenization, the more profitable all of us
s will be. That much I can assure you, it is only and only indigenization, which has really helped all of us.

Harshit Patel:

Understood. But sir, when we indigenize a certain subsystem or a module, that is definitely known by DRDO, by the Ministry of Defense, by the ecosystem.
So,

whenever the order statement comes, why the Ministry of Defense is not cutting down on the price? Why they are letting PSUs in the entire ecosystem? So
--

I mean much more margins than what they have traditionally announced.

Manoj

Jain:

The thing is, firstly, the role of MOD is to support the industry and to create the good environment of this Atmanirbharta or indigenization. So definitely, they should not cut the root itself. The thing is when they do benchmarking of the price, there are various methods of benchmarking of what is the price of this item, if I import, let's say, price benchmark price.

With that
--

and then we do subsequent optimization and indigenization, that can be flowed back by us for our profit, which we will eventually what we do with these profits. This profit will again flow back in the capital or in the R&D.
So,

this cycle
--

don't want us to break. They are actually supporting us to do more indigenization or more Atmanirbharta and the policy allows that to happen.

Harshit Patel:

Perfect, sir. Sir, lastly, if you could update us on the Uttam radar program, are the quantities and scope finalized by HAL? And when do you think the supplies from our end could begin in terms of development of the subsystems that we

--

versus the other player that is also involved, where are we in this particular program?

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Manoj Jain:

Again, the question should be asked from HAL the more, because it is HAL and DRDO. They are

[inaudible 0:38:12]

, LRDE, they are the DRDO partner with LR

DE, who is original

designer of Uttam radar. And HAL is the system integrator of Uttam radar to LCA.

So,

the

question should be asked to them when and what stage these tests are. As far as I know, they were in the very, very last stage of testing and clearing this radar for LCA.

But exactly, I don't know because the question is more asked for LRDE and HAL. As and when they finalize, they will issue RFPs for the subsystem or components to us. As per my recall, as of now, I have not received any inquiry from them for this program. So that much is my side status, but the correct status you can get either from LRDE or from HAL.

Harshit Patel:

Right, sir. Thank you very much for answering my questions.

Moderator:

Thank you. Next question is from the line of Sumit Kishore from Axis Capital.

Please go ahead.

Sumit Kishore:

Good evening and thanks for the opportunity. My first question is on the net working capital cycle at the end of FY26. It seems to have increased sharply as compared to FY25. Could you speak about the variances which have led to this outcome? It seems the receivable days have also gone up by about 30

-

odd days. Your comments, please.

Management:

Yes. Current ratio is around 1.9

7 as compared to 1.76. You are right that receivables have gone up in

the current year as compared to last year. There were some constraints from the customer side during the previous year, which money was subsequently received in April and May. So that is the reason why at the year

-

end, the number appears to be higher than

last year. But this

amount what was to be received in the previous year has since been received in the current year.

Sumit Kishore:

Okay.

So,

the more sustainable level of receivable cycle should be, what, 130, 140 days of sales or...?

Management:

It has

been in the constant around 140 to 150 days for the past 4, 5 years. I think it should be around that level only.

Sumit Kishore:

Got it. My second question is on the operating cash flow to EBITDA ratio. So basically, your EBITDA in FY26 was about INR8,000 crores and your cash flow from operations as reported in the BSE filing was about INR1,490

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odd crores, so which is a conversion ratio of about 19%.

In FY25, this ratio was about 6.8%.

And if I look at the cumulative operating cash flow reported over the last 4 years to cumulative

EBITDA reported over the last 4 years, the conversion factor is about 33%. So

--

I mean

typically, companies in the capital goods sector would have better conversions of EBITDA to operating cash flow. Your comments, please.

Management:

See, overall, I mean breakup of the operating cash flow item

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wise has been given, the

statement which has been uploaded on the stock exchanges. All the details of each individual items have already been given. So that way, all I can say is of answerin

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technically that what is the ratio, all I can say is the current cash position is reasonably okay for us to sustain the plans which we have got for the future.

Sumit Kishore:

Okay. Okay. Thank you so much and

wish you all the best.

Moderator:

Thank you. Next question is from the line of Kavish Parekh from 360 ONE Capital. Please go ahead.

Kavish Parekh:

Hi, sir. Thanks for the opportunity. Sir, firstly, on the current supply chain environment, given the macro situation, are you witnessing any disruption in sourcing or availability of critical components? And semiconductors, you did talk about earlier, but could you also indicate the key countries or regions, especially in the Middle East from which you import critical components and whether you

see any impact on execution time lines or margins in the near

-
term?

Manoj Jain:

No, the supply chain per se is definitely slightly affected, especially the Middle East crisis. And some of the subcomponents for major designs, major programs like LRSAM, etc etera, were coming from Middle East. So definitely, there was a delay of around 1, 1.5 months for us. And that's why we wanted to achieve slightly better revenues. There was a minor setback, but that setback was only for a few months.

So overall, I am not seeing any major impact for us for our turnover revenues, etcetera, when we see the year.
So,

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year, I don't see any much challenge. And same thing is about semiconductors also. Very, very few semiconductor comes from Middle East, actually some detectors and other high end detectors, etcetera.

Otherwise, major semiconductor ICs, etcetera, comes from Europe or U.S. type of sources or from Taiwan.
So,

we are not per se affected that much when we see yearly targets or yearly spend about this Middle East

crisis. Some variations month

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month or up to 1 quarter to next quarter spilling over, etcetera, are there, which are part of life for us.

And we are doing sufficient planning based on what we can speculate and then make our own targets, our own monthly

targets and quarterly targets based on that. We do some

minor

corrections, etcetera. But as such, we are not foreseeing any major challenge for us.

Kavish Parekh:

Right. Understood, sir. Secondly, you did highlight indigenization as one of the key levers for margin expansion that you've delivered over the past several years now --

a few years now.

What will be the current level of indigenization across your product portfolio? And how has this evolved over the past few years?

And going forward, what is the scope or headroom to further increase localization? And to do that, do you see any bottlenecks, whether in terms of technology access or local component ecosystem, testing cycles, capabilities with local vendors, etcetera?

Manoj Jain:

Indigenous content, as you know nowadays, Government of India policy itself is minimum 60% in all our new projects.
So,

we are of the order of 80% to 85% mostly in our indigenous content for various programs.
So,

it depends upon the different type of product and product
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mix. O
ur homegrown products or our DRDO driven products, sometimes that is even 90%
also.

Some other programs where still we are depending on TOT, which we have taken a few years
back, we are around 55%, 60%, 65%. But overall, it will be more than 80%. And righ
t now,
the main limitation which we are foreseeing is the semiconductors only because otherwise
module subsystems level, enough infrastructure in India has been created.

So,

we are not seeing much challenge for that. But semiconductor, it will take at leas
t a few
more years before the semiconductor ICs will start getting from India itself. So that will affect
us on the indigenization score slightly. But next 2 to 3 years, between 80% to 85% on an
average indigenous content will be there for our products.

Ka
vish Parekh:

Understood, sir. And lastly, any incremental opportunities that you see on the
non

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defense

side

or international markets, which is the export piece to be materialized over the next, say, 12 to 18 months?

Manoj Jain:

Definitely, both of these areas are very, very important for us to maintain this double

-

digit
growth.

So,

nondefense right now, it is 8% to 10%. We wanted to steadily increase it to 15% to 20%. And the same thing is about exports, which is 4% to 5% right now over a period of time, but that period of time is around 4 to 5 years. We want to increase it to more than 10% of our turnover.

But in near future of next 1, 1.5 years, the increase will be maybe 1% or 2%, not more. But definitely, on the increasing side only, both fronts, nondefense as well as exports are increasing. Their contribution is increasing only in our overall turnover or overall revenues.

Kavish Parekh:

All right. That was helpful. Thank you so much. All the very best.

Moderator:

Thank you. N

ext question is from the line of Teena Virmani from Motilal Oswal Financial Services.

Please go ahead.

Teena Virmani:

Thanks for taking my questions. Sir, my question is related to net working capital and part of it you have already answered. My question is related to the customer advances because that number also as a percentage of sales or as the number of days has also been coming off from past 2 years. And how do we see it going forward from the new orders that you are likely to get, particularly the bigger orders like QRSAM and all, what kind of customer advances will be there? So how to look into this aspect?

Management:

See, the contract for QRSAM is under finalization. So,

we'd not like to comment much on that as to what are the terms and what are the prices because that is under finalization. The overall advances, as I told you, is around INR12,500 crores as on 31st March '26. And as far as the operating cash is concerned and cash flow is concerned, as I told, it

is good for us to sustain the expansion plans, what we are contemplating in the coming years.

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Teena Virmani:

But in terms of the advances that you get from the incremental order inflow because order inflows for the company has been fairly good in last couple of years.
So,

the customer
advanc
es are not moving in line with those. So how do we...

Management:

It depends on the various payment terms of every contract. Every contract is different, and it depends on the payment terms which are initiated in the contract.
So,

there are contracts where

there are advances stage payments, whereas there are some other contracts where the terms are a little different. So it is that way. It's a mix of both the contracts.

Teena Virmani:

Okay. Understood.
So,

it's not like uniform across all the projects because mostly everything is coming into a ministry of defense?

Management:

It is this term and this is by Modi term and it's final for all the contracts, it is not that way.

Manoj Jain:

And when we do our costing, we take care of this parameter also. What is the advances or schedule of payment for every program

we take based on that.
So,

nothing is alarming as such for us.

Teena Virmani:

Understood. And my last question is regarding the bigger export opportunities, which --

do
you think
that

that can materialize in, let's say, next 1 to 2 years on the bigger platforms that you are working upon? Or it will be like the smaller type of export orders that so far you have been doing?

Manoj Jain:

No, definitely, smaller orders, once we were there that the repeat business is there for those orders. But some other big -
ticket

items also we are working right now. And communication equipment was one such project where last year itself, we have got very good order and opportunity for this type of communication equipment, especially SDRs and others and communicate --

satellite communication systems. So those type of large order are expected for these 2. And after Ops Sindoor, we have got very good leads for truncated C4I solutions also, customized C4I solutions for various countries.

So,

they are also system -
oriented solutions.
So,

some
big
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ticket

items, big ticket leads are there related to that. But of course, whatever we had received earlier in last 5 years, that related repeat orders from the same customers are also coming up as a regular business for us.

Teena Virmani:

And how long will it take for these big tickets to materialize?

Manoj Jain:

They are different varieties. Like one of the lead was materialized last year, just, I think, in the month of March. That way this year also, there are 1 or 2 big ticket items are there. But as you know, in exports, the real challenge is to acquire an order because there are so many geopolitical situations, complications, etcetera. So,

until we receive an order for us, it is a lead only.

We don't

--

really can't predict this

--

I will get by such time. Much more certainty, I can tell you about our own indigenous program or our own Indian programs. But in export, that type of certainty is not there. That's why we take so many leads in our pipeline and then only give you

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some calculated score based on our
experience;

how much will definitely we may realize in
this year. But there is always a doubt when it comes to export order acquisition.

Teena Virmani:

Got it, sir. That's it from my side.

Moderator:

Thank you. Next question is from the line of Hardik Rawat from IIFL Capital.
Please go
ahead.

Hardik Rawat:

Th
anks for the opportunity. Si

r, firstly, I wanted to get a clarification of something you
mentioned with regards to the P

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75 order. What you mentioned is that typically electronic
systems make up anywhere between 25% to 30% of the project cost. And since yo
u have

foreign players, BEL's share would be around 50% to 60%, which would mean that roughly
anywhere between 15% to 18% of the overall project size should come to us. Would that be
the correct understanding based on your comments?

Manoj Jain:

Macro level

, you are right, but micro level when we will go to individual line item, it will be
minor plus/minus can be there. But definitely, it is a big order for us. It will be a big order for
us. But as I told, some of the items are coming from the foreign partne
rs. So that partner
related work share
[inaudible 0:52:37]

.

Hardik Rawat:

Yes, sir. So

--

hello.

Manoj Jain:

Yes, please continue.

Hardik Rawat:

So,

your answer wasn't audible. I think

you were speaking for the submarine order in terms of the receipt and execution if you could

share on
--

elaborate further on that now?

Manoj Jain:

I was telling whatsoever your prediction of calculation

is more or less right. However, there is a small surprise element because some of the foreign

component items, how much and what module we will indigenize in that because some of the things they

may indigenize from some other Indian partner also, So that nitty gritty of those foreign component

still has to

be finalized with them. So that's why this prediction may go by a few percent here and there.

Hardik Rawat:

Got it, sir. And once the order is received, sir,

any idea as to how long would the execution

cycle be as in what are our expectations once the order is received?

Manoj Jain:

I think it is a
--

of the order of 5 years, if I am not wrong roughly. Because again there are six submarines.
So,

there is definitely a submarine development plan timeline that will be decided by MDL. I don't

foresee any challenge for us per se for making those electronic items.

But that depends upon the

submarine development time, manufacturing time. Based on that only they will expect my delivery

schedule to align with them. So that's why I will align with their delivery schedule. We don't have any capacity or other limitation for the program as such.

Hardik Rawat:

Okay. That's really helpful. My second question is with regards to the new products that are under development, especially the directed energy weapon system. Sir, if

you could elaborate a bit on this as to what is BEL is doing here and how are we working with DRDO on this project?

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Manoj Jain:

Definitely, we started working with DRDO in this program. Of course, our CRL Bangalore was doing something on their own also jointly with IISc and our own internal strength. But the majority of this DEW development, we are depending largely on DRDO, the CHESS is there for the laser - based DEW and MTRDC for microwave

-
based DEW.

So,

we are their largest development production partner

for most of the DEW programs.

However, we have also started indigenizing some of the critical subsystems of these programs on our own. So that overall indigenous content becomes more and more and overall Atmanirbharta in this critical technology segment become more and more. So that we are doing with our internal funded programs being spearheaded by our CRL and well supported by our product development and innovation center.

So that also is in pipeline for us. But majorly, we are depending on DRDO right now for these

2 programs development, and we are supplying some developmental orders for them as well as where we are supplying some user

-
driven programs.
So,

we are supplying to users some of the DEW as

part of our D4 projects, etcetera. But some of the large DEW programs, we are their DcPP partner, and we are supplying to them these modules based on the design done by them.

Hardik Rawat:

Got it, sir. That's very helpful. Sir, lastly, again, getting back on the point that was highlighted earlier by another participant on our margins. If I look at our margins, thanks to the kind of improvement that you've seen in gross margins owing to indigenization, what you mentioned. These are record high at about 29%

-
odd and congratulations, sir, that we have consistently

outperformed what we have guided.

So, but this sort of big question that starting fourth quarter FY27, we might see some sort of increase in provisioning due to the commission changes, although that does not affect us directly, but I'm assuming that considering last time when there was a change in the commission, our employee cost also increased by 20% plus on a Y

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Y basis.

Did you expect these kind of margins to be sustainable at least what we have --

sort of achieved in FY26? Is there any dilution that you're expecting, how severe this dilution could be and could the increased employee cost have a hand in this going forward, assuming that our gross margin profile by virtue of the indigenization that we have achieved and that we are going to achieve should remain high. Your comments here, sir, please?

Manoj Jain:

Yes
. When we give guidance, we take care of all the parameters. So just at the end now

another few minutes, when we will give guidance to you for this year, definitely, we have taken care of all the parameters, including wage revision of our employees, which is due in 1/1/27.
So,

on the last quarter, we may expect a little bit more wage expenses. But taking into consideration that our indigenization, our all
-
product

mix of this year, based on that
only, we
will
--

we have arrived at the guidance, which I'm going to tell you very shortly.

Hardik Rawat:

Got it, sir. This is really helpful. Thank you so much, and all the best.

Manoj Jain:

Madam, we can take one last question, and then we will have closing remarks and guidance.

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Moderator:

Understood. Okay, sir. Next question is from the line of Jyoti Gupta from Ashika Institutional Equities.
Please go ahead.

Jyoti Gupta:

Good evening, sir. Great set of numbers. I do have many questions, but I'll ask this one. With strong cash generation, how is BEL thinking about capital allocation? Is it through higher dividends, acquisitions, technology investments or inorganic expansion?

Manoj Jain:

Madam, definitely, we should work on all the parameters if we have to grow with double

-

digit
growth for next 5 to 10 years.
So,

we have our own defense plan. We have a Strategic Planning Group, headed by a General Manager, who plans all these things and well supported by our corporate finance group. And they come out with

these plans where to do this allocation and which area to invest more for the next few years to come.

And it is definitely a logical mix of various parameters for various portfolios, which you have mentioned. So that is our internal plan, which we generally don't come out. But let me again assure you, we take care of from all fronts so that our growth is consistent.

Jyoti Gupta:

I'm sure you will, sir.
So,

I'm hoping over the next 5 years, you would be looking at top 2 to 3 technology platforms or products

where you think that you can materially change the revenue and profitability profile?

Manoj Jain:

Well, it's not 2 or 3. We have at least 8 to 10 different high

-

end technology

-

driven programs

where we are investing at least INR200

-

plus crores on each one of those technology programs.

So,

they are covering almost all major areas where BEL is right now a leader. So,

to continue to be a leader, we have to do good investment in those product technologies. So that is there in our technology road map plan.

That plan we formally don't disclose, but in various technological forums, indirectly, we mentioned that to all of you. Maybe at next occasion sometime when this type of a technical event is organized by you, we will definitely come out and give you those project details.

Jyoti Gupta:

Great. And I'll take --

the rest of

the questions

I'll discuss with you offline. Thank you so much.

Manoj Jain:

Thank you. Shall we --

madam, have closing remarks?

Moderator:

Yes, sir, I was about to say. That was the last question of the day. I now hand the conference over to management for closing remarks.

Manoj Jain:

Yes. So,

as we told future outlook for year '26

-

'27, after taking into consideration our present base, our present product mix, our present order book, etcetera, and seeing all other challenges or geopolitical situations in mind. So,

we are retaining our revenue growth of more than 15%. So definitely, we are going to have more than 15% as a revenue growth for '26

-

'27. EBITDA margins will be more than 28%.

The order inflow we are expecting this year more than INR55,000 crores. That includes, of course, QRSAM, which we are expecting very soon. R&D investment, we are continuously

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increased in the last 2 years to keep pace of the technology and to see
--

enter into

the new
areas of business operation.

So,

this year, we have targeted a value of around INR2,200 crores investment in R&D. And
same thing is the capex also, again, 20%

-
plus growth.
So,

we are targeting more than
INR1,200 crores as a capital investment for
this year.

And defense to
non
-
defense

ratio, more or less, it will be 90% to 10%, maybe plus/minus 1%.
It may vary based on our new plans for
non

-
defense

business. But that we will anyway tell you
in the middle of the year, whether it is slightly changed.
But as of now, the guidance is 90% to
10% for defense and
non

-
defense

business.
So,

this is a guidance for the year from my side as
closing remarks. Thank you.

Moderator:

Thank you. On behalf of Bharat Electronics Limited, that concludes this conference. T
hank
you for joining us, and you may now disconnect your lines.

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Moderator:

Ladies and gentle
men, good day and welcome to the Q1
FY27

Earnings Conference Call

of
Bharat Electronics Limited

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hosted by Motilal Oswal Financial Services. As a reminder, all
participant lines will be in the listen

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only mode and there will be an opportunity for you to ask
questions after the presentation concludes. Should you need assistance during this conference
call, please signal an operator by pressing star then zero on your touchtone phone. Please note
that this conference is being recorded.

This conference may contain certain forward

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looking statements about the company which are
based on the beliefs, opinio
ns, and expectations of the company as on the date of this call.
These

statements do not guarantee the future performance of the company and may involve
risks and uncertainties that are difficult to predict.

I now hand the conference over to Ms.
Teena Vir
mani

from Motilal Oswal Financial Services
for the opening remarks. Thank you, and over to you, ma'am.

T
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na Virmani:

Thank you,
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. Good evening, everyone. On behalf of Motilal Oswal Financial Services, I
welcome you all for Bharat Electronics Quarter

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call. I would like to thank
the management for giving us the opportunity to host the call. And from the management side,

we have with us Mr. Manoj Jain, Chairman and Managing Director; Mr. Damodar Bhattad, Director Finance and CFO; and Mr. Sreenivas, Company Secretary.

Without taking much time, I hand it over to Mr. Manoj for his opening remarks, and after that, we will open the floor for Q&A. Over to you, sir.

Manoj Jain:

Thank you, madam. Good afternoon, all. So, financial results for Quarter 1 are just uploaded. Actually, our Board meeting ended at 3:45, so after that, we have just uploaded and you might not have seen till now. So, I will just brief the major highlights of the Quarter 1 of financial year '26 - '27.

The revenue from operations has increased to INR 5,533 crores

up to Q1 as compared to INR 4,417 crores

in the previous year Q1, with a growth of 25.27 percentage. The profit before tax increased to INR 1,403

crores

as compared to INR 1,289 crores

in the previous year at the same quarter, with a growth of 8.81%. The profit after tax has increased to INR 1,048

crores

up to Q1 as compared to INR 969

crore
s

up to Q1 previous year, with a growth of
8.17
%.

The EBITDA margin
up to Q1 is 2
5.83
%. The earning per share increased to INR
1.43

up to
Q1 as compared to INR
1.33

previous year at the same time. The order book position as on 1st
July 202
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is INR
72
,
258

crores and orders acquired in this quarter is INR
3
,
754

crore
s
. So, this
is the brief financial highlight of Q1
'26
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from my side.

So now the floor is open for Q&A.

Moderator:

Thank you. We will now begin the
question
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answer

session. The first question comes
from the line of Amit Dixit with Goldman Sachs. Please go ahead.

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Amit Dixit:

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, hi. Good evening, everyone, and thanks for the opportunity. Couple of questions from my side. The first one is with respect to order inflow that we have witnessed in this Q1

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in this
quarter
. If I compare it with Q1
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the order inflow has been pretty lean. Just
wanted to understand the reasons for that, whether you see a more structural component to it or
it is just, the timing of the orders. Just wanted to get a little bit more understanding on that and
also QRS
A
M orde
r which seems to have been delayed
?

That is my first question, sir.

Manoj Jain:

Ye
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. So, let me tell you, last year, you may be knowing that we were supposed to get orders by
31st March, but one or two orders we got in the week of April. So, that is why we

could not
meet our actually previous year target, but our first quarter orders were very good, but actually,
that was more of a spillover of the January to March quarter. This year, it was more structured
.

So, whatsoever we were going to get by January to

March, actually we got

--

actually

INR2,000 to INR3,000 more, I can tell you, because we thought around INR25,000, but we finally landed in around INR30,000 plus.

So, that is why there was no backlog per se. Actually, one or two orders were taken from this

year first quarter also. So, this year whatsoever we have received, INR307 plus crores

it is

what was we planned, that only.

So, as such, there is nothing to worry. We are definitely going to me

et the guidance given about the order inflow for this year.

And QRSAM, we told we were highly optimistic to get it by March, but procedural delays we knew, that is why we told it may go to Q1

/

Q2, maximum by September we will get and I am still sticking to that.

Just CCS only is waiting for all of us and hopefully, when CCS meets, I think they will clear

QRSAM. Our side all inputs, every activity is over from all of our side. So, we are just waiting for the CCS approval and that time we will get the good news about QRSAM.

Amit Dixit:

Great, sir. The second question

is around Project Kusha. We have seen that there has been

testing of M1 interceptors, there has been some movement around RFP of M2 also. So, just wanted to get your thoughts on when will the testing be complete, when do we expect to get the order and what

could be our portion in that?

Manoj Jain:

As I told earlier also, the Kusha program is spearheaded by DRDO and we are their largest DCPD partner for various subsystems. So right now, the trial was of the missiles. Then after that, they will do different

configuration of missiles, then configuration with radar, control center, as a

n

integrated fashion, etc

etera

. They will have their own structured way of testing.

So, that question actually you have to ask from DRDO.

Let me assure you

,

from our side, there is no delay in whatsoever subsystem, systems level

support which we have to extend to DRDO for this very, very prestigious project. As already told, I think the order will be

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of the order of INR40,000

plus

crore
s

we are expecting,
but
that will be minimum 28
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29 which we had indicated last time also.

So, after this series of testing, then there will be lot many more different type of evaluations.
After that only, RFP will be issued for commercial activities. So, it is still a long way to go.

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So, you have to wait and watch with this different, different R&D level development which is done by DRDO, well supported by BEL.

Amit Dixit:

Okay, sir. Great. Thank you so much and all the best.

Manoj Jain:

Thank you.

Moderator:

The next question comes from the line of Mohit Pandey with Citi Research. Please go ahead.

Mohit Pandey:

Yes
, evening, sir. Am I audible?

Manoj Jain:

Yes
, Mohit.

Mohit Pandey:

Yes
, okay.
Yes
, sir, first question is again on orders. So, explanation on the Y

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Y declin

e is

quite clear, but just wanted to get the sense of this year for the base orders are we expecting them to be back

-

ended or they will be likely evenly spread out through the course of the year?

That would be question number one.

Manoj Jain:

Okay. Let me

tell you, the thing is we don't publish quarter

-

by

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quarter targets for this. That is
our internal assessments only, what leads or what PNCs concluded, not concluded and based
on that, we have our own internal follow

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ups on any slippages

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if at all.

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quarter we are not publishing. For us, it is yearly target and which we have
already given at the start of the year, the guidance. So, that is INR

55

,000 plus

crores,

including

QRSAM. So, we are sticking to that and definitely two, three big progra

ms are in the real

pipeline of CCS or other type of approvals. So, we are not foreseeing any problem in getting
these order inflow for this year.

Mohit Pandey:

Understood, sir. Sir, and while we don't publish the balance sheet or cash flow with first

quarter, any color you can give on the payments or receivables?
Yes
, has there been an improvement versus fourth quarter? That would be one.

And secondly, on margins, if you can give any color on

--

so this quarter there has been a Y

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Y decline

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ny particula

r thing that you'd like to highlight there? Is this just product mix or are

there any one

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offs

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etc

etera,

as well?

Damodar Bhattad:

As far as the receivables are concerned, the number of days as on 30th June, it is around 140 days. It was 176 days as on 31st March. So, it is at 140 days as on 30th June. So, it has improved over March. So, receivables are good

.

Cash flows are good

.

There is not much concern on those front. As far as margins are concerned, as we have already told, current year EBITDA margin

guidance we have given of 2

8

%, we remain at that. Quarter

-

on

-

quarter, there

could be variations because of the composition of product mix.

So, due to that, there are some variations, but otherwise, the current year EBITDA guidance whatever we have given,

we maintain that. So, there is no particular cause of concern for the margin on the quarterly basis. We don't have to go by that. Overall on a yearly basis, we maintain the EBITDA margin of 2

8

%

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which we have given already.

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Mohit Pandey:

Understood, sir.

Sir, so just to clarify, the margin mix, it's due to product mix and not due to input cost pressure. So, just to clarify that. So, you're saying this is due to product mix variation.

Damodar Bhattad:

Yes

,
Yes

,
Yes

. We are telling it is due to product mix

variation, not due to input cost.

Mohit Pandey:

Okay, sir. Okay, sir. I'll come back in the queue. Thank you so much and wish you all the best.

Damodar Bhattad:

Thank you.

Moderator:

The next question comes from the line of
Kavish Parekh
with
360 ONE
C
apital. Please go
ahead.

Kavish Parekh:

Hi team, thanks for the opportunity. Sir, regarding the order book that you're sitting on today, could you help us understand the broad split across categories, say Naval versus Air versus say Land
-
based systems? And

incrementally in terms of order inflows over the next few years, excluding QRSAM, which of these segments do you expect to be the key growth drivers?

Manoj Jain:

Let me tell you, Army, Navy, Air Force, more or less it is similar. So, 30
%,
30
%,
30% out of

the total 100% which we are having, so 90
%

is from
defence

. So, roughly 30

%,

30

%,

30% is

Army, Navy, Air Force. And order inflow also are more or less in the same line only. QRSAM actually is Army and Air Force combined order. But there are Air Force related also some big ticket
--

Navy also some big ticket items will be there.

So, again in the year, this INR

55

,000 also, more or less it will be evenly distributed across

Army, Navy, Air Force. So, as such, there is equal priority, I should say, or equal confidence

of all the three forces in this. As on today, the major order as per order book, the main components are Electronic Fuze for Army, LRSAM for Navy, LCA LRUs for Air Force, BMP

-

2 upgrade again for Army, Ashwini Radar for Air Force, and EW suite Mi

-

17 V5 again

for Air Force, MPR Arudhra Air Force. So, like that, these all major order book is again spreaded across all the three services.

Kavish Parekh:

Understood. And as a follow

-

up to that, would the margin profile differ meaningfully across

these segments or is profitability largely product specific irrespective of the segment? And just if I can continue with my second question, what was the --

what were the key products executed during this quarter, some which you would attribute for the margin decline this time?

Manoj Jain:

Okay. We cannot extrapolate that because of this product margin was less or more as such because again we are giving you only a glimpse of some top 8

, 10 projects, not the details because detailed projects are so many. So, firstly, this margin spread across Army, Navy, Air Force is uniform because overall we are having across Army

and Air Force separately some subsystems, and system of systems type of projects. So,

o, it is not that in particular one segment or Army we have less margin or Navy more margin, it is not like that. It is spreaded across type of solutions and our solutions are spreaded across various varieties.

The major orders executed in this quarter were LRSAM, MPR Arudhra, Lynx U2, upgradation of

p
eriscope, BSF project some supplies, E
ON

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51 systems, Akash some supplies, Himshakti
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system some supplies, Fuzes and Receivers. So, again, this is only like 10 important projects, but overall projects are many more. So, again, correlating that this particular project has less

margin or this has more margin is not correct to estimate because of the total spread across number of projects which we execute even in a quarter also.

Kavish Parekh:

Understood. And just the last question from my side, sir, on the counter

-
drone ecosystem,
could you share some thoughts on BEL's role today? Which systems or products are we currently involved in and what components or subsystems do we supply? Here the private sector also appears to account for a sizeable share of the opportunity of the overall market.

Could you share your perspective on which players are doing well in terms of innovation and product development and which areas within the counter

-
drone market remain relatively
untapped today and where do you see opportunities for BEL to expand its presence or say gain market share?

Manoj Jain:

Firstly, let me tell you, drone and counter

-
drone, this market is growing like anything because
you might have seen in the recent conflicts also, the real threats and real deterrence, most of them are
centering around drone and counter

-
drone solutions. So, the market is growing
exponentially where there is a
n

opportunity for big companies like BEL, mid

-
sized companies

,
private sector like Zen Technologies, so many other companies are there, and startups
. So,
there is growth prospectors for all of us. So, we need not worry or need not eat the pie of other
fellow. So, everyone has some unique solutions.

What we are more focused is large high

-
power laser
-
based or microwave
-

based DEW solution
integrated D4

solutions. Means real with hard kill. So, more of hard kill based, more complex
systems we are more focusing on. But it doesn't mean that we are not working on drone killing
drone or EW jammer itself killing or bringing down the drone. So, we are having al
so some

products which we called D2, some products D3, and some products real D4 variety. D4 means this will have hard kill also. So, hard kill, soft kill, only detect and then use some other conventional way of neutralizing, this total complex solution we

are more focused

.

Again

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I am

stressing, we are more focused on this hard kill based large systems more.

But other players are there and especially startups are there for the D2 type of systems and different, different innovative solutions. But there is a requirement of all type of solutions for drone and counter

-

drone. So, we don't foresee a challenge and definitely we have put our own

CRLs, Central Research Laboratories and PDICs to look into some more innovative solutions either themselves or collaborating with some startups.

So, good startup ecosystem also we are tapping now and a few orders, although right now

small, we have taken jointly with startups and we are going in a big way for these type of small, small innovative products also. But the same case may be true for our so

-

called mid

-

sized competitors, but of course, this large complex domain solution, right now we are the de facto leader.

Kavish Parekh:

Understood. Thanks a lot for that explanation, sir. Thank you so much. All the best.

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Moderator:

The next question comes from the line of Harshit Patel with Equirus Securities. Please go ahead.

Harshit Patel:

Hi sir
.

Thank you very much for the opportunity. Sir, my first question is, you have highlighted the potential large order materializing from major Naval

platforms such as NGC and P75I. Would you also give some color on potential order sizes from the follow

-
on P
75,
that is three submarines, P
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that
will be next generation destroyers, and the follow

-
on on
P17A, that will be P17B
?

What could be the potential order sizes for us from these large projects? I understand they might not materialize in FY27

itself, but over FY28

and '29
, what
could be the sizes for us?

Manoj Jain:

Let me tell you, right now it is too early to predict the business volume of that. Like P17 Bravo, P18, or other projects, NGD. So, these projects we are in the configuration finalization, technical interaction, specification finalization, subsystem indigenization, in those type of roles right now.

So, that role we are playing jointly with our DRDO or our Navy friends. So, that activity once it crystallizes for one of the program

with the timelines given by them, When it starts discussing BQs, that time only we will really come back to you about real timeframe when we may get this order and the size of the order. Today it may be a bit early.

Maybe one year down the line, at least

for
maybe
NGD we may have better clarity about these
two figures. So, these programs are definitely beyond

2
8,

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. So, not before. So, it takes its
own time to finalize the configuration and finalize the exact volume of business for BEL for
them, these
programs.

Harshit Patel:

Understood. Sir, secondly, the media reports suggest that Adani
Defence

...

Moderator:

Harshit, I am sorry

to interrupt, your voice is a little muffled.

Could you please use your phone
on the handset mode in case if it is not on
handset?

Harshit Patel:

Is this better?

Moderator:

Yes, a little better.

Harshit Patel:

Thank you.

Recent reports suggest that Adani Defence will be the electronic
s system
integration partner to DRDO for the Netra 2. Will we have no role to play over here?

Which
are the other areas and platforms where we will be competing with this credible competition
going forward?

Manoj Jain:

Just explaining about this particular Netra 2 project, so this project I think bidding was done
maybe one and a half years back r
oughly. We also participated in the bid, but unfortunately,
we were not L1. So, it's part of the competition. So, in some program, somebody will be
competitor, somebody will be L1, somebody will be L2.

So, in this particular program, Adani became L1 and th
ey are the system integrator for this
program. But of course, subsystem level modules
or

capabilities of BEL will be made use of
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by DRDO as well as with Adani. So, our strength of subsystems like Radar, EW, or Data Links and so many subsystems are there in

this Netra program.

So, those subsystem level expertise DRDO as well as Adani will tap our thing, but of course, the SI role in this one we missed. We were not L1 and Adani became L1. So, it is part of life, some program as SI we will be L1, some program we may not be L1. But our subsystem strength or our in

-

house strength of developing these subsystems, that will definitely give us a good business down the line.

Harshit Patel:

Understood, sir. Thank you very much for answering my questions. I'll come back in the queue.

Moderator:

Thank you. The next question comes from the line of
Bhalchandra Shinde with Motilal Oswal
Financial Services
. Please go ahead.

Bhalchandra Shinde
:

Hi sir,
Bhalchandra Shinde

here. Sir, would like to know on recent

Astra Mark has

been

opened for the private players. So, how you see that as a trend for the missile programs, so many programs are coming up? So, how we see the private participation opening up in the missile programs especially?

Manoj Jain:

Definitely this question yo

u should ask more from a private fellow than from a public sector

like BEL who is today not established player in missiles, although we are also aspiring or entering into this missile domain. So, definitely we are right now seeing from the other side like

the private fellow is seeing, we also are seeing.

The issue is this particular domain, as you again know, during recent conflicts and last two, three years you have seen how important the missiles are for any war scenario. So, quantity and quality both mat

ters here. So, definitely to keep pace of search requirement, there is scope of so many players other than BDL for this particular search requirement to be met.

So, where BEL and other private fellows also are pitching in. In two, three programs, we are ac

tually collaborating with private fellows and then we have got some orders as DcPP partner.

So, as such, this particular domain is very, very important and role is there again for BDL, BEL, and private companies.

So, all of us have a role to play for meeti

ng the search requirement. But let me again assure

you, in most of these missile programs, the major electronics today we are the leader because that electronics is more complex complicated than a radar or others where we have so many subsystem and experti

se for customized solution. So, that will give us enough future businesses.

Bhalchandra Shinde

:

And sir, how much one should assume the pipeline over next five years for missile program?

Manoj Jain:

That is very difficult to predict. That for that you ha

ve to ask either Ministry or maybe NSA

office because these are strategic things and most of these strategic things are not even openly discussed by them also. We are seeing based on the projections given by all other countries like European countries or U

S

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etc

etera

, what type of missile production they are expecting.

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Similar inflow will be there for Indian missile programs also. So, we can only extrapolate that, but exact quantities etc
etera,

we cannot tell you because that is a strategic call which
Gover
nment of India has to take, not we. We have to gear ourselves for that. So, we are
gearing ourselves, that much I can assure you.

Bhalchandra Shinde
:

Sure, sure. Thank you, thank you, sir.

Moderator:

Thank you. The next question comes from the line of Ha
rdik Rawat with IIFL Capital. Please
go ahead.

Hardik Rawat:

Thanks for the opportunity. Sir, my first question would be with regards to the P&L. So, while
we've seen a quite a commendable 13% Y

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Y growth in revenue, at the same time our other
expenses h
ave actually declined by roughly 20%. So, just wanted to understand, are there any
sizeable provision reversals that have taken place here or what is the reason for this decline in
other expenses?

Damodar Bhattad:

During the previous year, the provisions
relating to the liquidated damages during this current
quarter April to June of '22 was on the higher side based on the delivery schedule of those

contracts which were executed during the previous year. Due to which current year that is not there. So, that

is the difference where the other expenses have come down.

Hardik Rawat:

That is helpful, sir. And sir, second question with regards to the counter

-
UAV discussion that happened a bit earlier on the call. You mentioned that BEL would be looking more towards the directed energy weapons, both laser

-
based and microwave

-
based. So, sir, could you please provide some color as to when should we expect a pro

totype in its most earliest phases being developed by BEL and by when do you expect commercial sales from this product to begin?

Manoj Jain:

No, let me tell you, we have got enough orders already in last three years for this 2 kilowatt laser

-
based DEW solution and which we have most of that, something like 80% of those orders already we have supplied also. Of course, microwave DEW based solutions right now still under evaluations, although we have the prototype ready.

These prototype we had made jointly with DRDO.

But parallelly also we have started some customized configurations especially for export purposes.

So, in export also we are getting very good leads, we have given very good demos to some of the countries and they have shown very keen interest on this high

-
power laser or microwave

-
based DEW solution.

So, we have our own in

-
house strengths to make customized different, different products for the basic design, but the basic design originally came from DRDO for us, they were our real development gurus. So, but today we have the capability to customize them or to come out with different versions, upgrades, upgrade on range, upgrade on higher power laser etc

etera.
So, there are a series of product versions we call it.

So, they are already pipelined and a one or two we have given demonstrations also to our end user as well as to our some of the external countries, export countries who have shown some interest. So, as and when this order, confirmed order comes, I will again let you know.

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Hardik Rawat:

Got it, sir. Thank you so much.

Moderator:

The next question comes from the line of Dipen Vakil with PhilipCapital. Please go ahead.

Dipen Vakil:

Hi, thank you for this opportunity, sir, and congratulations on a great execution. Sir, my first question is on your order book, sir. Sir, you currently have INR

72
,000 crores

worth of order book. Can you help us with the order book breakup for like 10 major orders that are there? So, what would be the quantum of these orders?

Manoj Jain:

Yes
, certainly, certainly. So, the main orders are Fuzes, one minute, one minute, just one minute, the last slide we have, there we had, which I was reading. Product by product I will just tell you. There were first one is Fuzes, of course, largest order book consists of Fuzes because Fuzes requirement is for eight years, so more we have to supply.

And then we have LRSAM orders, then LCA

Mark 1 and Mark 1A LRUs for this 83 and 97 aircraft

.

Then this BMP

-

2 upgrade, then Ashwini Radar, then EW suite for Mi

-

17 V5, then

MPR Arudhra. So, these are the top seven projects which are there in our order book as on 1st July.

Dipen Vakil:

Sir,

possib

le to share quantum of the order book?

Manoj Jain:

These seven, eight projects are around INR20,000 crores

out of INR

7

6,000 crores

s

. So, but

overall we have so many small, small projects consisting of 400, 500 line items minimum. So, these are the top seven

items which consist of around INR20,000 crores

s

plus of order book

today for me.

Dipen Vakil:

Got it, sir. Sir, my second question is that, so for the order pipeline that you have suggested for

INR55

,000 crores

s

, if we consider excluding QRSAM, which would

be the major orders which

are currently gaining traction in expected on the expected lines?

Manoj Jain:

As I told last time also, Shatrughat and Samaghat we may get in another

3

to

6

months

timeline. So, biggest is that after QRSAM. Then as I told NGC or P

75I, one of these two

definitely we may go through, maybe both of them we can go through

,

because government

has to

give approval.

Again, they are waiting for CCS approval only, but we are confident out of that, as I told last time, at least 100% probability of having at least o

ne of them and more than 50% probability of getting both of them. So, that's why in these two programs are --

another major subsystems are there in these two programs for which we may get a big order.

Of course, HAMMER project also, we are going to get in this financial year and Shakti Phase 4 project. So, these are also a few more major projects which we are expecting orders in this financial year.

Dipen Vakil:

Got it, sir. And sir, apart from these platform orders, a base orders, what would be the quantum of base orders that you are expecting in this year?

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Manoj Jain:

Put together, I told now, total INR55,000 crores, out of that INR

30
,000
crores
roughly will be
QRSAM, then around INR
1
5,000
crores
plus is these platform orders, and
remaining will be
the other base orders of smaller quantities, support, services, or AMCs, all this put together
remaining.

Dipen Vakil:

Got it, sir. Got it. That's all from my side. Thank you so much and all the best.

Moderator:

Thank you. The next question comes from the line of Atul Tiwari with JPMorgan. Please go ahead.

Atul Tiwari:

Yes
, sir, thanks a lot, sir. Sir, my question is on the
likely impact of pay commission...

Moderator:

I'm sorry to interrupt

,

Atul, you're sounding a little muffled. Could you please use your phone
on the handset mode in case if it's not on handset?

Atul Tiwari:

Yes. Sir
, my question is on the likely impact of pay commission provisions on company's
margins over next
2
,
3
years.

So, when will these provisions start, in which quarter, and what
will be the likely quantum and the impact on the margin?

Damodar Bhattad:

See, current year January '27, current financial year from January '27 onwards the wage
revision is due. So, for the
current year, the provisions will be made for
3
months period,
January to March '27. This is for the current year. Next year, of course, it will be depending on
settlement, things settle or not, again if it is settled, it's fine,

otherwise it's full provision.

As far as the impact is concerned, because the turnover will be increasing year

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on
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year, as we have already told that we are projecting a good growth in the coming years, we expect the employee cost to turnover to be in the range of around 12% even in the coming years also, which is now also 12% last year. In the coming years also, we expect it to be in the range of 12% employee cost to turnover percentage since the turnover will also be growing in good scale.

Atul Tiwari:

Okay, sir. So, despite the pay commission provisions being implemented, you don't anticipate any change in employee cost to the revenue ratio over next 2 years broadly?

Damodar Bhattad:

You are right. Since the employee, since the turnover will be increasing in that scale, so the impact of the employee cost whatsoever increases happen after the wage revision will be absorbed by the turnover increase and the overall percentage we expect to be around 12% itself.

Atul Tiwari:

Okay, sir. Thank you, sir. Very clear.

Moderator:

Thank you
. The next question comes from the line of Vikas

Singh with ICICI Securities.
Please go ahead.

Vikash Singh:

Good evening, sir. Thank you for the opportunity. Sir, my first question pertains to while we are very confident on maintaining the margins in FY27, do our supply chain contracts shield us from any material cost inflation in FY28?

as well or those probably would come at a later stage in terms of contracting?

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Manoj Jain:

No, we are not foreseeing any change because of material clause inflation. The thing is, as I told earlier also, we are in the continuous sta

te of indigenization drive and that will indirectly compensate for this type of material cost escalations or any other issues

which can come in near future.

We are actually increasing our investment on indigenization in a much more larger scale and we are reflecting in our M

o
U with government also. So, these extra efforts which we are putting, again let me assure you, will make us safe from margins
,

etc
etera,

or escalations which may happen in

future. We are taking these type of proactive steps to control that.

Vikash Singh:

So, if you could share your indigenization current versus what you are aiming for in couple of years?

Manoj Jain:

No, the thing is aim is in the next 5 years zero import of

any module, sub

-

module level thing.

So, barring components, semiconductor components, all other type of subsystems which we are importing, some of the subsystem at RF, microwave, or SBCs, or something compute

,

etc

etera,

we are importing as a module.

So,

these all modules we have set a target to complete all these indigenization in next

5

years

including verification, validation, certification as a form

-

fit replacement. So, that's we have

made our target and we have given enough provisions for that. We are

coming out with our

indigenization policy also, formally we will release our indigenization policy quoting this fact which

I have just recently told you.

So, we are allocating some special budgets for this indigenization drive and we have got very good s

upport from industry also for that. So, our MSME and startups also are aligning us with us to meet this indigenization drive.

Vikash Singh:

Noted, sir. So, what would be our annual

c

apex and what percent of that would go for indigenization?

Manoj Jain:

Let

me tell you,

c

apex we keep outside of indigenization. Indigenization we generally consume if at all our R&D budgets. And that definitely we are going to increase. Our main

c

apex is for infrastructure for our what we call production

-

related activities, cap

acity enhancement for that.

That as we have given you guidance, INR1,200

plus

crore

s

we are investing under

c

apex

which will take care of our production

and other type of investments.

And this indigenization

,

etc
etera,

comes from our R&D budget. And we
are anyway we had
given guidance also, more than INR2,200 crore
s

R&D budget we have allocated for this year
for all type of niche technology development, indigenization, and other collaborative R&Ds.

Vikash Singh:

Noted, sir. Sir, lastly, any update on
AMCA program?

Manoj Jain:

Definitely AMCA program we and L&T are really working together and more or less we have
arrived at our internal pricing and all type of sub

-

module related clarity has happened. We had
apex level meetings, which means two senior le
vel meetings also happened and I think one
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more meeting we will finalize everything so that we are ready to submit our RFP response at
the earliest.

Vikash Singh:

So, there was some deadline this was extended for the RFP submission. So, what's the new dead line now?

Manoj Jain:

Sir, I am not exactly sure whether it was extended by

2

months or

3

months. Actually, I knew

that it is extended and that is why in the month of August we are making our response ready by mid

-

August, but I am not exactly sure about ho

w many months extension we have got. Maybe

before end of this call, I will let you know because that my working level team is doing.

We were expecting

2

months extension hopefully. But what we have got, I am not sure, but

definitely we will meet that time

line. That much I can assure you, but I will come to know

about the exact timeline in few minutes.

Vikash Singh:

Noted, sir. Noted. Thank you and all the best.

Mo

derator:

Thank you. The next question comes from the line of Jyoti Gupta with Ashika Group. Pl

ease

go ahead.

Jyoti Gupta:

Good evening, sir. Thank you for the opportunity. I just wanted to understand that, delay in Tejas which we expected somewhere, four Tejas to be delivered the fully loaded ones by August. Apparently, there is no visibility as of

now even today. So, the subsequent six which

were supposed to come apart from this four in the upcoming

6

months.

Now, if the four doesn't get delivered, then any further don't you think there'll be delays in terms of requirements or supplier

requirements for the remaining six Tejas for, so will that not

impact your revenue or your margins on that front? Because you mentioned LRU.

Manoj Jain:

Yes

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Yes

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Yes

. Let me again clarify, we are only selling these LRUs to HAL and these LRUs

are around 11

types of main LRUs related to LCA and then some other EW related additional LRUs which they take time to time. So, these LRUs are electronic modules which are separately tested as per the approved procedures and then we supply them to HAL.

Let me assure

you, we have given much more than what they really want to them. So, they already have enough numbers of electronics LRUs as per the contract delivery schedule we have given them and that is available with them. So, let me again assure you, no Tejas will be delayed because of LRUs being supplied by BEL late.

That much will not happen, I can assure you, we have given enough, enough quantities to them to make. Right now

,

as per the reports from public and media, the main bottleneck is still the engines. So, which HAL will tell you better when they are getting engines and when they are supplying the Tejas aircraft. But LRUs point of view, we have given enough numbers to them.

Jyoti Gupta:

No, but I wanted to understand that while you have already supplied more

than that is required,

will that not affect the pipeline for the further ones because if the current status that is a status

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quo,

What might happen to the Tejas going forward?

To LRU going forward could actually

become come to a standstill.
That was my point.
int.

Manoj Jain:

Okay, your point understood. Sometimes generally these electronic modules are separately tested and they can be kept as a stock also. But in case, in case HAL tells us to go slow, we need not make then those modules. We will have the material with us, but we can make the module and test the module based on their supply timelines. As on today, they have not indicated any slowness to us.

So, we are going ahead with our planned capacity and planned planning for this program. So, as such, there is no issue, but in case they tell, it may if at all affect by few hundred crores here and there for us. So, maybe INR200

crores
, INR
300 crore
s

turnover maybe shifted by few
months for me.

But that definitely when we are planning for INR
3
0,000 crore
s
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INR300 crore
s

is less than 1%
and these type of business level so
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called changes or schedules plans
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etc
etera
. They are part of
life and we can definitely absorb these type of less than 1% significance for us type of delivery
schedule related negative challenges, I should say. So, that we can do. Okay.

And now let me tell

--

about this AMCA program. Now I think the date is shifted by two
months. So, 27th August 2026 is the date of RFP submission. So, actually, it was shifted by
two months. So, 27th August.

So, it is there right now the RFP submission date.

Jyoti Gupta:

Thank you so much, sir.

Moderator:

Thank you. The next question comes from the line of Aritra Banerjee with Nomura Holdings. Please go ahead.

Aritra Banerjee:

Yes

, hi sir. I hope I am audible

. Thanks for the opportunity. So, I have two questions. One is

s,

you know, we have received LRSAM contract for around 92 billion in FY

19, but still a

sizeable portion is still unexecuted in order backlog. So, are there any reasons behind this that why it has

still not been executed?

Manoj Jain:

You are referring to LRSAM. So, LRSAM delivery schedule itself was spreaded over last year very small quantity and this year only major of the quantity is for this particular one will be there. So, as per schedule only we are going. Nothing to worry, nothing delays are there in this program for us.

The leftover activity is around INR3,000 plus crores

total we have to supply and out of that

majority we will supply this year, maybe some few hundred crores

will go to next

financial

year. But it is as per the delivery schedule only. So, nothing worrying thing in LRSAM program as of now we are seeing.

Aritra Banerjee:

Got it, got it, sir. So, could you just repeat the quantum that we will be delivering this year, the amount

? I missed it.

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Manoj Jain:

I am not exactly giving you the exact value, but out of the INR3,000 crore
s

which is leftover
right now for LRSAM program, around INR2,
2
00

crores

to INR2,300 crore
s
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INR2,100
crore
s

is planned in this year.

Aritra Banerjee:

Okay, okay, okay. And another follow
-
up question is regarding QRSAM. So, that will also
have a similar execution timeline of seven to eight years in the future?

Manoj Jain:

No, no. The first order is seven to eight years spreaded because it is having FOPM,
then
FOPM evaluations, and then only the bulk production will start. So, next order whenever we
may get, definitely if it is of the similar quantities, we can supply in three to four years.

Aritra Banerjee:

Okay, okay. Understood. Sir, one last question i
s regarding, you know, the delays in ordering
of NGC, QRSAM, all these programs. So, is there any risk of, you know, lower than expected
revenue growth in
FY
25 in case because of the delays in these ordering?

Manoj Jain:

No. Let me tell you, financial year

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per se let us say, these both programs are not
constituting in our delivery. These are in our order acquisition target of this year and
something will spill over to next year. But they are not in my execution plan for next year. In
my execution plan i

s whatsoever order I already have got and some other smaller orders, so many smaller base orders as we told now, they keep coming for us.

So, those orders will have generally 12 to 18 months type of delivery schedule. So, those orders will keep my next year also. This year and next year

—

is mainly depending on those type of orders. These large platform orders, they will start giving me big turnover after two years, not immediately.

Aritra Banerjee:

Got it, sir. Thanks for answering my questions and all the best for the coming quarters.

Moderator:

Thank you. The next question comes from the line of Bhavya Gandhi with Bajaj Alternate Investment Management. Please go ahead.

Bhavya Gandhi:

Yes, hi sir. Thanks for the opportunity. Sir, just wanted to understand

because you've guided earlier for 21% to 23% EBITDA margin. So, for the following quarters, we'll require closer to 23% EBITDA margin on an average basis. Is that really achievable, sir, going forward for the coming quarters?

Manoj Jain:

Definitely yes. We have variability of 25% to 31% EBITDA margins based on the product mix in quarter - to - quarter etc etc,

but at the year end, let me again assure you, we will cross 28%.

Bhavya Gandhi:

Got it. And sir, over the years, you had earlier alluded also that you want to increase the R&D spend to closer to 8%. So, on a longer

-

term basis, on a two to three year basis, this kind of margins is sustainable because R&D expenses currently at 6% to 2% co

tribution further to R&D expenditure, will it take a hit on the EBITDA margins going forward on a longer

-

term basis? This is slightly two to three year basis.

Manoj Jain:

No, no, no. There only is the real tricks. More you invest in R&D, likely chance of more EBITDA is there because you are making niche technology, you are developing something, BHAMreucr / tON / cs QUALITY , TECHNOLOGY INNOVATION Bharat

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you are doing more indigenization. So, I don't foresee that 6.5% or 6.8% right now to increase to 8% will hit on margins. Actually, I feel it may finally make my EBITDA margins more sustainable although my product mix may here and there change.

So, this are based on previous experience of ours in last 15 years we have seen. We are continuously increasing our R&D expenditure and with R&D expenditure, we have seen the returns are coming in different, different forms. One is self-sufficiency in technology and of course, indigenization, more indigenization gives us more EBITDA margins.

Bhavya Gandhi:

Perfect, sir. And is it possible to quantify the indigenization figure currently?

Manoj Jain:

As such indigenization figures, I think indigenous content across platforms is the one figure. So, for major platforms, we give that type of a figure. But for company level indigenization figure, there is no final

formula. Overall, our turnover 78% to 80% comes from indigenous products and technologies.

Bhavya Gandhi:

Got it, got it. Fair enough. Thank you so much, sir. Really appreciate. Thank you.

Moderator:

The next question comes from the line of Rahul with Macquarie Group. Please go ahead.

Rahul:

Yes

, hi. Good evening, sir. So, I have two questions. Which are the international markets or partnerships and product segments, you know, offer the best opportunity for you to increase your export revenue and reduce, you know, your dependence on the Indian defence

budget
cycle?

Manoj Jain:

Almost all products and technologies which we are right now delivering to our Indian customers, there is a huge demand of that in international market also. But the main, main product segments where we are seeing are Radios. You might have seen last year we have received largest order of around INR2,000 crores

worth next generation software defined radios, Satcom solutions, and then D4 type of solutions.

We have increased our TR module type of build to print type of a market because for airborne segment especially. Because there whatsoever our quality and our infrastructure is there, we are increasing our presence in that type of a high professional grade airborne modules.

So, that also will be at module level and system level as I told

--

about mainly about communication, our WLR type of a weapon systems.

So, those type of things there is a long list. We are very, very confident that we are going to give you much more better export related figures than what we are currently having.

Rahul:

Sure. Sir, my second question is, you've indicated your plan to increase exports to about 10% and I think you also talked about increasing R&D. I want to know which are the specific areas that you're directing your incremental R&D spend. This will help us understand the direction that BEL is taking. And I think you already talked about microwave based and laser based

weapon system. So, any more areas that you could call out where you are looking at spending more incremental R&D?

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Manoj Jain:

Let me tell you, again, because we are in defense electronics domain, each and every area is important for us because each and every area has some technological upgradation, like example of AI. The AI is not limited to only

Army or Navy or Air For

ce or only to Radar or

laser systems. AI as a technology is required across all domains. So, we are spending our R&D also across all domains. Of course, slightly more increase in R&D is on some of the big platforms type of projects

for us, means large equipments like some of the Radar, Sonar, EW,

that type of a program. In a mission mode also we have taken a few more projects.

But overall, I can tell you, we are spending evenly across subsystem, systems, and equipment and on indigen

ization drive for subsystem module level. So, as such, we are spreading all our

R&D efforts in all directions including diversification into civilian domain like Rail, Metro,

Aviation sector, so like that also we are doing, Space. So, diversifying into thi

s new areas and

consolidating our strengths in present areas by infusing newer and newer technology. So, there only this whole of

--

majority of the R&D funds will go.

Rahul:

Sir, my last question is on your employee cost that you talked about. Now, when

it goes for incremental agreement that will be there, this will be valid for how much time period and typically what is the last time the hike that was taken? Because let's say you have a INR3,000 odd crores expense towards employee. I'm just trying to

think how much could this be in FY27 or 2028. Is it 10% or how does it work?

Damodar Bhattad:

Last time the hike was in January 2017. That was for a 10 - year period. So, the next hike is in 2027 January 1st.

Rahul:

Okay.

Damodar Bhattad:

That is how I told

that for the current year, for one quarter the impact will be there. As far as the hike is concerned, how much will be the hike, we cannot tell at this time what will be the hike because for that there are certain committees which are set up at government

level and then they guide us.

But broadly taking into account certain parameters of what we got last time and what we may get this time, that is how I predict. We had estimated that the employee cost to turnover could remain in the range of 12% in the coming year and coming years also

--

in the next year also.

Because the scale in turnover will be increasing by that time, so even if the employee cost 3 months provision is there in the current year, even next year either provision or full settlement may happen, but overall impact on the employee cost to turnover percentage may not be significant.

Rahul:

Sure. Thank you very much, sir, and all the very best.

Moderator:

Thank you. The next question comes from the line of Shriram Kapoor with Jefferies Group. Please go ahead.

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Shriram Kapoor:

Hi sir, thanks for the opportunity. Just wanted to ask about your 15% revenue growth guidance for this year. So, given that you've done 20% in the first quarter itself, are we on track or likely beating this 15% revenue growth? Could it be higher?

Manoj Jain:

Definitely, as I told last year also, target is 15%. Last month we may surprise you by maybe 0.5%, 1%, 1.5%. I don't know how much more we can have, but our balanced plan is 15% and I am confident we will reach 15% by quarter

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quarter there are variation from previous year to this year, so that are generally there in all our defense

-

related projects. So, as such, we are confident to meet or exceed 15% guidance.

Shriram Kapoor:

Noted, sir. And just secondly, if you

could

--

so you mentioned some of these programs that you expected in FY27, you know, Shatrughat, Samaghat, Shakti Phase 4, HAMMER

. Could

you quantify some of these products

--

these programs that how much

--

what are the potential order sizes for some of

these? And if you could go a bit deeper into the HAMMER program

that you have signed up with Safran and what is that overall market potential there?

Manoj Jain:

So, we

are only talking about the first order, immediate first order which we may get in this financial year for these 3 programs. Because subsequently there will be definitely many more orders for all the 3.

So, for Shatrughat and Samaghat, I think I told you around INR9,000 plus crores,

we may get from Shatrughat and Samaghat. And about Shakti, it will be around INR2,000 crores

. And about H

AMMER

also it is around INR2,500 plus crores

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So, these three orders we are going to get in this financial year itself. And subsequent their repeat orders there is a good potential for them to have repeat order

s, but repeat orders

definitely will come after two plus years only. Because this execution itself will take around two years. So, beyond that only the repeat order will come once we supply major quantities of present orders

,

then only.

Shirom Kapur:

Under

stood, sir. And just lastly, the way you have given that

the LRSAM you expect around

2,100

billion

delivery worth of deliveries in

FY

2

7

, which are some of the other programs that

you're expecting to contribute to your

FY

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revenues

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if you could quantify t

hem?

Manoj Jain:

Definitely we had done our planning and recently we have finished our roll

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on plan meeting

also reaffirming how much for which, which program we may get. So, Akash Army we are going to generate revenue more than INR1,000

crores

, around INR1,200

crores

. D

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29 EW

systems, MPR Arudhra, BMP

-

2 upgrade, LCA LRUs, so these are around INR500

crores

to

INR1,000

crores

each one of them will give to us. So, overall, in this our INR

3

0,000 plus

crores

journey, these are the six, seven important projects which will fetch me these types of turnovers.

Shirom Kapur:

Understood, sir. Thank you very much. Appreciate the answer.

Moderator:

Thank you. The next question comes from the line of Vipul Kumar Shah with Sumangal Investments. Please go ahead.

Vipul Shah:

Hi sir, thanks for the opportunity. So, my question is regarding raw material cost which has shot up very sharply sequentially and over year over year also. Of course, it may be due to BHAMreucr

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product mix, but it has increased by almost 8% to 10% s

sequentially and year over year. So,
is that due to any commodity price inflation or is that any one
-
off there or product mix
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and
how do you take any corrective action for that? So, your comments will be welcome, sir.

Manoj Jain:

Let me again assure you, which was told earlier also, it is mainly because of product mix only.
The thing is traditionally also because of our product mix; our material cost varies from 50% to 59%. Typically, it was around 55%, but based on the product mix, sometime it drifts
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drop
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down by 3% to 4%, sometime it increases by 3% to 4%. So, that is the so
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called healthy sign
for our business of operations. So, right now we are not foreseeing any pressure from this RMC.

We have
analysed

thoroughly
,

this particular one and based on the
product mix only, the final
conclusion was it was because of product mix, it was not because of some pressure because of
raw material related consumption or input cost suddenly increase
etcetera
. If it will be there,
definitely we will share with you the first.

Vipul Shah:

And sir, what is our export pipeline and where do you see our exports two to three years down the line?

Manoj Jain:

As I told you, export we are having great leads right now. But leads to getting the order
sometime takes a little bit more

time. So, presently I am having around USD465 million order
book with me. But the leads which we are pursuing is at least four to five times more than that.
And the leads
,

we may get it, that I can't directly predict, but definitely this year we have given
n
our internal guidance of around USD300 million we should
ould definitely fetch out of the leads
which we are having.

That is spreaded across again some 15 to 20 important products. So, we are confident to slowly
and slowly increase our presence in export market because
--

as you also remember and I told

earlier, we want to finally aim at 10% of our revenues through export. So, we are working systematically to see that we reach that goal in next five years.

Vipul Shah:

And sir, one small suggestion, if you can put a presentation with every result where you can form in a tabular fashion the platform

- wise execution for each year for at least two years, it will be very helpful for investors and analysts to understand the company. This is a suggestion if that is practically possible or not, you please think over. Thank you very much and all the best, sir.

Manoj Jain:

Thank you for your suggestion. Definitely much more detailed things come in our annual report which is really comprehensive where we take care of everything. But every quarter whether we can give that type of a thing, we will see and we will see SEBI guidelines and other things also. But definitely right now we are complying to whatsoever guidelines as per Company Act and SEBI are there. But your suggestion is welcome, we will explore that other than annual report

,
can we publish these types of data in the form of some presentation, we will look into your suggestion

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certainly.

Moderator:

Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing remarks.

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Manoj
Jain:

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s

. My closing remarks again is same as my starting remarks of the thing, that the Q1 was good, met our internal expectations, whatsoever we had planned, we have more or less executed all of that. And the future outlook remains the same

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The revenue

growth of 15%, EBITDA margin 21% to 23%, order inflow of more than
INR20,000
crores

including QRSAM, the R&D investment more than INR2,200
crores
, capex
more than INR1,200
crores

with a typical
defence

non
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defence

business of 90:10.

So, this guidance definitely we are working towards and I am confident we will achieve this guidance for this financial year. This is my closing remark for this quarter.

Moderator:

Thank you, sir. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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